

MTAR Technologies (MTARTECH)

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Call: Aug 2022

MTARemail : info@mtar.in website : www.mtar.in |

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To, Date: 18.08.2022

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015)-The Manager, BSE Limited.

P. J. Towers, Dalal Street,

Mumbai-400001.

(BSE Scrip Code: 543270)The Manager,

NSE Limited,

Exchange Plaza, Bandra Kurla Complex,

Bandra (E), Mumbai- 400051.

(NSE Symbol: MTARTECH)

Transcript of Earnings call held on 10th August 2022.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on August 10, 2022.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in.

You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia

Company Secretary and Compliance Officer

MTAR Technologies Ltd. (formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar, Hyderabad - 500 037. Telangana, India. office : 0404455333123078312 fax : 9140-44553322123078316, GST

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"MTAR Technologies Limited

Q1 FY 23 Earnings Conference Call "

August 10, 2022

MANAGEMENT : M R. SRINIVAS REDDY - MANAGING DIRECTOR

AND PROMOTER , MTAR TECHNOLOGIES LIMITED

MR. GUNNESWARA RAO - CHIEF FINANCIAL

OFFICER , MTAR TECHNOLOGIES LIMITED

MS. SRILEKHA JASTHI - MANAGER STRATEGY

AND OPERATIONS , MTAR TECHNOLOGIES

LIMITED

MODERATOR: M R. IRFAN RAEEN - ORIENT CAPITAL

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Page 2 of 20 Moderator: Ladies and gentlemen. Good day and welcome to the MTAR

Technologies Limited Q1 FY '23 Earnings Conference Call hosted

by Orient Capital. As a reminder, all participant lines will be in the

listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Irfan Raeen: Thank you, Renu. Good morning, everyone. Myself, Irfan Raeen from Orient Capital. We are an investor relation advisor to the company. I hope that all of you and your families are safe and healthy. On behalf of MTAR Technologies Limited, I extend a warm welcome to all participants on Q1 FY '23 earnings concall discussion. Today on the call, I am joined by Mr. Srinivas Reddy, sir, Managing Director and promoter; Mr. Gunneswara Rao, sir, Chief Financial Officer and Ms. Srilekha Jasthi, Manager Strategy and Operations. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded yesterday on exchanges and on the company's website.

I would like to give a short disclaimer before we start the call. This call may contain some of the forward-looking statements which are completed based on our beliefs, opinions and expectations as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Srinivas sir. Over to you, sir.

Srinivas Reddy: Thank you, Irfan, and good morning, ladies and gentlemen. Thank you for taking the time to join us today. Today on the call, I'm

joined by Mr. Gunneswara Rao who is Chief Financial Officer and Ms. Srilekha Jasthi, Senior Manager Strategy and Operations and Orient Capital, our Investor Relations partners. We have uploaded our updated yesterday, press release and results highlights on the stock exchange and company website. I hope everybody had an opportunity to go through the same.

In Q1 FY '23 we have posted a revenue of INR 91 crore with an EBITDA of INR 25 crore. Further as mentioned earlier, we are right on track in terms of our revenue guidance growth for this FY '23 which is around 55% to 60% growth is what we're looking at and we'll continue to maintain by end of the year, the EBITDA margins of 30% plus minus 100 basis points. This is what I have mentioned very clearly and we are right on track with that. Further, let me give you a brief overview on the business outlook further. To begin with, we have been extremely excited, actually I would say the word, in terms of the Clean Energy, the way it is
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Page 3 of 20 progressing especially also with our new capabilities that we have established near the airport on the new plants. The operations of sheet metal have commenced. Exports also have commenced and we have achieved more than INR 8.37 crore as a starter to begin with and it will progress even more further. We are expecting, looking at our order book, we have an order book closure of about INR 765 crore which is very encouraging as well. And the good news is that we are expecting close to about INR 600 crore worth of orders flowing in this quarter itself. So the prospects of moving forward with consistent growth levels even for the future years is very evident right now. Further to this. If you look at the nuclear, we are receiving the orders for the fleet reactors. One of the orders is supposed to come in the last quarter is coming in this quarter. Further tenders have been raised and we are also looking at the Space division releasing further orders to us based on various launch programs that they have right now. And the most important

initiatives, the company has taken in terms of the Space program is that we have approached, we have decided, the Board has also agreed upon to develop small satellite launch vehicle, and we are working towards that and hopefully in this quarter, we will be able to take this forward with and in Space to develop a launch vehicle which constitutes 80% of the world market. And that's a huge leap in terms of what MTAR has developed and MTAR has all the facilities to actually bring this launch vehicle which we have been doing most of the work for restores in the past.

Further to this, the products division, it's really progressing very well. Our aim is to develop a very big product portfolio. We have been qualified for roller screws. We have completed the first article and now we are in the verge of converting it into a complete 100% import substitute whereby most of the defense and space programs would stop importing this product moving forward as well. Obviously, the electromechanical actuators, we are in advanced stage as well. We're executing all the initial orders by the department in this current financial year itself. We are moving onto obviously semi-cryo another major achievement that we will be closing out this year for the higher payload for the issue, and we are also looking at various other products like the ASP SMBs which constitute a huge revenue base for the company as a product for the Clean Energy segment. And we're also looking at bellows which will take -- will give us a lot of cost savings in terms of manufacturing in-house, which we were importing earlier. We're right on track with that as well and we are also looking at various other products in Clean En

ergy segment and also in areas of nuclear space and defense and certain products that we are working on purely based on import substitutes.

So with this, I would hand over the call to our Chief Financial Officer, Mr. Gunneswara Rao to take this further.

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Page 4 of 20 Gunneswara Rao Pusarla: Thank you, Mr. Srinivas Reddy. Good morning everyone and warm welcome to our earnings call today. I will take you through the financial and operational highlights post which we will open the floor for the question and answers.

So our revenue from operations stood at INR 91 crore in Q1 FY '23 as against INR 54 crore in Q1 FY '22 which translates to 68.4% increase on year-on-year basis. And we posted an EBITDA of INR 25 crore in this quarter FY '23 as compared to INR 14.5 crore in Q1 FY '22 which is 72.5% increase over year-on-year basis and the profit before tax also is higher which stands at INR 22.2 crore in Q1 FY '23 as against INR 12.6 crore in Q1 FY '22. This is 77% increase on year-on-year basis. And also profit after tax now at INR 16.2 crore in Q1 FY '23 as against INR 8.7 crore in Q1 FY '22 which is 86.2% increase on year-on-year basis. So our diluted EPS also stands at 5.3 for Q1 FY '23 as against 2.8 for Q1 FY '22.

So when compared to Q-o-Q basis, the revenue and gross profit is lower by single-digit percentage only. As Mr. Srinivas Reddy reiterated, we will maintain y 55% to 60% guidance revenue growth and EBITDA margins we will continue by year-end, by end of this financial year. And our order books also, we have a strong order book as of 30th June 2022, which is around INR 765.6 crore. So we have taken a lot of improvement initiatives in working capital reduction base and all. Our working, our operating cash flows also calls to INR 16.2 crore in Q1 FY '23 as against negative INR 6.9 crore in Q1 FY '22. Working capital days has reduced to 249 days in Q1 FY '23 from 275 days in Q4 FY '22 due to various

steps we have taken in the reduction of working capital.

As mentioned by our MD, we are taking several initiatives to develop new products across the different sectors and we are strengthening our technical and corporate teams to cater to the high growth of the company, which is set to witness growth in the coming year. So with this, I open the floor for discussion.

Moderator: The first question comes from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan: Just probably one maybe a bookkeeping question. What was the number of hot boxes and overall your marquee local boxes done in this quarter.

Srinivas Reddy: I think we have done about around 725 kind of 726 boxes in this quarter and I think Keeylocko we have done 10 numbers. That's what we have done this quarter.

Deepak Krishnan: Sure sir and just probably from a growth guidance I think while we've done very well in the Clean Energy segment growth and revenue and as well as order book, maybe some of the other
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Page 5 of 20 segments the growth was relatively slightly softer. So if I look at our overall guidance of about 55% for the year, how do you kind of look at it between Clean Energy and other segments and what would be the key drivers for these other segments to pick up in the coming months.

Srinivas Reddy: So if you look at Nuclear, we are working on some long projects which the deliveries will happen starting from Q2 onwards, going right up to Q4. So the kind of like we are working on projects like fuel machining head and the other projects which will start delivering from quarter 2 onwards and obviously the Spac

e
program itself, we are in advanced stage of delivering the semi-cryo engine, the first of the product in Q4, which is a major kind of an achievement which we have been working for quite number of years and that's for the new product that they're launching. So the other segments are also on track in terms of the deliverables that we envisage and that's why we are pretty much confident about the 55% to 60% growth on revenues that we are looking at. If you come to Clean Energy, it's really, we are right on track in terms of trying to capture the kind of demand that we are envisaging, not only for this year, for next year. Our expansion plans the bottleneck areas are being plugged in to take care of the future growth requirements as well

Deepak Krishnan: Sure, sir. Just probably one other question from my end. You've indicated about INR 600 crore of orders in the coming quarter. Could you just broadly give us a range across segments. What are the drivers for that?

Srinivas Reddy: The main driver for that is, we're expecting close to about INR 500 crore of orders which the number which I have said is more or less in the pipeline for sure. These INR 500 crores are concerning with respect to the Yuma units for Q3 and Q4 for next year. And then we have the Keeylocko units coming in which is about, the Yuma units about INR 175 crore and there has been a correction in the Q1, Q2 purchase orders with an upscale of about INR 14 crore, INR 15 crore there. We're looking at about INR 190 crore. And then we're looking at Keeylocko at about INR 240 crore of orders being received and another very important thing is the product which we have developed called the ASP for the fueling system and that we

are expecting in orders worth of about INR 90 crore as purely as a product to be delivered for them to the customer. These are the various areas and also for the electrolyzers they plan to give us about 200 numbers to begin with. So all these orders are expected in this quarter. That constitutes about INR 500 crore and with the existing order book of INR 760 crore we are looking at that number and the rest of the INR 100 crore is going to flow in from Nuclear, Defense and Space. That's the breakup of the entire INR 600 crore what I can see right now.

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Page 6 of 20 Deepak Krishnan: Sure, sir. Just probably one final question from my end. Just on the Space program wanted to understand in terms of CAPEX requirement for the new initiative that you indicated and like where are we in terms of development because you've indicated that the Semicryo Engine would be delivered in Q4 itself.

Srinivas Reddy: The space, if you are talking about the launch vehicle --

Deepak Krishnan: Yes, launch vehicle, yes.

Srinivas Reddy: Yes, so we have started our work on the design of it. We have submitted our proposal to in space, and also to HO, and that's where we are right now and the design phases has already started in the company. And we don't need any additional CAPEX for this. More or less everything MTAR has in-house. We have been working with the ISRO for about 35, 40 years right now. So there will not be any additional CAPEX requirement for this for now, at least for the first 3 launch vehicles. So that's the plan. So mostly in all probability if everything goes well we should be able to hopefully sign the MOU in this quarter itself. And that's something which is very, very exciting for all of us and but we're really looking forward for this because it is a very exciting challenge that we want to take up but not at the cost of adding too much of CAPEX for this since we have all the stability also.

Deepak Krishnan: Sure. Generally, what would be the typical order size for the launch vehicle that MTAR would cater to.

r to.

Srinivas Reddy: See, it's too premature to say that right now, Deepak. Where it goes is that once we develop, we are trying to develop the engines for that and once we do that, the launch vehicle itself will support something from the Avionics and the rest of things obviously the PMO office are clearly set to support the private industry in terms of better cost basis. So that's where we stand. So the numbers are yet to be rolled out but right now we are in the design stage. But it will be a substantial increase of revenues from the Space program once we are able to successfully launch or release this launch vehicle once it's done.

Moderator: Next question comes from the line of Sandeep Tulsiyan from JM Financial. Please go ahead.

Sandeep Tulsiyan: First question is on the overall order inflow guidance. I think in the past call we had guided we will get somewhere about INR 800 crore to INR 850 crore of inflows and with execution what you are targeting for the current year includes somewhere close to INR950 crore, close to INR1000 crore order book at the year-end. But in the recent call you are now increasing the guidance because you are seeing in addition to INR 200 crore we're doing 1Q INR 600 crore is what you expect in 2Q itself. So from a full-year perspective, just
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Page 7 of 20 wanted to know where your new guidance will be from an order inflow perspective or will it still remain in this range for rest of the year.

Srinivas Reddy: As of now, Sandeep, the orders that I said we are expecting about INR 600 crore is going in this quarter 2 itself. And we really have to have more clarity in terms of the second half of the year but when I say INR 1000 crore the closing order book we are doing substantial revenues for this year as well. So we are talking about the net order book closure of INR 1000 crore. That might go up but I would like to keep it at INR 1000 crore for now. Based on the progress by end of quarter 2, then I would be able to give you more clarity on where we stand but there will not be any downside to this for sure.

Sandeep Tulsiyan: Understood. Second question was on your working capital improvement. I think the company took a stance last year that with increasing raw material prices, uncertainty of supply chain, you had stocked up a lot of inventory and both these scenarios seem to be easing out now. So from a sustainable level you come down from, say, 275 days to 250. What should be sustainable. Should we look at 200 days going forward or is it too ambitious or should we even look further. If you can guide us where you are headed to by end of this year from the net working capital cycle perspective.

Srinivas Reddy: If I ignore the external factors for a minute, then we are looking at slightly below 200 itself. Our focus is to reduce it below 200 level itself. The only issue is it all depends on the external factors as well. They are becoming very dynamic from time to time but internally as far as we are concerned as a team, we are working towards reducing the number of working capital days. Our target is definitely slightly below 200 and let's hope that by end of this year, we will be able to achieve that.

Sandeep Tulsiyan: Understood. Third question was on Bloom Energy's yearly outlook. I think they have guided for a very strong second half of this calendar year, 30,70 kind of a ratio, first half to second half. And when I look at your quarterly volumes, you just mentioned, 726 intent, roughly 7-36 units you've done which is you're broadly 250 units kind of a monthly run rate and based on the annual guidance that you gave, your monthly run rate needs to be stepped up to something like 350 units plus, between 350 to 400. So just want to understand from

a capacity perspective, are we geared up to deliver this kind of volumes on a monthly basis or will you need additional investments or do you still hold on to that guidance. If you can just give some more color how these numbers will pan out on the SOFC unit side please.

Srinivas Reddy: See, the SOFC units. If you look at our Q2 for this quarter, for example, we are looking at 1000 plus units going out. Now the
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Page 8 of 20 capacity is beyond -- so basically our capacities are getting in place which I've explained earlier, which are expanding up to an annual requirement of 9,000 units in all the products and that's getting ready by mostly by September, October. So, that's where we are looking at. So basically, the volumes will be much higher in the next 2 quarters for sure in this calendar year and whatever numbers we are supposed to deliver to Bloom will be adhered to and in spite of whatever anyone says there are still issues of supply chain but we are able to take care of that issue as well based on our inventory levels. So we are pretty much confident to achieve those deliverables over the next few quarters.

Sandeep Tulsyan: Got it. And one last question from my side is on the Nuclear energy segment. Of course, we were L1 on some orders by March. And I think they haven't been booked looking at the order book numbers that you reported, which you guided will be booked in 2Q. But from an execution perspective, it is very chunky in some of the quarters. So we've hardly done some INR 3.5 crore of revenue in first quarter. So from a full-year perspective, how do you see this number panning out because that's the area where you need maximum ramp-up to meet your guidance or do you still think you can do INR 80 crore, INR 90 crore kind of an annual top line or are you looking at a very high number of INR 90 crore and it should be trimmed lower. If you can guide how this revenue build up should happen in the Nuclear segment please.

Srinivas Reddy: Yes, well, it's not about trimming over, Sandeep. It's very clear, we are working on some long cycle projects which are going to -- dispatches are going to start from Q2 onwards like fuel machining head and coolant channel assemblies and all that. So all that is happening in the next 3 quarters. So we'll be right up there in terms of the plant dispatches in couple of units that we are manufacturing the nuclear products and that's right on track with us and so that will be done as per the quarter wise we will be able to adhere to that schedule what we have mentioned earlier. So there should not be an issue with that.

Sandeep Tulsyan: What revenue should we expect in the segments for full year.

Srinivas Reddy: Roughly around INR 85 crore, INR 80 crore to INR 90 crore is what we are looking at. So let's say because we're working on the fuel machining head, the dispatches are going to start from this quarter to next quarters and also on the coolant channel assemblies and all of them. So we're looking at that's a good number in what we are looking at compared to the previous year. So that's how the progress is going to happen.

Moderator: The next question comes from the line of Renu Baid from IIFL Securities. Please go ahead.

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Page 9 of 20 Renu Bai d: Yes. Thanks and good morning, sir. Congratulations for good results. I had 3 questions. First if you look at the Bloom Energy portfolio now that Keeylocko electrolyzers plus ASP which is a new product for which we are working, it has started to stack up plus there would be sheet metal and some electronics also where

we are getting in. So if you look at our addressable market with Bloom, so on a per unit basis if one has to compare how has the addressable market for us improved in terms of the percentage share of the cost of the hot box or the modules. If you can give some insight in terms of, you know, how have we been able to increase the wallet share with the customer.

Srinivas Reddy: First thing is, if you look at the enclosures we got qualified for enclosures as well this quarter and now we are going to start the deliverables on -- we have received 700 numbers of enclosure orders. So we will start those deliverables starting from this quarter to next quarter. And that's the addition wallet share that we are looking at. So moving forward from next calendar year, which I have not included in my order book inflow on the additional wallet share that we're looking at. We are looking at almost 2000 plus numbers of enclosures going forward as well. And apart from this, we are working on lot of sheet metal assemblies for Bloom which is going to US and to South Korea as well. And we are qualified

for 67 of such assemblies, which we have done and this is something, so what ultimately is going to happen is the hot box will go into the enclosure with all the sheet metal assemblies and moving forward, the electronic side, the integration is what we are looking at, fully integrated system and that's the plan as far as -- probably the electronics would take a little bit more time but that's the goal in which we want to move and logistically also it makes lot of sense for Bloom to get a full system in terms of savings in logistics cost as well and everything happening under one roof. So that's the goal in what we are moving ahead with.

Renu Baid: Right. So basically, in terms of the number of modules which you were catering to addressing within the hot box, if you can just help us to highlight, which are the different modules that we are today working on or already supplying to BE.

Srinivas Reddy: First is the Yuma boxes is what we are supplying. Then, we have the Keeylocko is another product that we're working on which we are going to supply, which is getting ramped up next calendar year with our 1,600 numbers and then we have the electrolyzers which now we are going to deliver 60 numbers in the coming quarters and then we move on to about initially they said they will place an order for 200 numbers, so next year, but that is just the initial order. But we are not a real ramp up in electrolyzers happening the subsequent year in a big way. Because the demand for Yuma and Keeylocko is growing up in a big way and then electrolyzers will ramp up in FY probably subsequent year. Apart from this, we had MTAR Technologies Limited
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Page 10 of 20 the ASPs, which I said, which is going to be around INR 90 crore to INR 100 crore of business coming in just by the product itself. So as I said, our product portfolio is going to really improve a lot based on our innovations that we are doing right now. And then the electrolyzers, sorry the enclosures what I've said, it's almost like about \$12 to \$15 million worth of enclosures that we are going to get an opportunity for next calendar year apart from the 700 what we are doing right now. And the assemblies if you look at it, it's almost like about \$10 to \$15 million worth of sheet metal assemblies that we are working on which will happen next year as well. So there is a large kind of increase in terms of wallet share and in terms of the innovations what we are doing for Blue. If you look at the bellows, if you look at the ASPs and now we are working on the heaters for the electrolyzers which right now they're importing from US, we have started our work on developing these heaters as well for them and

d the ceramic assemblies as well. So, it's a continuous innovative process to make sure that there are lot of cost savings, even for MTAR as well. So that's where we stand right now.

Renu Baid: Right. So aligned with this as our value-added and localization for various components and products increase for the footprint that we're are doing for Bloom, how should we look at the impact on margins because currently the portfolio broadly tends to be dilutive at the gross margin level. The operating leverage kicks in. But with these new products coming in where the value addition is higher, how should we read on the impact of gross margins and EBITDA margins in say financial '24, '25 as the value of these businesses and our revenue mix continues to increase.

Srinivas Reddy: The important thing is whatever savings we are looking at in terms of cost savings, in terms of indigenisation. I'll give you a simple example in terms of bellows, we have already started manufacturing our own bellows instead of importing from US but we are maintaining our price as per the market prices are

concerned. Now, the savings in bellows itself for next year would be close to about INR 18 crore or so. So, but are giving it to Bloom at a price, which is very reasonable for them. In spite of that the value add we are looking at is close to that number. So similarly, with the other products like ASPs, so ultimately what's going to happen is we are going to actually overall, we are going to reduce our cost by about 3% to 5% in terms of these innovations and that would definitely improve further our margins going forward as well.

Renu Baid: Sure. Secondly, now if you look at the nuclear part of the business, while the new order inflows fleet reactors have been a bit more bumpy, if you look at some of the peers like Larsen they have been reporting on quite a few large sets of projects and orders from NPCIL. So apart from the 2 orders where we have been L1 in terms
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Page 11 of 20 of the fuel handling systems in the last quarter, how should we look at pipeline of the fleet projects and what in your view would be the order inflows coming in the next 18 months from NPCIL related to these peak tenders.

Srinivas Reddy: Frankly Renu, like we have been L1 in March itself for one of the projects we received an order for one project. The other project we are hoping to receive last quarter but they're saying now we will be seen in this quarter. Now we are receiving tenders from NPCIL on regular basis. We are quoting for them. And basically, our execution cycle for NPCIL we will have enough orders on hand to execute and our growth plan. We have taken such orders which are realistic in picture. So overall most of the fleet reactors orders, the tenders get floated in 3 different phases. Right now, the Phase 1 is on and then we move onto Phase 2 and Phase 3 and this is a program which will go on for the next, close to 10 years actually because there are 14 such reactors. So earlier we used to have a bumpy cycle but now with this kind of program we will have consistent uniform kind of a growth happening in Nuclear year-on-year basis, because we are building up our order book in the Nuclear segment based on the fleet reactors what on annual right now.

Renu Baid: Okay. So, on an average INR 200 crore plus of order inflow from the Nuclear segment should be sustainable in the next couple of years.

Srinivas Reddy: Comfortably, I would say that.

Renu Baid: Sure. And lastly, we did see a good improvement in terms of the net working capital cycle to 249 days. If you can give from elaborate details or insights in terms of what steps have we taken to reduce this net working capital cycle and going forward, what could the incremental

reduction that we're targeting in the next 12 to 18 months on these.

Srinivas Reddy: GR, you want to answer that.

Gunneswara Rao Pusarla: Yes. So we are actually improving the credit period from the vendors earlier it was using because of the COVID reasons there were lot of vendors, we were paying advances. Now we are actually targeting 60 days credit period from the vendors, that is one. And second thing is daily monitoring of our receivable, weekly monitoring of receivables are in place and also, we are trying to reduce our inventory levels. So that is also we are monitoring on day- to-day basis and definitely with the higher revenue growth and we are looking for around 200 or less than 200

days by end of this financial year. That is our target as of now.

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Page 12 of 20 Renu Baid: Sure. And any progress in terms of the bill discounting options that you were exploring for export customers.

Gunneswara Rao Pusarla: Actually, there are 2 kinds of bill discounting and the recourse and non-recourse bill discounting are there. Today, we have bill discounting limits are there with the customers but thing is it will not go off from balance sheet. It will still stay in the balance sheet. Only in the case of non-recourse only we will get benefit. So non-recourse in India, many of the Indian banks are not doing this non-recourse receivable purchase program. So that we are actually trying to do with some foreign banks we are trying to talk to them. Maybe we will succeed in that. Let us see what will happen in the coming quarters.

Moderator: Next question comes from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal: Yes, good morning sir. Congratulation for good set of numbers. Sir, my first question is the INR 500 crore order from Clean Energy segment, is it executable over next 6 months.

Srinivas Reddy: The INR 500 crore we checked that will come in this quarter. So this is in relation to the next calendar year. We already received an order for INR 175 crore earlier which you have seen and this is in addition to that. So all this is executable in one calendar year from January to December of next calendar year.

Deepesh Agarwal: Understood, understood. Sir, it's heartening to see new customers again added. Can you talk about some of the large projects you are working with new customer and what is the revenue expectations from the new customer in let's say 2 to 3 years?

Srinivas Reddy: See, we are working progressively with -- which is [Indecipherable]. We are doing lot of first articles. team is also coming this month to discuss long-term relationship with MTAR. Similarly, GE Renewable have started discussions with us and we are expecting orders flowing in from them. All this is under the Clean Energy segment, it is the hybrid projects under the fabrication plant what we have in Adibatla and even GKN Aerospace, so all -- so we are being very cautious in adding these customers in terms of looking at the kind of volumes that we can generate with them because a lot of effort goes into first articles. So whatever customers we're adding are supposed to be very excellent customers in terms of the expanding in international market and we'll continue to work with them and the volumes will get built up over the next one year or so and that's where we are right now.

Deepesh Agarwal: Okay. Sir, on actuators and the roller screws, the understanding was it is INR 80 crore to INR 100 crore opportunity each. So, can you help us understand how long or what would be the gestation
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0 period in substituting the imports. Can it happen in next 2 years or would it be more gradual?

Srinivas Reddy: See, roller screws are concerned it is something reality. In the 40 years, 50 years or 40 years or so we have been importing it from [Indecipherable] Sweden. Now for the first time in the history in the country, we have developed. It took us 2 years to develop the

roller screws, and we have also had our first articles ready what the DRDO labs has given us, and today we are in a situation where it's only a nod from the government to ban the imports and go ahead with MTAR. It can happen in a month or it can happen in 2, 3 months max. So that's where we stand and that I would really appreciate my entire team to actually achieve this. And that's why I said, the product portfolio of MTAR is going to really improve in terms of roller screws, ASP assemblies, ball screws, the electromechanical actuators as well. So over the next 2 years we would find a very good basket of these products generating enough revenues with good margins going forward.

Deepesh Agarwal: Okay. Okay. And sir, lastly if I can squeeze one more. What is the incremental CAPEX for next 2 years given that our new plant is already ready.

Srinivas Reddy: It won't be that much because they have already established all the facilities. Some of them are getting established mostly by September and even the new plant fabrication commissioning should also be ready. And it can be a few bottlenecks areas here and there. Other than that, I don't see much of a CAPEX. But we are moving into the electronics division as well as I have mentioned. So you might see some CAPEX coming in from there. It is very, we want to make MTAR fully integrated company. That's our goal in the next one, one and half, two years. So that's the area, which we are looking at right now. And that's a new capability which we want to add. And that's very exciting for us as well.

Moderator: Next question comes from the line of Shrinivas Aiyer from Rock fort Consultancy. Please go ahead.

Shrinivas Aiyer: Recently India launched SSLV few days back and it was not successful. Looking at that do you feel you will get the opportunity of our own launch vehicle.

Srinivas Reddy: Yes. See ISRO has developed the SSLV, it was a project which they have developed, which is actually 80% of the market. The technology of that is completely different from what we are developing. We are developing with liquid engines. They are going with solid motor systems. So it's a completely different design having 4 stages and we have these 2 stages in our design program. So it's the first of the launch. So probably the second launch what MTAR Technologies Limited
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Page 14 of 20 they're going to plan they have 3 launches planned for this year. Hopefully the second launch should go okay for them but there is no competition as such. So ultimately, we'll hand over lot of private companies who are capable of doing it in the long run. So we have first design and develop our own launch vehicle which we are right on top of it. Once we do that, then we'll take it forward and work with inspace, which they'll collaborate in terms of even -- terms of the working together in terms of avionics and everything and launch pack and that's how it will progress. So that's something which we are really looking forward to moving forward.

Shrinivas Aiyer: Okay. My second is in the last conference call, you did make EBITDA margin around 30% but in the first quarter, it has come down to 27%. Can you explain what are all the factors responsible for that

Srinivas Reddy: There is no specific factors for that. See, basically if you look at our quarter wise numbers we always give guidance over the year. And basically, we will

catch up on the margins of 2%, 3% here and there moving forward in the coming quarters. Also, in terms of higher much higher revenues, the kind of guidance we have given of 55% to 60% obviously the margins as well will improve and we'll end up with about 30% with plus minus 100 basis points. There should not be an issue with that.

Moderator: Next question comes from the line of Sandeep Tulsiyan from JM Financials. Please go ahead.

Sandeep Tulsiyan: Yes, hi, sir. I had a follow-up question. Some of these are items which you mentioned, which are import substitution in hot boxes the ASPs and the ceramics and also the bellows which you have done in the path I just wanted to understand the orders for this part of Yuma or the Keeylocko hot box order that you get. These are not over and above, right, the INR 90 crore number that you mentioned.

Srinivas Reddy: No. The ASPs are over and above. Ceramic assemblies and bellows are part of the hot box configuration. But what happens there is that we are doing lot of value add there, so our costs come down a lot in terms of what we can -- in terms of margin improvements. That's what's going to happen. So that's where it stands. So that's how it is.

Sandeep Tulsiyan: I wanted to understand this a little bit better. So when we are supplying the hot box, it is -- it was Xsoft ASP but included the bellows and ceramics, which we were buying out but now we will do bellows and ceramics in-house. ASP was not part of it, will get added over and above this and so is the enclosures

Srinivas Reddy: That's right, Sandeep.
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Sandeep Tulsiyan: Okay, sure and just on CAPEX. So you did elaborate on what you will be spending but if you could just give us a numerical number as to how much you will spend in terms of rupees crore for this year and next year.

Srinivas Reddy: We've already said that Sandeep that for the hot box division, the kind of volumes we have, we already put CAPEX in place. It's getting implemented now for about INR 40 crore to INR 45 crore, right? So then the Adibatla plant will get commissioned by September, October, and that's a CAPEX planned much earlier itself. Other than this, the only CAPEX that we can see moving forward is on the electronics which we want to start separately plus a few bottleneck areas depending on the kind of progress we make on various products or various requirements. So I don't see much of a requirement moving forward at least for the next one, one and a half years but it all depends on the kind of demand which is going up day- by-day and how it works out. But we have enough capacity to handle such things. So that's where we stand.

Sandeep Tulsiyan: So should we look at say annual bidding of INR 40 crore to INR 50 crore a year or can it be higher going forward on an annual basis.

Srinivas Reddy: No, it will be less than that. Around INR 35 crore to INR 40 crore a year.

Moderator: Next question comes from the line of Yash Jain from [Indecipherable]. Please go ahead.

Yash Jain: Sir, my question is related with Clean Energy segment. Can you please guide us about the government policies towards the development of hydrogen infrastructure?

Srinivas Reddy: The government has already announced some kind of subsidy programs for this. Some budgets have been announced but I always keep saying that ultimately the technology development is what is most important in terms of green hydrogen, the electrolyzers technology which has to be viable and that's where we stand right now. So ultimately, we have to start somewhere to end where we have to do. Today, the climate change is a serious issue, even in you must have read articles all over the world, in US, Europe, everywhere. So there's a lot of serious

intent towards this and in

fact if you have read the news, the Senate of US has passed a bill for I think about \$390 billion towards Clean Energy development.

So there are all very encouraging factors because that's where we need to move. So we would see a lot of such support system happening from the governments, various governments and technology will evolve over the next 4, 5 years, and that's where that's the advantage where we are because already we are in advanced stage with our customers to develop these products and MTAR Technologies Limited

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Page 16 of 20 that will have a very substantial vertical being built for the electrolyzers itself moving forward in the next one year.

Yash Jain: Okay, Sir, my next question is also related with Clean Energy segment. So can you please guide us about the demand of the electrolyzers in India and your order position for electrolyzers.

Srinivas Reddy: I have mentioned this earlier, Yash. See, we are doing prototypes right now. The batch production is going on for this year for 60 numbers. They're trying to place orders for about 200 more numbers for next year but that number can go up as the progress is made during the current year. And then subsequent year, you can really see a big ramp-up in electrolyzers. So that's where we stand right now and that particular vertical is going to be a parallel vertical with what we are doing in Yuma and Keeylocko units at this point of time.

Yash Jain: Okay, sir. Next question is related with Space segment. Sir, can you please update on the ISRO plan for the next 2, 3 years or the movement of private sector in the Space mission policy.

Srinivas Reddy: See, the Government of India wants ISRO to be more on the R&D side and provide support to the private industry to privatize various launch vehicles moving forward, but it's a process that they want to follow. So for us as far as we are concerned we are not looking at PSLV or GSLV which are way too complicated in terms of handling those systems. But what we are eyeing is the small satellite launch where 80% of the market is supposed to be for that. And that's where we are working on right now.

Moderator: The next question comes from the line of Utkarsh Maheshwari from Reliance General Insurance Company Limited. Please go ahead.

Utkarsh Maheshwari: Could you just give me, elaborate on what kind of category building we are working on this electronics control system. I mean what are capabilities we are targeting and what should be our addressable markets in that category and what should be the timelines we should be working out and what kind of CAPEX we intend to incur.

Srinivas Reddy: To begin with, we are looking at various options. We are looking at cable harnesses, PCBs, box builds like AMS facility which is very much required. A lot of our existing customers are looking forward

for it including Bloom as well and various other organizations which we are looking for. We might move into radar business as well moving forward. So we have to see how it goes. Mostly, our focus is on clean energy in terms of the electronics box builds. So this is something which we are looking forward for. And the CAPEX is not that much. Probably we are looking at a budget of MTAR Technologies Limited
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Page 17 of 20 about INR 30 crore to INR 35 crore to establish this and we have already started taking in the right kind of team to build the electronics theme over the next 3 to 6 months to address this new capability that we want to add which would make MTAR a fully integrated company in all aspects. As it is today, we are -- for most all the

customers we are like one-stop shore under one single roof. They have all the facilities to address their requirements. And with these electronics, it would take the company to becoming a fully integrated company. We are doing fully integrated systems as well right now. So we have substantial knowledge on that which we are adding further very good team members to build this business moving forward.

Utkarsh Maheshwari: So is it fair to assume that majority of the electronics for it will be like complementing your existing product line or it will be like more towards putting a backward integrated model on that.

Srinivas Reddy: Yes, with existing requirements of various customers and also for the new customers as well. So it will be a combination of both.

Utkarsh Maheshwari: And for the radar. I mean, what could be the thinking behind that and what should be the time frame where we can start looking something more curiously into the segment.

Srinivas Reddy: See, we are also working on the mechanical side of the radars. It's not that we are not doing that but what we would like to see is more progressively doing more in Clean Energy segment for fully integrated systems and also for the other systems that we're looking at and we'll have more information on this by end of this quarter in the direction we want to move. And that's where we want to take this forward.

Utkarsh Maheshwari: Fair point. Sir, actually I missed out our involvement in SSLV. I mean what all areas will be covering as a project. I am trying to understand that.

Srinivas Reddy: No, we are going to power, the entire manufacturing of the launch vehicle itself. So the support system from ISRO is going to be on the Avionics, the launch pad and all that which government has already announced will be done at cost basis to promote the private industries. The biggest achievement is to build a launch vehicle. So, that we have all the equipment and capability to do that. And right now, we are working on the designs for it and we will move forward as and when we finalize the design and then we start manufacturing it.

Utkarsh Maheshwari: This will not entail any fresh CAPEX for us.

Srinivas Reddy: No, not required because the testing everything, all the facilities are provided by ISRO including a launch. At the time of the launch MTAR Technologies Limited
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Page 18 of 20 also, they'll support us with all the avionics and everything. So it's -
- the existing facilities what we have MTAR is putting up to manufacture this.

Utkarsh Maheshwari: Okay. I mean we already have a good base of mind in people in the category who are working already in that segment. So we don't have a problem of getting more people also to work on this.

Srinivas Reddy: Absolutely, yes.

Moderator: Next question comes from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan: For the follow-up opportunity. Just probably one question just from a sourcing perspective, are we seeing any benefit because of the Taiwan related issue because one of our key competitor is from Bloom business and also secondly just Bloom yesterday on its earnings call indicated that the Inflation Reduction Act which is basically to help decarbonization, they will get extra incentives if this also -- so any impact of either of the two on your order book or how do you kind of look at both these new 2 items.

Srinivas Reddy: What is the first question, Deepak, can you repeat?

Deepak Krishnan: Yes, just any impact from this Taiwan related issues in terms of you gaining market share in near-term because of -- there are being more supply chain issues over there.

Srinivas Reddy: Yes, I think, I can't comment on the China, Taiwan issue right now. But, yes, basically, if things go

serious then probably MTAR will get the entire profit share of business what we are doing right now. As it is, we have a majority share but we have to see that. I don't pray for frankly. All of us would like to have peace in every area. So let's see what happens but as of now the only dependability for Bloom is with a company called Karvi in Taiwan for the hot boxes. They have a minority share as of today, but we are all geared up to address the Bloom in case they have issues there. So that might happen or might not happen. It's something that is very external, Deepak. Nothing to do with us. So let's see what happens. And secondly yes, you are absolutely right. With the new senate, what you said and we have mentioned earlier also that will give a big boost for Bloom in terms of the support system in the US and that would, that's something which is encouraging actually even for us. So that's where we are.

Deepak Krishnan: Sure sir. Any just in terms of addition of customer for the technology of SOFC. Any thought process on adding 10 base customers or other customers, essentially focus on.

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Page 19 of 20 Srinivas Reddy: See, if you realistically look at -- I've been doing my own research on this and if you look at Plug Power for example they are in different technologies. But if you look at realistically the volumes they are looking at as of today, it is probably far, far less than what where Bloom is right now. So as and when they're ready in terms of outsourcing it, making entire OEM we are open to it. But that only time can say that, Deepak.

Moderator: Next question comes from the line of Shreya Malhotra from Yashvi Securities. Please go ahead.

Shreya Malhotra: Good morning. Sir, I just wanted to know with respect to the work you do with Bloom Energy, sir, do we have any exclusive supply agreement with Bloom Energy. And my other question would be other than Bloom Energy what -- who more are the more customers that we have in this, with the same product lines in Clean Energy.

Srinivas Reddy: We don't show any exclusivity with any customer for that matter. So MTAR doesn't work like that, so we don't have any exclusivity. But if you look at our customer base we work like partners. It's not like a buyer and sellers' relationship. I keep saying that because lot of technology is involved there. And as far as the other customers are concerned, I just mentioned that about the kinds of volumes that other customers are looking at. If they are ready to outsource it, they are developing, if you look at companies like Plug Power or any other companies for that matter which are looking at it. So whenever they are ready MTAR has the platform to address their issues. It's more like see how well they can develop their own product and how they can outsource it.

Shreya Malhotra: Okay. And sir, would like, would it be the products that we are supplying to Bloom Energy which will be similar to that product or what are we developing something new for our customers in collaboration with them.

Srinivas Reddy: Everyone has their own technology. If you look at Plug Power, it's the PEM technology, polymer electro membrane technology. Bloom is an SOFC technology. So each one has their own kind of technologies. Bloom is a leader in what they're doing right now. So, but we will be able to address their requirement because we have the base capabilities to address any of these technologies. That should not be an issue.

Moderator: The next question comes from the line of Neeraj Runthla from Mega Profits Consulting. Please go ahead.

Neeraj Runthla: I had a question on the new lines that may be set up by you once India gains the outlook on the national hydrogen mission. So what is MTAR's plan to set u

p new production lines in India with respect to the huge demand that may come up.
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Srinivas Reddy: As I said earlier, see, when we are saying the new line we are all geared up for that whenever it happens. It might take a year or couple of years I guess, but as I mentioned earlier, we have increased our wallet share to an extent and moving into fully integrated systems. That's the first step for the establishing a full-fledged line. So as and when it happens, we'll address that. We will be ahead -- we are very proactive in addressing such issues. So we'll get the go ahead call from Bloom to do at the appropriate time. So we'll definitely address that at that point in time.

Neeraj Runthla: I also had a follow-up question. It's about SSLV. So what kind of business are we looking at with respect to value in terms of MTAR achieving through SSLV only in next 2, 3 years.

Srinivas Reddy: I don't have the numbers right now. We are in the design stage. But what I know as far as the commercial are concerned, the opportunities it covers 80% of the world market being -- and India being the most economical in terms of these launches. India itself would have about 10 to 12 launches and then you're looking at the launches for the other customers internationally. So that would be a big step forward for MTAR as well in Space sector and that's why we are putting all our efforts in working on the design and development of the launch vehicle.

Moderator: Thank you. Due to time constraints we have reached the end of the question-and-answer session. I would now like to hand the conference over to Mr. Srinivas Reddy for closing comments.

Srinivas Reddy: So I would like to thank all of you for sparing your time to join us for this earnings call and as I have always mentioned that we're putting our best efforts in terms of innovation, and we strongly believe and I continue to believe that innovation is the main forte for MTAR, and the rest all is just a byproduct of that and which you are literally seeing in terms of what we are doing right now and we'll continue to progress the way we are progressing in moving forward as well. Thank you so much.

Moderator: Thank you. On behalf of Orient Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2022

® MTAR

To, email : info@mtar.in website : www.mtar.in es

CIN No : L72200TG1999PLC032836

Date: 10-Nov-2022

The Manager,
BSE Limited.
P. J. Towers, Dalal Street,
Mumbai-400001.
(BSE Scrip Code: 543270)

The Manager,
NSE Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,
Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015)
-Transcript of Earnings call held on 03" November 2022.
Unit: MTAR Technologies Limited
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on November 03, 2022.

The transcript of the earnings call is also available on website of the company i.e. www.mtar. in.

You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia

Company Secretary and Compliance Officer

MTAR Technologies Ltd. (Formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar, Hyderabad - 500 037. Telangana, India. office | 040-44553333/23078312 fax . 91-40-44553322/23078316, GST No.: 36AACCM2021N1ZL

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"MTAR Technologies Limited
Q2 FY2023 Earnings Conference Call "

November 03, 2022

ANALYST : MR. IRFAN RAEEN - ORIENT CAPITAL

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR AND PROMOTER -
MTAR TECHNOLOGIES LIMITED

MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER - MTAR
TECHNOLOGIES LIMITED

MS. SRILEKHA JASTHI – MANAGER , STRATEGY AND OPERATIONS -
MTAR TECHNOLOGIES LIMITED

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Moderator : Good morning, Ladies and gentlemen and welcome to the Q2 & H1
FY20 23 Financial Results Discussion Conference Call of MTAR
Technologies Limited. As a reminder, all participant lines will be in
the listen -only mode and there will be an opportunity for you to ask
questions after the presentation concludes. Should you need assistance
during the conference call, please signal an operator by pressing '*'
then '0' on your touchtone phone. Please note that this conference is

being recorded. I now hand the conference over to Mr. Irfan Raean from Orient Capital. Thank you, and over to you, sir.

Irfan Raean : Thank you, Mitchell. Good morning, everyone. Myself, Irfan Raean from Orient Capital. We are an investor relation advisor to the company. I hope that all of you and your families are safe and healthy. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q2 & H1 FY2023 Financial results discussion call. Today on the call we have Mr. Srinivas Reddy, sir, Managing Director and Promoter; Mr. Gunneswara Rao, sir, CFO and Ms. Srilekha Jasthi, Manager Strategy and Operations. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded yesterday on exchanges and on the company's website.

I would like to give a short disclaimer before we start this call. This call may contain some of the forward-looking statements which are completely based up on our beliefs, opinion and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Srinivas sir. Over to you, sir. Thank you.

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Srinivas Reddy: Thank you, Irfan, hello and good morning everyone. Thank you for taking the time to join us today. Today on the call, I am joined by Mr. Gunneswara Rao our Chief Financial Officer and Ms. Srilekha Jasthi, our Senior Manager Strategy and Operations and Orient Capital, our Investor Relations partners. We have uploaded yesterday our updated press release and results highlights on the stock exchanges and company website. I hope everybody had an opportunity to go through the same.

I am pleased to inform you all that H1 FY2023 has been a record half year in the history of MTAR with highest ever revenue and PAT. The company has clocked a revenue of Rs.126.2 Crores with an EBITDA of Rs.34.9 Crores and a PAT of 24.7 Crores. Further, I would like to give a brief overview on sectorial performance and outlook.

The company continues to witness a significant growth in clean energy segment. We have also introduced a lot of new products in this segment, which is enabling the company to grow even at much higher levels. We have generated close to about 99 Crores from clean energy, which includes fuel cells, hydel and other related sales that we have done in this segment, and also we have delivered very high number of Yuma units about 1034 this quarter and also about 40 units of electrolyzers as well.

Further, we are also working under the clean energy in hydel sectors and also in wind and waste energy projects. We also received orders from new customers in this segment and we are building the first

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articles for them and hopefully we get much higher volumes moving forward in the next financial year.

As I mentioned earlier, we have received substantial orders this quarter which is close to about Rs.650 Crores plus which includes orders from nuclear segment, space, clean energy all put together. The company continues to strengthen the clean energy vertical to power a safe future and is currently in discussion with lot of new customers that are in hydel, fuel cells and

d hydrogen storage systems.

Our closing order book as I mentioned as of 30th September has been to a tune of Rs. 1,288 Crores with an order inflow of Rs.643.5 Crores and where exceptional increase to receive the kind of orders that we are looking at from various segments, especially in the clean energy segment because of our latest innovations that we have done recently.

We are on track to achieve our given annual guidance of 55% to 60% growth in revenues with an EBITDA of 30% plus, minus 100 basis points and as I mentioned earlier, the second half is going to be much stronger than the first half. So the EBITDA levels we would be able to catch up on that, and achieve the guidance what we have given in the past.

The company as I mentioned is consistently placing the efforts to diversify its customer base and as informed we have added customer to the GE, hydro, also the clean energy segments this quarter. We are also in discussion with several customers from not only in clean energy, but other verticals as well.

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Our CFO, Mr. Gunneswara shall be discussing the financial performance for Q2 FY2023 and I would like now to hand over to him to take this forward.

Gunneswara Rao : Warm welcome to our earnings call. I will take you through the financial and operational highlights post which we will open the floor for questions and answers.

It is very satisfactory quarter for both in terms of Y-o-Y and Q-o-Q and also our highest order book ever in the history of MTAR.

Regarding the financials:

Revenue from operations stood at Rs.126 Crores in quarter two FY2023 as against Rs.91.3 Crores in Q2 FY2022 which translates a 38% increase in year-on-year. EBITDA reported at Rs.34.9 Crores in Q2 FY2023 as compared to Rs.29.4 Crores in Q2 FY2022 which is a 19% increase on year-on-year basis.

Profit before tax stands at Rs.33 Crores in Q2 FY2023 as against Rs.27.1 Crores in Q2 FY2022. This is 22% increase on year-on-year basis.

Profit after tax was Rs.24.7 Crores in Q2 FY2023 as against Rs.19.1 Crores in Q2 FY2022, which is 30% increase on year-on-year basis.

Our diluted EPS stands at 8.03 for Q2 FY2023 as against 6.2 for Q2 FY2022.

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Our net working capital days as on 30th September is 263 days which includes 93 days are due to work in progress. We have some long lead time projects are there, which require to maintain inventory, so the work in progress is inherent in nature in our business, so we need to have this working capital, this is meant for future sales. We are also working on reducing the net working capital days. So our target is 200 days by end of this financial year, and our ramp up in revenue since expected to reduce our fixed cost and thereby improving our margins as envisaged by us. As informed by our MD, we are looking forward to increase our absolute profit and maintain EBITDA level around 30% plus or minus 100 bps. We are also strengthening our team and systems further to gather the highest growth we are witnessing from now onwards. With this I open the floor for discussions.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan : Thank you for the opportunity. Just one question from my end. Wanted to understand the gross margin variation that we saw this quarter versus previous quarters and similarly on your other expenses they seem to be flat Q-On-Q despite the substantial increase in revenue. So just wanted to kind of run through any special one off or any factors that have impacted gross margins and as well as aided other expenses.

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Gunneswara Rao : The highest export turnover whatever we have witnessed during this

quarter has resulted in the lower gross margin and also some of the domestic projects where we have the gross margin is different from project-to-project and this resulted in the lower gross margin higher the material cost. So on an overall basis by end of the year we will maintain the gross margin whatever we were on the average basis we will maintain on the year end basis. So the second question can you come again.

Deepak Krishnan : I just wanted to understand the sharp improvement we have seen in the lower other expenses this quarter that has really aided our EBITDA margins. Anything that is more sustainable do we kind of see this trend continuing.

Gunneswara Rao : As we know the growth what we have envisaged is 55% to 60% in terms of revenue growth we are actually augmenting our manpower requirements for the future requirement that has resulted in the operating expenditure. So there is no issue by end of the year we will maintain our margins as we talked earlier, the higher revenue the fixed cost percentage in terms of the revenue will be lower by end of this financial year.

Deepak Krishnan : Maybe just on the order inflow like we see good order inflow in the clean energy sector obviously you declared the Bloom order but other than that we also see additional Rs.90 Crores order so could you like to show a kind of highlight are these from new customers or are they from existing Bloom orders itself.

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Srinivas Reddy: We have received orders from clean energy in the case of Bloom energy to the maximum extent, we have also received orders from nuclear segment and also we have received the initial orders from GE renewable who is our new customer right now in the clean energy segment. It is a combination of all this and orders coming in from space as well. So majority of the orders are coming from fuel cell and we expect lot more orders coming in in the fuel cell segment in this quarter and Q3 and Q4 as well because we are introducing new products in the clean energy segment, which we have got qualified recently so we are expecting lot more orders flowing in during the next two quarters as well.

Deepak Krishnan : Sure sir, that is encouraging to hear, I will just get back on the question queue. Thanks for answering my questions.

Moderator : Thank you. We have the next question from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsian : Good morning. Firstly, very congratulations on the robust growth that we have delivered in the current quarter. First question is pertaining to your guidance this 55% to 60% guidance that you have given and the presentation mentioned that you are expecting Rs.300 Crores of revenues in second half. So would you want to revise it to the upper end of this guidance or probably exceed this 60% growth in the current year that you can do in the revenue.

Srinivas Reddy : Basically we have given this guidance in the beginning of the year.

We always like to under promise and over deliver. So we have been looking at that all the time. Obviously the way the numbers are

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moving up and having a very strong second half of the year, obviously the revenue would be much higher, but I would still like to stick to this guidance but definitely we would be doing much better than what we have guided everyone on this subject.

Sandeep Tulsian : So just being conservative on that. Secondly on the order inflows also we had guided around 850 odd Crores order inflow because that is

what translates in to your Rs. 1,000 Crores of closing order book for the year end, but we have achieved that number in the first half itself. So where would you want to take this order inflow guidance for the year because I am sure there will be second tranche of Bloom Energy

orders coming in fourth quarter and also nuclear energy, correct me if I am wrong, but there is one more order which was pending where we were L1 to be booked has that already come in, in this quarter or there is some portion just being left. So what kind of an order inflows can we expect for balance part of the years and if you can highlight some major orders that you are looking forward.

Srinivas Reddy: As of now see the nuclear energy order has already come in, it is there in the order book. We have received that in Q2 that is about 62 Crores and odd. As far as the further orders are concerned, yes, we are expecting lot more orders coming in, but we will not be able to quantify it right now, but since we have got qualified for new products in clean energy and also with the other customers we are expecting orders flowing in even during this third quarter and the fourth quarter of this financial year. So we will have a very strong order book as I said closing orders book being Rs. 1,000 Crores probably we might exceed that, but I would like to stick to that but let us see how it goes.

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But the way things are going and the kind of innovations we are doing, we expect a lot more orders flowing in at this point of time so let us see how it goes moving forward.

Sandeep Tulsiyan : Third question is pertaining to your nuclear segment; we are seeing very weak execution in first half just Rs.8.5 Crores of revenue our order book continues to be very strong because Rs.160 Crores at the year beginning now it is more than almost close to Rs.220 Crores. So where is the main bottleneck , why is the execution slow is it the delivery timelines as such how should we look at the annual growth numbers in this segment per se.

Srinivas Reddy: As I said the nuclear orders a lot of work is being done and we have this project of fueling machines and all this work in progress going on right now. So some of these projects will get executed during second half of the year both in terms of coolant channel and FMH and all these new projects that we are working on for the last one year and plus. So we will be able to catch up on those numbers in the second half of the year. So the cycle time for these projects would take that much time and there are certain clearance to be given by the department so it is happening the way it is but second half we will be able to catch up and improve the numbers.

Sandeep Tulsiyan : Next question is regarding your volumes for hot boxes. You had guided this year you should do somewhere around 4000 boxes, next year about 7000. If you can guide is there any change to these numbers that you are expecting and also Bloom Energy recently commissioned a 2 gigawatt electrolyzer plant in US. So, if you can give us some

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guidance, you said you did 40 units in this quarter what can be the annual volume run rate this year and next year in electrolyzers as well.

Srinivas Reddy: See electrolyzers we are considering to do a batch production right now and the next year the initial orders which they said of at least about 200 numbers and probably that number would go up as and when the time passes by over the next two quarters, but we are right on track in terms of this 4000 and 7000 units all that is right on track in terms of our execution level , which you must have seen in this quarter as well and even in the next quarter the numbers are much higher so we are right on track in terms of executing these orders and the numbers what we have mentioned earlier.

Sandeep Tulsiyan : Anything on the hydrogen boxes in terms of volumes that we can

expect next year.

Srinivas Reddy: Yes, ultimately the electrolyzers and the hydrogen that particular products would really do extremely well, they will ramp up very high, in fact probably we are

looking at little bit more time but probably by next year the ramping up should happen in a big way. Probably by end of FY2024 we will see a very good ramp up happening in those where it will be even bigger than the Yuma and Keeylocko verticals as well as units.

Sandeep Tulsiyan : One last book keeping question from my side. The other income has been coming in quite high, it is Rs.4 Crores last quarter, Rs.5.5 Crores this quarter. If you can just or Mr. Gunneswara Rao can just share the breakup of the other income.

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Gunneswara Rao: See the other income is mainly related to scrap and other than the operating related expenditure. Forex gains which we received because of the higher dollar rate where our receivables are very high so that is why major of the Forex gain has come.

Sandeep Tulsiyan : How much was that in second quarter and in first half if you can share these numbers please.

Gunneswara Rao: So these numbers is Rs.2.9 Crores in the first quarter second quarter around Rs.4.4 Crores.

Sandeep Tulsiyan : That is from my side. Thank you so much for taking my questions.

Moderator : Thank you. We have the next question from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Jitin Arora : Thanks for taking my question. Sir the first question is on your new client which you talked about GE Renewable can you throw some light how big this can become what are they ramping up and eventually it is the Yuma boxes only which you are supplying. If you can throw some light on this new client addition.

Srinivas Reddy: See GE Renewable is basically on the hydel sector. So they given us the initial order where the new customer for us for our Adibatla plant for about Rs.5 Crores that is a starting point, but based on our commissioning of the machining facilities in Adibatla by end of this calendar year , obviously this is going to grow bigger and bigger . It is not only GE Renewable we are working with Voith as well, Andritz as well. So a lot of these companies are approaching us to execute the

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projects, so we are hoping that this would become much larger

Volume moving forward over the next one year, two years.

Nitin Arora : That was the previous , well I thought something would have added in the clean energy part.

Srinivas Reddy : Yes, that is right.

Nitin Arora : In terms of scalability with respect to the new client in the same SOFC I understand Bloom is the only company which is doing that, rest of the other people are in a different technology and you said that if you have made this product you can eventually do other products as well which is made by Ballard and other one. So any update on that in terms of new client addition.

Srinivas Reddy : Yes, we are actually working on that, see one thing you have to understand is that lot of these companies which really analyze this they have to come to the volume levels of Bloom for us to really address that . Plug power has just started coming to India and setting up office within India that is what heard that all these companies ultimately need to start looking at outsourcing their requirements. We are looking at it, we are talking to various customers as of now, but end of the day the volume should be good enough for us to address that in any technology we need to work on it, but we have a great platform to address all this. But one significant thing is we are now going to work on the fuel storage systems like Fluence Energy from

US they approached us and we are in advanced discussions with them that is going to be very big boost to the numbers moving forward over the next one year or so. So we are adding on customers which they not

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only make strength to MTAR in the long run in terms of revenue
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rowth, but also in terms of our profitability so that is what we are looking at. So lot of good customers are approaching us and it is a matter of time over the next one, two years we have lot more customer base in fuel cells and fuel storage systems as well.

Nitin Arora : Just one clarification on the gross margin. So, quarter-on-quarter revenue which actually led no other change in any other segment it is just the clean energy which is export has increased. So that itself leading to a gross margin decline of 600 basis points, there is a commodity impact as well here if you can clarify that.

Gunneswara Rao : Regarding the gross margin 600 basis it is not purely on the export, there is export definitely the raw material cost is higher, the fixed cost is low but there are other projects where we have a raw material versus value addition, differences are there. Some cases maybe 50%, some cases 40% raw material some cases maybe 50% -55% it depends on the lot of products, but on an average our gross margin is around 50% by the end of the year we will get them around 50% to 52%.

Jitin Arora : Thank you very much sir, I will come back in the queue.

Moderator : Thank you. We have the next question from the line of Deepesh Agarwal from UTI AMC. Please go ahead.

Deepesh Agarwal : Sir my first question is in terms of inventory, what is the average inventory which respect to prediction schedule raw material inventory your stocking in which expected prediction schedule on month basis.

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Gunneswara Rao : In terms of the clean energy we normally maintain a one quarter inventory or maximum four months inventory, because of the supply chain disruptions in the imported material we order in advance so that there would not be any disruption in the production or the cost of borrowing as on today is around 5.2% per annum so getting the raw material in time, on time is very important because loss of production will impact very badly in the company so the four months or three months inventory in the clean energy sector we maintain. In case of other areas where we already mentioned our WIP it is meant for a future production almost 93 days of working capital is related to WIP only. So other areas we have to get the material in order in case of the sheet metal enclosures and other areas and some of the raw material we also get an advance almost 41 Crores of money we received in advance from the customers for the raw material whatever we have in the company so thereby we do not want production disruptions that is why we maintained enough inventory for the next six months so there would not be any problem for company to achieve its target.

Deepesh Agarwal : Sir, is this understanding correct typically you keep 3 to 4 months of inventory right now you added six months of inventory for clean energy.

Gunneswara Rao : Normally our target is we wanted to maintain three months inventory for the next quarter deliverables in the case of clean energy but due to long lead times due to supply chain issues we are maintaining the inventory more than three months but over a period of time our objective is to keep the three months inventory in case of clean energy.

In case of domestic projects, because we get an advance from

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customer as and when the projects start once our design is complete,

we will buy the raw material and get the advance from the customer .
We do not have any problem as far as the material is concerned
because we receive in advance also from the customer.
Deepesh Agarwal : Sir your entire clean energy order book which is some Rs.870 odd Crores is executable in next one year.
Srinivas Reddy: Yes, it is basically what all orders we have received right now some of them are executed in the second half of this year and for

the next

calendar year that is what it is and we are also going to receive further orders to be executed in the next calendar year so that is how it is going to be, from time to time the execution time is very short for all these orders so that is what it is.
Deepesh Agarwal : So which implies next 12 months clean energy revenue could itself be more than this order book number.

Srinivas Reddy: Yes, that is right.

Deepesh Agarwal : Sir the other question is on the commodity prices settling down basically do you think that we can actually go beyond this 30% in terms of margins in FY2024.

Srinivas Reddy: No, I do not think so because whatever contracts we have signed for this year and as I said earlier it is a pass through for us any increase in the raw material cost does not really bother the company we are never affected by that till date , but we are saying the commodity prices settle down they are not yet in terms of specialized things Inconel, 17 -4 PH, MTAR Technologies Limited
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440 see all these specialized materials are still on the higher side , but still it is a pass through for us so the customers cover for us so it is not an issue for us. But moving forward , probably we have to see if the stability comes in to place then it would be fine , but as I said basically the second half is going to be much stronger than the first half so whatever EBITDA levels we have given a forecast earlier that we will be with the catch up, up on and maintain that by the end of the year.
Deepesh Agarwal : It is heartening to see some dispatches for sheet metal or some inflows for actuators. Can you help us explain what could be the timelines with respect to the larger order on sheet metals , actuators or the screws?

Srinivas Reddy: See already the sheet metal plant is doing really well in terms of shipments happening to the tune of 12 Crores and odd I guess 11.7 -12 Crores. We have orders for enclosures for about I think 700 sets were to supply in this year which we will be doing that that is about \$3 million then we have another order which we have received for inflows for 2450 sets so purely based on our qualification and quality the customer has released order even for the next financial year, next calendar year in fact. So all these things are adding up in to moving MTAR into a more like to fully integrated system level since as I mentioned earlier the electronic side also we have started working on it we have now completing the stage one of electronics in terms of cable harnesses that is stage one which Bloom we are going to get qualified for cable harness for the Bloom and also for certain aerospace and defence projects as well moving forward. So all these things we are moving in a direction where making entire fully MTAR Technologies Limited
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integrated company over the next one, two years. So lot of wallet share is being added within the existing customer base and also with new customers so that is where we are going ahead.

Deepesh Agarwal : Understood thank you sir and all the best.

Moderator : Thank you. We have the next question from the line of Renu Baid from IIFL Securities . Please go ahead.

Renu Baid : Good morning sir. I just have two questions. First if you can help us give an update on how have been the new product development proceedings and by when do we see the commercialization of some of

these new products in our order backlog in terms of firm orders and second with respect to new client additions on the clean energy are we looking at other technology partners on temp side and if yes if you can just share any updates if any that we have here. Thank you.

Srinivas Reddy: Basically the new product development the first thing is the ASP the fueling systems in the clean energy segment we are qualified for that, that is going to reflect in next calendar ye

ar basically that is from

January to December we are looking at close to about 100 Crores plus of revenues coming in from there so this is purely based on the qualification that we have done this is a great addition that we will be doing in terms of revenue in the product portfolio, roller screws we have already submitted the first articles and right now it is under clearance with the DRDO hoping that they would give the clearance to us at the earliest also they can put an import ban on that right now their importing it from Rollivs, Sweden both in space and defence and all these sectors so that is a market which we are looking at I am not
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going to say that we are going to get 70 to 80 Crores overnight , but over the next two years or so being capture that kind of market in this area electromechanical actuators we are executing the couple of two orders that have given us which we will be able to complete this year where even the roller screws go into that which we are going to use our own roller screws for that so the ENAs are something which we are doing pretty well so that will be another good addition to our product portfolio as well and we are further working on other products as well which will debate to the due time in terms of manifolds and other things which we are working on so we are working on lot of these products through our R&D department. As far as the new customers are concerned I spoke about GE Renewable customer we are being very selective we are working with good customers where it can translate into reasonable and good volumes moving forward so GE Renewable is one such customer we are also working with the customer called Fluence Energy from US for power storage systems which is completely very exciting project for us which is going to be very innovative which is going to give us volumes to the tune of at least about anywhere between 300 to 500 Crores one year from now or one and a half years from now so we are looking at such good customers working with them and obviously in fuel cell segment some of the companies are doing their prototypes they are coming to a level where they will start approaching us some discussion are happening so that probably will take another, we are looking at another three to six months time where we are look at some of the customers coming in line with in terms of their requirements so that is where we stand right now.

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Renu Baid : Thanks so much and all the best sir.

Moderator : Thank you. We have the next question from the line of Pretesh Chedda from Luc ky Investments Managers Pvt. Ltd. Please go ahead.

Pretesh Chedda : Sir our cash flow creation is very weak for the last five, six years that I am seeing and at the working capital cycle that we operate every time that we grow 50% we will need external capital either in the form of debt or equity. So what are we doing to ensure that when we grow the cash flow creation happens?

Gunneswara Rao: So the major reason for the revenue growth whatever we are witnessing which requires a higher raw material and work in progress. As we explained earlier our work in progress because in the domestic sector the projects are more than one year to two years so we need to carry the inventory value addition till such time it is delivered. Conservatively we are not recognizing the revenue on the percentage

completion basis we go by the risk and rewards transfer basis conservatively we do not want to book higher revenue and then reduce the work in progress that is one of the reason for higher working capital. Now given the higher growth in the H2 when compared to H1 our target is 200 working capital days by end of this financial year so that is one reason. Second is our receivable out of the total receivables 91 % of the recei

vables are due but not overdue 9% are only overdue receivables are there that is also in terms of the contracts whatever we have some retention money has to be hold by the respective customer which we will get , already out of the receivables 20 Crores we received in the month of October so the working capital
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the inherent nature of business requires the working capital in case of the domestic customers we need to carry inventory till such time it is delivered to the customer and in case of export customers our credit period is 45 days after reaching USA so all these things we have factored in the pricing if you see our EBITDA margins are around 30% after the working capital funding so this business requires higher working capital and like you know we have all the borrowing limits in place and also the whatever you said. Yes so the inherent nature of the business requires a higher working capital and also we are factoring the cost of working capital in the pricing of the product whatever we sell, that is why we are achieving the EBITDA margin of 30% and the PAT of around 19% so this business requires the higher working capital because of the nature of the business whatever we are operating. However, we wanted to maintain our working capital days to around 200 days by end of this financial year. We are already done enough measures to improve the credit period and receiving advance from the customer wherever possible so all this will give the fruitful results by end of the year and I think 200 days we will maintain by end of the financial year and later stringent targets will be taken for next financial years also.

Pretesh Chedda: So what you mentioned on the revenue side we tend to book our revenues when we deliver a product is what you want to maintain.

Gunneswara Rao: We are actually recognizing revenue as and when we deliver the product to customers not recognizing revenue on percentage completion method even though the accounting standards allow us to
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do but we are not doing that , so the work in progress we need to maintain till such time we deliver the product to the customer.

Pretesh Chedda: So usually what is the execution cycle for your manufacturing.

Gunneswara Rao: So there is 12 months to two years some of the projects not all 100%products so maybe you can say 50%, 60% are the domestic customers projects it requires 12 months to two years.

Pretesh Chedda: And the max working capital cycle the lowest working capital cycle that you see is about 200 days as of now.

Gunneswara Rao: By end of the financial year that is our internal target we are taking enough steps to reduce the working capital by end of the year 200 days we wanted to maintain accordingly we are taking a lot of measures in terms of the improving the credit period of the supplier and get the advances from customer and reducing inventory level following up the receivables more vigorously so we wanted to achieve this by end of the financial year and in next year we will take further stringent target in terms of the working capital reduction.

Pretesh Chedda : And that execution cycle of one year which you mentioned more than one year and that even in the clean energy business that is the kind of execution cycle.

Gunneswara Rao: No, clean energy is not like that. This year we are going to do more than 4000 Yum a hot boxes and now more than 1000 boxes we have

delivered in the Q2 of this financial year so clean energy is not like this.

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Pretesh Chedda: What is the execution cycle for clean energy.

Gunneswara Rao: It is like this presently we are actually delivering more than 1000 fuel cells in the quarter in this one quarter.

Pretesh Chedda: Okay sir, thank you very much

h and all the best to you.

Moderator : Thank you. We have the next question from the line of Dhana njai Bagrodia from ASK Investment Managers. Please go ahead.

Dhananjai Bagrodia : What are the margin differential between the segments.

Gunneswara Rao: On an average we are getting equal margins in all the segment expect in case of the fuel cells there is 2% of margin differences are there that too we will mitigate with given the higher revenues whatever we foresee in the coming financial year and this H2 also the margins are more or less same except in case of a space maybe 2 % higher .

Moderator : We will take the next participant and the question is from the line of Kishan Amarchand Tosniwal from Polar Ventures LLP. Please go ahead.

Kishan Tosniwal : Good morning, congratulations first of all on good set of numbers. My first question is basically did you participate in this Ahmadabad defence expo that happened just now.

Gunneswara Rao: No, we have not participated in this defence expo.

Kishan Tosniwal : Any reasons the company was not having anything related to it or just we are looking for something else.

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Srinivas Reddy: We have participated the earlier exhibition but we are touch with all the various customers and we are also doing lot of projects , but we did find it to be probably to participate this year probably moving forward we might do that but we already have enough on our plate at this point of time and we are in touch with most of the customers in the defence sector as well.

Kishan Tosniwal : The second part is everybody is ask just to repeat up it. The working capital cycle that you are saying that you will be trying to get it to 200 days in this year by the end of the year if I can ask you what is our long-term target where we are satisfied that this working capital cycle if we achieve, if I may ask maybe two years, three years down the line.

Gunneswara Rao: See the working capital number of days we should not see as long as we are actually keeping that cost of working capital in my pricing we do not see any reason for the number per se that is not the only parameter we see. Ultimately today with the various government support and our interest cost is 5.4% per annum though interest equalization scheme we are opting so the cost of funding per annum 5.4% I am keeping this cost in my pricing and thereby we are achieving the EBITDA margin of 30% however we wanted to reduce our working capital as much as possible some incase of domestic projects for example we do not have when we say as far as the commercial terms of the contract into consideration because it is all is dictated by the tenders so even if one line or full stop if I want to change I cannot change , I will be out of the tender race. So domestic we do not have any say. In case of exports our credit terms are 45 days from the date it is reached to US location so it is nowadays because of

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this supply chain disruption it used to take 30 days or 25 days to reach USA now which is taking almost 60 days there is almost 35 days of the higher transit times the working capital days are increasing . I think we are hopeful that maybe next financial year I think all the supply

chain disruptions will settle and normalcy will be there in the future then automatically the 35 days whatever transit time is now we are taking it will not be there in future so that will be one straightaway reduction will come. In case of other things like we are trying to improve like six months back we used to pay our suppliers low credit period because of the COVID reason lot of suppliers were asking for the upfront payment because of the cash flow crunch is across all the sectors during the COVID period now again we bring it to 60 days now some more suppliers we are working

ing in this H2 also thereby enough steps we are getting to reduce to 200 maybe after that I think we do not have a plan as such because immediately we are targeting in this H2 of this financial year long run maybe 150 just because you have asked me now I will work for 150 days then see how best we can do but whatever said and done we have actually keeping this cost into the pricing achieving EBITDA of 30% PAT of 18% above that is main objective of our company is to achieve the profit numbers and revenue topline and bottomline is very important for us and this is also important but because of the nature of the business I need to keep higher work in progress and second is the domestic customers the tender is dictating the term in case of US customers the credit period is such that we need to have this working capital.

Kishan Tosniwal : Got it thank you very much.

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Moderator : Thank you. We have connected the line of Mr. Dhananjai Bagrodia, he is on line. Mr. Bagrodia I will request you to kindly proceed with your question.

Dhananjai Bagrodia : Sir wanted to ask you with now lot of the larger players in India conglomerates in India which we are speaking about how they been focusing on hydrogen what is something which what would be our addressable market opportunity in such a big segment.

Srinivas Reddy: See the market space is very huge we are not going to look at the market the market is too big for us to look at it, the market is not the issue, the issue is with the technology right. So they are right up there in terms of technology and this has to improve over the next four, five years that is where we are. We have to start somewhere to end somewhere. So that is what it is happening right now. So market is not the issue, market is very huge for that right now and we need to focus more on the technology to make it more viable for everyone so that is what we are saying and that is the kind of stage we are in today.

Dhananjai Bagrodia : Just to get on little more, let us say would it be like a large conglomerate would place one order and then only 1% would get the whole value chain or how the value chain be broken up between companies like us and competitors I just want to understand where do we have enough opportunity even our technology we have to correlate to someone else technology also how does it work.

Srinivas Reddy: See I said the way it works is if you look at different countries every country every government has been subsidizing this whole green hydrogen projects in a big way because that is where the whole world

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needs to be in , the way we are having the climate changes happening all over the place so that is the priority. Now that being the case lot of companies are focusing on how to build a technology and how to make it very viable over the next five, six years that is what we are going to see. If you look at electric cars and all that ten years back, you would not be think about it right now we are all talking about it but moving forward seven years hence from now you are looking at green hydrogen being a prime source for energy for everyone. So for that to be achieved we are actually ahead of the game in terms of building with our customers in terms of this technology and once that

happens then you can see as I said this particular vertical is going to be the biggest vertical moving forward even in case of MTAR so that is exactly where we are going to be moving forward as well.

Dhananjai Bagrodia : So would it be fair to assume that there is enough opportunity for every player and you would not be just be one players technology which gets picked by the conglomerates and then the other players loose out as such right.

Srinivas Reddy: There is nothing like that there is n othing like other players loose, i

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all depends on what kind of technology they have and as I said earlier also that the market is too big for us to really bother about it so there is enough to grab from the plate and whatever a huge space which is availab le for us right now.

Dhananjai Bagrodia : Lastly just one more question as most of our contracts are fixed or variables because of that gross margin movement.

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Srinivas Reddy: What do you mean that fixed or variable I mean we have all the nuclear orders we h ave fixed side of pricing for that but we have a pricing clause for them 20% to cover variation and the other projects like space it is the raw material is the main issue for us so that is not an issue at all and the case of clean energy it is a pass throu gh for any increase in raw material the customers take it up so that is about this.

Dhananjai Bagrodia : Okay fine sure thank you.

Moderator : Thank you. We have the next question from the line of Rajamohan V an individual investor. Please go ahead.

Rajamoha n V: Thank you for the opportunity. Congratulations on the results and phenomenal order bagging. Question largely on clean energy, broadly Bloom if you looking at the 30% to 35% growth over the next ten years aided by growth in SOS as well as electrolyzers . Considering that various levels that MTAR has in terms of increased wallet share or increasing wallet share and constantly driving higher product efficiencies does not it arithmetically translate to us growing higher than this 35% CAGR for Bloom , does MTAR management have any internal assessments to share of the growth prospects of the Bloom business over the next ten years that will be 40%, 45%, 50%. Thanks.

Srinivas Reddy: No, do not look at ten years but what is most important is two aspects here how long we have been doing in the last one year , how are we doing in the next year or next three to five years from now. Yes, we have seen a phenomenal growth in terms of what we have been doing for the customers and secondly also the various increase in wallet share through innovation for that some of the products what they are

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importing from Japan or from US the banks in US we are able to get qualified for such products your R&D to supply present increase of wallet share so this also enables us to tha t is what it is happening right now we have a great platform to address any other customer moving forward as well as very encouraging that is what I said you need to be at that kind of volumes for MTAR to really address their need. So we are looking at cus tomers to build their prototypes and probably we might address their requirements as well moving forward. Yes, the growth of Bloom has been very encouraging we have a clear forecast during the next three, five years the way things are going right now and t hat is why we are proactively ensuring that we have enough capacities, enough developmental activities that we are doing to ensure that we are right up there in terms of deliverables for Bloom as year-on-year basis.

Rajamohan V : Yes, understand, but Bloom generally supposed to be as you yourself have indicated and bloom themselves have much more efficient in their products 20% -30% more attrition sees in their products and competitors. So when Bloom itself says it will grow at 35% CAGR

arithmetically I was looking at you growing forward with higher wallet share in this. Anyway that is something which we should take in our estimates. As we finish half year this year do we have visibility to guide on FY2024 revenues especially based on Bloom's budgets like we have orders worth Rs.868 Crores in clean energy which we have indicated to executing 80% in calendar 2023 and over that we would get new orders also and looking at number of hot boxes guidance we have stated to it increasing from 40

00 to 7000 which itself is a 75% growth. So I see as doing a lot better than the robust MTAR Technologies Limited
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55% to 60% growth you have indicated to this year and I will get a number of around Rs.700 Crores of revenues from clean energy it will be possible next year is it a right guesstimate.

Srinivas Reddy : Yes, see we do the calculations right so I do not want to say that obviously the way things are growing how strong the order book is the revenue growth is going to be very robust moving forward the second half as well as next financial year so we do not want to give a guidance way ahead of time right now for FY2024 that we are very excited the way we are growing right now and also innovating lot of things in different segments yes you are right but we would like to stick what we have said in the beginning of the year and as I said you under promise and over deliver but you technically to calculate everything what it is so I leave that up to you really.

Rajamohan V : And one final question on margin improvement with higher efficiency products higher wallet share economies of scale kicking in would we see discernable improvement from say next year resulting in structural early improvements in margins even beyond the 30% and we have indicated to the CFO indicated during the call the clean energy segment also heading towards the company margins of 30% though this 100, 200 basis points below that so when all that happens from next year do we see a structural possibility of improvement beyond the 30%.

Srinivas Reddy : See first the 30% EBITDA level it tells about it is a good margin levels so as a company would always try to work hard towards improving our margins better and better so that is something which we have to
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see yes you are right once the operating leverage is very good in the case of clean energy it makes sense that is our endeavor from our side to try to improve margins as much as possible wherever to reduce cost that is the constant endeavor to the company and obviously things would improve moving forward but let us see how it goes.

Rajamohan V : Thank you.

Moderator : Thank you. We have the next question from the line of Deepak Narnolia from Birla Sun Life Insurance. Please go ahead.

Deepak Narnolia : The previous participant ask for a similar question actually I just wanted to estimate your revenues and the mix of the revenue so basically what I see that this year for this particular quarter your non clean energy business has done really mute it is very muted it is around only Rs.3-4 Crores of revenue and you have outperformed in your clean energy business so what is the mixed guidance you had given in the initial year is it at risk like you had expected 40% to 45% growth in the non-clean energy business also. So as far as the revenue is concerned so growth number we are maintaining yet do you see that this job mix will probably change and you will outperform on your clean energy business because this quarter you have done 100 Crores of revenue in the second quarter and that is a significant ramp up from 70 Crores in the first quarter and you have a very robust order book in the clean business also so I wanted to understand that and sir how many boxes you have delivered

in this quarter and how many boxes you would deliver in this year.
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Srinivas Reddy: To answer your first question as said this earlier, the domestic revenues where we are working on some long cycle products whether it is nuclear or some space or you remember we are looking at chemical product that we are going to release by end of this year. All these projects are being executed by during the second half of the year. So whatever we have guided in terms of the benefit number w

e would

stick to that it is not an issue so that is on track so normally in domestic products we have to look at not on quarter-to-quarter basis we need to look at on an annual basis so as I mentioned on an annual basis we will stick to that guidance with what we have given in terms of the domestic project what we are working on in space, defence, and our nuclear projects so that is not an issue at all. So that is why I said our second half is still be more robust in the first half.

Deepak Narnolia : So what is the kind of revenue sir if you can guide something what is the kind of revenue you do this non-clean business.

Srinivas Reddy: I cannot give you the exact breakup but whatever we have said earlier the way we have the monitoring system we are on track with that whatever numbers we have whatever we have given I do not have the exact figures right now but we are on track with those projects being executed in the second half of the year for sure. So that is not be an issue at all. Now as far as clean energy is concerned obviously we have done more than 1000 units of Yuma boxes this quarter itself and the coming quarter we are looking at about 1600 plus so we are right on track with the kind of numbers the way it growing the clean energy is galloping it is doing extremely well so there is nothing...

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Deepak Narnolia : 1600 in one quarter.

Srinivas Reddy: Yes, that is what we are aiming for this quarter.

Deepak Narnolia : For the third quarter.

Srinivas Reddy: Yes, that is what it is. So that way this and so in fact we are adding other products as well which will come into play in Q4 in clean energy as I said there is some products which we are adding which will add that product itself would had about Rs.100, Rs.110 Crores in the next calendar year so we are adding lot of new products so what I am trying to say is clean energy is doing extremely well but the absolute numbers of our domestic which are in very niche area which we are working on those absolute numbers are also growing year-on-year basis. Do not look at percentage basis with respect to clean energy if you look at the absolute numbers it makes lot of sense. So it is not that the other segment are definitely on track and there is nothing to, we are really working towards even building them more and more the order book is also very robust for us in domestic business as well. So that will improve our absolute numbers keep growing higher on year-on-year basis.

Moderator : Thank you. We have the next question from the line of Shirom Kapur from Prabhudas Lilladher. Please go ahead.

Shirom Kapur : Thanks for the opportunity. I just wanted to get the management's view on your defence segment and how you see this shaping up going forward in the next couple of years and was currently contribute by
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about 3% to the business but do you see this number growing or do you see it staying at a similar level.

Srinivas Reddy: As I said even in the past like I am not looking at the percentage number in domestic because of clean energy numbers are really

growing very high so we should talk more on the absolute numbers in terms of how we are growing year -on-year basis in terms of absolute numbers. So yes moving forward as well we are working on number of projects right now so it will definitely improve year -on-year basis we have lot of projects that we are looking at we have the order book also in this particular segment but we do mostly we work on lot of R&D projects primarily for the DRDO in developing lot of systems for them and products for them so that is what we are doing so obviously some of the products that we are working with lot of and all of them will help so moving forward yes we will see improvement coming in this area as well.

Shirom Kapur : And

just another question to understand your domestic versus exports. So as clean energy given so just to understand this most of the non - clean energy domestic focus business and clean energy mainly extra focus is that understand correct.

Srinivas Reddy: Can you repeat that question.

Shirom Kapur : Just to understand your domestic versus export revenues so as majority of the non -clean energy business primarily serving in the domestic market or is there an export a large export opportunity in that as well.

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Srinivas Reddy: No, it is primarily the domestic market because nuclear space basically it is on the domestic market as well but we are still exporting to companies like Rafael, Elbit and companies like that so we have export customers as well in the aerospace division and defence sector so we are doing that as well.

Shirom Kapur : Okay got it thanks.

Moderator : Thank you. We have the next question from the line of Amish Kanani from JM Financial Services . Please go ahead.

Amish Kanani : Sir you have mentioned about establishing the EMS full -fledged facility so if you can give us some sense of what is the plan what are the investments is possible and second question is on the Seneca engine side space side you have talked about delivering in Q4 one product if you can give us some sense the roof and you are talking about as a new product I understand there will be a long lead -time in terms of R&D but you can give us some sense of what should be the phase I of that how long will be the timeline in terms of developing that product thanks.

Srinivas Reddy: Basically the EMS as I said earlier we are moving into the electronic division to make it at that affluent to make it something we are doing lot of equipments where we are doing a fully integrated system even today but we would like to really ensure that we have these divisions within MTAR to make sure that we not only lot of our existing customers are asking for it and we can increase our wallet share with them. So we have already started the first stage of cable harness business that will get implemented in the end of December and then

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we do it in three different stages so over the next one, one and a half years we would say that we would have implemented the entire stability of electronics into MTAR that is what we are looking at right now. As far as semi -cryo is concerned that is probably by end of Q4 we will be able to launch that engine with ISRO that is the target plan right now it is a new engine it is a developmental product which we are working on it with a much higher payload even so it is working with us to ensure that it has done by end of this year so that is what we are planning to launch in the end of this year. SSLV is a project which it is very exciting for us. we have started working on the designs of it also the MOU from the space is expected to be signed sometime in the month of November so that is a three -year kind of a program in

terms of design development for this project because as we all are aware the government has given enough support this going to give enough support in terms of developmental activity and also on the operational flights in terms of Avionics and the launch by us at cost is what they are going to give it to us. So this the project which will take MTAR to a completely different level in this space division so our entire focus is on this the best part is they have enough facilities to manufacture this within MTAR because we have already been working with the space division. So this is about a three year timeline is what we have right now it might extend to about six months is what we are looking at this point of time.

Amish Kanani : And any idea for the market opportunity addressable market opportunity in engine

versus SSL V some value I know the numbers could be very initial and...

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Srinivas Reddy: Yes, it is too premature but the numbers are going to be very large but the 80% of the world market is on the Small Satellite Launch Vehicles so that is what we are looking at. So that is the reason why we have taken up this project and it is something which our entire R&D and the entire team is working on this so this will be something which is we are going to see the fruits of this in the three, three and a half years from now but lot of work is going on, on this particular project at this point of time.

Amish Kanani : Sir and this will be a JV or some consortium is what I think we are thinking about right Sir or it will be independent.

Srinivas Reddy: No it is not a JV it is an independent project; we will have the right support from ISRO in terms of Avionics and other areas and that probably will support and the few testing facilities as well we have to see that but it is completely an independent product.

Amish Kanani : Sure sir, that is it I think and all the best. Thank you.

Moderator : Thank you. We have the next question from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari : Sir my question is do we undertake any development with DRDO since you have mentioned DRDO is one of your customers.

Srinivas Reddy: Yes, we have been doing that for the last 40, 45, 50 years we have undertaken lot of R&D work with them and we continue to do that.

Akshay Kothari : So we do get revenues of R&D from them as well because developmental revenues also we would be getting right.

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Srinivas Reddy: We will be getting the revenues it has not done free of cost; it is developmental revenues we will be getting from them.

Akshay Kothari : And I think CFO sir mentioned about the we do have an option as per accounting standards to go as per the percentage of completion method so is there any specific reason why we are not opting for that method.

Gunneswara Rao Pusarla : You see, so the reason for it we wanted to conservatively we do not want to book the revenue. As and when we deliver the goods we are booking revenue. In case of new projects which we will see in the future because these are all the projects I think last one year it is continuing the dispatches we wanted to continue the same till such time it delivered to customer, but in case any future orders which is having an overtime concept is there that we will see in the future but without any like taking any benefit out of it we just want to go fairly and book the revenue that is the main reason for us to opt earlier in this.

Akshay Kothari : And Elbit systems and Rafael opportunities are offset opportunity or other than offset.

Srinivas Reddy : It is a combination of both I think MNCs that they are working on it is a combination of what they require there and what offset probably

that they have here. But offset is technically out of the window more now right now because all about Make in India. So the government is pushing for all these companies to actually manufacture in India under joint venture so that is the future in what we are looking at.

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Akshay Kothari : But they must have pending offset obligations which they need to fulfill in next five to seven years .

Srinivas Reddy : Yes, that will be done for sure but I am saying moving forward it is more of make in India than offsets. I am talking about the new projects.

Akshay Kothari : I am just asking that do we foresee for next five years also any we get offset opportunity from these customers as well because they have a huge offset obligation currently.

Srinivas Reddy : Yes, they have a lot of offset obligat

ions yes there will be residual offset obligations coming over the next four, five years as well that will continue apart from that for all the new projects it is more of Make in India kind of a concept that they have to do a joint venture with any qualified Indian company to take the projects more.

Akshay Kothari : Thanks a lot.

Moderator : Thank you. We have a follow up question from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan : Thank you for the follow up opportunity. Just probably one question from my end. Wanted to understand how are we in terms of the raw material procurement especially from Europe is there any disruption that we kind of foresee that could impact us or we think we are very well covered irrespective of what is the current situation in the European geography.

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Srinivas Reddy: We are totally covered that is why we have been maintaining our inventory levels at a higher level right now yes there are some delays but that is the reason why we have ensured that we maintain enough inventory level so that we do not face the lying down situation the way I look at it they are completely covered so I do not see any issues with them.

Deepak Krishnan : And any incremental Capex that we would require from a clean energy perspective as we cross the 7000, 8000 box levels how are we kind of looking at it from FY2024 -FY2025 perspective.

Srinivas Reddy: See as of FY2024 we have capacity for 9000 units so we have signed with that but the way it is growing probably for FY2025 we need to proactively see how we can increase even beyond that but how the electrolyzers vertical really perform which is going to really ramp up much bigger and all the new products that we are launching for next calendar year so we have to evaluate all that and that is the reason will be taken by end of this calendar year.

Deepak Krishnan : And just maybe one clarification so largely the domestic projects right now saying that you do not book revenue and a lot of it is stuck in a inventory is it largely in the nuclear segment or do we see similar impact in the space segment as well.

Srinivas Reddy: It is mostly in the nuclear and also for some projects likes space like semi -cryo for example they are in advance stage of the winning but primarily it is in the nuclear business.

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Deepak Krishnan : So but once we deliver the product there should not be any problem on the receivables anyway because that government bagged

Srinivas Reddy: Yes, absolutely we never had any issues with receivables with any of these organizations till date, so there is no that situation will come.

Deepak Krishnan : Sure sir those were my questions thank you for the opportunity and best of luck to you.

Moderator : Thank you. We have the next question from the line of Vinayak Mohta from Stallion Asset Management. Please go ahead.

Vinayak Mohta : My questions have been answered. Thank you.

Moderator : Thank you. Ladies and gentlemen, due to time constraint that was the last question that the management could answer. I would now like to hand the conference over to Mr. Srinivas Reddy for closing comments.

Srinivas Reddy: I would like to thank everyone for joining us today. It has been a very good quarter for us and even moving forward as I mentioned the second half is going to be very exciting for us and even for the next year as well and moving forward for the future years we are doing lot of work in terms of innovation and in terms of adding the various customers, increasing the wallet share within the customers and adding new capabilities we will try to work more towards these areas and obviously people talk about the working capital number of days but that is something which we are working on but it is more on external fa

ctors and an internal factor for the company in terms of the
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delays in time to times to US both transitions there still the things are remaining the same hopefully by end of this year it will come down and we will also bring down the inventory levels as much as possible till the supply chain settles down and as the CFO said we are targeting for 200 days and probably moving forward for next year we will have little more aggressive targets so we are on top of it . I want to tell this to all of you and there should not be any issue for the company even moving forward as well. Thank you so much for all your time and hopefully we will see you next year in the next earnings call end of Q3. Thank you.

Moderator : Thank you. In case of any further queries please contact Orient Capital. On behalf of MTAR Technologies Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2023

To, Date: 17-Feb-2023

The Manager ,
BSE Limited .
P. J. Towers, Dalal Street ,
Mumbai -400001.
(BSE Scrip Code: 543270) The Manager,
NSE Limited,
Exchange Plaza, Bandra Kurla
Complex,
Bandra (E), Mumbai - 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) -Transcript of Earnings call held on 10th February 2023.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on February 10 , 202 3.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in . You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia
Company Secretary and Compliance Officer

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"MTAR Technologies Limited Q3 FY23 Earnings
Conference Call "

February 10, 202 3

MANAGEMENT : MR. SRINIVAS REDDY – MD AND PROMOTER , MTAR
TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CFO, MTAR
TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – SENIOR MANAGER
STRATEGY AND OPERATIONS , MTAR TECHNOLOGIES
LIMITED
MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY23 Earnings Conference Call of MTAR Technologies Limited . As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raeen from Orient Capital . Thank you and over to you, sir.
Irfan Raeen : Thank you, Mitchell. Good morning everyone, myself , Irfan Raeen from Orient Capital. We are Investor Relation Advisor to the Company . I hope all of you and your families are safe and healthy.

On behalf of MTAR Technologies , I extend a very warm welcome to all participants on Q3 and 9-month FY23 Financial Discussion call.

Today, on the call, we have Mr. Srinivas Reddy sir – MD and Promoter; Mr. Gunneswara Rao sir – CFO and Ms. Srilekha Jasthi – Manager (Strategy and Operations). I hope everyone had an opportunity to go through our Investor Deck and press release that we have uploaded yesterday on exchanges and on Company 's website.

I would like to give a short disclaimer before we start the call. The call may contain some of the forward -looking statements which are completely based upon our belief and opinion and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I hand over the call to Srinivas sir. Over to you, sir. Thank you.

Srinivas Reddy : Thank you, Irfan, hello and good morning to everyone. Thank you for taking the time to join us today. Today, on the call, I am joined by Mr. Gunneswara Rao – Chief Financial Officer; Ms. Srilekha Jasthi – Senior Manager, Strategy and Operations and Orient Capital, our Investor Relation partners. We have uploaded our updated Investor Deck, press release and results highlights on stock exchanges and Company website. I hope everybody had an opportunity to go through the same.

I am pleased to inform you all that the Company continues to deliver strong growth in top line and bottomline.

The Company has clocked the revenue of Rs. 160 crores with an EBITDA of Rs. 45 crores and PAT of Rs. 31 crores. I would like to give a brief overview on the third quarter performance and the future outlook of the Company . The Company registered a very significant growth in clean energy vertical which is definitely as expected and we have done much better than the previous quarter as well. We have generated revenues close to Rs. 125 crores in this segment. We have also commenced our operations as you all know in sheet metal assemblies this fiscal year and MTAR Technologies Limited

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we continue to get qualified for many SMBs moving forward as well. We have already dispatched close to about Rs. 25 crores of sheet metal assemblies and enclosures have been approved and dispatches are getting commenced this quarter.

The Company has done significantly well in delivering 1,430 units of Yuma boxes and 20 units of electrolyzers this quarter which is significant averaging 500 units per month and we have also started receiving enough orders in the Hydrel sector as well from the reputed companies like GE, Andritz and Voith . We are expecting to finalize various discussions with some of the leading MNC companies in US for the energy storage systems which will come into effect next year with substantial increase our revenue base completely defense sector on the clean energy segment. We have also initiated discussions with various other MNCs like Thales, Collins Aerospace and various other MNCs at this time and we have also received orders from few of them as of today.

day.

As you are all aware that we have signed MoU with Indian National Space Promotion and Authorization Center which is called IN -SPAC e for design and development of two -stage to

low-earth orbit all-liquid small satellite launch vehicle. We are very excited with this. The design has already started for this particular innovation that we are working on and the Company is in the process of recruiting industrial reference for the launch that we provided at this point of time. As I mentioned earlier, we had given a revenue guidance of 55% - 60% increase in revenues and I would like to revise these efforts based on our very strong Q4 coming up with revenues of between Rs. 570 crores to Rs. 600 crores of revenues being generated for the entire year, this current financial year which is a substantial increase compared to the previous guidance what we have given and also having signs of maintaining the EBITDA margins around 29% with plus minus 50 basis points. We are also expecting our order book, which is very strong, closing order book of close to about Rs. 1,200 crores as against Rs. 1,000 crores what we had mentioned earlier.

And one of the most positive update also on the management front is that we have appointed a new Chief Operating Officer, Mr. Raja Shekar Bollampally who has a vast experience in operations across geographies and global OEMs like Bloom Energy, Ford Motors, Ohmium etc. The Company is set to achieve greater milestones under his leadership as well. Also, we are strengthening our management bandwidth across all functions which we did in a continuous process to be in line with our active growth path.

Moving forward to FY24, we would maintain very good growth momentum to the tune of 45% to 50% in the revenues and we will be sustaining our margins very comfortably. The Company specifically is also placing efforts to reduce the working capital days which our CFO would explain with more clarity. Technically, we are at about 240 days right now, it is lower than last quarter and we tried to reduce it further to about 270 days by end of this year. With this, I would hand over to CFO Mr. Gunneswara Rao to take this forward. Thank you.

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Gunneswara Rao : Thank you, Mr. Srinivas Reddy. Good morning everyone and warm welcome to our earnings call today. I will take you through the financial performance post which we will open the floor for the question and answers. Coming to our revenue, the revenue for the 9 months period of Rs. 377 crores which is higher than the last entire financial year revenue of Rs. 322 crores. So, we have surpassed the revenue, EBITDA, PAT, everything in terms of absolute numbers compared to entire financial year numbers. Our revenue from operations for this quarter is Rs. 160 crores as against Rs. 126 crores in Q2 FY23 which is 27% increase on quarter-on-quarter basis. EBITDA reported at Rs. 45 crores in Q3 FY23 as compared to Rs. 35 crores in Q2 FY23 which is 29% increase on quarter-on-quarter. Profit before tax stands at Rs. 42 crores in Q3 FY23 as against Rs. 33 crores in Q2 FY23 which is 27% increase on quarter-on-quarter basis. Profit after tax was at Rs. 31 crores in Q3 FY23 as against Rs. 25 crores in Q2 FY23 which is 27% increase on quarter-on-quarter basis. So, our working capital days stands at 287 days, however, Rs. 39 crores was received from Bloom energy on 7th of January on account of Christmas holidays. This has resulted 39 days increase in working capital days. The working capital days would have been 248 days had it been received in December 22. So, when it comes to receivable, out of Rs. 241 crores of receivables, Rs. 195 crores are current and the rest are overdue receivables and within the credit period extended to the customers.

As informed by our MD, we will maintain our closing order book of around Rs. 1,200 crores by

end of this fiscal year. Our order book as at 31st December stands at Rs. 1,183 crores. So, the Company has received Rs. 893 crores of order in various sectors including clean energy, civil nuclear power, fuel cells, hydel sector as on YTD 31st December 22. Also, we are set to deliver the strong performance in FY24 as well. As the revenue ramps up, we are expecting to sustain margins due to operating leverages. In addition, as discussed by our MD, the addition of Mr. Raja Shekar Bollampally to our leadership as a COO is expected to propel our growth further. So, with this, I open the floor for discussion.

Moderator: Thank you very much, sir. We will now begin the question-and-answer session. The first question is from the line of Deepak Krishnan from Macquarie. Please go ahead.

Deepak Krishnan : Congratulations on a good set of numbers, I just wanted to first understand this additional Rs. 140 crores order that we have said that we got this quarter, which segment and which client if you can highlight that and maybe just on your revised revenue guidance of Rs. 570 crores that implies a deal of the low run of 77%, so what is really driving this growth and which is the segment that really stands out in Q4?

Srinivas Reddy : Thanks, Deepak. As I said earlier, this Rs. 140 crores which actually I should have mentioned in my earlier speech, one good news is that in our product portfolio division, we had got qualified for the ASPs which one of our products which we are working on and based on the qualification and the initial batch production, we have received an order for Rs. 100 crores for this product itself. Technically, it is about a requirement of Rs. 130 crores per year, this is a great addition to

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our revenue base and I would really congratulate my R&D team for being able to achieve this in hardly about 4 to 5 months' time. So, the product got approved and we are able to get this order as well and the rest of the orders are from Hydrex and other segments that we are holding right now. So, these orders were expected to come in the previous quarter, but they have come in early Q4 itself, so that is why we had to highlight that to all of you at this time. Now, coming to the revision on the guidance numbers based on what we have achieved with Q3 and what we are almost at the middle of February right now, we have a clear path in which in a confirmed way, we can say that we will be able to achieve anywhere between Rs. 575 to Rs. 600 crores of revenue for this year which almost is close to 80-85% compared to the previous year and the growth is primarily coming not only from, in the last quarter it is going to be stronger, not only from the fuel cell area, but also in terms of the new products that we have received the order and as well as the revenues that we are going to catch up in terms of nuclear and space as well in the last quarter.

Deepak Krishnan : So, ASP is essentially for Bloom itself, right if my understanding is correct?

Srinivas Reddy : Yes, that is right.

Deepak Krishnan : Sir, may be just a follow-up question then on essentially margins, so do we still kind of stay confident in the 29% range because essentially it is slightly below for the 9-month basis, so I think would it be that nuclear and space sort of helps us catch up the margin, if any thoughts on that?

Srinivas Reddy : Yes, we would probably maintain around 29% plus minus 50 basis points at the end of the financial year because we will be getting sales coming in from nuclear and space as well in this quarter and based on the revenue that we generate for the first quarter we are pretty confident that we will be able to have this kind of margins for the entire year.

Deepak Krishnan : Sir, maybe just one last question from mine, I just wanted to understand essentially your working capital days, you have so

received this Rs. 39 crores odd on Jan 7, but what is the glide path

that kind of take us to 220, is it more of receivables sort of converting that into cash, is it inventory management because I see comment that there is a higher inventory basically due to Q4 revenue that you are going to look, so maybe just any incremental points on how you kind of end up closer to 220 days in terms of working capital?

Gunneswara Rao : I will answer this question. Because of the Christmas holidays in USA, we received one week late on this Bloom energy receivable. As of today, we are 248 days and looking at the higher guidance given by our MD, so definitely I think we can be able to maintain the working capital days around 225 days by end of this financial year. We are doing lot of steps in terms of reduction of working capital, but as you know we are working on the long cycle project for which there is made to order scenario we are working, we need to maintain the WIP because operating cycle is very high and looking at the next year growth also, I think our MD has given the percentages

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already. We need to import material or purchase material one quarter in advance for the next quarter delivery, so the inventory always is for a future sale, not for what that has happened, but incidentally we need to calculate working capital days on the actual sales basis. Also, many of the supplier credit terms we are making into LC terms instead of paying advances unlike during COVID scenario we used to pay advances, now I think we are slowly converting into the LC credit terms and all and we also try and do the receivable factoring on nonrecourse basis, we are talking to various banks. Once it is materialized, I think drastically working capital reduction will happen, but definitely around 225 days we will do it by end of this financial year because of the higher revenue numbers.

Deepak Krishnan : Maybe just on Bloom also, is there any improvement in the overall receivable cycle, like it is 45 days after shipment because transmit reduced or anything incrementally positive on that front?

Gunneswara Rao : Yes, definitely supply chain that is any reduction in the transit times, it automatically will help our reduction in working capital, so I think that is also now happening slowly, but not as before COVID level, it still take some more time.

Moderator : Thank you. The next question is from the line of Mohit Kumar from DAM Capital. Please go ahead.

Mohit Kumar : Sir, my first question is, how do you see the order inflow for FY24 and revenues stacking up?

Srinivas Reddy : The order inflow as I said we have received orders until December, close to I think Rs. 893 or Rs. 900 crores and for the end of the year, we should have a closing order book close to about Rs. 1,200 crores is what we are expecting. So, I think we will have a very strong order book position. We earlier said Rs. 1,000 crores, but now it should end up around Rs. 1,200 crores is what we are expecting right now.

Mohit Kumar : My question is more about FY24, 12 to 18 months, how is this order inflow?

Srinivas Reddy : FY24, obviously , we will be expecting lot more orders in FY24. We are working on various products as I said, so our order inflow I can't just quantify it right now, but we probably would receive lot more orders in FY24 compared to FY23.

Mohit Kumar : We are just looking for some kind of segmental outlook, I am not asking you to quantify the exact number, just a color on which are the segment which you are looking, which you are thinking will add materially to the order inflow for FY24, just outlook , sir?

Srinivas Reddy : Basically, on the fuel cell side, we would receive substantial orders, the way we have received this year probably slightly more than that. Then, we are doing pretty well in terms of Hydel sector with GE Power , with Andritz,

Voith. We have completed all the first article, so we will

move on to the volume kind of the scenario next year. So, we would expect a lot more orders at MTAR Technologies Limited

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least close to more than about Rs. 100 crores plus in that particular segment which is the new segment for us and sheet metal would be a nother area where we would expect lot more orders coming in. Apart from this, the ISRO has already advised us to get upon almost tripling our capacity because they want to increase the number of launches moving forward, so we would expect lot more orders coming in. So, it is looking very encouraging in all these sectors as well and that is where we stand right now. So, that is why we are pretty confident about getting much higher order book from various segments, not necessarily one segment, through various segments as well.

Mohit Kumar : On the Electrolyzer side, Hydrogen Electrolyzer, are we hearing something where are we right now in terms of evolution of our products?

Srinivas Reddy: Electrolyzers, we have received an order for 200 numbers which we completed probably 100 numbers this quarter and probably 100 numbers next quarter and then once that is done, we are expecting the ramp up which I have said earlier, the ramp up should happen by about third quarter of next year. So, that would be substantial ramp up happening moving forward . So, we are very excited about that. That is a completely independent vertical, so that would bring us lot of revenues back.

Moderator: Thank you. The next question is from the line of Anika Mittal from Nvest Research. Please go ahead.

Anika Mittal: Congrats for the wonderful set of numbers, sir, one quick question on where do you see yourself in the defense sector in next 3 -4 years and what are all the steps that you are taking as you see that current contribution to revenue from defense sector is around 5%, I believe, so how are you seeing to have a good share of that sector?

Srinivas Reddy: Defense, basically we are working on lot of projects that defense lacks right now which we have been doing for number of years, but we obviously would like to become a defense a prime for Air Force, Navy things like that, so we are working towards that. It is all about technology in terms of working with various MNCs in a joint manner based on the Make in India concept or the Buy India concept that we have with 50% of production happening in India for all key projects. So, we are in touch with number of companies abroad as well, so you will hear from us very shortly what steps we are taking to really move into the line of defense prime shortly probably in a month or month and a half. So, as and when it happens, we will definitely let all of you know about it, but we are definitely working on that.

Anika Mittal: Sir and an other stuff which I wanted to understand, in terms of, when you get a big order from any of your segments, how do you accelerate your capacity, so we know that you are incurring CAPEX , but how quickly you can bring new capacity in line with the requirement of the industry?

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Srinivas Reddy: So, as I mentioned earlier, we have enough capacity to handle whether in nuclear space, any of this defense requirements, but you are also aware that we are gearing upon the electronic division as well. One good news is that we have already implemented the cable harness systems in the Company and we are getting qualified in some of the MNCs by next month itself, but we proactively look at the forecast and demand and then we implement or augment capacity accordingly well ahead of time. That is what we have done even for the fuel cell the way we are going in that line. So, recently, we have already acquired land in the SEZ zone to cater to the future requirements of the Company , the way it is growing. So,

we are proactively working on

such things much ahead of that. So, we always do that and we continue to do that.

Anika Mittal: Sir, on this clean energy segment, your tie-up with Bloom energy, so how does that relationship work sir, is it like you have a long-term agreement with Bloom energy, so just to secure your revenues for the mid-term, so how does that relationship work sir, any insight that you can give?

Srinivas Reddy: It is not only about Bloom energy, but with all our customers, if you look at even ISRO or nuclear programs or any other customer, MNC customers, it is more like a partnership based because we work on lot of developmental activities with them and we work with them in developing and making their product also very competitive not in terms of price versus volume, but also in terms of innovation that we do. So, it is always a long relationship even moving forward as well.

Anika Mittal: And any idea like will you be getting any big client next to Bloom energy in near term, any insights that you can give on that?

Srinivas Reddy: Yes, as I said earlier we are working with couple of companies on their energy storage system which are US based, which could be close to what Bloom could be, probably 2 years for now. So, these are the companies which we are working in different segments under clean energy, so obviously we are adding lot more customers. We have a great platform to work with all of them and our qualification process also is pretty quick as I said because of the platform that we have created over the years. So, definitely we will see lot more customers coming over the next 1-2 years.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid: Sir, I have just two questions, first in your presentation you have mentioned that you have started to work on ceramic assemblies for Bloom, so if you can give some perspective on what are these products and they will be associated with the Keeylocko range of the electrolyzers which end product of Bloom and how are we looking at growth in this market? Also for ceramics, are we doing any particular CAPEX at the moment or not?

Srinivas Reddy: No ceramic assemblies, we don't need any CAPEX at this time because it is the kind of a product which we are actively we are importing it from US at this point of time. So, as we have done
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earlier, the number of bought-outs we have indigenized and localized everything in entire extent that is how our spend Bloom has gone from step to step. So, the ceramic assemblies go in all the systems whether it is in Keeylocko or whether it is in Yuma or within the Electrolyzers as well. So, we are in the process of getting qualified for that and probably it takes a quarter also if we get qualified. Our existing equipment machinery handle this. We need to import the ceramics board from Germany. That is the only thing which we need to do. There are some supply lead times involved in that, so once that is done we will be all set for that, but if you look at the ASPs, we have done a remarkable job as I said in 3 to 4 month's time we got qualified and we also received an order for Rs. 100 crore in the product division which we had classified as products. So, similarly, we are also working on heaters. Right now, it goes in the electrolyzers, so that would take about 6 months' time to get qualified, trying to localize that as well as it was being imported from US. And the recent development is there is a product called dielectric which goes into the Yuma box system which has got a potential of almost Rs. 200 crores plus, so we are going develop that is going to happen starting from next week onwards. So, we are trying to do more and more of this product, so the upside of all this will come into play once we get qualified.

Renu Baid: Sir, just to clarify the ASP Rs. 100 crores order that you have received, it is classified in the products business are not in clean energy or it is reflected as a part of the clean energy portfolio itself?

Srinivas Reddy: It is technically clean energy, but actually it is a product which we are supplying in multiple numbers, so if you look at whether it is ASPs or bellows which we are using in-house, but it is also a product, then roller screws, finally we have qualified for roller screw, we submitted the phase we are just waiting for Government of India to take them out for input and that, so all these would be classified under product including the EMA, the electromechanical actuator which we are doing right now. So, our idea is to build this product portfolio whether we use it for clean energy or for space or defense or nuclear. So, that is how we want to classify them going forward.

Renu Baid: Secondly, can you share with us the developments on the electronics business division which we had set up, we have done some trial of first articles for Bloom as well and we are targeting some new business in this space, so any updates on the electronic division?

Srinivas Reddy: Yes, absolutely. We have already established the cable harness business, the equipment, everything are fine, we have established it, there is advanced stage of qualification with Bloom which should happen in this quarter for sure, so we don't have to anyway buy the cables moving forward for our enclosures. Similarly, ISRO also had come and approved our division including HAL also had reviewed our progress in this. So, our idea is to move into the electronic division both in domestic, our defense market as well as our exports and once we complete the cable

harness , then we move onto the other segments of electronics step by step as I said it is one -and-a-half years kind of a plan, but ultimately we are going to move very strongly in the electronics
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division probably couple of years from now in a lot different areas that we are looking at in the electronics sector .

Renu Baid: Sir, just trying to understand beyond the cable harnesses, you plan to do the PCB s required for as in the EMS for PCB for ISRO, HAL, another defense PSU s?

Srinivas Reddy: Yes, that is the idea. Once we completely cable harness then the next step is going to do the PCB and the blocks build and all that, so that is the idea of moving step by step in the present area.

Obviously, we are looking at lot more other areas in the electronics division, which is too premature to talk about, but we are sincerely looking at really building our product portfolio or in terms of the segments that we can work on the electronics side of the story in the defense sector.

Renu Baid : And sir, lastly while you have shared inflow outlook across other segments, any word on the nuclear large project of what have been delayed for quite some time now and we are still waiting for fleet tenders to pick up momentum, so any updates on the order inflow prospects on the nuclear side for current year 23 -24 and how should we look at the execution on this business?

Srinivas Reddy: Nuclear, what we are trying to do is, our projects are almost like for example, it is a very important question what you have asked for. See the fuel machine has orders what we have which were almost exclusive in the country. Some of the bought -outs we were asked to actually indigenous this because of the need for Government of India, what actually they are facing issues with the Russian situation right now also. That is how there has been slight delay in terms of getting these bought -outs indigenized. So, we are through with all that, so you will see the dispatches happening the fuel head machines starting from this quarter onwards. Similarly, we also got orders for

the fuel transit systems, the assemblies Bridge & Column , all these orders which it has exclusively . We just received these orders , we are in the process of sourcing the material bought -outs for that which some of the bought -outs we still have to indigenize. I will just give a simple example, in terms of Thompson Bearings, they have put a ban of not exporting those things to India for whatever reason, so now we are developing our own Thompson Bearings . The import part of that is Rs. 10 crores, but probably we are developing that and we are able to do it at 20% of cost. So, we have been asked by government of India to indigenize as much as possible so that the dependency on the external factors will not come into play at all. So, we are working on all this parallel to make sure that India is self-reliant by itself and we are contributing a lot towards that and that thing which is slightly delaying the process, but we will catch up with those numbers very quickly, but most important thing is try to indigenize certain things which are very crucial for this country at this time.

Renu Baid: And will that also mean that when some of these critical components are localized, you will have assured revenue share from the customer from NCCR for these projects, mostly a single vendor basis or it would be again bid based?

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Srinivas Reddy: Yes, that is what you have seen in the case of Water Lubricated Bearings, we are the only supplier in the country with an import substitute, the specialized ball screws as well, so similarly the Roller Screw is another thing, so Thompson Bearing, so all these are going to be like we are spending lot of time in R&D to develop them. It is not easy to do all these. With engineering , it is not that easy, but we are happy in doing it, we are happy in achieving it, so we will benefit a lot moving forward, so that is the idea behind this also.

Moderator: Thank you. The next question is from the line of Renjith Sivaram from Mahindra Manulife Mutual Fund. Please go ahead.

Renjith Sivaram: Congrats on good set of numbers, sir, one thing which we wanted to understand is that like what is our strategy in terms of if you want we were also planning to derisk ourselves from the dependency on Bloom, so currently you also had mentioned last time that we are looking at Voith and other kind of hydropower and other things, so in a 3-year perspective, if you look at it like how much will be Bloom's contribution in your overall topline given the ramp up in the other segments which you are expecting?

Srinivas Reddy: Let me answer this question to you in a different way. We definitely do have a strong strategy moving forward over the next 3 years to 5 years, so the entire work is in different segments . It is not only in fuel cell, but we are also now into Hydrel, wind, we are also into nuclear programs, space and all that. So, if you look at Bloom, today Bloom is the number one leading Company in the world in fuel cell technology crossing a million dollar turnover. If you look at the latest UBS report on Bloom, there is going to be \$3 billion revenue from the next 2 years. So, what I

am trying to say there is that this Company was built over 15 years and the technology has evolved and they are competing with the great power, so I don't see any kind of risk for the Company as such, but that doesn't mean we are stopping at that point. We are working with other fuel cell companies, but other fuel cell companies are way behind Bloom. We still have to stabilize on that prototypes, ramp up, and come to the level where Bloom is. So, that will take some time, so you have companies like Fluffer for example, so their major revenue of the material handling system drive on the fuel cells, so they still have gear up. So, you would love them to develop their products very well, so that t

hey can have the need of Company like MTAR to work with them. They have no exclusivity with anybody. We keep each individual IPs very independent. So, we are working with a number of companies. As I said, we are looking with Fluence Energy for energy storage, it is going to be of huge gain in terms of revenues over the next 2 years. We are working with EnerVenue, it is another Company which was working in the US based Company. So, looking at Voith, GE and Andritz on the Hydrel sector, we have already completed first articles, we are getting repeat orders right now, so the Company is going in a path where we would have lot more wider customer base, but the numbers coming Bloom are purely based on their performance in the international market. So, I don't see that as any kind of risk strategically, but we are working towards various ways to enhance our customer base in the long run.

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Renjith Sivaram: And sir, just space program, I think in your PPT also, you have elaborately mentioned, so what is the overall size of these projects if they fructify in the next 2 to 3 years and how do you see that growing, at what size it can attain in a long-term perspective, can it become Rs. 300 -Rs. 400 crores business?

Srinivas Reddy: It would become Rs. 300 -Rs. 400 or even much bigger business once we launch our small satellite launch vehicle, which said we have started working on it. It is a 3 to 4 years of program which we are working on, we are having our own launch vehicle by itself. We have all the facilities to do that. We have right now the team also is getting recruited, so we are right on track with that, but as far as that's the game changer for MTAR and that's the plan beyond FY26, but as far as ISRO is concerned, obviously I mentioned earlier that they are looking at 3 times the requirement, the kind of launches that we would like to do or they have asked us to gear upon our capacities which we have in most of the areas. So, that would provide a CAGR of 30 -35% year-on-year basis moving forward. Other than this is the major thing, what is going to happen is, once we launch our own vehicle, so that is what our vision is, in the prioritization of the whole space sector which Government of India is also pushing for and since we have enough experience of 35 years in this line, it would speed up the whole process moving forward.

Renjith Sivaram: So, in our own vehicle, probably the Vikas engine will be kind of brought from ISRO and some of these engines which you have?

Srinivas Reddy: No, nothing to do with the Vikas engine, it is our own engine. That is what I am trying to tell you. So, we are designing and developing our own entire launch vehicle. So, ISRO's Vikas Engine is completely independent on that.

Moderator: Thank you. The next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

Sandeep Tulsian: Sir, is it possible to quantify some of the new products, you quantified ASP assemblies, sheet metal, of course you have done better than we had guided for the year in the 9 months itself, but for next financial year, FY24, if you could quantify what would be the sale you could derive from these areas like sheet metals, enclosures as well as the new electrolyzer parts that you mentioned you would be indigenizing?

Srinivas Reddy: As I said the ASPs which we have developed and we received the order for Rs. 100 crores, it is the annual requirement it is the same product if we talk about in terms of numbers, each of the ASP is about \$55 and it is close to about Rs. 130 crores of requirement which we grow year-on-year basis based on the number of hot boxes which you grow every year. When it comes to enclosures, we are looking at almost 3000 numbers of enclosures moving forward in the next financial year because we are all geared for that. Ther

e has been certain lead time on various parts, bought-outs which are going in to the enclosures, so we are all set for that. We got qualified for it and in fact the US specification for enclosures also is in the last stage. Probably, by next
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week we should receive it. So, this would really enhance on a quarterly basis, we are looking at

almost like somewhere between 600 to 800 enclosures going out every quarter. When it comes to sheet metal assemblies, we are actually really well here. We said earlier 67 assemblies we had qualified, but right now, another 15 to 20 more assemblies we are going to get qualified for this and that is going to increase our revenue base moving forward. Now, the electrolyzers as I said is going to once we complete the 200 numbers, the ramp up will definitely happen by the third quarter of next financial year for sure. So, we are trying to gear up for that. So, keeping all this in mind, we have a very strong outlook not only fuel cell part, in hydel also we got qualified in number of areas right now with all these companies. So, we don't have a very strong growth outlook for the next financial year as well.

Sandeep Tulsiyan: Sir, second question is on nuclear, I think of course you had a very good buildup in the order book, but revenues in the first 9 months are definitely, you could see very similar to what we did last year, so assuming there is bunching up of revenue going to happen in fourth quarter over here, what could be the annual revenue we could look at in the nuclear segment for the current financial year?

Srinivas Reddy: I think as I explained earlier we are trying to indigenize lot of bought-outs which we are forced to indigenize because the restriction by Government of India we are working on that, but we would definitely do properly between around Rs. 45 to Rs. 50 crores of revenue in the nuclear, the fourth quarter would be much stronger than in nuclear program which we will start dispatching our FM Heads in the fourth quarter. So, that will propel the revenues and moving forward since everything is in place for the FM Heads we have still 5 more FM Heads to deliver, that would get done in the next year comfortably every quarter, so then we work on the other projects which we are working on the fuel transfer system, assemblies come into play step by step. So, there will be a growth happening moving forward in nuclear programs. Since everything has fallen to place, especially the indigenization about what we are trying to do for Government of India right now.

Sandeep Tulsiyan: Last question is on the working capital, if you could also give us the absolute number in rupees, crores, what was there at the end of December and then after receiving the Rs. 38 crores how much did it reduce to?

Gunneswara Rao: The absolute number of working capital value is Rs. 394 crores and we received Rs. 38 crores in Jan first week and entire January we received around Rs. 75 crores which is all are well within our credit period.

Sandeep Tulsiyan: So, this Rs. 240 crores what is mentioned in the presentation of receivables, this is?

Gunneswara Rao: All that is only receivable value.

Sandeep Tulsiyan: No, that is after reducing the Rs. 38 crores or it is prior to?

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Gunneswara Rao: No, not reducing, this is before reducing. We don't want to reduce because as at December 22, this is the scenario, so we are maintaining. So, this is an additional explanation we are giving to just to have a transparency.

Moderator: Thank you. The next question is from the line of Neerav Dalal from Maybank Investment Banking Group. Please go ahead.

Neerav Dalal: I had three questions, first is, say for the FY23 revenue is about Rs. 550 to Rs. 600 crores, what would be the annuity portion for that going ahead

because you obviously mentioned that in the

ASP Rs. 130 crores would be something that would recur every year, so just wanted to understand the annuity portion of the business and how that has increased? That is my first question, the second question is in terms of as we indigenize the products or start to make production, would that mean increase in margins or would that mean that the R&D expenses would also increase for us? That is question number two and in terms of our CAPEX plans going ahead, what would be our CAPEX plans for the next couple of years?

Srinivas Reddy: As I said earlier, obviously as we have revised the guidance based on what we can clearly see right now something in a range of between Rs. 575 to Rs. 600 crores of revenues coming in for this year and moving forward, I have said that for next year FY24, we are looking at 45 to 50% revenue growth compared to the current financial year, now the growth is happening in terms of products what we have developed plus also the growth in the fuel cell segments, also in the hydel segment as well and growth is also equally coming also from the nuclear programs where we are in advanced stage of execution in some of the products and also in the space sector as well. So, it is evenly distributed among all the various segments that we are working on and probably as I said some of the new customers who have joined in, they are going to generate additional revenues with the new customers like Thales, Collins Aerospace, all the customers have joined in already and customers in pipeline as well in the energy storage systems would contribute towards additional revenues, in terms of phase and batch production for next year. So, it is very clear indicative that we would comfortably grow that 45 to 50% across the board in all these sectors.

Neerav Dalal: Sir, just as a follow on this, sir, we are looking at growth, but would there be an increase in the annuity portion of our business where we have visibility and it would recur every year for us, so that becomes the base and then over and above this whatever would be the growth say for 25, 26, 27 as the years go by, so just wanted to understand that part of it whether there is any?

Srinivas Reddy: Absolutely, yes, I got your point, so most of our projects, there will be growth on annuity basis, it is not like a one-time projects for us. If you look at space, we continuously supply the Vikas engine or the Rocket engine that we supply the cryo engines, we are launching this semi-cryo next year, so there are new products coming in and the continuity of these existing products going year-on-year basis. If you look at our fuel cell segment, every year it is growing in terms of the number of units that we are doing consistently, so that growing and also the new product

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that we are launching every year. So, the growth is happening not only on a regular basis from the existing products, but also the new products that we are developing year-on-year basis. So, the margins also would more or less sustain even with this growth what we are looking at which I have said around 29% plus minus basis points. That is what we continue to maintain moving forward. And you asked about the CAPEX plans, yes we will have some bottleneck areas, we have some new customers coming in the energy storage system, so we will have certain CAPEX plans, we have to crystallize that. As and when that is done.

Neerav Dalal: Just on the margin bit, so as we indigenize or we start to manufacture goods products in-house, would there be any benefit in terms of margins or we would use that same into R&D?

Srinivas Reddy: Our R&D costs are there, but they are not very high because they use our existing facilities or existing team works on it, but we do have, so this is not much of amount to really highlight at this time.

Moderator: Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Congratulations on a great set of numbers. So, just speaking up from one of the previous questions was on CAPEX, so what is the CAPEX that we have done so far in the 9 months, what is the target for FY23 and how do we look at it for FY24?

Gunneswara Rao: I will answer this question. I think for the last 9 months, we have actually CAPEX around Rs. 80 crores we have done it and there is a capital work in progress of around Rs. 72 crores is there, so which we will capitalize over a period of time, maybe in this quarter, something will slip over to next quarter. This is because last year we have actually constructed one new facility in Adibatla where our sheet metal and fabrication setup we have done. So, something was spilled over from the last year around Rs. 40 crores to this year and also around Rs. 45 crores we are spending for augmenting our capacity in our clean energy business in the EOU. So, we have increased our capacity by almost 4,000 to 10,000 units, which is two-and-a-half times over existing capacity. So, this year also, as Mr. Srinivas Reddy is telling we are crystallizing, I think we are looking the numbers, so we will communicate maybe in the coming quarter.

Jonas Bhutta: So, should we pencil in more like the same number of about Rs. 90 odd crores even in FY24?

Gunneswara Rao: Not that much, definitely it will be lower as we have to address bottleneck and also some of the new customers which we are working with them, there may be some little CAPEX is required, so some sustenance CAPEX we will need to incur. It is not going to be that much. I think much lower than the last 2 years.

Jonas Bhutta: Second question was on again client concentration, so while we have done a phenomenal job in terms of adding newer products such as ASPs and sheet metals and enclosures etc., but the idea

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when we were setting this, these capacities were also to bring in newer clients, if you can talk about sheet metals or roller screws etc., what will be the ex-Bloom revenue or in terms of marketing are we doing that over the next 1 or 2 years, excluding Bloom where can these revenues be for these 3 or 4 products that we have developed in the last year, year-and-a-half?

Srinivas Reddy: It is not about 3-4 products, basically what we are looking at is, we are adding lot of other customers, for example as you said in sheet metal, we are looking at Taiwan they are looking at us in terms of delivering a lot of their requirements for sheet metal for them. So, we are still discussing, we are in discussion stage with them. GKN Aero space has already indicated they are going to release orders this quarter for us which is the formulation of sheet metal and machining and stuff like that. So, we are adding lot more customers in different segments. We can't quantify at this point of time, but as I said lot wider basket of customers are in our portfolio right now, some are in first article stage, some have been qualified, some are moving into volume stage right now, moving for in the next quarter. So, overall, the concept is that I would not say that as

I explained earlier bloom is growing rapidly, so that is good for us, but we also paid a platform to work with other energy storage companies like Fluence Energy, we are trying to work with them, that is going to be a huge thing like, we are looking at almost like Rs. 300 to Rs. 500 crores of revenues coming in from Fluence Energy over the next 2 to 2.5 years. So, we are looking at customers where lot of R &Ds required, lot of developmental activities required, but that should convert into a meaningful numbers for us in the long run, so we are trying to add customers in areas where MTAR can really contribute to a greater extent, where entry barriers are very tough,

so that is what we are focusing upon right now. So, we will be in a very good space moving forward, let us say one year, two years from now.

Jonas Bhutta: And my last question was regarding Bloom and the hot box, so one, if you can tell us we started off with the mandate where we were realizing almost \$8,000 to \$9,000 per hot box, but with all of these product additions that we have done over the last few years, our wallet share was likely to increase and part of that is also indigenize, so within that 9,000 say bellows etc., you localize and you get more margin, though the ASP largely remains \$9,000, so I am just trying to think through where are we, so what is the realization for hot box as of today and where does it move going forward?

Srinivas Reddy: We are trying to give more and more, so ultimately if you look at the cable harness which only get qualified next month, so we have the ASPs, we have the enclosures, we have sheet metal assemblies, so we are moving close to about 17,000 to 18,000 or 19,000 for the Yuma hot box, we accumulate everything together, so we are going to a stage where we can completely do the box filled ultimately in a year's time from today. That is the ultimate goal for us. Probably trying to cater that we have started exporting to South Korea as well directly for Bloom instead of the selling into US, so the idea is for the Asian markets for the markets closer by doesn't make any sense to send the systems here to US and back and forth. So, it is going to evolve in such a way that in a year, year-and-a-half, probably we will do the entire system as such. So, it has pretty
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well that way. Lot of qualification process for every stage of it, so in India that is what happens, so ultimately that is the end.

Jonas Bhutta: And we are set for 7,000 hot boxes next year, right?

Srinivas Reddy: That is right.

Jonas Bhutta: And the order for that is already in our book or a part of that needs to come through during FY24?

Srinivas Reddy: It is already there, only we got order still December of next year, so probably they will review back. The orders are released almost like 6 to 9 months ahead of time, so we will probably get the next batch of orders in the first quarter of next financial year.

Moderator: Thank you. The next question is from the line of Aman Vij from Astute Investment Management. Please go ahead.

Aman Vij: My first question is on the disclosure you had talked in the last call about Fluence Energy order and we were expecting around Rs. 300 to Rs. 500 crores in one to one-and-a-half years, so sir if I correlate this with our guidance on that Rs. 600 crore topline that we are aspiring to achieve in FY23, 50% growth is around Rs. 300 crores, but are you not taking into account any revenue coming from this Fluence Energy orders or is there any delay which we are saying if you can give an update on Fluence Energy and tie up with the revenue guidance?

Srinivas Reddy: Any organization like Fluence Energy or any other Company, EnerVenue or any Company for this matter, first you need to do the first articles, you need to do the batch production, it is a process cycle. So, continuing those numbers for the next year doesn't make any sense to me. So, whatever numbers are generated from that is something which is a small update to it, but real ramp up will happen by end of next year once they implement everything, so probably you look at major numbers coming in, moving forward for FY25, that is how it works.

Aman Vij: And you think this can be like you talked about as big as Bloom energy in the next two years?

Srinivas Reddy: Which one, the Fluence Energy?

Aman Vij: Yes.

Srinivas Reddy: Yes, so basically there is a lot of demand for energy storage system internationally, so I can't say it is going to be as big as Bloom energy, but it is going to be one of our biggest customers moving forward from FY27 onwards.

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Aman Vij: My second question is on the ISRO SSLV launch which happened today and also our plans on

it, so what I understand and you can correct if I am wrong, so ISRO has been planning to ramp up the number of launches for last 3 to 5 years, but it has been stuck at the 10 to 12 odd level. Their target is may be 18 to 20, so if you can talk about do you see that happening in FY24 or it will take more time on the ISRO side as well as. A verage launch cost around \$40 to \$50 million SSLV, so what will be our portion of value addition in that because now you are also working on the full engine apart from the vehicle body, so if you can explain these two things?

Srinivas Reddy: One main thing from ISRO side is the recent GSLV launch which they did was highly successful, so they have lot more demand on such launches moving forward. So, that is the reason why they wanted to increase their number of commercial launches and that is where the demand comes from. Asking us we received a letter directly from the Chairman of ISRO to work on more number of engines to be produced moving forward. As you are all aware, the metal is given as they issue by ISRO. So, they have to gear up from their side as well, but we are looking at probably in the second half of the year, they are going to gear up to not only from our side, from their side as well. So, they are looking at those launches going higher and higher based on the success what they had. Now, as far as our contribution to their launches, it is not only on the engine side, but we do lot of electropneumatic modules, we do lot of other assemblies for them, so that is something which, in every area there is going to be an increase, but our main vision 3 to 4 years from now is going to be our own launch vehicle. We still have to quantify the numbers for them, but our design work has already started much ahead of time 6 months back we have signed MoU with IN-SPACe as well, so that is going to be a big game changer for MTAR moving forward 3 to 4 years from now. So, we will be able to launch satellites with their own launch vehicle and Government of India is also looking for that. They want ISRO to be more of an R&D division rather than looking at and asking the industry to do it. So, whoever is capable of doing it, since we have 35 years of experience in this line, probably we will move ahead in a much faster pace to get this done, but to build the entire launch vehicle it would take at least 3 to 4 years' time and that is what we are working on it right now.

Aman Vij: And if you can just explain this typically as of today what is our share in a typical launch as well as what is the rough I think engine?

Srinivas Reddy: It is difficult to quantify the share because the numbers from government are never given to us, so we can only say what all we can contribute. We contributed a sizable portion, for example our engines are used for the last 35 years by ISRO, but there has never been a blemish today. None of the launches have failed because of the products what we are given. We are the only cryo engine supplier in the country today for ISRO, so we have developed this over the years, 8-9 years of research in the past, so that is the kind of technology we are holding with us. So, we are continuing to support ISRO as much as possible. We work jointly with them and we have great set of scientists and engineers in this country, we all work together. Frankly speaking, we have been very successful technically in terms of achieving such launches without depending

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much on any other countries abroad, so it has been all done indigenously and that is the massive seat that we all need

to appreciate.

Aman Vij: We had talked about ISRO has given us a letter to increase be ready for increasing our capacity to 3x, so is it a recent event or is it 1-2 years back?

Srinivas Reddy: No, it is a recent event, it is not 1-2 years back.

Moderator: Thank you. The next question is from the line of Abhishek Aggarwal from Naredi Investment. Please go ahead.

Abhishek Aggarwal: Sir, my first question, recently, MoU signed with the IN-SPACe can you share more color and opportunity size in next 1 to 3 years? And second question, furthermore promoter stake sales in your cart?

Srinivas Reddy: That is what I said, like MoU signed for a joint working together to build and launch vehicle by and large, completely independent of ISRO, but with the enough support from ISRO in various areas, that is what Government of India wants to do, while using the launch pad facilities, etc., so this will come into effect 3 years from now. Once we build the launch vehicle, then we do the developmental launches and then the commercial launches, so we are looking at about a 3 to 4 years' timeframe for us, but that is going to be a big game changer for the Company.

Abhishek Aggarwal: Furthermore promoter stake sales in your cart?

Srinivas Reddy: Where is that come from? I have no idea about that. There is nothing like that right now.

Moderator: Thank you. The next question is from the line of Sanjana Deshpande from StockAxis. Please go ahead.

Sanjana Deshpande: Sir firstly, I would like to understand since the demand prospects are high in clean energy segments, so what is the exact order book for clean energy segment and how it will be executed in FY24 and 25?

Srinivas Reddy: See, the order book for clean energy segment, I don't have the exact number, but probably

beyond Rs. 600 crores plus. So, all these orders are executable by December of next year and that is what it is and it is going at such similar phase year -on-year basis. We are going to add further products to it as I have explained earlier. So, we are in a great space on that , there is nothing to....

Sanjana Deshpande: And second question is, how we like project the revenue inflow from this particular segment, because not all that we are executing will be converted in to revenue in that time period, so your comments on that?

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Srinivas Reddy: No, whatever orders we have as of today are pleased to get executed by December 23, so that is what it is.

Sanjana Deshpande: Congratulations on the good set of number, sir.

Srinivas Reddy: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Srinivas Reddy – Managing Director and Promoter for closing comments. Over to you, sir.

Srinivas Reddy: Thank you and I would like to thank everyone for sparing their time to join today's earnings call. I would like to say the growth numbers will come in the case of MTAR, but I would love to say that I would like to thank all my engineers and the R&D team for building such fabulous products which are generating good set of numbers just a byproduct of that . So, we will continue to do that moving forward as well and thank you so much for all of you for your support. Thank you.

Moderator: Thank you, sir. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2023

To, Date: 25-May -2023

The Manager ,
BSE Limited ,
P. J. Towers, Dalal Street ,
Mumbai -400001.
(BSE Scrip Code: 543270) The Manager,
NSE Limited,
Exchange Plaza, Bandra Kurla
Complex,
Bandra (E), Mumbai - 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) -Transcript of Earnings call held on 18th May 2023.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Thursday May 18, 2023 .

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia
Company Secretary and Compliance Officer

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"MTAR Technologies Limited Q4 FY23 Earnings
Conference Call "

May 18, 2023

MANAGEMENT : MR. SRINIVAS REDDY – MD & PROMOTER , MTAR TECHNOLOGIES LIMITED

MR. GUNNESWARA RAO PUSARLA – CFO, MTAR TECHNOLOGIES LIMITED

MS. SRILEKHA JASTHI – SENIOR MANAGER
STRATEGY AND OPERATIONS , MTAR TECHNOLOGIES LIMITED

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL , INVESTOR RELATIONS ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to the MTAR Technologies Limited Q4 & FY23 Earnings Conference Call .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the present ation concludes. Should you need assistance during th is conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raeen from Orient Capital . Thank you and over to you, sir.

Irfan Raeen : Thank you, Neerav . Good afternoon everyone . On behalf of MTAR Technologies Limited , I exten d a very warm welcome to all the participants on Q 4 & FY23 Financial Discussion Call.

Today, on the call, we have Mr. Srinivas Reddy sir – Managing Director and Promoter; Mr. Gunneswara Rao sir – CFO and Ms. Srilekha Jasthi – Senior Manager (Strategy and Operations).

I hope everyone had an opportunity to go through our Investor Deck and press release that we have uploaded on exchanges and on Company 's website.

I would like to give a short disclaimer before we start the call. Th is call may contain some of the forward -looking statement s which are completely based upon our belief , opinion and expectation as of today. These statements are not guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I hand over the call to M.D. sir. Over to you, sir. Thank you.

Srinivas Reddy : Thank you, Irfan . Good afternoon to everyone. I would like to t hank all of you to spare a valuable time to participate in Q4 2023 Earnings Conference Call .

I am joined by Mr. Gunneswara Rao – Chief Financial Officer; Ms. Srilekha Jasthi – Senior Manager, Strategy and Operations and Irfan from Orient Capital, our Investor Relation s partners. We have uploaded the Investor Presentation in stock exchanges and I h ope all of you have gone through the same.

At this point of time, I would like to mention a little bit more on the market guidance given by us in terms of revenues and margins what we had said earlier. In terms of revenue, initially we had given guidance o f 55% to 60% and during the Q3 earnings call, we have revised our guidance to 75 % to 80%. We have achieved revenues of Rs.573.8 crores in FY23 as against Rs.322 crores in FY22, which is 78.2% increase and we have delivered the guidance revenue number as me ntioned .

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For F Y24, we continue to confirm the annual revenue guidance of 45 % to 50% increase in revenues on year -on-year basis.

When it comes to EBITDA margin, we had initially given a guidance of 30% plus/minus 100 basis points and revise d the EBITDA margins during the earnings call of Q 3 2023 to 29% plus/minus 50 basis points. We have ended the year with EBITDA margin of close to 27% instead of the guidance given at 28.5% which is on the lower side by 1.5%.

I owe the shareholders clear exp lanation regarding the lower EBITDA margins compared to the guidance given. One is the gross margins in Q4 has come down to 48.6% due to sales mix or you can say the product mix as clean energy reported much higher growth compared to the other segments. As we all know, clean energy gross margins are lower than the other segments. But this cannot be the reason because the operating leverage should maintain our EBITDA in Q4, which did not happen and initially the annual guidance margin was down by 150 basis p oints as Q4 recorded 25% EBITDA margins.

The impact was purely because of employee benefit expenses, which have increased by Rs.10 crores quarter -on-quarter basis , because we had to implement market corrections and salaries across the board for high skille d workers and our core engineering team and our management team during the

quarter and the same was in line with withothers Industries . This had impact of about 5% in EBITDA margins in Q4 . If not the margins could be 30% in Q4 and eventually we would have realized that 28.5% EBITDA margins for the year.

The strength of MTAR is high field employees on the shop floor, the core engineering team and the management team and this has been done keeping in mind the high growth prospects of the company moving forward, which we are really excited about. And I strongly believe that this one-time benefit will lead to a strong foundation for a growth company like MTAR the way we are looking at this point of time .

So, in spite of the above, the overall employee and other expenses dropped in percentage terms from last year to this year by 540 basis points and 410 basis points respectively which now stands at 15.8 and 7.7, respectively.

Moving forward, over the next two years, the employee benefit expenses will fall below a single digit percentage in comparison to sales . The above move did impact PAT which should have been at 110 crores which is now close to 104 crores .

Finally, I would like to inform all the shareholders that this decision would lead to much better performance moving forward , and the team has the passion, but it was high time to pass on this benefit to support the passionate team which was done without the team asking for it.

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We would like to confirm that our annual EBITDA margins for FY24 would be around 28% I would say with a few basis points here and there. The steps which are very critical at this juncture is reduction in cost in terms of supply chain activities. Obviously, the employee benefit expenses as a % of revenue would drop , and also the reduction in other expenses that we are looking at , and a substantial increase that we are envisaging in the current year in terms of product sales, which will be more than Rs.120 crores which is a massive jump compared to the previous year.

When we look at our order book, we have given a revised guidance in Q3 earnings call for Rs. 1,200 crores of closing order book and we have ended with Rs.1,173 crores, which is very close to the yearend order book guidance given earlier.

Based on the orders expected and execution of existing and new orders during the financial year, we are expecting the order book to be at Rs. 1,500 crores by end of the current financial year FY24. We're not only expecting those orders from clean energy segment in fuel cells, hydel and waste to energy , wind sector as well . As we have done enough first articles during the past one year and also in the aerospace sector we have already started working with reputed MNCs, especially we also received a authorization to proceed (ATP) from GKN Aerospace in aerospace sector for close to a \$10 million . The expected order inflows should be around Rs. 1,200 crores in all segments put together in the current financial year which is very encouraging for us . And a lot of effort has been put in, not only in terms of achieving the revenue guidance, but also in creating a great platform for the future years during the last financial year.

Specific to nuclear energy. I do understand there has been a slight pushback in terms of orders being received from NPCIL . But they have taken a decision to first experiment on Kaiga 5 and 6 reactors to be given to major companies like L &T, Tata, etc. , and the tenders have been floated for them to build the reactors in exactly four years' time . But the fleet reactors tenders will continue to flow in. But these two reactors, they wanted to ensure that they are done in exactly four years and adhere to take into 10 years.

The tender has been issued, but MTAR has exclusive capabilities in 14 such packages which is mentioned clearly in the tender as a qualified company and for these packages we are expecting

close to at least about Rs.600 crores of orders flowing in the current financial year , and we have estimated on a conservative basis about Rs.500 crores finally, that would come in during this year and probably the rest would come in the next financial year , specific to Kaiga 5 and 6 I'm talking about.

And obviously the orders from the other segments, which we are very comfortable with in terms of aerospace, clean energy, space and defense. So, I said these two reactors have to be commissioned exactly in four years as mentioned by the CMD of NPCIL on a one -to-one meeting with him as well.

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So, as I mentioned earlier, the rest of the fleet reactors will follow in the normal mode of operations as the case may be in the past.

The next important point which I would like to mention is on NWC. We have guided working capital days to be at 220 days and we have been able to achieve 230 days , down from 287 days in the last quarter , and we are making every effort to bring it down. And this number would come down further this year and we are targeting between 180 to 200 days by end of this year.

And here again, we were forced to airlift lot of inconel sheets last year. So, we had staggered shipments done by sea close to about Rs.70 crores of inventory which is in transit but staggered over a period of time. But, we also do have credit terms with the various suppliers. This we had to do in order to avoid the air freight charges which were phenomenal. So, obviously this inventory, which we are talking about Rs.70-80 crores will get consumed over the quarters should not be an issue for the company. And that's how we'll further bring down the inventory levels quarter-on-quarter basis to improve our working capital days moving forward as well. The ROC stands at 20% in FY23 as against 14% in FY22, and the ROE in FY23 stands at 18% as against 12% in FY22, and these percentages are expected to even improve further by end of FY24 as well.

Apart from the guidance numbers which I have given, we are in advanced stage to enter into an agreement with Fluence Energy for the energy storage systems which again comes under clean energy for both domestic and export markets. So, over the next three years, as we ramp up gradually starting from FY25 onwards, we are looking at revenues even touching at a level of about Rs.400 crores by end of the third year starting from FY25. And also we are entering into various agreements or received orders from companies like Voith, GE Renewable, Andritz, and there is another company which is really looking at us in terms of wind energy requirements. So, our fabrication unit which will be fully commissioned by June '23, will be able to cater to all these requirements but for Fluence Energy, we have to establish a separate facility for them, which we have the existing facility can be used for the domestic, but we're looking at a huge revenue base. So, we would like to look at a separate kind of facility to cater to Fluence Energy at this point of time.

The most exciting issue is that the bloom energy electrolyzers have been installed recently, as probably all of you must have heard and was done very successfully. The project what they have undertaken was completed exactly two months in delivering an equivalent of over 2.2 MTPD of hydrogen output, which is a great stride in terms of production of green hydrogen.

So, what it means to MTAR is we have been manufacturing the electrolyzers for them and as I said systems are established and proven in the market with high efficiencies, which they have proven. We are looking at this vertical to ramp up very quickly hopefully by end of this calendar year and then this vertical would be as strong as any other vertical that we have today.

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So, we have a very clear bi

gger picture, which I would like to mention for the first time is that

we have a very clear road map for MTAR over the next five years to be a Rs. 3000 crores company only through organic growth within its own innovations and manufacturing activity.

So, finally, I would say that we have a clear roadmap for MTAR to be a Rs.3000 crore plus revenue-based company over the next five years by FY28 sustaining its margins through innovation and efficiencies entirely in an organic manner without considering any kind of JV or inorganic growth as the road map is concerned. And we continue to work towards improving our margins and also trying to expand our customer base, which we have been doing, which is very evident in which I have mentioned about various customers that we are working with. And this will continue to be our endeavor to have a widespread of customers over the next five years in order to ensure that the exposure within each customer is within certain limitations.

Thank you so much. And I would like now to hand over the call to the CFO – Mr. Gunneswar Rao, who will take you through in detail about the financials in more detail than what I have said.

Gunneswar R. Pulara: Thank you, Mr. Srinivas Reddy. Good afternoon everyone and a warm welcome to our earnings call. And first and foremost, I would like to express my gratitude for your continued trust and support.

I will take you through the financial highlights post which we will open the floor for questions and answers. We successfully achieved our revenue guidance with a significant increase in revenues; in FY23, our revenue reached Rs.573.8 crores, representing a growth of 78.2% compared to Rs.322 crores in FY22.

So, our EBITDA also showed a substantial improvement in absolute terms reaching Rs.154 crores in FY23, a 63.1% increase from Rs.94.4 crores in FY22 with a margin of approximately 27%. Though Mr. M.D. Srinivas Reddy explained reasons for the margin decline, in absolute terms, we maintained a margin of Rs.154 crores as far as the initial guidance is concerned. Like FY22 of Rs.322 crores revenue with a 60% initial guidance at a 30% EBITDA will give us Rs.154 crores of EBITDA. So, same EBITDA we maintain even after the reduction of the margin percentage, but absolute terms we maintained Rs.154 crores as promised initially. Profit before tax at Rs.140 crores in FY23, reflecting a growth of 70.6% from Rs.82.2 crores in FY22.

Similarly, profit after tax increased by 69.9%, reaching Rs.103.4 crores in FY23 compared to Rs.60.9 crore in FY22. In terms of earning per share, our diluted EPS for FY23 stood at Rs.33.62,

a notable improvement from Rs.19.79 in FY22 .

We have reduced our net working capital days to 230 days in line with our target of 220 days by end of the FY23. Out of these 230 days , 92 days are related to work -in progress . So, we aim to further decrease our net working capital days less than 200 days by end of the FY24 through increased turnover, inventory reduction, shorter shipment days and change in our product mix.

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Our return on capital employed improved to 20% in FY23 compared to 14% in FY22. While return on equity increased to 18% in FY23 from 12% in FY22 , we anticipate further enhancement in our returns and ratios through an increased wallet share with existing customers , operating leverage in our product portfolio and revenue ramp up.

We understand the importance of reasonable business practices and sustainable development.

Our commitment to corporate social responsibility remains unwavering as we strive to positively impact the communities with which we operate .

I also would like to mention that we have strengthened our management team by welcoming Mr . Raja Sheker Bollampalli as our new COO. Under his guidance , we expect to optimize our operational efficiencies to cater to the accelerated growth.

With that, I open the floor for discussion and welcome any questions you may have. Thank you , all.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Deepa k Krishnan from Macquarie . Please go ahead.

Deepak Krishnan : My first question is largely on your order s inflow guidance. You're indicating Rs. 1,200 crore s order inflow this quarter and about Rs.500 crores coming from nuclear. So, how much would be Bloom order inflow in the coming year because last year we did closer to Rs.800 crores . What is the outlook in terms of hot boxes say for FY24 and then FY25, any comments on that that you can share?

Srinivas Reddy: The order inflow for this year, which I said is about Rs. 1,200 crores are primarily during the entire financial year. That's how we'll end up with Rs. 1,500 crores, which was the estimate is .

It's primarily which I said for Kaiga 5 and 6 we're expecting at least about Rs.500 crores of orders coming in for sure this year, which had a detailed discussion with the CMD of NPCIL as well on the strategy what they're adopting right now , and also from the other fleet reactors that we're expecting. And I do understand there was a little bit push back on the order inflow, but now time has come where clarity is very clear right now in terms of getting these orders through. And obviously the inflows from clean energy segment are not only from Bloom , but we are going to get substantial inflows from various companies where we have done first articles with Voith , Andritz, GE Renewable and new companies are joining us in terms of Siemens Gamesa and Enercon , etc., And also , strengthening our aerospace vertical, we already received a letter of intent of \$10 million from GKN Aerospace , which we're expecting that to be converted to orders during this quarter or beginning of next quarter . So, overall it's a very nice mix of spread of orders coming in. I have mentioned a conservative number at this point of time, but would expect a lot more orders flowing in, but this would be the bare minimum that we are expecting and we should stick to this.

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Deepak Krishnan: Can you just comment on Bloom hot boxes shipments for next year?

Srinivas Reddy: As of now, so basically we continue to do the hot boxes at the rate what we have done. We have done the highest number of boxes in the last financial year; I think close to about 4,500 boxes.

And we will continue to do that, but they are looking at increasing that number, but we have not yet received the confirmation as of now, but we will hear from them by end of this quarter. There are some major design changes which are happening in Keeylocko , which that order is still on , which we have to execute. We still have to hear from them officially in terms of what they're going to do in terms of design changes , so that's about 1,600 units we're looking at. But that's something Bloom has to get back to us because they're looking at much higher power generation in change of design or what they want to do with it we'll know by end of this quarter. So, that would be the same number what I have given in the last call as well . And what we are really excited about is the electrolyzers which now since they've installed it and proven the hydrogen output with very good efficiencies and we have supplied all the electrolyzers to them. So, whatever we are going to do this year , we have an order for 142 numbers. But that's only batch production, but we can see some kind of volume production kicking in probably two quarters down the line. So, that's where we stand right now.

Deepak Krishnan: Just a question on gross margin . Anything that sort of more one -off in nature that goes off or any

cost that is building for future revenue , anything that can take the gross margin back to say 50 % , 52% o

r would we think that say for a full year basis we are in this 48% next year?

Srinivas Reddy: Not really , Deepak . The guidance what I've given is I have not even taken revenue guidance; I have not even taken Keeylocko into picture right now because there are some design changes going on there. So, if you look at that kind of revenue guidance I have given , basically the absolute numbers of other segments are substantially growing up in the current financial year. So, the gross margins would kick in back to about 52%, 53% moving forward as well. So , that should not be an issue at all .

Deepak Krishnan: How are we looking at inventory days where we've done a substantial about 20 days improvement in receivables, largely inventory days and payable days have sort of gone up. So, what measures are we taking to get the inventory days back to closer to the 190 -odd days in FY22 ?

Srinivas Reddy: Yes, probably GR will be able to explain that in more detail, but we have put a specific task to reduce the inventory levels. Obviously, I've explained about the inconel sheets what we have done, and that's something which is stock in transit and also it is not due as of now. So, it will get consumed over the period of a couple of quarters. But overall we are looking at very seriously about getting our inventory levels down as much as possible , because we are working on various product mixes. To begin with, with new products being introduced , so over the next two, three quarters, we would obviously try to bring them down more and more.

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Gunneswara R. Pusarla: Actually the inventory of after Rs.240 crores , Rs.72 crores is a stock in transit, which we may receive after 60 days to 75 days of time. So , that is the reason there is inventory and also payables both are there. Second, as M.D. said, these inventories we will use because last time we have airlifted so much of material and the cost is very high. So , we are taking a calculated risk and keeping our inventory carrying cost into consideration. I think by end of this financial year, we will try and maintain less than 200 days of working capital. And also this inventory having some of the long lead items for which we are working with a nuclear project, we got FMBC , FTS Systems, around 25% of the inventory related to that , and around 25% is stock in transit , remaining is the export related inventory which we will consume in four months or three months' time. And now that we got some clarity, slowly supply chain issues are relaxing. So, largely when we plan the inventory , we have to see what is a transit times and all. So , accordingly we will plan our inventory days. Suppose sometimes what happen , you may receive in 15 days, 20 days before because of the availability of shipping lines and other things . So, these are all the various factors are there. So, we have to balance all those things. But definitely having said that, we are actually working on it ; now we are continuously monitoring on receivables, increasing credit period with major suppliers. So , lot of actions we are taking and we will try and reduce as much as possible by end of this financial year.

Deepak Krishnan : So, the WIP days have been closer to 90 days for a lot of time. Do you think it's largely coming from there or will it come from other than WIP with that number?

Gunneswara R. Pusarla: No, no , WIP is a separate number which is around 92 days' inventory is there and the maximum in that 80% is the domestic where long lead projects inventory, so which is actually good for the company because it is going to crystallize revenue in this FY24 onwards .

Moderator: The next question is from the line of Renu Baid from IIFL Securities. Please go ahead.

Renu Baid : So, my first question to you is , you did mention that many materials especially the inconel sheets required fo

r exports and other business have to be enlisted, which also impacted gross margins.

So, can you throw some input in terms of why the urgency of airlifting , were their issues in terms of your normal conventional shipment, which was coming through because through the year we were maintaining relatively elevated inventory levels , so why the last-minute emergency to airlift in and take a hit on the cost as well?

Srinivas Reddy: There are a couple of issues , somewhere really unforeseen. One is that we import inconel sheets from Germany as well from V DM. They had a cyberattack and there was an issue with them .

So, we had issues with them in terms of dispatches . There are different sizes of inconel sheets .

So, there was some kind of an imbalance. So, in terms of imbalance, US company were delaying because their input raw material got delayed in United States and which was not anticipated. So, we had to airlift to balance to make sure our production lines are not down. These are the factors .

So, subsequent to that , it got eased out and they had enough material on hand. Especially for inconel sheets , air freight is very expensive. So , we absorbed the cost last year and now we are

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in a pretty comfortable position in terms of the supply chain in terms of inconel sheets which GR has explained about having it in transit and staggered, which will come in useful for the next two quarters without airlifting any material. So, we had to spend enough money on that last year to absorb the cost.

Renu Baid: Can you help us quantify in terms of fourth quarter gross profit or what was the impact on raw material to sales because of this thing? And also, will the cost escalation because of the global vendor's will be passed on to Bloom or we will have to bear the cost increase?

Srinivas Reddy: No, no, we don't have to bear any cost. If there is any increase in the raw material cost, every quarter it is reviewed and it is addressed accordingly, so we don't have to do that at all. In fact, there are a lot of design changes happening in Yuma as well, for example, we are using three borrow the parts for Yuma which is about \$750 which we import. Now they brought it down to two with some design changes which we work along with them. And similarly any cost escalation is obviously addressed at the end of each quarter and PO is amended accordingly. So, we are not affected because of the increase in cost.

Moderator: The next question is from the line of Amar Maurya from AI fAccurate Advisors. Please go ahead.

Amar Maurya: Just to again continue with this gross margin, like sir, was that high-cost inventory impacted the fourth quarter margin? If yes, what was the quantum of that high-cost inventory which got baked into the fourth quarter margin?

Gunneswara R. Pusarla: The gross margin drop alone we should not see here just because the gross margin is good. It doesn't mean that the EBITDA will improve suppose say, today we are at 46%. So, if it is 5.8% EBITDA will not increase. So, there are some products like exports, for example, where the bill of material is 60%, we have a gross margin at 40%, whereas the value addition requirement is very low. In case of domestic projects, gross margin is higher and value addition is higher. So, in our company, since we are in various segments, the gross margin alone is not required to be seen. The EBITDA decrease is not, as our M.D. said, it is not just because of the domestic sale and because of export. There is a one-time correction in salaries we have done in line with the market benchmarking to our employees where our fixed cost is impacted. That is the reason for the lower EBITDA margin, not because of the gross margin lower and all. If the gross margin is lower and value addition will be higher in the domestic projects and vice versa for the export products.

ducts.

Amar Maurya: I'm confused. Basically what I'm trying to understand, your gross margin has gone down by 400 basis points, your EBITDA has gone down by 300 basis points. I'm talking about sequential Q3 to Q4, basically what I'm trying to understand is 48% gross margin, which we had reported in this quarter, is there some one-time R M impact into this and are you saying that from Q 1 again the gross margin will bounce back to 52%, that is what I'm trying to understand?

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Srinivas Reddy: Basically in Q4, our product mix was more towards the exports than domestic where the gross margin is lower in exports, but the operating leverage eventually as I explained to you, if not for the employee benefit expenses, we could have maintained EBITDA margins, right. As I said earlier, moving forward, our product mix where I said that even the domestic is going to be reasonably on the higher side. So, we'll bounce back as I've mentioned to Deepak as well, that we will go back to 5.2%, 5.3% moving forward based on the product mix that we're going to have over the next few quarters.

Moderator: The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead. Yeah.

Mohit Kumar: The first question would be revenue guidance; I missed the number. What are your guiding for FY24?

Srinivas Reddy: So, we're expecting 45% to 50% increase in revenue guidance for FY24.

Mohit Kumar: My second question is on the working capital. While you're guiding for a movement in the entire fiscal, can you take some improvement in the first half itself by the time you report the number in September?

Gunneswara R. Pusarla: We are trying to reduce, but as we said already, there are some existing inventories we will use in for the first half of the year and the third quarter requirement we try and get as per the need basis. So, we'll try and reduce our working capital by the first half of the year.

Mohit Kumar: Sir, can you speak about the new clients you added in FY23 and how do you expect the ramp up in revenue and the opportunity in FY24 and FY25 from the new clients?

Srinivas Reddy: See, we have added a number of new clients which I have said, starting from Voith, GE Renewable, Andritz, Hitachi, now we've added Thales, GKN Aerospace. So, we're improving our customer base with a very wide portfolio right now. So, we have more or less completed first articles with some of the customers and some are in progress, and also the new customers like Fluence Energy, Enervenue and all these customers are almost in the final stage of discussions. So, all these customers in engineering, once we have done with the first articles, the

volumes will pick up, especially our fabrication also is getting fully commissioned by end of June, including the machining aspect of it. And Enercon is another company which are looking at us to take care of their needs for rotor and stator, very complicated assemblies that they're looking at. So, all this over the next two, three years would become a substantial business for MTAR, as I said, including Fluence and take all these customers into account, including GKN Aerospace in aerospace sector. Probably by end of the year, we're looking at 600, 700 crores of revenues kicking in from all these customers or even more.

Moderator: Next question is from the line of Vinod from Union Mutual Fund. Please go ahead.

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Vinod: Sir, I just want to have your comment on Indian space policy which was approved by the cabinet in the month of April and also if you can just help me how MTAR will benefit from this policy?

Srinivas Reddy: Can you repeat please once again?

Vinod: There was an Indian space policy which was approved by the cabinet which was talking about institutionalization of private sector

participation in the space sector. I would like to get your comment on how MTAR will benefit from this policy?

Srinivas Reddy: This is exactly what I'm saying. See, if MTAR is getting involved in design and development of its own launch vehicle in the small satellite launch vehicle, so ultimately, the government is looking at privatization in the space sector in a big way. But for any company to design and develop ... that's what I said, it's a four-year period which we've already taken it up very seriously and we have actually completed lot of design work as we move on, we have already recruited very well experienced scientists in this area. So, this is something which is going to be a game-changer for MTAR four years from now, that's going to be a fully integrated system and our first developmental flight should be ready at the end of the fourth year. So, this is what the government is looking at. But again the government has also given the PSLV launch vehicle to private companies like L & T and HAL in consortium. But, there again, since MTAR is exclusive supplier of the liquid propulsion engines and various other modules that we supply for them, which they have been using for all their launch vehicles, these vendors again would come to us to deliver engines to them as well. So, we benefit in both ways, but we would like to ultimately develop our own product within the company moving forward. So, that's pretty encouraging and it all depends on how we design and develop our own products over the years.

Vinod: Just a second clarification, you said that in the clean energy business, the new clients like Voith and GE and SIEMENS are expected to contribute Rs.600 crores over the next three to four years.

Currently, is there any contribution on the revenue side or order backlog from these new clients?

Srinivas Reddy: No, we already executed some orders. That's what I said, we just started doing first articles. I think we've executed some between Rs.15 crores and Rs.20 crores of orders or even more than that for them at the starting point. In engineering, first, we do the first articles, then the customer starts building up and slowly have to ramp up and take care of their requirements. And Fluence is something which we are yet to start; we are almost in the final stage of discussions right now and that's something the energy storage systems and the clean energy is going to ramp up in a big way over the next three years on a step-by-step manner. The vision of the company is to diversify very strong customer portfolio and also have enough revenues being generated from each of these customers. So, we've been very careful in dealing with that because in engineering we spend a lot of time in developing these products for them or developing whatever their requirements are. But we also look at the commercial aspects in terms of how much of revenues that we can generate on volume terms moving forward. So, we are in line with that target. I have clearly said that the vision of MTAR is to be Rs. 3,000 crore revenue base company by FY28,

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and lot of work has been done in the last financial year, which does not reflect in numbers obviously. But this is the path forward as the platform being created year-on-year basis to achieve our end goal of sustaining those revenues and the margins what we're looking at.

Moderator: Next question is from the line of Deepesh Agarwal from UTI Asset Management. Please go ahead.

Deepesh Agarwal: My first question is on order inflow. You are guiding for some 1,200 crores of inflow next year, of which 500 crores is from nuclear. If I do the math, you are building a decline in the other segment order inflow, last year, clean energy itself was Rs.800 crores. So, what explains this kind of an estimation?

Srinivas Reddy: See, I have given

a conservative estimate , Dipesh. So, whatever I said is Rs. 1,200 crores , but obviously we'll get a lot more orders in clean energy segment as such. But , at this point of time , I have given a very conservative estimate as far as the order book is concerned, which is substantial actually , but we would probably get much more than that, but the way I tell things that I would like to maintain a number and try to achieve it much more than what I say. So, that's what it is. So, obviously, you're right , we'll have a much stronger order book moving forward as well.

Deepesh Agarwal: Second question was on the working capital side. If I look at the working capital , there seems to be a significant increase in payables this quarter. So , is there a change in the terms with our vendors?

Gunneswara R. Pusarla The payable days because 72 crores of raw material is in stock in transit and the same thing is reflecting in the payable also that is another reason and some other thing is we are actually talking to various customers and increasing our credit periods earlier we used to pay advances slowly we are bringing into 30 days, 45 days some supplies even 60 days also. So, we are trying in both sides, but there is a stock in transit value is also included in the payable.

Deepesh Agarwal: Related question so earlier you had highlighted that in terms of receivables the transit time to US has increased which actually meant your receivables from Bloom had increased because they pay after they received the shipment, now what is the situation and globally the shipment timelines are shrinking ?

Srinivas Reddy: I think it is stabilized now.

Gunneswara R. Pusarla Yeah, it is stabilized that is why actually last time it was 154 days now 132 days now last year it is 154 and now 132 days and we are closely monitoring and try to get as much possible and in case of Bloom there is no follow up required. It is actually on due date it will come without any intervention. They have a supplier portal wherein we will know when it is reached, when they are paying all those things.

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Moderator: Thank you very much. The next question is from the line of Bala Murali from Oman Investment Advisors. Please go ahead.

Bala Murali : Earlier maybe one or two years before we have guided for 8,000 SOFC boxes capacity by FY24, so are you on track within delivery for order is available 8,000 SOFC boxes?

Srinivas Reddy: So, I have said 7,200 hot boxes including all the models put together. So, we are on track with it, except Keeylocko where some design changes are going on which is about 1,600 units which we will know by end of this quarter. Once that clarification comes from Bloom then probably we will be on track with that as well or probably they will increase the other units as well. So, we will know by end of this quarter.

Bala Murali : And second one is regarding this electrolyzer , so what could be our capacity for this FY 24 and how much we can deliver if orders are available and then average realization for this electrolyzer ?

Srinivas Reddy: So, as I said earlier electrolyzer they have already established the project in US where they were able to successfully commission it and display it to all their customers which is happening as I speak. So, based on the initial feedback it has been highly successful in terms of the efficiencies and what they have done. So, hopefully in a couple of quarters we will see a good ramp up happening and we have the capacity to handle and the ramp up obviously if the volumes really pick up as Yuma and things like that probably then we proactively look at capacities and then we act accordingly. So, we will address that once we cross the bridge at that time.

Bala Murali : And average realization sir any ballpark number?

Srinivas Reddy: As of today it is a

round roughly around \$23,000 per unit.

Bala Murali : And lastly even the four to five years' guidance I missed that number I think it is 3,000 cr or something else?

Srinivas Reddy: That is right. What I have said is we have a clear road map in terms of how we are creating a platform and building a customer base year-on-year basis and the kind of revenue growth we are going to consistently have sustaining our margins over the next five years we should be at that level of 3,000 crores these are road map five years from today.

Moderator: Thank you. Next question is from the line of Sriram Kapoor from Prabhudas Lilladher. Please go ahead.

Sriram Kapoor : I wanted to ask you about your defense segment and how you see that going over the next few years and within defense what sector do you specifically cater to, is it directly supplying to the

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arm forces or do you supply to the DPS used like HAL, so if you could give some colour on that?

Srinivas Reddy: Absolutely. So, as far as defense is concerned our percentage is very low, but our focus has been primarily on clean energy segment and nuclear is also a part of that and space areas, but we are doing substantial work for the defense labs as of today and that is what we are doing right now, but in order to cater to the air forces and navies of the world the issue is we need to have the defense license which we probably by this quarter we will have the defense license with us. It is a long and tedious process to get such defense licenses so we are trying to get that which we will have it right now, but once we have that then in terms of technology and supplying the end systems obviously we need to collaborate with some of the MNCs which we have to see how profitable that is to the company which we are very clear in terms of maintaining our margins because most of the MNCs would try to pull away as much of share from the whole projects what they get in terms of make and buy. So, we are evaluating all these things. So, if I have good lucrative opportunities we will look at it, but primarily our focus is more on these other areas what we are looking at right now.

Sriram Kapoor : My next question is on the key products that you have on the development which is your defense and Semicryo Engine and the imports substitute let us say bellows and heaters, what is the addressable market for these products and when will they begin to contribute significantly to your topline?

Srinivas Reddy: See the products as you say the electromechanical actuators we are delivering this year all the orders what they have given us which we have taken it for the first time. We all import substitute products. We are delivering almost 7 crores to 8 crores of EMAS this year that is going to be a substantial achievement in terms of delivering the actual product which they are going to use instead of importing it. Roller screws we have already proved to DRDO about our capabilities which are importing from Rollviz Sweden. So, the formalities are pending in terms of getting the official note through in terms of Government of India to put an import ban. We are hoping that will happen by the end of this quarter so that is going to be a substantial product which we have taken 1.5 to 2 years to develop it. For the last 30 years or 35 years they have been importing it from Sweden so that should stop. So, with the progress what you have made here and bellows is something which we have already started and using it as well in house right now. We look at other opportunities where we can also make bellows for other customers as well which is that is another big market that we are looking at, but that we have to seriously look at it because right now we are busy in our own in-house consumptions for bellows, heaters and other thing which we are working upon.

Ceramics, like the components what we are using in-house is also something which we are developing right now. So, a lot of these products and as I said the ASP is another product which we got commissioned and we got qualified and we started dispatching as well. So, last year we did 7.5 crores and this year we will do close to about 110 to 120 crores of ASP dispatch is happening this year. So, our idea is to really increase our product portfolio

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basket over the next three -four years to make it a much larger revenue base which is a high margin area for us at this point of time.

Sriram Kapoor: And just last one bookkeeping question if you could provide the revenue split for Q4 FY22 between space and defense because last year in the presentation they were clubbed together at about 15.2 crores if you could provide the split first between space and defense?

Gunneswara R. Pusarla Defense it is 3% space we have not included any defense revenue.

Sriram Kapoor : In Q4 FY22 so that last year quarter that 15.2 crores purely stays there is no defense in that.

Gunneswara R. Pusarla : There is hardly any percentage defense is less than 3%.

Moderator: Thank you. Next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Sanjaya Satapathy : My first question is that you have given this salary hike suddenly in Quarter 4 how much of that has gone to top management, can you please give that bifurcation?

Srinivas Reddy: Most of it has gone towards the highly skilled employees the shop floor workers. So, I have been working with this for quite some time because these are the workers with lot of experience and also the core engineering team. So, the focus was primarily on that not on the top management as such.

Sanjaya Satapathy : And sir this is something which you could have planned for so considering that you had given a guidance in February and you ended up this expense, so just wanted to see whether anything suddenly changed for you and more importantly is there some kind of a process related deficiency there in the system that you are incurring many expenses which is coming out of turn?

Srinivas Reddy: This is not an outer turn expense. See, it is nothing to do with process related issues. It was a very conscious decision taken looking at the future outlook of the company which is only going to benefit the company and the shareholders in the long run. Obviously, it has an impact on the P&L, but it is something if you are investing in CAPEX you also need to look at looking at your own team of people who are working for the company for years and we felt that this genuinely

this is an appropriate I mean when you look at the road map for the company over the next five years we really felt that this is a great motivation factor moving forward and that really does not really matter in terms of long term basis. So, it was a genuine decision taken which only benefits the company and the shareholders moving forward.

Sanjaya Satapathy : And my last question is sir are you getting into quite a few new product areas looks like in financial year 24 including valves and some other fabrication I assume that those will be far more better in terms of margin, but how difficult will it be for you to scale up in this category?

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Srinivas Reddy: No, we have enough capacities. It is not that it is all about the developmental activities . So, MTAR has got enough capacities across the board. We have enough machines and as I said the highly skilled employees of the company these are the core strength of MTAR. So, the capacities are never an issue unless any bottleneck areas or any specific area where we need to build the capacity separately which are not part of the existing capacity then it

is a separate issue so

otherwise it is not a major concern at all.

Moderator: Thank you. Next question is from the line of Anika Mittal from Nvest Research . Please go ahead.

Anika Mittal : Sir my question is on the EBITDA margin, EBITDA margins in financial '21 was 34% approx.

and Financial Year '22 it was 29% I mean this financial year it came down to 27%, so from 34% to 27% in three years, what is the reason for this and what will be the sustainability EBITDA in next say two or three years?

Srinivas Reddy: I have already said that one is sustaining the margins. We have taken various steps and we will sustain these margins moving forward and the product mix also has changed year -on-year basis.

When you are looking at the product mix is also very important. So, we have considered that we are moving forward as well. So, we will be able to maintain such margins moving forward what I have said earlier in my speech as well.

Anika Mittal: Sir my next question is on FT Technologies with manufacturing in India obviously have plan to set up a factory in Gurugram , how do you see this deal as an opportunity going forward like we can we add FT Technologies as our customer.

Srinivas Reddy: No, we can have anybody as a customer. It is not about India abroad . First of all, most of the hydrogen sector electrolyzer are under developmental stage. You have Ohmium , for example, trying to develop an electrolyzer , you have various companies like that, but they have to make the prototypes and ramp up come to a level where they can actually look at associating with companies like MTAR. We keep talking about bloom energy being one customer it is not that way because Bloom has done those volumes and proven to the market, but others are still lagging way behind. So, as and when they come to the level of you know the requirements what they need then a company like MTAR can definitely work with them because we have the technology and where we have to work with them and build their products very easily for them.

Moderator: The next question is from the line of Amar Maurya from AlfAccurate Advisors . Please go ahead.

Amar Maurya : Sir, just one clarification this low-cost inventory basically the current inventory of 74 crores , is there any inventory of airlift inventory into that?

Srinivas Reddy: No, that 74 crores which in transit is by sea only that is what we have clearly mentioned. There are no airlift factors.

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Amar Maurya: And all airlift inventories basically over by Q4 or do we have some airlift inventory left?

Srinivas Reddy: We do not have anything like we have used that up. Otherwise, why would we airlift it , we would not do it. So, if we have the time then we would rather move it by sea. We have taken that we have taken that impact already in the last quarter.

Amar Maurya : In terms of the gross margin recovery will happen in first half or in second half?

Srinivas Reddy: It will happen as we move on the first half itself that is not an issue at all.

Moderator: Thank you. Next question is from the line of Pradyumna Choudhary from JM Financial. Please go ahead.

Pradyumna Choudhary : My question was more regarding the green hydrogen space in India, so we are seeing a lot of developments there are lot of players talking about it, so like what opportunities do you see for your company in this particular space in terms of the kind of products or components we can be manufacturing and are we in talks with any major players?

Srinivas Reddy: Yes, we are, but see the issue as I have explained even for bloom it took quite a while to actually establish and they proved recently in the last one week what they can actually generate output for hydrogen at very high efficiency. So, it is all technology based. So, as I mentioned earlier depends on all these comp

anies where they can build a proper electrolyzer with lot of efficiencies to bring down the cost of hydrogen then it makes sense. So, we have to see how it goes. So, obviously MTAR is there has the capacity to address such situations. So, probably we have to see over the next six to eight months how it evolves and how they can develop these electrolyzers.

Pradyumna Choudhary : But like what all products in the value chain can we be looking at one would be electrolyzer what else?

Srinivas Reddy: Electrolyzer is the main thing the entire electrolyte. We have the facilities and the technology to build for them whether it is PEM or SOFC whatever it is end of the day it is the entire electrolyzer the design part of it which has to work for them because it is their design it is not our design.

Moderator: Thank you. Next question is from the line of Dhavan Shah from Alf Accurate Advisors Pvt. Ltd. Please go ahead.

Dhavan Shah: My question is again on the gross margins front so you mentioned the last quarter we did some air lifting for the Raw Mat can you share the air lifting cost which is extraordinary in nature for the last quarter?

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Srinivas Reddy: I think it is probably close to about 7 crores to 8 crores of material that we had to airlift the cost that we had to airlift roughly I am talking. I do not have the exact number to be genuine, but I think to my knowledge it is about that number.

Gunneswara R. Pusarla Around \$4 lakh, \$5 lakh that is value what you are saying is inventory value.

Srinivas Reddy: Overall he is asking about the air lift cost?

Srinivas Reddy: So, total is around.

Dhavan Shah : That is about 800,000 something, right?

Gunneswara R. Pusarla The total cost is that much.

Dhavan Shah: The second one is on the net working capital days so in the presentation you mentioned that roughly 138 days is other than WIP which must be having some finished good inventory also, so can you share out of 380 -odd crore the inventory which is how much is the finished good and post you also mentioned that of the part will be supplied for MPCL in the first half itself, so how do you see the WIP days going maybe the inventory days because I think these 200 days will fall down to what level for FY24?

Gunneswara R. Pusarla : The total 380 crores of inventory 144 crores is WIP and 242 crores is a raw materials and out of 242 72 crores is stock in transit which is actually both reflecting in the inventory and payable.

So, by end of the year we try to make like reduced inventory like next two quarters this raw material whatever we are importing, whatever is imported and whatever is in transit which we will use it in the one or two quarters and after that slowly we will try and reduce as per the requirement at the operations. So, thereby we can reduce the inventory days.

Dhavan Shah: One thing is at clean energy contribution for this quarter is roughly 73% versus the Q3 contribution was 80 odd percent, so how is the gross margin differentiation you already mentioned that the export business is doing a lower gross margin versus the domestic one, so what is the difference between export and domestic gross margin?

Gunneswara R. Pusarla In the export there is around 40% gross margin are there. In the case of domestic around 55% to 60% gross margins are there in some cases we have various projects, some are the having the even 30% also some are at 55 also so around you can say gross margins around 60% in case of domestic turnover.

Moderator: Thank you. Next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead.

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Sandeep Tulsian : First question is pertaining to the Bloom energy guidance I think the company itself has given guidance of about \$1.35 billion for product revenue which

is 50% higher, so in that contrast our

guidance for the year where we are ramping up other segments as well nuclear energy and the other seems to be a bit on the conservative side. So, if you could highlight more specifically how much you are building in terms of guidance for clean energy segment and how much for the overall other segments as well for 24 that is space and nuclear energy?

Srinivas Reddy: So, Sandeep basically I have taken 55% or so for clean energy which is very conservative you are absolutely right, but I would like to stick to this guidance for now 45 % to 50%. The good news is that the other part of the 45% is definitely going to happen. So, that absolute number is going to really give a lot of difference in terms of our margins as well. So, what kind of work we have done over the last one year or two years. So, obviously it is conservative guidance, but I would like to stick to that. I do understand that Bloom energy has given a guidance of 1.4 billion as compared to 1 billion last years . So, let us see how it goes. We will have more clarity

by the end of June obviously the new orders will be placed as Sandeep last year also we did that for the next year as well the last quarter. So, we will see how it goes June, July, we will have more clarity on that.

Sandeep Tulsian : And just one clarification regarding this GKN aerospace \$10 million order, is it already booked and shown in our product segment or it is something that came after 31st March?

Srinivas Reddy: It came after 31st March. So, they have given a letter of intent to us so I cannot take that into the order book as of now. So, they have asked us to go ahead with the raw material sourcing and all that. The official order will come in this quarter itself and that is something we have done a lot of due diligence before they release their order to us their LOI to us. So, similarly with Thales as well. So, these are all the things the stepping stones for our future growth. We are trying to diversify to different customers, different segments and things like that where our profitability is even much higher. So, that is what we are looking at.

Sandeep Tulsian : What is this order book buildup of product segment if you could just clarify on that because this is a huge jump that we see on year-on-year basis?

Srinivas Reddy: See you are talking about the product portfolio.

Sandeep Tulsian : Yeah, product segment?

Srinivas Reddy: One is we are looking at the electromechanical actuators. The second is the roller screws. The 3rd is the ASPs which we are going to do more than 100 crores this year. We just got qualified in the last quarter of last financial year and we dispatched about 7.5 crores to 8 crores worth of products to them and then the ramp up has already started and we will be achieving more than 100 crores of that revenue. So, I have not taken into consideration the other products that we are doing. It took us one and half years to complete the development of roller screws and we are

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almost there to get qualified. It is taking a little while because of the various issues how to prove DRDO and all that, but finally we have achieved that. So, all these things will accumulate and will result in revenue increase over the years.

Moderator: Thank you very much. Ladies and gentlemen due to time constraint we will take that as the last question. I now hand the conference over to Mr. Srinivas Reddy for closing comments.

Srinivas Reddy: I would like to thank everyone for joining our earnings call for FY23 Q4 earnings call and I hope I have explained very clearly about the margins and revenues and the future outlook of the company and I really appreciate the support from all the shareholders to MTAR and we are right on track and we believe in giving the guidance which we would

like to adhere to and we have

done that and I have also explained very clearly about the slight reduction in the EBITDA margins for Q4 and moving forward we will get back to the normal margins the way we have been delivering and please address this on an annualized basis whatever we do we will definitely achieve the margins what guidance we have given moving forward as well. Thank you so much.

Moderator: Thank you very much. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Aug 2023

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MIA email : info@mtar.in website www.mtar.in [Ji

CIN No : L72200TG1999PLC032836

To, Date: 21-August-2023

The Manager, The Manager,

BSE Limited, NSE Limited,

P. J. Towers, Dalal Street, Exchange Plaza, Bandra Kurla

Mumbai-400001. Complex,

(BSE Scrip Code: 543270) Bandra (E), Mumbai- 400051.

(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 11% August 2023.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, Please find enclosed the transcript of the earnings conference call

conducted on Friday August 11, 2023.

The transcript of the earnings call is also available on website of the company i.e.

www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia

Company Secretary and Compliance Officer

MTAR Technologies Ltd. (Formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar, Hyderabad - 500 037. Telangana, India. office : 040-44553333/23078312 fax : 91-40-44553322/23078316, GST No.:

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"MTAR Technologies Limited

Q1 FY 24 Earnings Conference Call"

August 11, 2023

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MANAGEMENT: MR. SRINIVAS REDDY — MANAGING DIRECTOR —

MTAR TECHNOLOGIES LIMITED

MR. GUNNESWARA RAO — CHIEF FINANCIAL OFFICER

—MTAR TECHNOLOGIES LIMITED

MSs. SRILEKHA JASTHI — SENIOR MANAGER,

STRATEGY AND OPERATIONS — MTAR

TECHNOLOGIES LIMITED

MODERATOR: MR. IRFAN RAEEN — ORIENT CAPITAL

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Moderator:

Irfan Raeen:

Srinivas Reddy: MTAR Technologies Limited

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Ladies and gentlemen, good day and welcome to the MTAR Technologies Ltd Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raeen from Orient Capital. Thank you, and over to you, sir.

Thank you, Ryan. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q1 FY24 earning phone call discussion. Today on the call we have Mr. Srinivas Reddy, the Managing Director, Mr. Gunneswara Rao, the CFO and Ms. Srilekha, Senior Manager Strategy and Operations. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on company's website.

I would like to give a short disclaimer before we start the call. This call may contain some of the forward-looking statement which are completely based upon our belief, opinion, and expectation as of today. This statement are not guaranteed for our future performance and involve unforeseen risks and uncertainties. With this, I hand over the call to Srinivas, sir. Over to you, sir. Thank you.

Thank you, Irfan. Good morning, ladies and gentlemen. I would like to thank all of you to spend your valuable time to participate in the FY24 Q1 earnings call of MTAR. I have with me Mr.

Gunneswara Rao, the CFO, and Srilekha Jasthi, the Senior Manager, Strategy and Operations, and Irfan from Orient, Capital. We have uploaded the investor presentation on stock exchanges and website and hope all of you have gone through the same. The company performed very well during the first quarter year on year basis and details will be shared by the CFO subsequently. I will briefly explain the financials related to the growth and would like to highlight the future outlook

and achievements which are related to current year and the future growth of the company. As mentioned earlier, we have given a guidance of 45% to 50%, which translates to about 830 to 860 crores of revenues, and continue to confirm the same guidance moving forward. We have a strong revenue growth over the next three quarters during FY24 to meet the revenue guidance.

'We have historically delivered more than the guidance numbers, and in FY23, we have achieved revenues of INR574 crores as against initial guidance of INR515 crores. The breakup of sales for FY24 in comparison to FY23 will give a clear picture on revenue and margin trajectory for FY24. Please note that the revenue numbers being given will be within a plus minus 5% as I mentioned earlier. So if you look at the revenues, other than the hot boxes and sheet metal being supplied to Bloom, from FY23 to FY24, in the case of FY23, we had done a revenue of 121 crores in the other segments, as against what we are going to do about close to 315 crores this year.

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So that's a substantial jump of revenues being generated rather than bloom hot boxes and sheet metal. This is a very encouraging aspect which I would focus more upon. This clearly indicates the increase in gross margins being happening because most of the domestic revenues are being achieved in the forthcoming quarters and we have a substantial jump in revenues in this segment, Ardent Bloom, hot boxes and sheet metal from the now 112 crores to 315 crores. The breakup of the Hotboxes, which most of you will be interested, in Q1 we have done 950 Yuma Hot Boxes with 32 electrolyzers. We have been given a clear dispatch plan by Bloom during the current financial year. So in Q2 we'll be doing 418 Yuma Hot Boxes and 440 Yuma Santa Cruz hot boxes, which is an advanced version of Yuma and 66 electrolyzers.

And in Q3 we will be doing 1,144 Santa Cruz hot boxes and 44 electrolyzers and in Q4 we will be doing 1718 Santa Cruz hot boxes Plus any new orders for electrolyzer which are expecting by the end of the year. So Santa Cruz is an advanced version of Yuma which will generate 65 kilowatts as against 50 kilowatts of Yuma. This we have been working with Bloom over the last quarter to make certain design changes to increase the output of the Yuma unit itself.

This has been a remarkable achievement with very low production costs by both the team members. So coming back to the EBITDA percentage and PAT, we had given a guidance of 28% plus minus 100 basis points and we continue to maintain the same margin guidance going forward for FY24. Now MTAR margins for this quarter has been at 22.4%. We'll improve quarter-on-quarter basis based on higher revenues as I mentioned earlier, both in the domestic and as well as in the export sector, resulting in, obviously, resulting in reduction on the other expenses and employee benefit expenses percentage wise with respect to revenues.

The other expenses during this quarter are marginally higher because we had to outsource LSM coating as MTAR will get qualified for LSM coating by December end. Then increased costs due to power consumption rates, insurance costs for employees, increase in property taxes, etc. The employee benefit expenditure stands at 16% presently, will be at 12% for FY24, and other expenses which stand at 11.5% will drop to about 9% for FY24 over the quarters. So we will end the year with EBITDA margin of close to 28% plus or minus 100 basis points.

Further, the gross margins for Q1 standing at 49.9% will eventually improve to 52% for FY24 based on increased revenues from domestic sectors quarter on quarter basis. PAT for the year will approximately stand at 18% with plus minus 50 basis points for FY24, which is a substantial Jump compared to FY23. We are looking at INR145 crores to INR150 crores of PAT for FY24 as compared to

INR104 crores for FY23. Quickly coming on to the order book, we have closing order book of INR1,078 crores as of June 30 and we have received orders for INR50 crores approximately for the first quarter.

Major orders from clean energy, nuclear, space and defence are expected during the upcoming quarters and we will continue to confirm that our closing order book will be at INR1500 crores for FY '24. We are expecting close to INR1200 crores of orders during the year from various sectors over the next three quarters. We are expecting close to INR500 crores of orders from nuclear division, INR5350 crores from clean energy segment, and rest from the other segments and new customers.

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'We now have well-diversified customer base and enough new customers in the pipeline and the details are clearly listed in our presentation. Another very important aspect is that our defense license is cleared by the committee, by the Ministry of Defense, and it took almost 18 months and we are hoping to receive the license by next week based on the indication given to us.

This will enable us to supply directly to Air Force, Navy, etc, and also help us to associate with multinationals to bid for the major defense projects moving forward. MTAR will also work on developing its own products to directly supply to defense. And this aspect is now being analyzed by the design and production team and we'll update the investors at appropriate time.

We have two very good projects in the pipeline apart from the various customers that we are working with. One is the Fluence Energy and the other is EnerVenue both the companies are in energy storage systems. Fluence is in final stage towards releasing the letter of intent for 1000 units along with prototypes with revenues of approximately INR130 crores which will be executed in FY 25 purely for the Indian market.

We are expected to commence exports to Asian countries, Australia, New Zealand etc. from the Indian facility and should be around INR400 crores business over the next three years. We will be able to achieve that kind of revenues over the next three years,

Discussions are going on with respect to establishing units in Europe and USA by MTAR. This is very exciting for us, which will generate substantial revenues for the company, close to even thousand crores and more, once the units are established. Fluence will also associate with MTAR to having a center of excellence, engineering excellence to improve and to on their systems moving forward. And they have shortly said MTAR is the only company which can work with them in terms of manufacturing the fully assembled kits for them.

EnerVenue is another company which deals with nickel hydrogen batteries instead of lithium and another exciting prospect in the energy storage systems. This is in the preliminary stage of discussion and hoping that we could set up manufacturing unit in India once the MOU is signed with the company.

On the product development side, we have submitted the first articles of roller screws to DRDO and it's been tested now under load conditions in the electromechanical actuators and we are hoping to get this certification finally by this quarter and the market potential for this both domestic and export should be tune of INR80 crores to INR100 crores. The second one is the electromechanical actuators which I want to update is that we have we are supplying four different types of EMS this financial year, close to about INR7.5 crores, and the business of EMAs will grow in the product division year-on-year basis.

We're also starting a new product called Dielectrics in this quarter, and we should get qualified by March end. The potential business for this would be close to about INR250 crores per year. As you are all aware that we have developed the ASPs as a product and production ramp-up has commenced already and will generate revenues of approximately INR110 crores this year and

next year we are expecting the revenues to go up to INR140 crores to INR150 crores.

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Gunneswara Rao: MTAR Technologies Limited

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Valves for defense, we have received orders for first articles and we have commenced the design and development of the valves and we are expecting to commercialise these valves by the end of the year. We will have more details on the numbers of valves as we make progress further.

The semi-cryo engine we are rolling out this year for sure and which increases the payload capacity from 4 tons to 6 tons in GSLV Mark 3.

We have the order for six engines, and each of the engines costs about INR5 crores, and here the raw material is issued by the department itself. As you are all aware, we have qualified for all types of bellows which have been indigenized completely and we are now this will reduce our cost substantially instead of importing these bellows and that process is already been established right now and MTAR has designed and developed its own bellow machines as against buying machines worth INR12 crores, we are able to establish the facility for less than INR2 crores.

Designing & building special purpose machines at low cost is another strength of MTAR. The SSLV project is on track. We have recruited enough team members headed by [Padmasree Awardee, Dr. Vedachalam for this project. We will provide more details during the next earning call as and when we progress further on this. And as mentioned earlier, we are slowly entering into the export market of ball screws.

Collins and IAI, all these companies have approached us. We are trying to work on the first articles right now. Apart from the ball screws that we are supplying to various organizations within India, being 100% import substitute. Cable harness systems are getting qualified in this quarter itself, which will be a very good progress in the electronic solution what we have initiated earlier. And the most important aspect is once you get the defense license, we are simultaneously working on identification of various defense products. The studies underway and for the

commercial viability in terms of addressing the needs of the end users and defense organizations within India.

Finally, I would say that the net working capital base is indicated at INR278 days, but we have received funds of about INR87 crores from Bloom energy in the first week of July, which would have actually been at 226 days instead of 278 days. And we have given a guidance of bringing it down to 200 days, we stick to that guidance, and we are right on track with it. We are reducing our inventory levels, we are working on the receivables, and as well as the credit that we can receive from the market from various suppliers. So we are sincerely working towards this to achieve the year-end guidance 1s what we are looking at and we are hoping to be on track on that as well.

'With this, I would like to hand over the call to our CFO, Mr. Gunneswara Rao, to take it forward and take it through the financials.

Thank you, Mr. Srinivas Reddy. Good morning everyone and a warm welcome to our earnings call. I will take you through the financial highlights, post which we will open the floor for questions and answers. The company has registered a strong growth in top line and bottom line on Y-O-Y basis in Q1 FY '24. Our revenues from operations stood at INR152.6 crores in Q1 FY '24 as against INR11 crores in Q1 FY 23. Which translates 67.6% increase on year-on-year basis.

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Moderator:

Deepak Krishnan:

Srinivas Reddy: MTAR Technologies Limited

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We have reported an EBITDA of 34.5 crores in Q1 FY 24 as compared to INR25 crores in Q1 FY '23, which is 38.3% increase on year-on-year basis. Our profit before tax sta

nds at INR27.3

crores in Q1 FY 24 as against INR22.2 crores in Q1 FY 23 which is 22.8% increase on year-on-year basis. The company's profit after tax is at INR20.3 crores in Q1 FY 24 as against INR16.2 crores in Q1 FY '23, which is 25.4% increase on year-on-year basis.

As discussed by our MD, our working capital days stands at 278 days in Q1 FY '24 as compared to 230 days in Q4 FY 23. The reason mainly because receivables stands at 147 days as against 132 days in the last quarter. Had we received that INR87 crores payment from the Bloom a week earlier we would have witnessed a reduction of 52 days in our receivable days, which will come down to 226 days on the total net working capital days.

We have given a year-end guidance of around 180-200 days, which we are sticking to that guidance. We are working on inventory reduction and lot of other measures we are taking. And also we are actually applying for GST refunds. We got INR3 crores of GST refund in the last quarter. We are filing further GST refunds from the government so that we can reduce our inventory days.

Also as reiterated by our MD, our annual guidance will be 45% to 50%. In the coming quarters, we will achieve the target with a mix of revenue with 40%, 60% for H1, H2 respectively.

With this, I will open the floor for discussions and questions and answers. Thank you everyone. Sure, thank you very much. We will now begin the question-and-answer session. The first question is from the line of Deepak Krishnan from Macquarie. Please go ahead.

Hi, sir, and thank you for the opportunity. I just wanted more clarity on this increase in other expense, if I kind of look at it. Are the ASP or any of the product divisions you know generally EBITDA margin dilutive to our overall mix and you know what gives us confidence that we'll sort of come back to this 27%, 28% range indirectly implying that certain quarters you know we should reach 30% plus EBITDA margin.

So you know just clarity and comfort on what drives other expense lower going ahead, even though sort of revenue increases. Maybe if you could highlight those?

So as I said, the other — increase in other expenses towards the plasma coating or LSM coating for the ASPs, which we have to do in Taiwan, we are not yet qualified for that. We manufacture the whole thing and we outsource it. Right now, MTAR is establishing that facility and once we do that, we'll be doing it in-house itself.

As of today, we are outsourcing that and there has been an increase in certain other aspects of property taxes which have been booked this quarter and also on the insurance, employee insurance benefits and things like that which has been booked in this, which is higher than the previous year.

So, overall, if you look at it, compared to the revenues, what we are going to generate over the next three quarters, as I mentioned, clearly, the other expense percentage will drop to about 9%

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Deepak Krishnan:

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over the revenue guidance, what we have given. And including the employee benefit expenses will drop from 16% to 12%, which is a substantial reduction and compared to last year.

And this would obviously ensure that our margins will improve drastically. And we are confirming that our margins would be at the level what I've mentioned very clearly. And another important aspect is that the product mix is going to be much better in the next three quarters where the gross margins for the domestic segment are much higher. And which I said that last year we had done around INR112 crores and this year we're doing INR315 crores higher than Bloom hot boxes and the sheet metal supplies that we're doing to Bloom.

And that's a very, very positive sign and I would actually focus more on that. So that would improve our gross margins to about 52%. So we'll eventually achieve our margins quarter on

quarter. There will be an improvement in the margins and we will average much higher EBITDA margins moving forward and at the end of the day, at the end of the year, we'll be able to achieve our target EBITDA margins of 28% plus minus 100 basis points.

Sure, sir. Thanks for the answer. Maybe just I wanted to check on the Fluence potential that you've indicated of 1000 units, you know INR130 crores revenue potential and you know establishing units in US and Europe so how does this entire thing work like who would undertake the capex for the US and Europe investments and you know what are the longer term targets we have with Fluence?

See as of now the way we had a series of meetings with Fluence and we are in the final stage of closing out the Letter of Intent from Fluence for the Indian market for 1,000 units per year. And also they're looking at exports from India to Asian countries and also to Australia, New Zealand, etc. That's the target for the Indian facility. Another important aspect is the way they looked at MTAR and the kind of engineering know-how what we have.

They've also indicated that they would, they have in fact advised us to also start units in Europe and USA. We have to formulate all those things in terms of the capex requirements and all that, which we're working on it right now. We'll have more clarity probably in a couple of months time but that's a very clear indication from their side.

The reason being in the US, as you know Deepak, we have the IRA credits, the Inflation Reduction Act which was announced there. So we have a lot of subsidies coming out, manufacturing in the US, that's what they want And also similar support we are getting from the European Union in terms of manufacturing in Europe for the European needs.

So if you're able to do these two units, it'll be a requirement of almost like close to 10,000 units per year in these two continents. So that's a major achievement, I would say. So we are really focusing on that and we have to establish how we are going to go about it, what kind of decisions that we need to take. So that will give us substantial revenues for the company moving forward. So that's where we are right now. So this particular project is very exciting for us in terms of our growth, what we're anticipating in various segments, especially by associating with Fluence Energy in a big way. So another company is EnerVenue, which we're in initial discussion. So let's see how it goes, and then we take it forward from there.

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Deepak Krishnan:

Srinivas Reddy:

Moderator:

Deepesh Agarwal:

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Sure, maybe just one last question for me. Just wanted to understand the outlook for Bloom orders because technically, historically, we've reported them in June and September. So maybe, by when can we expect the Bloom order for next year to kind of come through? And just a follow up on the Fluence project, what are we exactly contributing over there and what capabilities are we sort of utilizing that MTAR has and that Fluence specifically wants from MTAR?

So the answer to your first question is the Bloom orders for the next calendar. We have orders till December end. So for the next calendar, we're expecting the orders to come in either in this quarter or beginning of next quarter. So that's on track. So in fact, if you have studied the recent Bloom report as well, they have recorded the highest revenues for the last quarter and they are expecting the overall revenues to be about 1.4/1.5 USD billion this year.

So they are growing at that rate, so there is no issues of getting orders from Bloom. That's an ongoing process. We either receive it in this quarter or beginning of next quarter. So that's on track. As I said, we'll be getting an order inflows of INR1,200 crores this year. Most of those orders will come in over the next quarters, and

that's not an issue at all, including the nuclear division as well.

And coming back to Fluence, it's a complete assembled unit is what we're going to supply to

them ultimately. So that's what the plan is. So that's what we're going to do in India. They're going to also have an engineering excellence center established with us because they're very much impressed with our capabilities in what we are doing in MTAR today. And that's where we are. So that's something they have done a lot of due diligence within the country and finally they have shortlisted MTAR to be their partner in India and elsewhere as well.

Thank you very much. We take the next question from the line of Deepesh Agarwal from UTI Asset Management. Please go ahead.

Yes, good morning, gentlemen. My first question is if I look at your revenue for clean energy, there seems to be a decline on a sequential basis. What explains this decline from, say, INR140-odd crores to INR100-odd crores, 105 crores?

Good morning. There's no decline as such. See, what has happened is Bloom has given us a dispatch plan of late, which I mentioned very clearly. I've given you the numbers as well. So overall, during the financial year, we'll be closing out on all the order book positions what we have with Bloom. So only thing is they have spread the dispatches quarter-on-quarter basis, based on looking at their own inventory levels. And also they wanted to streamline their own inventories, but the overall dispatches would remain the same.

As I mentioned earlier, in Q1 if you have done 950 of Yuma units and 32 electrolyzers. Let's come to Yuma, then in Q2 I'm very clearly indicating the numbers that we're going to do 480 in Yuma and 440 Santa Cruz, which is an advanced version of Yuma. And in Q3, we'll be doing 1,144. And in Q4, we'll be doing 1,718. These are the indications given by Bloom, and we are following that dispatch plan. So ultimately, during the year, we'll be executing what we're looking at, what we have done, INR440-odd crores last year. This year, we'll be doing, including

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Deepesh Agarwal:

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Hydel, we'll be doing about INR590 crores. So, there is a substantial jump in terms of revenues in the clean energy segment as well during the financial year.

And can you highlight what's the, our realization gap between, say, Yuma hotboxes and these advanced hotboxes?

The realization is about around \$800 more for the advanced version of Santa Cruz.

Understood. And even on the space side, space segment, we see some decline this quarter.

Anything material to read into this?

Absolutely not. Basically space, as we have indicated in our presentation, we have shown INRG6.9 crores. And this year we have a target in this segment of INR 70 crores. So we are right on target with that. As I mentioned earlier, most of our domestic execution is happening over the next three quarters. And if you look at it, as I mentioned in my earlier explanation, that if you compare FY '23 to FY '24, other than Bloom, hot boxes, and sheet metal, we'll be achieving a number of from INR112 crores to a level of INR 315 crores, which is nearly equivalent to the total revenues what we have done for FY 22.

So that's something which I'm really excited about, right? So that's been our main focus, how to generate more revenues in every other segment. So that's a very positive sign for us, which will also improve our gross margins going forward as well.

Sure, and lastly, on Fluence, what is the gestation period in terms of capex because we are yet to start the capex for that requirement?

And secondly, would the margin profile and working capital similar to company average for the Fluence business?

See, basically it's a different product alto

gether, but what's important to note is that we'll be able

to do the prototypes and the first 500 units within the existing facility itself. But ultimately to do the 1,000 units, we need to construct a separate facility within the same Adibatla plant what we have in between the two fabrication and the ship metal operations that we are doing right now to begin with.

So, overall the margins, if you look at it, which will be probably closer to Bloom, what we are looking at, but the operating leverage is much higher. It's a different product. We are establishing all that, but it will definitely generate good enough EBITDA based on the operating leverage what we have with Fluence as well.

Understood. Thank you and all the best.

Thank you.

Thank you. The next question is from the line of Bala Murali from Oman Investment Advisors.

Please go ahead.

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Bala Murali:

Srinivas Reddy:

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Bala Murali:

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Yes, good morning, sir. So regarding the Yuma hotboxes, we have a guidance of 7,000 boxes this year. I think we'll be short of some boxes as per guidance now.

So the 7,200 included electrolyzers, Yuma and Keeylocko. So Keeylocko, the design changes are happening as I said earlier. So we have not even considered that in our revenue breakup as of today. So in spite of that, we have shown a revenue growth of 45% to 50%. Once that is established, then we'll be able to add on to our numbers. So we are working on it right now.

Okay, sir. And in the nuclear power segment, as of now we have around INR180 crores of order book, but the reactors which are under construction have a good scope, but still we have low order book on that. And from the upcoming reactors, we're expecting a 5,000,- 7,000 order book. So is it possible? But why are nuclear reactors under construction who have very low contribution of order?

We don't have any low contribution, Bala. See, basically what's happening is that whatever orders we have for the reactors which are under implementation, we are executing them right now. And some of them are long cycle orders, some of them are short cycle orders. But the new tenders which have come, I have explained in the earlier earnings call, the Kaiga 5 and Kaiga 6, which have been declared as mega projects, which will be given to a private industry, industries like Tata or L&T of the world, over becomes an L1.

MTAR is qualified for 16 such packages in those reactors and we are expecting about INR500 crores worth of orders coming in and for which tenders have already been floated and in fact the last date is around August 14, or something like that for that, I guess. So we're expecting those orders coming by end of this quarter, by end of this year from these companies. So let's see how it goes.

Like in the annual report, it's mentioned that around INR7,000 crores to INR8,000 crores is possible for MTAR to gather from these reactors. So it will be...

I am talking only about two reactors. There are more than 10 reactors which are in the pipeline. So once all those -- those will be direct orders. So only they are doing an experiment with a couple of nuclear reactors, directly giving it to a private company, much larger company. You can also do civil construction as well, right? So they're trying to experiment that way, they can implement those things much faster than what NPCIL is doing right now. But there are a lot of other 10 more reactors that are coming in, which will be dealt directly with the companies what the way doing it earlier as it is.

And lastly, on electrolyte side, electrolyzers, 143 notes guidance, I think it's almost similar to last year. Do you have any discussions with any domestic customers to supply electrolyzers? Are there any possibility to ramp-up this figure by the end of the financial year?

ear?

The ramp-up is going to happen mainly for exports. That's what I said, that by end of the year we should have the order book position being booked for electrolyzers as well for next calendar year in a big way. So we are waiting for that and it's already been proven what electrolyzers we have shipped to Bloom. So I've explained that in the earlier on this call as well. So we're

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Bala Murali:

Srinivas Reddy:

Bala Murali:

Srinivas Reddy:

Moderator:

Mohit Kumar:

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Mohit Kumar:

Srinivas Reddy: MTAR Technologies Limited

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expecting this vertical to actually eventually in a year or two to grow even bigger than you are. That's where the whole world is looking at. So let's show it was.

Small follow up on this, other than Bloom or in discussion with any other customers that supply of electrolyzers domestic or international?

No, we are discussing but the issue here is that, are they in line with the volume that Bloom is doing right now? So there is no comparison. We have studied that, looking at Plug Power, Ballard Systems, Ohmium is another thing which India is trying to do, they're doing their prototypes right now. So we will be seeing the eventual possibility of working with any of these companies moving forward once, because we have the base platform to work with any one of them. We have the technology to do it. So let's see how it goes as they ramp-up their own volumes based on their prototype afterwards.

Okay, that's all. Thanks a lot and all the best for your future.

Thank you.

Thank you. The next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Good afternoon and thanks for the opportunity. My first question on the margin, when do you expect the margins to improve sequentially? Are you expecting quarter-on-quarter and on the average are you expecting 28%, is that number right?

See, as I mentioned earlier, the margins will improve quarter-on-quarter basis and eventually we will achieve the target margin given by the 28% plus minus 100 basis points by the end of the year. I've also explained the product mix, what's going to happen over the next three quarters. And we're very clear that we'll be able to achieve those margins, what we have said initially. And also the revenue guidance, what we have given.

My second question on the nuclear division, when do you, so are the tenders out as of now, Are the tenders being submitted? And when do you expect the decision to be made by the NPCIL?

See that for Kaiga 5 and Kaiga 6 the tenders have been floated for the private industry, they call it as mega project and companies like L&T and Tata are bidding for it and a lot of other companies are also doing it. So qualification is going to be a serious criteria there. So in that tender, the preconditions are that MTR is qualified for 16 such packages on the engineering side, because qualification is a very tough process for nuclear reactors. So we'll automatically be — whoever wins the project will be having an opportunity of INR500 crores-plus to work with them to supply all the equipment to NPCIL.

Can you expect this to get finalized by Q3 or Q4 or do you think it is speedable to be finalized? I'm thinking more on the Q4 side because it takes at least four months to five months. These are all fast-track projects, so hopefully they'll do it as quickly as possible. But worst is definitely not later than Q4.

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Moderator:

Jonas Bhutta:

Srinivas Reddy:

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Thank you. The next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Congratulations on the great job. I had a question on the working capital. So while we appreciate that, had the Bloom Energy payments come by the end

of June, our working capital would be a lot lower than what's reported. But if you can just walk us through the roadmap to the 200-day target that you have for the current year, there was going to be a substantial decline in inventories that was going to fund a lot of that reduction and we have not seen it to the extent, but if at all, progressively how do you see this happening? And I am sorry if this is a repeat because I missed the initial comments on this.

See, as we said earlier, it is only one week delay has happened from the Bloom. We received on the first week of July, with reasons known to the Bloom, which is actually 226 days, with the higher revenue in next three quarters, where we are very confident on adjusting our inventory days to around 200 days by end of this financial year. The only reason is now we are working on various measures to reduce our inventories, collection monitoring on day-to-day basis. And improving our payable days also by talking to the vendors. And also the operating leverage like higher revenue will definitely will help us to reduce the inventory days. So there is no problem we are in track on that.

So like even if you see presently also, the inventory days has come down like, raw material is at 140 days now, last time it was 154 days. WIP slightly higher 99 days to 92 days last quarter. So payable days has also come down now which has actually impacted almost 21 days higher

working capital days. So we are working on various measures. Earlier we used to pay advances, now LC terms we are bringing it to the many customers, many suppliers. So definitely this is going to be around 200 days by end of this financial year.

Understood. So my second question was on this defense license that you just mentioned about, what opportunities does it open up us to there was these ball screw and roller screws that were and the and I think even the actuator. So if you can just elaborate on how this defense license really helped us?

See, basically what happens with defense license are two things that can happen. One is what's most important is that we'll be able to directly supply to the end user like Air Force, Navy, etcetera. So that's something which we can do as a direct supplier to these organizations. Secondly, it will also give us an -- and that's obviously whatever products we have and also the products that we are investigating to develop for the defense requirements in India, we'll definitely work on that. MTAR has a very strong R&D team to do that. And the second aspect is also it helps us to associate with certain multinationals to bid for major defense projects in India, having their defense license with us. Otherwise, we will not be qualified for that.

So we have -- it's a very stringent process to get the defense license. It has to be cleared by about 28 departments to 30 departments across the country, having a team shift in every area. So we have been cleared by the final committee itself, by the Ministry of Defence, and hopefully we

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Jonas Bhutta:

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should have this license in hand hopefully by next week itself. So that opens up a wide array of opportunities that we can address over the years.

But this really doesn't help our, the product that we were developing, which did have a defence application. So this license has nothing to that. So those will have their own path of.

Yes, they have their own path, these products can also be utilized in the fully integrated systems, right? So that will also help us a lot.

Got it, and my last question was on the capex. So FY '22 and '23, we spend about INR100 crores each. This year we've guided for some bit of mod

eration because most of our capacities on sheet

metal and the Adibatla plants, itself coming up. What is the other guidance for FY '24 for this in terms of capex? And if this fluence thing does play out, what is the total capex?

No, capex will be which... Gunnes, you want to answer this?

Yes. This year we are planning to have a total capex of INR42 crores- INR45 crores, which includes fluenceenergy also we have earmarked around INR25 crores so far. First 500, whatever we are going to make within our existing facility and also more than 500, it requires some more capex. So, the total capex we are estimating for the first thousand boxes will be around INR30 crores- INR35 crores, but it's going to be — not going to be spent in this financial year everything. So, it will be around INR35 crores for the first thousand boxes. Any incremental thousand box, the capex requirement is only INR15 crores.

Understood. Great. Thanks a lot and all the very best. Thank you.

Thank you. The next question is from the line of Utkarsh Maheshwari from Reliance General Insurance Company. Please go ahead.

Good morning, sir, I just want to understand. you mentioned that, we should be doing INR315 crores of revenue x of clean energy. So what should be the mix of these products? I believe nuclear will not contribute meaningful as you believe the orders may get delayed or they might be coming in only at the end of the year. So, probably it will sit in the order books but not in the execution side. So what should be the tentative breakup for the INR315 crores of revenue what we are talking about?

So you're talking about INR315 crores from the other segments are they Bloom hot boxes...

Other segment, the non-green?

Yes, so I'll give you a rough break up. So, Nuclear is charging about INR60 crores of revenues coming in, Space about INR70 crores. And the Defence would be around INR15 crores because we are yet to get the Defence license. That will take some time in terms of execution. That will

help us for the future years. And products and others would be around INR123 crores. So there's a very clear break up on this, in terms of what we can do that INR315 crores. That's what it is. So you don't believe that, you don't expect any kind of slippages in this particular number?

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Absolutely not as I said, whatever revenue guidance we have given, this is all part of that and we always talk to our guidance in terms of revenues as well as margins and we write up there over the quarters.

You did mention about some design changes in the Keeylocko this thing hot box, so what is any timelines, when do we believe that the revised timelines will be coming? Because you have not mentioned in the dispatch schedule, what you have already mentioned. So when do we see that the changes in design may think coming in the Keeylocko hot box and probably is there any increasing realization for us as a result of the design change?

See, right now, already there is an improved design version of Yuma into play right now. We started manufacturing it already, right? We call it as Santa Cruz. Now, Keeylocko is something which we need to add. Still, they have not yet indicated to us, how long it's going to take, but we have not considered those numbers at all in our business plan for this year so let's hope that see I can't predict the design changes where exactly it's going to happen but we'll have more clarity probably in the next one two months. So as and when we have the clarity, we'll update all the investors on that but that's not going to affect our growth target, what we have in for this year or future years.

Okay, fair point. we also did something on that SSLV plant, so where have we rea

ched in that

journey?

No, we are there already, we have recruited the right people for that as I mentioned earlier as well and we are right on track with our timelines. We said it's about a four years timeline, four plus years timeline to actually come up with our first commercial flight. So we are right on track with that. We are working on it. It's a design and development process. So we have a full fledged team working on that right now.

And we are really excited with that because that's going to be a game changer for MTAR over the next four years. So we are working on it. We're putting our best efforts. So we are on track with that. And we'll update you with more clarity on what exactly, we have achieved and what we are going to do in the SSLV in this financial year, what are the milestones that we are going to achieve over the next year as well.

You have said that, you have already hired the employees. What is the total count and what could be the total amount in terms of value, in terms of employee cost?

We have hired about, more or less, about 18 to 20 people at various levels for the design and development work of SSLV and they are working on it. It's not a major amount. I can't quantify the amount right now, but it's a, we have a lot of in-house facilities as well, right? So a lot of cost is absorbed within the system itself, apart from the van for what we're looking at. So it's being done at a very, low-cost basis, because we have all those facilities, and we're already dealing with space, so that's reducing our cost drastically in terms of developing this project.

Okay. So, there is no increase in cost for us, on a relative basis?

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Gunneswara Rao:

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Amish Kanani:

Gunneswara Rao:

Amish Kanani:

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Yes, we are working on very reasonable cost because we have all those facilities on hand and it's only on the employees and the team, which is working on it. Those costs are being incurred.

Other than that, there is nothing much.

Fair point, thanks a lot, sir.

As of now, we have not incurred any major cost other than manpower cost. So as our MD says, we have all facilities, support manpower, everything is available. So this is not going to be any substantial amount for this financial year.

Fair point, thanks a lot, sir. I'm done.

Thank you. The next question is from the line of Amish Kanani from JM Financial. Please go ahead.

Yes, hi sir. Sir, given that there is some payment delay from one of the major customers and globally interest rates are going up, is there a change in the payment terms that we have seen or it is that, they have kind of, as also you indicated, there's a change in the production schedule that probably they are planning, which is their plan of inventory management and stuff like that. So if you can give us some sense, where is it their own inventory management or payment terms? As of now, there is no change of payment plans. Even if there is a, next quarter, the revenues will be higher. But payment terms are based on the delivery to USA, 45 days from that. So that is going to be there in future also. And by end of the year, as our MD said, our revenues will be higher than the last financial year. So that's not an issue at all. And we are getting all payments on time. Only last 18 months, I have seen only two, three instances where there is a slippage to the next week it happened.

Okay. Got it, sir. And sir, in terms of our plans for this electronic control system, cable harness assembly, if you can give us some sense of how it is progressing and what are the plans there, maybe for say FY '25, because that segment also looks very interesting from a growth perspective?

As I said earlier, we've already established the facilities for the cable harness, and right now we're g

etting qualified for Bloom, and we're also working with various domestic organizations and multinationals as well to get qualified. So we are on track with that. So this year, we are going to qualification process on that area and once we do that then we will be able to start generating revenues from that area as well.

So we are progressing pretty well because right now we have established everything and we are also releasing the first articles to Bloom in this quarter itself. And once that's done, we'll be able to supply those things to them. Similarly, we're working with a lot of other defence organizations, getting qualified within India itself to work on this. So ultimately, the game plan is to be a fully integrated company, which I mentioned earlier, over the next two years, and we are trying to do that.

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Amish Kanani:

Srinivas Reddy:

Amish Kanani:

Moderator:

Sanjaya Satapathy:

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And, sir, the related question is the products as a percentage of our overall sales is increasing, which you know will give us revenue beyond our order book. The question is how does the gross margin as a segment, is it increasing our gross margin and EBITDA margin or it's dilutive just as a group?

No, the product-based gross margins are pretty high. It's beyond 60%, around 60% plus. So that should not be an issue at all. Most of our products are doing very well. Some are even more.

Some are, we average out at about 60%.

Okay, thanks. Thanks a lot and all the best, sir. Thank you.

Thank you. The next question is from the line of Sanjaya Satapathy from Ampersand Capital. Please go ahead.

Yes, sir. Thanks a lot for the opportunity and the impressive top line growth. But as has been the case for the last couple of quarters, there have been issues relating to working capital and margin, which you were saying that will improve. One question is that, this nuclear power order that you are talking about INR500 crores, is it for any specific plant, that Kaiga 1 or 2 which you have been talking about?

It's for Kaiga 5 and 6, there are two new reactors, which are coming in, right? So that's for the entire package.

Those two plants, are they not being held up due to some NGT, environmental permission issues?

No, not at all. Not these two plants at all. So already they have Kaiga 1, 2, 3 and 4 in operation, right? So now this is 5 and 6. There's no issues with this at all.

And sir, my last question is on that, you're talking about expanding, setting up factories in Europe and US. So this client of yours, is it like bulk of the revenue will accrue to you outside of India and even though gross margin will be good there, managing the manpower etc.. could be a different ballgame altogether?

I don't think so. We have already started working on it. A lot of the employees will get trained in India itself and we have already discussed with the concerned organizations or departments in Europe and as well as in the US. So that's not an issue at all. So some of them will be being posted there. So we have very good plans for that. We are working on it. So that should not be an issue.

'What will be the overall capex towards this particular client's business?

No, this is a very large revenue-based project. So it will not be much, but we still have to work on those numbers. That's what I've said that right now, there's a lot of interest for the customer for us to establish it there, so working out on the numbers. So once we have more clarity, we'll be able to do that.

Understood. Thanks a lot, sir.

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Moderator:

Anika Mittal:

Srinivas Reddy:

Anika Mittal:

Moderator:

Deepak Narnolia:

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Thank you. The next question is from the line of Anika Mittal from Nvest Analytics Advisory.

Please go ahead.

Hello. Good morning. Sir, Bloom Energy has recently launched advanced PHP solutions for net zero heating and cooling. So, will there be any positive impact on the company or can we see any order coming from Bloom Energy on this side?

Yes, we're expecting a lot of things happening between Bloom and MTAR. So as and when things happen, we'll update all of you. But it is going in the right direction and, it's very exciting for us also, the kind of revenue growth, they have shown in the last quarter Bloom by itself. So ultimately that's going to even help MTAR moving forward. So that's where we are.

Okay, sir. Thank you.

Thank you. The next question is on the line of Deepak Narnolia from Aditya Birla Capital. Please go ahead.

I had questions about your sales trend and margins. So, basically this quarter your clean energy sales was INR105 crores. So, like in our last meeting you had mentioned that there would not be any delivery of Keeylockoo boxes this year. So how many Yuma boxes are there in this quarter, sir?

Which one?

This Yuma boxes?

Yuma is about 950 boxes we have done. See, I have explained this earlier. We are doing 950 boxes.

I missed actually.

Okay, no problem. I will explain you again. We have done 950 units this year, this quarter. And I've given a breakup of the next three quarters as well, which we are right on target. We are doing about 418 plus 440, that's about 958 for next quarter and 1,144 for Q3 and 1,718 for Q4. These are the clear indicated numbers given to us for dispatches.

So, the total in the year would be, sir?

The value of clean energy revenues would be close to about INR590 crores to INR600 crores for this year as compared to INR441 of last year.

Okay. And sir, your other product segment also significant growth is expected in this year because of this ASP product delivery and how is the ramp up in that segment is going on in this quarter?

Yes, so last year we have done INR23.7 crores. So, this year in the products division and others we will be doing INR123 crores.

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Deepak Narnolia:

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And sir second question is about your profit margins. So, there is a significant decline in this quarter. I mean, the last eight quarters, you haven't delivered this kind of margin. Although, this is a decent number, but still in comparison to your past trend this looks relatively poor and I think this quarter there was a significant increase in your other expenses. So, what exactly is it because of product mix or any what particular reasons are if you can elaborate on this?

Yes, I explained this earlier, probably you missed out on that. So, as I said clearly, if you look at our product mix moving forward over the next three quarters, if you look at last year to this year, we are doing, last year we have done INR112 crores higher than Bloom hot boxes and sheet metal. This year we will be doing around INR300 crores plus, INR315 crores is what I have said.

So, that is substantial jump where the gross margins are much higher and we have also given a revenue guidance of 45% to 50% which translates to INR830 to INR860 crores and in that we have INR315 crores of higher gross margins that we are looking at. So, overall the gross margins would improve from 49% and odd to 52% quarter-on-quarter basis. And there will be a reduction of other expenses percentage from 11.5% to 9% over the quarters by end of the year and employee benefit expenses percentage would come down from 16% to 12% percent by end of the year.

So, we have very clear track in terms of confirming that we would achieve the overall EBITDA of — don't look at this particular quarter, but overall for the year we will be definitely achieving our revenue targets plus the margin indicators of 28% plus minus we are very clear on that act. And sir, one more question if I'm allowed to, in your working capital, sir.

Go ahead.

In the working capital, sir, apart from this Bloom receivables, which you received in the month of July first week as you have mentioned in the presentation. But your payable days have also again declined. So, as far as I remember, till last quarter, you were working aggressively in your payment terms and getting increasing your payables. So, again, this has shown a reversing trend. So, is there any particular reason for that?

Can I say -- see today the payable days has come down because there are domestic programs we are buying the material. As you know, we have received nuclear power project orders for FMBC & FT systems. These are all the specialized steel we have to buy. Earlier we used to pay advances now some LC conditions, but it is not like 90 days, 120 days.

As far as steel manufactures as you know we can't have so much leverages. So, it is because of mix of the suppliers which contributed lower payables days. But having said that we are trying to maintain 200 days by end of this financial year that is our target we are working on that. But sir as you mentioned that your non Bloom revenue will be significant ramp up this year and for that don't you think that procurement your payables will remain at this kind of level if it doesn't increase further, how will you decrease it further?

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Gunneswara Rao:

Deepak Narnolia:

Moderator:

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Like last year we have some kind — as you know there were supply chain issues last year and we used to inventory for 6 months. Now we are working on inventory levels, we are not purchasing for 6 months or so. We are actually inwarding material maximum. So, 60 days to 90 days before we are inwarding the material.

Many of the material we have already received for the coming quarter sales and the next two quarter sales we have already have the material for which we don't procure and we will procure for a fourth quarter. For example, we will procure in the third quarter, that's not a problem.

Already there were some actions because of which our inventories already existing. So, there wouldn't be any problem in working capital reduction.

Okay sir. Thank you.

Thank you. The next question 1s from the line of Arafat from InCred Capital. Please go ahead.

Hi, sir. Thanks for taking my question. I'm audible?

Yes, you are. Go ahead.

Yes. So, I just want to understand, let's say, now that revenue 1s led by Bloom energy only, so by when do you expect that the non Bloom energy will exceed 50%? So, any timeline in terms of years?

We are looking at that. See, I said very clearly, right, earlier also that the other segments are generating INR315 crores this year as against INR112 crores or INR105 crores last year. That's a substantial jump. That's a big indicator for all of you to know that that's a big number to look at it and so obviously hoping that next year with the Fluence coming in and other projects coming in we should come to that level what you're saying.

But at the same time Bloom 1s growing every year. So, there's nothing wrong with that right. So, we're also developing, so what you should look at is the absolute numbers. How we are growing with the other numbers because the value added is more in the other numbers. So, the INR315 crores from INR112 crores is a substantial jump, which is a big indicator for all of you to know that the company 1s really diversifying

in terms of execution of the projects as well in the other segments.

Okay. And sir he last question, again, on the new product pipeline and again new client except Fluence. So any things on that?

We have given a lot of customer base in the pipeline in the presentation, you can have a look at it. They're all very good companies which we are working upon and also we have received orders of some of the customers which you have shown under the existing customer base what we have there. So, it's very clear indication that we are really diversifying big-time in terms of customer base as such.

Okay, okay, fine sir.

Thank you.

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Moderator:

Rajesh Kothari:

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Srinivas Reddy:

Rajesh Kothari: MTAR Technologies Limited

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Thank you. The next question 1s from the line of Rajesh Kothari from Alpha Accurate Advisors. Please go ahead.

Thank you, sir. Thanks for providing an opportunity. A few questions from my side. Over the next two years, three years by FY 25, FY 26, how do you see the overall revenue mix? That's question number one. Question number two is I missed your opening remark, but your product business has contributed significantly in first quarter, and despite that your margins are less. So, just trying to understand what led to that, and you mentioned that margins will improve because of the various things, but despite the high product segment, how your margins came down?

See, as far as the margins, technically, we have done, as I said earlier, the first point is that we have created a manpower base, keeping that 45%, 50% growth in mind. So, we need highly technical and skilled manpower, which is already in place, which is getting absorbed by the company in the first quarter. Point number one.

So, point number two 1s the products, what we have done 1s about INR23 crores as against 123 for the entire year. So, that's just about 15% of our overall revenues, right? So, we are looking at INR830 crores, INR860 crores, that's the kind of revenue guidance we have given and we have all that in place. So, when I said that employee benefit expenses because of these higher

revenues over the next three quarters will drop by 4% and other expenses overheads will drop by about 2.5%, 3% so that's how...

No, but your GP also reduced no your GP also reduced am I right? I mean...

GP 1s at 49.96 as compared to 48% last quarter so that is improved about 52% moving forward because of the higher domestic sales that we are going to do over the next three quarters.

Got it. And if you can answer my first question, how do you see over the next three years in terms of the overall revenue and how do you see the mix within the revenue?

See, I have clearly said in my last earnings call, we are looking at, we have a clear roadmap of MTAR being a INR3,000 crores revenue-based company by FY'28. And it will be well diversified over various customers that we have. Looking at like, for example, Fluence is coming in. We're looking at a lot of other new customers if you look at our presentation. So, the revenue mix will be more or less distributed very evenly.

It also depends on how Bloom grows, right? So nothing wrong with that, but the other segments also will grow very well over the next five years, especially once we get our defence license, our opportunities also will go up in defence area as well. So, let's see how it goes.

I see, so, FY28, of course, as you as you said you are targeting INR3,000 crores revenue, but if you look at say a little bit in the same midterm plan say FY'25 or FY'26 you said you are also evaluating the setting up capacity in USA because of your request from a customer can you elaborate little bit on this, what basically -- what kind of capacity what we are looking for what kind of a segment what you are looking for?

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Rajesh Kothari:

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See these are the units which are for energy storage systems I've explained that clearly right now we're going to establish it in India and the next step 1s to do it in Europe and US as well based on the customer request right they shortlisted MTAR as the only company which can work on this, the kind of engineering knowhow we have.

And all these things are going to generate much higher revenues for us moving forward. If you look at the U.S and Europe operations, we are looking at almost like 10,000 units per year requirement. So, starting with 1,000 units for only India operations as of now is what we are going to establish here, but again that's going to grow based on the export opportunities we have in Asia, Australia, New Zealand, etcetera.

The 1dea of implementing these projects in the US and Europe is because of the subsidies and the support that each of the governments are giving back there for local manufacturing is that what we are looking at right now.

Oh I see and this basically in case if we take it forward does it require a significant capex or it is basically medium sized capex and since you mentioned that let's assume you know 10,000 units per annum, let's assume, hypothetically this is basically translates into what kind of a revenue opportunity?

It's more than INR1,000 crores is the kind of opportunity we're looking at. And one more thing is the kind of support we get in Europe that very well that European Union supports in terms of funding, in terms of manufacturing units in Europe and also in U.S there's a lot of higher accredited entities especially the inflation detection act which has been announced by the government there. So, it makes a big difference in terms of getting that kind of support in terms of tax rebates and various other things that we can get from them.

Great sir. [see great sir, super. Wish you all the best. Thank you very much for your insights.

Thank you.

Thank you very much. Due to time constraints, we'll have to take that as the last question. I would now like to hand the conference back to Mr. Srinivas Reddy for closing comments.

Thank you, everyone, for joining us today in this earnings call. I really appreciate your interest in MTAR Technologies. So, as I said earlier, I would like to reiterate once again that we are right on track with our revenue guidance and margin guidance as well and over the year, we'll definitely achieve the guidance what we have given we have never failed in the past we neither fail in the future as well. Thank you once again for all your support.

Thank you very much on behalf of MTAR Technologies Limited that concludes the conference.

Thank you for joining us ladies and gentlemen you may now disconnect your lines.

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Bandra (E), Mumbai - 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 09th November 2023.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Thursday 9th November , 2023 .

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia
Company Secretary and Compliance Officer

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"MTAR Technologies Limited
Q2 and H1 FY '24 Earnings Conference Call "
November 09, 2023

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR –
MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – SENIOR MANAGER ,

MODERATOR : MR. IRFAN RAEEN – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to MTAR Technologies Limited Q2 and H1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Irfan Raee n from Orient Capital. Thank yo u and over to you, sir.

Irfan Raee n: Thank you, Yusuf and good morning, everyone. On behalf of MTAR Technologies Ltd, I extend a very warm welcome to all participants on Q2 and H1FY24 financial results discussion call.

Today on our call, we have Mr. Srinivas Reddy, sir, Managing Director and Promoter, Mr. Gunneswara Rao , sir, Chief Financial Officer and Ms. Srilekha , Senior Manager Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on company's website. I would like to give a short disclaimer before we begin the call.

This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guaranteed for our future performance and involve unforeseen risk s and uncertainties.

With this, I would like to hand over the call to Srinivas, sir, for his opening remarks. Over to you, sir. Thank you.

Srinivas Reddy: Thank you, Irfan and hello and good morning to everyone . Thank you for taking your time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao , Chief Financial Officer, Ms. Sr ilekha Jas thi, Senior Manager Strategy and Operations and Ori ent Capital, our Investor Relation Partners . We have uploade d our updated investor deck , press release and results highlights on the stock exchange and company website. I hope everybody had an opportunity to go through the same.

So, MT AR has delivered a top -line growth by clocking a revenue of INR166.8 crores with a 32.2% year -on-year increase. We have recorded an EBITDA of INR26.1 crores during this quarter. The most important aspect I would like to discuss today is about revision in our guidance. We have revised our annual guidance for FY24 to a revenue for around INR670 to INR700 crores as against previous guidance of around INR830 to INR860 crores with an EBITDA of around 26% plus or minus 100 basis points.

This is due to the deferment of shipment plans against the confirmed orders in the clean energy sector for the next fiscal year, which has impacted our growth in the short term. How ever, we anticipate a healthy long -term growth as we are expecting significant inflow of orders in the second half of the year from new customers as well as existing customers, which will enable us to maintain our closing order book around INR1,400 crores to INR1,500 crores. As far as this quarter is concerned, we have witnessed around INR80 crores of order inflows.

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We are expecting around the rest of the orders coming in from the clean energy sector, nuclear space and defense sectors, which will enable us to have a closing order book of INR1,400 to INR1,500 crores. The revenues from domestic shall pick up in the second half of the year due to major dispatches in nuclear space and defense sectors that we are anticipating at this point of time. I would like to assure all the shareholders that the company's long -term growth story is intact as we are working on enhancing our product portfolio and expanding our customer base. Also, the sector's company is catering to our witnessing significant growth. Our CFO, Mr. Gunneswara Rao -CFO , will throw m

ore light on the financial performance of Q2 FY24. Over to you GR.

Gunneswara Rao: Thank you, everyone. Thank you, Mr. Srinivas Reddy. Good morning to all of you to join in this earnings call. I will take you through the financial highlights, post which we will open the floor for questions and answers. Our revenue from operation s at INR166.8 crores in Q2 FY24 as

against to INR126.2 crores in Q2 FY23, which translates to a 32.2% increase on a year -on-year basis. And the company also reported EBITDA of INR36.1 Crores in Q2 FY24 as compared to INR34.9 crores in Q2 FY23. There is a 3.4% increase on a year -on-year basis. profit before tax is at INR25.7 crores in Q2 FY24 as against INR33 crores in Q2 FY23, which is a 22.1% decrease on a year -on-year basis. However, which is covered by the profit after tax.

Profit after tax was INR20.5 crores in Q2 FY24 as against INR24.7 crores in Q2 FY23, which led to a 17.1% decrease on a year -on-year basis. Our net working capital stands at 287 days, where there was a reduction in receivable days and inventory days. However, there is a sharp reduction in payable days that has led to an increase in working capital days because of liabilities paid for inventory purchases during the last quarters based on annual projections. As per the revised projections, current inventories will be sufficient to a major extent to meet the production requirements of the next quarter.

We will be working on reducing net working capital days by the end of this financial year. So let us see how it goes based on the revised guidelines. We are all working on reducing the working capital days as much as possible.

So as discussed by our MD, we recorded healthy top -line growth and the company is working to generate revenue of around INR670 crores -INR700 crores by the end of this financial year, with EBITDA of 26% plus or minus 1%. We will open the floor for discussion. Thank you all.

Moderator: Thank you very much. First question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: I just wanted to check. Because we have seen healthy growth, low energy, 37% growth this quarter, 33% YTD. So why the sharp deferral in terms of revenue guidance for us? And in terms of ordering, we had indicated INR500 crores from clean energy. So do we still expect that sort of number to come through?

Srinivas Reddy: Yeah, I'm sorry. I was on mute, actually. So basically, if you remember, Bloom Energy has shifted certain shipment plans on two counts, which is definitely not alarming. I visited them for almost three days in the US to discuss the future growth plans and the current situation. One is, MTAR Technologies Limited
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there is a deferment of roughly about 1,200 units of hotboxes to the next fiscal year. The primary reason being is they wanted to correct their inventories.

The reason they have mentioned is obviously because of the reduction in the transit time from 12 weeks to six weeks post -COVID era. They had to correct their inventories. Second is, they have moved on from Yuma to Santa Cruz 100%.

The reason which is very clear is that from Yuma, you're generating 50 kilowatts, and Santa Cruz generates 65 kilowatts. So we have made a couple of changes in the design. We're working with Bloom on that, which made a lot of sense to me when I visited them.

I visited their facilities as well. They're fully gearing up to Santa Cruz, which generates 65 kilowatts. First, we manufactured the Block 1, and now we are going to the modified version of Block 2.

So what we're going to dispatch in this quarter is everything related to Santa Cruz Block 2, which is what is the final version of generating 65 kilowatts for them, which made a lot of sense to all of us. These are the two primary reasons. I don't see any other reason for this correction what we have

made in our guidance.

Primarily, it is coming from the reduction in the hot boxes for the current financial year, calendar year for Bloom, and for us. If you look at the calendar, it is 4,600 to about 1,160 or 200 units less. And then we move on to ramp up the Santa Cruz model.

See, we have to look at the long -term perspective of Bloom and as well as MTAR. Now, moving to Santa Cruz will benefit Bloom to a very great extent, thereby generating almost 30 % of higher power output with marginal cost increase. So this is just a temporary correction what they have made.

And when we are phasing out from Yuma to Santa Cruz, it's a matter of one or two quarters. But even MTAR is gearing up to ramp up the Santa Cruz model to the extent where we can generate more units every quarter. So that's exactly what is happening right now.

And as far as the orders are concerned, they are well -poised to give orders for Santa Cruz. They revised the Yuma orders back to Santa Cruz right now. And moving forward also, they said that they will continue to release orders.

And their demand or whatever, they are working on their back -to-back order book position, which is very strong, to enable them to place more and more orders quarter -on-quarter basis. That's what they mentioned to us.

Deepak Krishnan: Sure, sir. Maybe just one follow -up. Just wanted to understand the sharp reduction in payable days from about 108 to 49. What is caused by this? Because we're not seeing any other reduction

in working capital for revised sales guidance. But this sort of pretty sharp reduction. And is it one or two sort of normalized after this?

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Srinivas Reddy: let me explain this and then you can answer. What has happened is when I was talking to Bloom, when you have a deferred shipment plan, we were committed to sourcing all the raw material and bought -outs ahead of the plan because there are definite lead times for that.

Technically, most of our shipments either were in transit or have been dispatched by them. So, we are holding higher inventories because of the deferred plan. Secondly, based on the kind of rating we have in D&B, we tend to pay all our payables on due dates. So, we are forced to pay each and every payable on due date. So, most of our inventories, which we are holding right now, are more or less paid. And we don't have to buy further inventories.

The inventory reduction is going to be on the maximum side over the next two quarters. So, that's why you see a reduction in payable dates right now. But moving forward, we'll consume a lot of our inventories moving forward. And as well as the payable days should go up over the next two quarters based on our purchase. GR, do you want to say more on this?

Gunneswara Rao: Yeah. Actually, you covered everything. Today, we are following the value stream mapping for each and every major process. For payable dates, in order to pay on time to the supplier is also one of the important criteria for us in this value stream mapping. So, we had discussions internally and we tried to reduce a lot of quality clearance days and everything we wanted to pay on time to our suppliers. So, that is one of the reasons. And the other reason is whatever Srinivas Reddy explained.

Deepak Krishnan: So, maybe just one final question. Just wanted to understand on the margin. We've cut the guidance down to 26%. Now, essentially, if Clean energy goes down, the mix should help us improve margins. So, it's like overhead is offsetting all the impact of favorable mix that can come into it?

Srinivas Reddy: Yeah, absolutely. See, Deepak, when I said 26% plus minus 100 basis points, earlier I said 28%. See, first of all, there is a reduction in the guidance numbers given by us. But there is a ramp up on the domestic sales over the next second half of the year. Whatever we have done i

n the first

half, we are doing a lot more in the second half, which I have mentioned earlier. So, if you're looking at roughly, let's say, INR400 crores or INR370 to INR400 crores, almost INR150 crores, some about INR140 to INR150 crores will come from domestic and the rest from the export sector.

So, what we are looking at here is that we would like to be a little bit conservative on our estimates because of the reduction in the guidance plan and also see where all we can enable to have certain cost reductions happening at various levels. And then we want to move forward with that. But this is something which we'll be able to achieve comfortably and then we'll see what best we can do in terms of upside, what we can get.

Deepak Krishnan: Okay, sir. Thank you.

Moderator: Thank you. Next question is from the line of Deepesh Agarwal from UTI Asset Management Company. Please proceed.

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Deepesh Agarwal: Yeah. Good morning, sir. So, my first question is if you can help us with the number of the Yuma, Santa Cruz and electrolyzers delivered this quarter and expectation for second half and next year?

Srinivas Reddy: See, what we have done is there was a phase in and phase out of Yuma this quarter to Santa Cruz Block 1, which I've said. So, we have done roughly close to about 400 units of Yuma and 200 and odd units of Santa Cruz Block 1, which has now been revised upwards to Block 2, as I mentioned, which is the final version of Santa Cruz. That's what we have done this quarter.

And moving forward, we have an indication of doing – we have to again ramp up the Santa Cruz Block 2, which is going to be there as a final version for Bloom, as I explained earlier, because of the higher power output and which is a very good achievement by both the companies to work together. And especially for Bloom, it makes a lot of sense to move away from Yuma and then come to Santa Cruz Block 2. And a lot of effort has been done to move into that direction.

So, we're looking at doing ramping up to 528 units and probably the last quarter, we're anticipating a much more ramp-up happening in terms of Santa Cruz Block 2. And as far as electrolyzers are concerned, we are poised to dispatch around 44 electrolyzers this quarter and about 66 next quarter. That's what Bloom has indicated to us.

And then, based on their order book, how they're going to book the orders on electrolyzers, they're going to release further orders on electrolyzers as well. Okay.

Deepesh Agarwal: So, do you expect that starting next year, we'll still go back to that previous generation? This is just purely an inventory correction?

Srinivas Reddy: This is not a purely inventory correction, Deepesh. As I said, it is also the change of model. In engineering, when you change from one model to the other, there is a phase-in and phase-out which happens, which normally happens, which is very important for Bloom and as well as supply to Bloom as well, right?

When you're generating more power at a lesser cost, it makes a lot of sense. So, obviously, this is just a correction and we'll go back to the normal sequence, the growth pattern, which I clearly mentioned that the growth pattern is there as it is. There's nothing changing from that angle.

That's part of it.

Deepesh Agarwal: Sure, sure. What is the update on the Fluence?

Srinivas Reddy: See, the update on Fluence is that we have almost finalized with Fluence. So, basically, we are trying – there are final negotiations which are going on. So, they want us to start off with about 1,000 units for next year, which is roughly around – INR120 to INR130 crores range what they're looking at.

So, final negotiations are going on. This is purely for export as well as for domestic. And in the long run, they want us to build facilities in a manner in which they can go up to about 3,000 units plus

per year for their export and domestic requirements. So, the discussions are going on.

So, hopefully, in this quarter, we'll be able to close that issue for good.

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Deepesh Agarwal: Okay, sure. And, sir, the other question is on the margin. So, if we see last three, four quarters, the margin has been weak. So, if we started with 29% kind of a range, then 28%, now the margin profile is much weaker. So, anything to read into this over a longer term or is it a transitional phase and we should go back to that 28%, 29% margin range?

Srinivas Reddy: See, there's one thing which I want to mention to all the shareholders is that what is most important is we're also investing for the future. If you look at the manpower cost, it's not about, this is a highly technical-based company. So, things don't happen overnight.

So, what we're investing today is for the future in terms of our cost. So, basically, when we look at for a company like ours, when we're looking at 26%, even now when I said 26% because of a valid reason, but in the long run, we'll definitely move to a higher margin level. I would not say like 29%, 30%, but definitely, we'll proactively look at how we can actually margin close to about 28%.

That's what we're looking at over the next one year and moving forward as well and trying to improve it further and further. So, it's a combination of everything and the entire team is working on it. And apart from the margins, the lot of other good thing is that a lot of new customers are joining us.

So, I don't want to go specific into customers because I could probably give more details in an investor one-to-one meeting, but what will happen is I'm getting a lot of pushbacks from many of my customers in terms of the kind of in-depth details I'm giving in all these calls, which have been very transparent to every one of you.

So, basically, the kind of work which is being done within the company is phenomenal in terms of products, in terms of what we are actually working on in the R&D division for the future. And all of you can be rest assured that MTAR is on a growth track. There's only a temporary correction because of the change in model and inventory correction, which I mentioned. Other than that, we are adding a lot of new customers, which is a good sign for us.

Deepesh Agarwal: Sure. I'll join back to you.

Moderator: Thank you. Next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Good morning, Mr. Reddy.

Srinivas Reddy: Hi, Jonas.

Jonas Bhutta: Just a couple of questions. Firstly, sir, when you say that about 1,000 to 1,200 hotboxes have moved from FY'24 delivery to FY'25 delivery, so would that mean that this year we will close the year with sort of flattish? So, I think last year we did close to 4,500 - 4,600 numbers. This year will be flat, is it?

Srinivas Reddy: Yeah, see, overall, it's not about these hotboxes. Obviously, because we're differing but the change in model from Yuma to Santa Cruz, they've explained very clearly on us. and secondly,

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obviously, that change transition will happen over the next one to quarter. That's what we're doing right now. We're also ramping up for Santa Cruz Block 2, which is very critical for Bloom as well, because all of us should understand one thing that when we're able to generate more power, obviously, we would like to get up to that particular model, which has been redesigned and done, which is a fantastic thing, especially from Bloom also, and also entire existing Bloom on this part of it.

So, the revenues will not be flattish, obviously. Overall revenues from 574, we are moving up to close to 700. But moving forward, again, the growth track is always there intact in terms of the demand, what we have right now, the in

dication of what we have.

Jonas Bhutta: Got it. And on the sales mix, which is giving you confidence that you will get to a 26% margin number by year -end, when you say that the domestic business, which is effectively the non -Clean energy business, if we have to look at a INR670 crores top line for the full year, it implies about INR360 odd crores in the second half.

Last year, we did about INR85 - INR86 crores from these non -Clean energy segments. What would be that in the second half of this year, so as to give us this confidence that the sales mix isn't going to be in favor of domestic, and hence the margins will go up?

Srinivas Reddy: If you look at the domestic, it's a very good question, Jonas. See, if you look at the domestic business, the first half of the year, probably we have done around INR50 -plus crores. But the second half is quite close to about INR145 to INR150 crores. And we have estimated, based on before giving the guidance very carefully, and based on this jump of domestic sales happening in the second half, which normally it happens, we'll be able to clearly achieve what we have mentioned in our guidance.

Jonas Bhutta: Understood. And the last question I had was just a status update, because now, if you are at a INR1000 crores backlog, and you are looking at a INR1400 to INR1500 crores closing backlog, and in the intervening executing another INR350 INR360 crores, which effectively means that you need close to INR800 crores of new orders in the next five, six months. Can you just give us a status update on how much of that from clean energy, and how much on nuclear, where do they stand, and can they realistically flow through by March 24?

Srinivas Reddy: The first update I would like to give is that, as I mentioned to you, two reactors, Kaiga 5 and 6, the tenders have been opened. There are three competitors for that. This is available on the public domain as well. One is BHEL, one is L&T, and one is Mega Energy. Three of them I have bid for this project, out of which MTAR's actual number is around close to INR600 to INR700 crores, but I have mentioned earlier that I am looking at around INR500 crores of order intake coming from these companies as such, because we are qualified for 17 packages out there. What information I have right now is that probably they will finalize it by the end of December.

The price will be reopened, and they will finalize it. Then MTAR should have a back -to-back order coming in the last quarter of this year, which I have mentioned earlier, and I maintain the same thing. And it is progressing in the right direction, because these two projects, Kaiga 5 and MTAR Technologies Limited

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6, especially the PMO office is looking at implementation within four to five years, or probably in four years' time. That's why they are doing this kind of experiment with Kaiga 5 and 6.

But the rest of the orders or reactors will go in the normal situation of directly placing orders with MTAR, so that's what it is. Now, we are expecting a lot more orders coming in from space, the way we have done remarkably well in terms of successful launches that we had recently.

And also in the defence sector, we are getting a sizable number of orders over the next couple of quarters. See, as far as clean energy is concerned, we are getting enough orders. The new customers just said, I don't want to go more into the details in this call, but we are going to get substantial orders from the other new customers that we have.

And Bloom, obviously, is going to release orders, as I said, they're going to release orders on a quarter -on-quarter basis. So keeping all this in mind, we should be in a comfortable position to have a closing order book of INR1,400 crores odd close by the end of this year.

Jonas Bhutta: Sure, sir. This is helpful. I'll fall back in the queue and wish you all the best, sir. Thank you.

Moderator: Thank you. Next question is from the line of Yellapu Santosh from Asian Market Securities. Please go ahead.

Yellapu Santosh: Thank you for the opportunity, sir. First, I would like to understand, sir, some part of the growth for Bloom in the recent quarters has been driven by most of the deals being pursued through the tripartite agreement. I think now with the interest rates almost the first thing, we have seen the

gas prices getting doubled, and now we are seeing the interest rates also getting doubled almost. What we get to understand is that, the viability of these projects is not that easy for Bloom to grow through this strategy. So have you heard anything on that? Even Bloom in its con call has also mentioned that, if I'm not wrong, I think some 60 gigawatts of projects are running slow. So just wanted to get your perspective of how does that impact our business coming from Bloom?

Srinivas Reddy: I don't think there is. I've been there for almost three days with Bloom, and they have said that, they're going to release the orders. The main focus was on the new model, which makes a big difference for Bloom. I don't see any other reason, why there should not be any kind of – they've not indicated any kind of slowdown in growth, but they're also looking at placing orders based on back-to-back orders they have, and they want to move forward in that direction.

And they have indicated to us that things will get back to normal and the growth phase, once we ramp up on the standard we'll walk to. So that's what they've indicated to us. And they said that the upside, the order book position will go higher and higher based on how they also get back-to-back orders from their side. And they're pretty confident about it, and that's what they've mentioned to me very clearly.

Yellapu Santosh: And, sir, on the call, you just mentioned that they're getting more acceptance on the use case for their electrolyzers with multiple platforms. So can you please give more insights upon what could be – how would it translate for us from an opportunity point of view?

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Srinivas Reddy: Yes, our electrolyzers have already been proven, as I mentioned in the last call. So they've asked us to dispatch two consignments of electrolyzers this quarter and three consignments next quarter. So once they book the orders, they said the back-to-back orders will come to MTAR.

So we are hoping that they will get over the next couple of quarters by – before March, I'm hoping that they will book enough number of orders so that MTAR can benefit from that and start the electrolyzers dispatches from there on.

Yellapu Santosh: Any volume numbers for the next two years, sir? '24 and '25 and '26, please, on electrolyzers only.

Srinivas Reddy: Santosh, it depends on the kind of order booking Bloom has on that. So they're very optimistic and very, very confident that they'll be booking enough orders. But I can't quantify the numbers.

But as I mentioned earlier that vertical is going to pick up as the whole world is moving forward.

So hopefully that we start generating enough revenues for next year.

Yellapu Santosh: And, sir, on the non-defence related, for last, I think if I'm not wrong, for five quarters, six quarters, we've been hearing new clients names, new clients getting added from the likes of GE, Andritz, Voith, all these companies. But I think we hear that we qualify for the first batch of, works to be done. But after that, I haven't heard much on the traction from these clients or even on the defence side. Like, if I'm not wrong, we had some qualification done with the Tata, and other IAI, but not much has happened. Can you please give some insight? What can happen from these new clients in the next at least one year to two years point of view?

Srinivas Reddy: No, obviously, we have done a lot of first

articles, we have done certain batch productions,

everything has been proven right now. It's a matter of time that we get up into a much higher number. For example, in the new fabrication shed, we are looking at a substantial growth in revenues because of all these clients for next year.

In engineering, Santosh, if you understand, you know very well that once there's a process of doing the first articles, then the pre-production batch numbers, and then we go on to the regular stuff. So a lot of effort is being done on this. And this is exactly what I'm trying to say is that, there is a lot of internal work which is being done in MTAR for the future, which does not reflect in your numbers.

But believe me, we have done some fantastic work, and we will have those results over the next year and the year after that. So absolutely, we are on track with all of those things.

Yellapu Santosh: Okay. And sir, lastly, on the SSLV technology front, have you participated in the tender or where the request was invited for the transfer of technology?

Srinivas Reddy: We have not, still it's in a pre-qualification stage. The tender is not like officially done. So that we'll know about it probably a month or two month later. But our main focus is on our own SSLV, right? We have probably over the next quarter, we have done a substantial progress in our SSLV development program. And this is something which is not reflecting anywhere for all of you to understand.

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So we have done a phenomenal progress. We are right on track with our milestones. And probably, I would ask my senior project director, Dr. Vedachalam to update all of you in the next call. Or any one of you are free to visit our company to see the kind of progress we have done, which I personally reviewed it the other day.

And we have done a phenomenal progress in that. And probably all of you are free to visit our company and see the kind of progress we have done successfully, which I'm really impressed with the kind of effort being done by the team of scientists working right now on that.

Yellapu Santosh: Great, sir. Just follow up on this. I need a clarification. Because NSIL Chairman has indicated that only one company will get the TOT done for this SSLV. If we don't get the technology, will this program stop for us or we'll find a way to build it internally? This is where I'm just stuck up at. Are we just dependent on the technology transfer or we are working in-house? How to look at it from that point of view, sir?

Srinivas Reddy: You're getting confused, Santosh. The SSLV program what NSIL has started is purely NSIL's internal know-how and technology. That's the best part of it. We are not depending on anybody. What agreement we have with ISRO is on certain testing facilities and other areas which will be taking their help. That is where it stands. It has got nothing to do with TOT as such.

Yellapu Santosh: Okay, understood. Thank you, sir.

Moderator: Thank you. Next question is from the line of Anika Mittal from Nvest Analytics Advisors, LLP. Please go ahead.

Anika Mittal: Good morning, sir. Sir, my question is regarding the Santa Cruz boxes. Are we the sole supplier for Santa Cruz boxes and our product is totally defect-free and good quality?

Srinivas Reddy: We are not a sole supplier. As I said, we hold the majority of the portion of the requirement close to 70%, I guess. I'm not too sure, but it's close to 70%. And there's another company in Taiwan which I always mention to all of you that the rest of the thing is done by them.

Anika Mittal: And with regards to quality, sir, is it defect-free and good?

Srinivas Reddy: Can you repeat that question? I'm not able to hear you well.

Anika Mittal: Sir, my question is with regards to quality of Santa Cruz boxes, is it totally defect-free?

Srinivas Reddy: Yes, absolutely

. That's what I've said. We have worked with Bloom and Bloom has done a phenomenal job as well. I know I was there actually looking at all this and they've done a fantastic job. And it's phenomenal that from 50 kilowatts, they're moving up to 65 kilowatts with marginal cost increase. It's a fantastic thing they've achieved. And we also contributed work with them in areas that they're involved in, not in every area. But that's something which has been crystalized now, finalized and we are moving on with our shipments right now.

Anika Mittal: Thank you, sir.

Srinivas Reddy: Thank you.
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Moderator: Thank you. Next question is from the line of Bala Murli Krishna from Oman Investment Advisors. Please go ahead.

Bala Krishna: Hi. Good morning, sir. Congratulations. Regarding this Santa Cruz boxes, I think then going forward, we produce only this Santa Cruz version 2 or we'll produce some more hot boxes also?

Srinivas Reddy: No, as I mentioned earlier, Mr. Bala Krishna, that the Santa Cruz Block 2 will be the final version and we'll be producing only Santa Cruz moving forward. That's why I said there is a transition from Yuma to Santa Cruz and there will not be any further Yuma moving forward.

Bala Krishna: Okay. And in the electrolyzer, any further orders from any other customer or we are in discussion with any other customer for supply of electrolyzers?

Srinivas Reddy: See, electrolyzers is a completely new product as it is. And Bloom is one of the premier companies that come out with a product which has been proven in the United States as well. So, right now, we are working with Bloom and the others are still in prototype and various other stages. So, we have to see how it goes. But as of now, we are hoping that obviously, the whole world is looking for this. And once Bloom backs enough orders, then we'll also get back to back orders for electrolyzers as well, which is going to happen over the next two quarters for sure.

Bala Krishna: Okay, sir. And regarding the defence license, so who have received the license as you said in the last call? So, what could be the potential in the coming quarter and next year? And any new products we are going to introduce under this license? What is this or some information?

Srinivas Reddy: This is a very good question. Definitely, we have received the defence license after 18 months to two years. And that's something, a phenomenal thing for MTAR. As I said, we have to go through about 20 to 25 different various departments to get the clearance with the clean sheet. Obviously, our team is working on various products. I don't want to highlight them right now. It's too premature, but we are working towards it. And this is something which is going to be moving in a very good position over the next one year, 1.5 years. So, once we are at a certain

stage, then I'll be giving you more details on this. We are definitely working towards those things. I'm sure for it.

Bala Krishna: And lastly, I'm sure this fuel cell technology, but as of now, there is a collaboration between some EV bus manufacturers and players also to produce buses which can run on hydrogen and fuel cells also. So, is there any opportunity for us in a discussion with the Hyderabad-based EV bus manufacturer regarding this?

Srinivas Reddy: No, not right now. See, a lot of announcements are being done, but at the end of the day, all these companies have to come to a stage where they can really come to a level of the kind of volumes that we look at. See, when you look at any customer or any opportunity, a lot of effort goes in engineering in terms of building that product.

For them and as well as working jointly. So, we need to really see the commercial angle of it also and then move forward. So, we evaluate things that way. And let's see how many -- there is

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a sizable kind of opportunities coming to MTAR from all the sectors right now. And we're evaluating each one of them and working towards it. So, let's see how it goes.

Bala Krishna: Okay, sir. That's helpful. And lastly, on your plant visit, maybe in the month of March, April, I may visit. So, I need your help.

Srinivas Reddy: Absolutely. You're always welcome to come and visit the plant. I've said to all the investors, they should come and see because -- see, at the end of the day, it's about what you need to see about MTAR is what we are doing here and how we are poised in terms of what we are as a company in terms of engineering and how we're working on various aspects for our future growth. So, you're always welcome to come and see.

Bala Krishna: Okay. Thanks a lot, sir. All the best, sir.

Moderator: Thank you. Next question is from the line of Ashish Shah from JM Financial. Please go ahead.

Ashish Shah: Yes. Good afternoon and thank you for the opportunity. Sir, my first question is that only production schedule that we expect from Bloom in this quarter and in December. So, is that -- will we get a schedule for the entire next calendar year or it's going to be for one quarter or two quarters at a time? How does this typically work, sir?

Srinivas Reddy: So, they give a clear production schedule for the current quarter and for next quarter, they indicate to us probably in the month of December. The reason being, we already have inventories lined up for whatever volumes they want to give us. In the case of inventories not being lined up, they give us ahead of time so that we can source the material. In this case, we have enough inventories lined up. So, we're expecting the schedule for the next quarter probably in the month of December. So, we are on track with that. That's how it works.

Ashish Shah: Right. So, secondly, a part from the hot boxes or the -- you are simply doing anyone product that you are supplying us, there are other elements of the supply that we have in terms of ASPs, diluents, increasing our volume share there. So, in the past, we have given some visibility of how these things can also scale up, these products can also scale up. So, anything that you can add here, sir?

Srinivas Reddy: See, right now, we are doing products like ASPs, hot boxes, enclosures, sheet metal assemblies and all that, right? So, when I said, when I spoke about the revenue guidance with the hot box deferment plan happened, it had a little bit of effect on the other areas as well, right? Obviously, that's how we came up with the revised guidance number, which will be back to normal as we move forward. That's not an issue.

So, the good thing is that we are qualified for all this. We have done the shipments. They have accepted all the new products that we have done. They are working very well on the field and we are also working on additional products for them moving forward. So, as and when we get qualified, we will be adding a lot more products with them as a customer, which they have asked us to do. So, we are working on those things. So, that will also add up to our future growth, the way we are looking at it.

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Ashish Shah: Right. And, sir, looking at the second quarter gross margins. So, when it looks at the increase in the raw material cost, the proportion, what would you attribute this to in terms of the mix? I mean, what element of the mix drives this and how it will change for us in the next two quarters?

Srinivas Reddy: That's what I mentioned very clearly. The next two quarters, the domestic is almost 3x. The revenue what we have generated in the first two quarters. So, the gross margins will improve and ultimately, the EBITDA will also improve. We have done an estimate of 26%, plus-minus

100 basis points will be there.

Ashish Shah: Right. And,

sir, lastly, we are expecting this nuclear order from Kaiga 5 and 6/GHAVP by the end of this year. Now, how will be the conversion of revenue out of this? Will we see a substantial part of it starting to get converted in '25 or this will take more than 10 months to start flowing into the revenue?

Srinivas Reddy: See, we already have orders on hand and for nuclear directly from NPCL. We will be start dispatching those next year. But by the time these orders come in March, then there is a lead time for raw material and things like that. So, we are more or less, this is not related to the next year number. It will be related to the subsequent year number.

Ashish Shah: Got it. Right, sir. Thank you. Thank you for your answer.

Moderator: Thank you. Next question is from the line of Lokesh Maru from Nippon India Mutual Fund. Please go ahead.

Lokesh Maru: Hi, sir. My question is more around the Santa Cruz boxes. So, what is our capacity at this point? And what is the kind of volume, like number of boxes that we expect to ship in Q3 and Q4?

Srinivas Reddy: See, the capacity is the same as you know. As I said, the design is different, but the assets are fungible. So, that is something which we have done. And we have made some corrections in our manufacturing process to work on the Santa Cruz. That is how the ramp-up is happening. So, we are looking at, as I said, for this quarter, we are looking at around 500-odd units moving out. Then we will have an indication from Bloom on the higher number for the next quarter. That we know by December. Because we have all the inventories already lying with us. So, we are all looking at how we are going to ramp-up with this new design moving forward as well. So, we will have more clarity in the next month.

Lokesh Maru: Some related question. So, we would have delivered 4,500 boxes last year, boxes. Given that the capacity of Santa Cruz is 30% higher, the delivery capacity, I mean, on power side. So, do you expect, by when, I mean, your internal expectation to reach 4,500 first and then outgrow that number? Is it fair expectation to do that by next fiscal and go beyond that? Should it take time?

Srinivas Reddy: I think so. I mean, we will have more details from Bloom as they let us know about it. But as of today, we are on track with what we are going to do for the next year. So, we will be back to the same growth pattern what we are looking at in the past. So, it also depends on the kind of demand they also have. But we will definitely have that kind of numbers. And plus, we are adding a lot

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more other products as well. So, we are clear in the growth pattern, which we clearly said that, which is in fact moving forward. There is nothing changes with that.

Lokesh Maru: So, also, last question on this part. When we shift from 50 kilowatt to 65 kilowatt, there has been a transition period, which we have seen these two quarters. Going forward, when we shift from 65 kilowatt to either 75 kilowatt or 100 kilowatt, the other two variants, is it business as usual? Is it the normal? Does it normally happen that it takes time of a quarter or two to ramp it up and then there is a lull in between? Or do we keep executing? Because obviously, when you shift from 50 kilowatt to 65 kilowatt, you have to discard the 50 ones. So, there is going to be a phase of pain, right in terms of growth or delivery. How do you expect going forward, the Santa Cruz to actually upgrade and the journey beyond?

Srinivas Reddy: The journey beyond Santa Cruz Block 2 is going to stay. To my knowledge, the way I have reviewed things there, at least for the next four years, five years, nothing is going to change in Santa Cruz. That is the highest that we can achieve from 50 kilowatt to 65 kilowatt. But they might introduce, which I have said earlier, they are looking at new models, which will take

some

time. But Santa Cruz is here to stay, for sure.

Lokesh Maru: Okay. So, on gross margins front, EBITDA margin is quite understandable. We have deferred our sales. But what has impacted the gross margin this quarter?

Srinivas Reddy: GR, you want to explain?

Gunneswara Rao: Yeah, this quarter, actually what happened, we have delivered some of the nuclear projects, which was actually going on for quite some time. So, that is actually the overhead portion is impacted this time. Otherwise, there is no issue. But as our MD said, the next two quarters, our domestic sales will be higher. So, it will be their constant to achieve the 26%. And other things below the gross profit, the fixed expenses, operating leverage, we have established all the requirements for INR800 crores turnover, so which has impacted around 2% to the EBITDA margin. So, in the year-end, definitely we will achieve 26%, keeping into the consideration of domestic sales will be higher. Also, we are taking a lot of steps to reduce our costs wherever possible.

Lokesh Maru: No, sir, my question is more on, so obviously, capacity building and overhead costs would be

below gross margin, right? So, just on the raw material cost front, what has impacted?

Gunneswara Rao: See, raw material cost is more or less same for the domestic is lower, and whereas for export is higher. Because of the mixed impact, sometimes it will impact. So, the domestic turnover is also lower in the first two quarters compared to the next two quarters.

Lokesh Maru: Okay, understood, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: Good morning, Mr. Srinivas.

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Srinivas Reddy: Good morning, Bhavin. How are you?

Bhavin Vithlani: Very well, thank you. Sir, this question is on the import substitution opportunity that we spoke some time back, like ball screws, the water lubricated screws, and the roller screws. And what our understanding is, some of these are critical parts for the CNC machines, and this is a segment which is growing very rapidly in India. And is it that are we able to get through to some of the domestic manufacturers for this, because the opportunity could be pretty significant?

Srinivas Reddy: See, the first thing is the water lubricated bearings are used primarily in the nuclear reactors. So, we are the only people who are supplying it, which we are doing it from, it's an import substitute as well. Ball screws, we are moving towards specialized ball screws. We don't get into ball screws mainly on the machine tool area, which is run of the mill stuff. So, we are working with a lot of export companies right now, working on the first article ball screws in terms of exporting the ball screws in various sectors, in aerospace and different sectors. That's what we're doing right now.

And another thing which is important is the electromechanical actuators. We are releasing the first three electromechanical actuators in, I think, quantities of 10 or 15 numbers each to the defense sector next quarter. So, that's something which is very encouraging for us. So, we are working on all these products, which are like 100% import substitute that we're doing right now. And coming to roller screws, we have done everything. Our roller screws have been tested, have been proven. So, we're just waiting for the final certification from the different organizations to approve us. And once it's done, then it becomes another import substitute, which the space and different organizations can use from us.

Bhavin Vithlani: So, of all these import substitution opportunities, what could be the revenues in the current year and what's the potential in the next fiscal?

Srinivas Reddy: So, I've told you, electromechanical actuators over the next three years, four year

s, the

requirement is around 300 to 400 screws. It all depends on the way the different organizations move forward with their requirements. Roller screws, right now, they're importing from Rollviz Sweden. So, once we are certified, then obviously, the entire requirement comes to us. So, I am not able to quantify exactly the numbers, but I've said overall, the market for roller screws is about INR70 crores to INR80 crores. But the margins are very good in that.

Those are very specialized products. And over the last 30 years, 40 years, we have been importing it. So, we are going to put a full stop to that.

Bhavin Vithlani: And would we need additional investment towards the machinery, or we would be able to sweat our assets, existing assets, and we'll be able to get this additional revenues?

Srinivas Reddy: We have already those assets in place. So, we don't need any additional capex for that.

Bhavin Vithlani: Great. Yeah, those were my questions. Thank you so much.

Moderator: Thank you. Next question is from the line of Abhijeet from YES Securities. Please proceed.

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Abhijeet: Good morning, all. Thank you for the opportunity. So, my first question. So, is there any inventory write-off between 2Q FY '24?

Srinivas Reddy: No, we don't have any inventory write-off. GR, can you confirm that? I don't think there's any inventory.

Gunneswara Rao: We have not any inventory write-off.

Abhijeet: Okay. Sir, also, sir, if you look at from the last quarter to this quarter, there has been a sudden change in plan by Bloom for supply. Earlier, we were to supply the Yuma hot boxes from that plant to now supplying the Santa Cruz, which are more efficient. Now, sir, in this technology space, efficiency would be chased by these players continuously going forward also. So, how do we plan to counter this kind of sudden change in plants that we don't take a hit on our books? Because this seems to be quite sudden. Like last quarter, what the plan was from that plan to this

plan now, there is a sudden change, it seems like. So, how do we plan to counter this going forward, given that technology efficiency change would be an ongoing thing, even in the next few years?

Srinivas Reddy: Basically, the change primarily was quickly brought in is because of the kind of additional power output they're getting, which is substantial, right? I know if it is not substantial, then it is gradual phase in and gradual phase out. For example, when Bloom started, they started with a model called Catalina. And from Catalina to Yuma, they took substantial time to phase in and phase out. But when they looked at an increase of power output by 25% to 30%, 50 kilowatts to 65 kilowatts, it makes a lot of sense, right? So, fortunately, there's a design change, but the assets are fungible and not much changes were required. But we also need to ramp up to that level, which is understandable. Such changes, these kind of changes don't happen every time. It's like once in three years, four years like that.

There will be certain design changes which will not affect our ramp up at all. Certain improvements, certain reduction in costs, in terms of the cost related to design, certain small design changes which will reduce the input raw material cost and things like that. So, for example, if they're using Inconel, they might go to some other material which can also give them the same efficiency with lower costs. So, those kind of changes will happen, but that's not going to affect the ramp-up plan at all. So, this is something which has to be done. Looking at the -- this has been a phenomenal effort from Bloom as well, and it makes a lot of sense to us also. Abhijeet: Okay. So, sir, you are reasonably confident that 65 kilowatt hour, so this kind of efficiency is kind of -- this will remain for some time going forward, and for the efficiency i

mprovement that

would come at least some few years down the line. That is what I would understand. Is that right?

Srinivas Reddy: Absolutely. Absolutely, yes.

Abhijeet: All right, sir. Thank you so much for answering the question. That's it from my side.

Srinivas Reddy: Thank you.

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Moderator: Thank you. The next question is from the line of Dipen Vakil from InCred Equities. Please proceed.

Dipen Vakil: Thank you for the opportunity, sir. Sir, my first question is on the order books. Our space and defense segment accounts for almost 18% of our order books. So, how is the execution period for them vis-a-vis execution for the pending order book and for Clean Energy?

Srinivas Reddy: So, Clean Energy is much faster. As I said, only if I -- except for this technology change in -- from Yuma to Santa Cruz got deferred, but other than that, the order turnaround time is very less. That's within the calendar year in most of the cases. And then moving forward, we have to look at it. So, space and defense, they take a lot longer. So, probably, whatever order book we have, we'll try to -- it depends on the pre-issued material.

So, everything is related to the pre-issued given by the department, but there we don't have the raw material content. So, the cycle is more or less like within a year or 1.5 year or two years, we'll be able to close out those orders.

Dipen Vakil: Okay. So, and my second question is on our guidance revision, sir. So, we have downgraded our guidance to almost INR160 crores. So, this deferment of shipment, do you think that will lead to a bump-up in our execution in, say, early FY '25, so most of our regular growth, or even the execution, complete execution will be shifted to FY '25?

Srinivas Reddy: The execution part will be for the next year, right? Whatever has been deferred, right, it will be for the next year, especially moving from Yuma to Santa Cruz. And it also depends on the kind of, the orders Bloom is looking at with the new model, things like that. So, it will not really affect our future growth plans at all. It's a temporary correction, what we have today, the change of model and inventory correction, other than that, I don't see much of a difference happening moving forward.

Dipen Vakil: Got it, sir. Thank you so much, sir, and all the best for the second half.

Srinivas Reddy: Thank you.

Moderator: Thank you. Next question is from the line of Amish Kanani from JM Financial Service. Please go ahead.

Amish Kanani: Yeah. Hi, sir. Sir, a couple of questions. One, if you can give us, because now the order book from Bloom is a little bit more, short order instead of one-year order, which we got it, say, last year this time. If you can give us some sense of the total order pipeline of, say, from Bloom, and also overall from the energy segment, the Clean Energy segment, is it the same or, say, more than 30% same time last year? Because that's the rate of growth that, we have used to grow. If you can give us some sense and flavor of that, that will help, because now we don't know how to look at our order book where we'll have some quarterly schedule from Bloom? Thanks.

Srinivas Reddy: So, Bloom has not indicated that they'll give us on a quarterly basis, but they have said that. But they want to stabilize on the Santa Cruz, version 2 or Block 2 model. Once they do that, then
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they'll move forward to the annual contracts as well. So, that we'll know over a period of next one to quarter. So, it is not that they'll not release orders for the entire year. But as of today, we're looking at quarter-on-quarter orders being released, but probably they will look at giving orders for the entire year once the whole thing gets stabilized.

So, that's already there. It's proven, and Block 2 has been pro-

ven. Everything is right on track

with that. So, the overall growth, as I said, is intact. So, there's nothing to think twice about it.

We've added a lot more companies in Clean Energy. I just don't want to go into details because of a lot of pushback from various customers and internally, we discussed about certain competitors as well. So, we want to be very clear on that. So, the overall growth track is intact for us, and we'll move forward in that direction. There's absolutely no issue with that.

Amish Kanani: Yes. So, I'm not asking for the names of the, peers, but the overall total, order pipeline or prospects, as we call. Is it total prospects this time, versus the last time, last year, this time? Is it, say, more?

Srinivas Reddy: We definitely have that growth percentage, what you have mentioned. That should not be an issue. Overall growth percentage, yes.

Amish Kanani: Okay. And, sir, so, for example, probably we are looking at Bloom growing at between 20%, 25% versus, probably 50%, 60%, expected. So, is it possible for, and given that different execution schedule for different vertical, can you throw some light on, maybe it's too early, for the kind of growth that we might have for FY '25, or the execution timeline of this INR1,500 crores order book that we are expecting by end of this year, how should we look at it?

Srinivas Reddy: It's too premature to tell exactly the kind of growth we're looking at next year. But we are looking at definitely a reasonable and good amount of growth for next year. If I say, like, 30% to 40%, I'll be saying approximately, but I'll have more clarity by the end of, by next quarter. But we are on track with a reasonable amount of good growth going forward next year, for sure. But I'll come out with clear percentages by next quarter, for sure.

Amish Kanani: Sure, that's it. And, sir, overall product size, you did mention on the ball screws side, but overall, how is the product ramping-up? Is it in line with expectation, or it's planning out better than our expectation?

Srinivas Reddy: It's in line with the expectations, what we are looking at, but we still need to get certain certifications done, which will happen over this quarter and next quarter. So we are on track with that. That's not the issue.

Amish Kanani: Okay, thanks a lot and all the best.

Moderator: Thank you. In the interest of time, this would be our last question. I now hand the conference over to Mr. Srinivas Reddy for the closing comments.

Srinivas Reddy: So I'd like to thank everyone for attending this call. And once again, I would like to reiterate that we are right on our growth track. It's only a temporary correction because of the technology change from certain areas of Clean Energy, which has shifted certain revenues. But we are on

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track with our growth plan and we are doing a lot of work. I appreciate the entire team of engineers in MTAR, who are working on some phenomenal work in R&D for the future growth of this company.

And I welcome any of the investors who are willing to come and visit us and see what kind of developments we have done for the future of this company. And as well as on our SSLV project, what we are working on right now. And it would, seeing is believing. I truly believe in that. And I would invite each one of you to come and see us and visit our facilities and our team to understand where we stand in terms of what we are doing for the future, which does not really reflect in numbers or balance sheets, but you can always, you're welcome to visit us. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited, we conclude the call. And for any queries, you can reach out to Orient Capital at irfan.raeen@linkintime.co.in. Thank you all for joining us and you may now disconnect your lines.

Call: Feb 2024

To, Date: 21-February -2024

The Manager ,
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(BSE Scrip Code: 543270) The Manager,
NSE Limited,
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Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) -Transcript of Earnings call held on 14th February 2024 .

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday 14th February, 2024 .

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Shubham Sunil Bagadia
Company Secretary and Compliance Officer

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"MTAR Technologies Limited
Q3 FY '24 Earnings Conference Call "
February 14, 2024

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR –
MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – SENIOR MANAGER ,

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the MTAR Technologies Limited Q3 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you, sir.

Parth Patel: Thank you, Tushar and good morning everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q3 and nine-month FY24 Financial Results Discussion Call. Today on our call, we have Mr. Srinivas Reddy, sir, Managing Director and Promoter, Mr. Gunneswara Rao, sir, Chief Financial Officer, Ms. Srilakshmi Jasthi, Senior Manager, Strategy and IR.

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on Exchanges and on the company's website. I would like to give a short disclaimer before we begin the call. This call may contain some of the forward-looking statements which are completely based upon our beliefs, opinions and expectations as of today. These statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Srinivas, sir, for his opening remarks. Over to you, sir. Thank you.

Srinivas Reddy: Hello and good morning to everyone. Thank you for taking the time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao, sir, Chief Financial Officer and Ms. Srilakshmi Jasthi, Senior Manager Strategy & Operations, and Orient Capital, our Investor Relations partners. We have uploaded our updated investor deck, press release and results highlights on the stock exchanges and company website.

I hope everybody had an opportunity to go through the same. As you're aware, we have revised our earnings guidance in the last earnings call due to deferment of shipments in the clean energy sector, which had a significant impact in this quarter. Because of which, we clocked the revenue of INR118 crores, 26.1% decrease year on year.

The impact is more than expected as supply chains of Bloom Energy in clean energy segment vertical are yet to stabilize due to the transition from one product line to the other, from Yuma to Santa Cruz Block 2. Normalcy is definitely expected to be restored by end of this quarter. And, the subsequent supply chains also have to ramp up and MTAR also is in the process of ramping up and we'll get back to complete normalcy during this quarter as well.

In FY24, based on the current scenario, we might record revenues of around INR610 crores around that number, which is marginally higher than the revenues of FY23, which was around INR573 crores. The company has also witnessed a reduction in EBITDA in the quarter because of lower operating leverage in export segment and schedule slippage of some projects in space segment, especially in the Semicryo engine (O3:32) project, which we are working on due to MTAR Technologies Limited
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technical and FIM-related issues. And we might end up with an overall EBITDA of 24% for this financial year.

While the unprecedented events caused a significant impact to our top line and bottom line growth in FY24, the growth in FY25 remains intact with 45%-50% increase in revenues year on year basis. And we will be maintaining an EBITDA of about 26% for the next financial year as well. In Clean Energy, we have received orders to tune of INR264 crores in Q3, mainly for the Santa Cruz hot boxes.

And we are still holding an order for

Yuma for about INR184 crores -INR185 crores, which

Bloom will decide to amend it to Santa Cruz. That decision will be taken by the end of this year. And we also have Keeylock orders continuing in the order book, which they're trying to work on enhanced power capacity to about, as I mentioned, from 75 to 100 megawatts. So that's what they're looking at moving forward. So in civil nuclear power segment, we have

been maintaining our sales levels. By the end of the year, we look at around INR60 crores of revenues being generated from that.

And as discussed previously, we're expecting orders worth INR500 crores of orders from Kaiga 5 & 6 reactors. And the price bid for that hopefully should be done by the end of February or March. So depending on the schedule of the price bid being opened, these orders can be booked either in this quarter or definitely in the first quarter of next financial year.

So based on this, our closing order book would depend on the timing of this price bid being open at this point of time. We have executed around INR23 crores of orders in space in the first three quarters. Semicryo engine project, as I mentioned earlier, is supposed to be executed in this fiscal year.

It's postponed to the first half of next year because of various design changes and also the FIM issues. And subsequently, space remains to be one of our most exciting segments in terms of space and aerospace for us. We're expecting around a sizable number of orders from major MNCs with respect to the aerospace companies. As we are almost in a closure stage of completing all of our articles with major MNC companies during this quarter.

We have recorded around INR15.4 crores of orders in defence in the nine months ended FY24. While our CFO, Mr. Gunneswara Rao, will be providing a detailed financial outlook later on, I would like to briefly discuss about our cash flows. Basically, we have witnessed improvement in operating cash flows, where the negative cash flow of INR66 crores has been reduced to INR26 crores. We would have achieved positive operating cash flows of INR 9 crores if we have received the GST refund of INR35 crores, which was approved in the month of December and we have received the credit on 4th January.

Also, there is a reduction in the net debt by about INR48 crores during this quarter, which is again a significant reduction in our net debt number. I'm glad to inform all of you that we are making a significant progress in the development of SSLV launch vehicle and now I would like to invite CFO, Mr. Gunneswara Rao, who will discuss the financial performance of Q3 FY24.

Thank you.

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Gunneswara Rao: Thank you, Mr. Srinivas Reddy. Good morning, everyone, and a warm welcome to our earnings call. I will take you through the financial highlights, post which we will open the floor for the questions and answers.

As discussed by our MD, our top line and bottom line were impacted primarily due to the deferment of export shipments in clean energy because they are transitioning from the one variant to another variant, which is Yuma to Santa Cruz Block 2. So that has impacted our bottom line and top line. And in case of our revenue from operation is INR118.4 crores in Q3 FY24, as against INR160.2 crores in Q3 FY23.

We have registered an EBITDA of INR23.9 crores in Q3 FY24, as compared to INR45 crores in Q3 FY23. Profit before tax stands at INR12.9 crores in Q3 FY24, as against INR42 crores in FY23. Profit after tax is at INR10.4 crores in Q3 FY24, as against INR34.4 crores in Q3 FY23.

All the numbers were negative because of the lower revenue that is due to clean energy sector export orders deferment to the next financial year. There is an improvement in our operating cash flows. Last quarter it was 66 crores negative cash flow from operations, which is reduced to INR26 crores during

this quarter.

While we have received a GST refund order on 30th December for about INR35 crores, the amount was credited on 4th of January, which we have not accounted on 31st December. Had it been received on 31st December, our cash flow from operation would have been positive INR9 crores. Our short term debt is INR117 crores, as against INR166 crores in Q2. A reduction of INR48 crores has been done in this quarter. This is after adjusting the cash balance available with us.

Our net working capital days are 302 days. If we account the GST refund of INR35 crores, it would have been 280 days. So, because we received on 4th January, we have not accounted in the Q3 results. So we are working on the working capital days.

Now all the areas which we are looking and trying to improve our working capital days, and if you look at one of the components is loans and advances, which is having almost INR38 crores of government receivables, of which we have received 93% in 4th of January. Remaining 7% is received on 12th of January. So it means that the company is very serious in terms of reduction of working capital.

Wherever possible, we will try and reduce working capital days, improve the payable days, and try to achieve the working capital target, reduction in the working capital days. As also our MD said, our total order book is INR1,178 crores, which includes, Keylock orders of INR218 crores, and which presently there is a transition to Phoenix is happening. And also Yuma hotbox

orders of INR185 crores are there in the order book.

So I open the floor for the questions and answers. Thank you very much.

Moderator: Thank you very much. The first question is from the line of Ye Ilapu Santosh from [Asian market securities], please go ahead, sir.

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Yellapu Santosh: Thank you for the opportunity, sir. I have two questions. First, what is the comfort that the supply chain issues with regard to the transition of the hotboxes should get materialized or get over by the end of this quarter one? And second thing of the INR185 crores of hot boxes to be to be executed. What are the timelines? Thank you.

Srinivas Reddy: Good morning, Santosh. Basically, the Santa Cruz Block 2 has been a complete change of product line from Yuma to Santa Cruz. We as a company are geared up to address volumes. We have the capacities, the facilities to do it. We have the know-how to do it. But the related supply chains also have to gear up.

So we have done 500 odd hot boxes this quarter. The next quarter we are doing 664 and it's getting back to complete normalcy by end of Q4. So this is a transition phase of two quarters, which I mentioned, which might get affected. But the growth outlook for next year, we have taken a very conservative estimate of around 3,500 units of Santa Cruz units for the entire financial year.

That's how we are targeted. We have a very clear analysis done for a growth of 45 % to 50 %, about INR900 crores of revenues for next year, with a 26 % EBITDA, which we have considered in a very reasonable and conservative manner. Now, as far as -- and also there is significant improvement in terms of the sales from the other segments next year.

That's something which needs to be noted down, because the hot box division will be around 33% to 35 % of our total sales for next year, based on the numbers what we have generated, based on the current forecast given by the customer as such. There can be an upside to this by the customer.

That's why the second question of Yuma, that order might get amended to Santa Cruz based on the incremental orders that we can get for the Santa Cruz during the course of the year, or they'll issue the fresh order and replace the Yuma order completely with Santa Cruz. That decision probably might take a month or month and a half, or even more.

So that's where we stand.

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Yellapu Santosh: Sir, one follow-up with regard to Yuma hot boxes. I would just like to understand what are the challenges in terms of why this Yuma hot box order has not already got converted, and what could be the reason that the client is waiting for this upgradation to happen at a later stage? This could have been done already by the staff, right?

Srinivas Reddy: Yes, exactly. That's a good question. So they are actually waiting for the stabilization of the entire Santa Cruz, and that's why I said in a month's time or so, they might actually remove the order of Yuma and completely replace it with Santa Cruz based on the enhanced orders coming in on Santa Cruz.

They're just waiting for a month or month and a half. In most probability, Yuma will get changed to Santa Cruz during the course of time. I don't think Yuma will continue moving forward at all.

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Yellapu Santosh: And sir lastly if I may, can you please help us understand between three, four quarters now, the new clients where we had done the first articles work or the qualification work, what is the reason for the delays in further ramp up from these new clients across verticals in the aerospace as well as in the energy space? Thank you.

Srinivas Reddy: Basically, when you look at the aerospace division, we have done a sizable amount of work this year. See, what all of you are looking at is the numbers for this year. But if we're able to achieve the growth for the next couple of years at a rate of 45 % to 50 %, the company has done a sizable amount of work in terms of the first articles in aerospace with major companies.

And we're almost closer to that. And that's getting converted into the real numbers for next year for us in terms of volumes. There is no such delay in that. Engineering, a lot of procedures to be done, certifications to be done. We are closer to all of those things in this quarter. We have done a great amount of work in that.

And that's the reason why, if you look at our next year numbers, we said we're doing like 33 % is just the hot box division. But space and aerospace will move close to about INR150 crores from the current revenue base of INR45 crores for next year. So we have done a sizable work

out there.

And also in the clean energy segment in terms of various customers, MNC customers, which we have, we have completed all the first articles now. And that's how the revenues are being increased in the clean energy segment, in the other segments as well for the next year. So that's how the whole thing is being planned out.

And the breakup for which nuclear will stabilize at INR65 crores for next year because Kaiga 5 and 6 units the order's come, the revenue booking will happen only for the subsequent year. And the space is something which is going to go up by about literally by about INR110 crores for next year. And products division also will do very well, which you know, for about INR130 crores for the next year.

So we have a clear segmented breakup for each of the revenue breakups for the INR900 crores what we're talking about for next year.

Yellapu Santosh: Thank you, sir .

Moderator: Thank you. And the next question is from the line of Bala Krishna from Oman Investment Advisors. Please go ahead.

Bala Krishna: Hi, good morning sir. Revenues on nuclear power [inaudible 17:57] how much orders you are expecting from Kaiga 5 and 6?

Srinivas Reddy: We're expecting on a conservative basis, at least about INR500 crores because the price bid they said it's getting opened either in February or March. It got delayed because of the evaluation process with the NPCL took some time. And once it's done, then we get the subsequent orders from the companies which are big for it, where we are qualified to do the major portion of those mechanical SMEs for them.

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And that must be close to about INR500 crores now.

Bala Krishna: And so just a follow up on this, what could be the execution timeline, sir? This is the execution of this INR500 crore s order ?

Srinivas Reddy: The entire project, the reason why the government has given to major companies which do also the civil work is to execute all these projects with a record timeline of around four to five years.

But the mechanical supply should happen in three years' time.

Bala Krishna: Okay, sir. And regarding this Santacruz boxes [inaudible 19:05] and the electrolyzers could you please quantify how much were delivered in this quarter ?

Srinivas Reddy: I think electrolyzers, we have done, I think, about 44 electrolyzers this quarter, roughly, I think.

And the hotbox were on 500 -odd hotboxes we have done this quarter. And for the next year plan, the line reports what I spoke about, we have not included any of the electrolyzers for next year.

So any order which comes for electrolyzers will definitely be an upside to the revenue what we're looking at. So we have done a very detailed analysis. We didn't want to take any chances in our guidance, what we are giving. So we have not considered any of those electrolyzers orders which might come in for next year.

Bala Krishna: So 45 % to 50% is excluding electrolyzers?

Srinivas Reddy: Yes. So whatever I've said for the entire year for next year, it's without electrolyzers. If any electrolyzer orders come in, that will be an upside to this order.

Bala Krishna: And just to follow up on that, sir, for electrolyzers, we are expecting maybe some good number of orders also next year. So is there any specific reason to exclude that one?

Srinivas Reddy: We have already proven our electrolyzers. Even the customer also has proven it. So we are expecting that vertical is going to be a huge vertical. But for now, we don't want to include that in our guidance. And if any orders come in, we'll update accordingly.

Bala Krishna: Okay , sir. Lastly, on Fluence Energy , sir, any update on that? At what stage we are supposed to close in on DLR?

Srinivas Reddy: See, the Fluence Energy, they also sent their prototype models to us. And we had a detailed discussion with Fluence on this matter. So they're looking at about 300 units to be done next year. And then the year after, they're looking at about 1,000 units. And after that, they'll also include exports, which will go up to about 3,000 units the third year. So that's where we stand with respect to Fluence.

Bala Krishna: Okay, sir. That's all. Thank you a lot.

Moderator: The next question is from the line of Abhijeet from Yes Securities. Please go ahead.

Abhijeet : Thank you, sir, for the opportunity. My question is, the revenue impact that we have seen this quarter, is it that we have lost some business to a competitor? Or is it an inventory correction,

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sort of a thing? Or there is an underlying demand impact? If you can categorize into one of these buckets?

Srinivas Reddy: See, basically, it is not losing business to the competitor at all. It is one was, I've said earlier, it's one was the inventory correction they've done. But more, the reason is, more the reason is a change of product line, from Yuma to Santa Cruz. All of you should understand that I've said it will take two quarters. But all the other supply chains also have to gear up.

So the primary reason is that. And once it is done, in fact, some of the bought out s, were even airlifted by, which Bloom has borne the cost for airlifting those parts, to adhere to the delivery schedule. So the issue here is all the supply chain activities from various areas have to gear up. And that will definitely happen in this quarter.

And the worst is over, that much I can tell you. So we have -- we have geared up, MTAR is

already geared up totally now. And the supply chain related activities also will gear up in this quarter. And we're back to normal in terms of what we're doing for Yuma volumes, will be back to normal in the case of Santa Cruz as well.

Abhijeet : So the reason I'm asking, one more reason is that, Sir, Yuma is also there in our backlog to a large extent. And that we are not able to execute. So I'm trying to understand the reason why Yuma is not executing as of now ?

Srinivas Reddy: Yuma is there in the order book as of now, which I've explained earlier, which might get amended to Santa Cruz, or they'll replace that order with Santa Cruz moving forward based on their order update, upside of the orders that they're going to receive over the next three to four months.

So there's not going to be any further Yuma. It'll get amended or they'll replace that order with the Santa Cruz, once the upside comes into place.

Abhijeet : All right. And Sir, out of the INR900 crores revenue target that you have for next year, so what would be coming from clean energy? How much of that would be contributed by clean energy segment?

Srinivas Reddy: The clean energy would be roughly including, we're talking about the fuel cells, the Fluence , the hydel , wind, all put together, should be roughly around INR400 to INR425 crores. And the hot box division, we have taken, based on the present forecast, we've taken only INR300 crores. So that's 33% of what the overall revenue is going to be.

So that's something which we were focusing on for the last one year, to increase our customer portfolio. And that's how you can see the hot box division of Bloom coming down to 33%, which was earlier close to about 65% to 70%. Because all the other segments are growing very well, in terms of what first articles we have done.

We have done a phenomenal work in concluding a lot of first articles during the quarter. We are continuing to do that in this quarter as well. So that's how you see the space going up from MTAR Technologies Limited

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INR45 to INR50 crores to INR150 crores next year. And the products to about INR130 crores.

So breakup is very clear. So we have nuclear stabilizing at 65.

But moving forward, the Kaiga 5 and 6 will come into picture. So it will go up to INR130 the subsequent year. And the space from INR45 to INR50 will go up to INR150 crores. The products from INR80-odd crores to INR 130 crores. And you're looking at clean energy, which will be around INR400 to INR425 crores.

So this is the overall breakup in which we are looking at on a conservative estimate of INR900 crores, where 33% of it is only the hot box division. And that's what we want to focus upon. And moving forward it might, even though there is a growth in the hotbox division, the way other segments are growing, it might drop to about 25% in the subsequent year.

Abhijeet : Sir lastly on the electrolyzers, sir do you think that electrolyzers will pick up in terms of volumes in FY25? Because I mean, from the demand side, the underlying demand remains pretty strong.

But I mean, so what is our outlook on the pickup in our volumes for electrolyzers?

Srinivas Reddy: See, in our guidance, what I've said for next year of INR900 crores, electrolyzers are not included in that. The reason I've not included is that once we get the orders, what the customer has clearly said is that based on the order in flow to them, they're going to release the orders on electrolyzers.

So we are expecting some orders for electrolyzers for sure next year, once it comes in.

But the year after, you can see a real sizable volume coming from electrolyzers because the world has to build up the infrastructure to that level. So that's the reason why, whatever that number is, I'm not too sure what the number is. There will be a certain number for electrolyzers for next year.

But we have not con

sidered that in our guidance revenue for this year, for next year, sorry. But definitely, there will be some number to it. Once it happens, we'll definitely intimate our investors about that.

Abhijeet : Understood. Thank you for answering my question s. All the best.

Moderator: Thank you. And the next question is from the line of Deepak Krishnan from [Kotak Institutional Equities]. Please go ahead.

Deepak Krishnan: Hi, sir. I think you can hear me fine. I just want to understand from a product perspective or from our contribution perspective, does it make any difference whether it is Santa Cruz or Yuma , or we are basically doing a similar size of work, just that the feel about the boxes, that it's largely different?

Srinivas Reddy: It is different, Deepak, for sure. Definitely, there is a difference. That's the reason why I said to ramp up, to do it, it takes a couple of quarters. So as NPR is concerned, we are already geared up for that. The supply chain activities, like some of the boxes were also airlifted by Bloom to adhere to their requirements for this quarter. And it's happening even in the current quarter as well.

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But by the end of this quarter, I think all the supply chain activities for the new model will get stabilized. Absolutely. And we are very clear about it. And we'll be back to normal. So what I would like to say is, the entire issue, if you look at long-term basis, even for the customer, moving away from Yuma to Santa Cruz is the right decision. As a supplier, we might have, you know, there might be a pause in earnings for the current financial year.

But if you look at the future outlook, it remains intact. There is absolute -- and another important point is that we're also looking at how well we have done in terms of customer diversification.

If you look at the breakup of the INR900 crores, 33% of that is going to be our hot boxes. The rest is all different divisions. So that's something which I'm really excited about. And even though the growth in hot box division is going to happen year-on-year, plus the electrolysis is coming in, but the other divisions are also increasing pretty well.

Deepak Krishnan: Sure, sir. Because I think if you look at it, clean energy we are about INR770 crores. You said INR185 crores in Yuma, which could get adjusted into Santa Cruz. INR218 crores is Keeylocko .

And the remaining would be what?

Srinivas Reddy: The remaining, everything is more or less, most of it is Santa Cruz. And very marginal amount is for enclosures. We do also enclosures for them, right? About INR70 crores, INR 80 crores is for enclosures.

Deepak Krishnan: So other than that, you can certainly assume that Keeylocko and Santa Cruz will be executed. Yuma is more of a, you know, within 4-5 months you will get clarity. That I understand is correct?

Srinivas Reddy: Yes, Yuma will -- I don't think Yuma will get executed. Yuma will get amended to Santa Cruz, or they might issue a new purchase order for Santa Cruz. And Yuma purchase order will go away. And as far as Keeylocko is concerned, they are actually looking at a model of Phoenix. They want to actually work upon that.

And then, once that is done, then we'll take it forward from there. So we have not included in our revenue base for next year, either the Keeylocko or the Yuma order as of today. We have not done that in the INR900 crores.

Deepak Krishnan: Okay. Because last year, I remember, at the end of the full year, you had sort of taken a lot of inventory to execute orders.

Srinivas Reddy: Yes.

Deepak Krishnan: Now it is sort of deferred. So what kind of visibility you have in terms of when does the shipments start? And what are -- is there any compensation or any adjustment provided by you for, you know, the lack of inventory? Because really, the uptake never came through.

Sri

nivas Reddy: Most of the inventory -- what we are looking at is for Santa Cruz. Most of the inventory, Yuma, Santa Cruz inventory is more or less the same, except for a few supply chain items that are different. They have to develop that and start supplying it. That's what I mentioned. But there is

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going to be a inventory reduction based on what existing inventory we are using because of the deferments. That's what we are doing right now. But at the same time, any inventory which is specifically made to Keeylocko , that Bloom will definitely address with us in due course of time how to go about it moving forward .

Deepak Krishnan: Sure, sir. Those were my questions. I'll get back to the queue.

Moderator: Hello, Deepak, sir.

Deepak Krishnan: Yes, my questions have been answered. I'll get back to the queue.

Moderator: The next question is from the line of Utkarsh Maheshwari from [Reliance General Insurance].

Please go ahead.

Utkarsh Maheshwari: Yes, good morning, sir. Am I audible?

Srinivas Reddy: Absolutely. Go ahead.

Utkarsh Maheshwari: Sir, you mentioned that Keeylocko thing is not included in your revenue guidance. Is that the right understanding?

Srinivas Reddy: Absolutely, yes.

Utkarsh Maheshwari: So basically, I just want to understand . You have mentioned about the inventory in the presentation for the raw material and WIP, which is like there. So how much of this could be fungible for this to be shifted into your Santa Cruz and this other thing, Santa Cruz as a model ? Because there can be some inventory related write -off also, right? Is that the right understanding or how is it to be ...

Srinivas Reddy: It is absolutely right understanding. Part of the Keeylocko inventory which we have, it is not whatever it is, can be used for the Santa Cruz. What absolutely cannot be used for Santa Cruz is Keeylocko taking a lot more time than Bloom said that they would look at it and cover that portion, which we are having discussions with them. So that will not impact us at all.

Utkarsh Maheshwari: So we will be compensated by Bloom for that Keeylocko related, which is non -fungible kind of inventory.

Srinivas Reddy: Exactly, yes.

Utkarsh Maheshwari: And what could be, I mean, so at this juncture, this INR218 crores of order of Keeylocko , will be executed or not it is not clear for you right now. You are sure about Yuma getting converted or amended to Santa Cruz, but Keeylocko is still open thing?

Srinivas Reddy: Yes, Keeylocko is open. We have not taken that into our guidance number at all. As of now, once the designs are over for the Phoenix model with the advanced model, then we'll look at it.

As of now, that's the reason why we didn't want to assume anything for our future guidance moving forward. So we have taken facts as a fact, what is the realistic number and we have given you the number right now.

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Utkarsh Maheshwari: So this Phoenix will be again upgrade kind of thing, like what we have seen in Santa Cruz or how it will be different?

Srinivas Reddy: It will be an upgrade for sure. We don't doubt about it.

Utkarsh Maheshwari: Again, there will be supply chain related issues coming in for the change of model to Phoenix or how is it?

Srinivas Reddy: No, but Phoenix is not going to be like Yuma to Santa Cruz because Santa Cruz is going to be the base model. So the volumes are not going to get impacted.

Utkarsh Maheshwari: The new model pegging order could be like from Yuma -Keeylocko to Santa Cruz and Phoenix. Is that the right understanding?

Srinivas Reddy: No, the Santa Cruz will remain for the next five, six years. That will not change. But Phoenix is something which they will develop and do it and phase in slowly, step by step.

Utkarsh Maheshwari: And what about the Phoenix?

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Srinivas Reddy: Which one?

Utkarsh Maheshwari: Phoenix.

Srinivas Reddy: Phoenix will happen. Once the designs are done, then the Phoenix orders can get executed based on the implementation of that. So that's something which we have to wait and see.

Utkarsh Maheshwari: So sir, is it right understanding that the Phoenix model is 1 gen? It's a penultimate before the Santa Cruz thing, right?

Srinivas Reddy: Yes, it is for the future. Yes, Santa Cruz is the latest one. Block 2 is the latest one and that will remain at least for the next five, six years. Yuma you have seen was there for six, seven years.

So I don't see any disturbance happening for the Santa Cruz model at least for the next five, six years.

Utkarsh Maheshwari: Yes, because , sir, the Keeylocko had the short shelf life relative to Yuma.

Srinivas Reddy: Yes, that's right.

Utkarsh Maheshwari: Okay. And second thing I think when you've mentioned that you will be doing INR600-odd crores kind of revenues, so probably is it fair to say that Q4 will be better than Q3 in terms of absolute revenues? Because I mean, that is what you're guiding .

Srinivas Reddy: Yes, absolutely. Q4 would be around INR170 crores revenues. That's why I said INR610 crores or whatever number I've given earlier. It's based on that number which obviously we are in middle of February. So we are giving a clear guidance of the revenue being around INR170 crores.

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Utkarsh Maheshwari: And even you're saying there is a reasonable improvement in the EBITDA as well because you said 24% from the 21% of nine months.

Srinivas Reddy: Exactly. So for the year we'll average around 24% because EBITDA for Q4 is much better. We have analyzed all that stuff. So we'll be doing a closing EBITDA of 24%. Yes, the impact has been there because of product line change over the last two quarters. But the work is over. That's all I can say right now.

Utkarsh Maheshwari: And sir, what about the order book guidance? The last time you used to give some kind of a guidance that this should be a closing order book. This time this is missing.

Srinivas Reddy: See, we are given a closing order book of INR1,400 crores keeping Kaiga INR500 crores coming into the picture. Now if it comes in before March, obviously -- see that INR500 crores is not going to impact our guidance, revenue guidance for next year for sure. Because that we have not even considered for next year's revenue. It starts from FY '26 onwards, right.

The INR900 crores is not part of the INR500 crores. So that order, if they come in by March, yes. Otherwise there'll be a slippage of one and a half months if they come in first quarter of FY 25. So that's not an issue. But those orders are guaranteed for us.

Utkarsh Maheshwari: Yes, I mean, I think some activities are happening on the part of government also for this civil nuclear thing. So probably you're hopeful that things will move faster, right?

Srinivas Reddy: Absolutely. And they are doing that way. So things will move faster. And even there's a lot of pressure from the government or the corporation to speed up the activities. So that's what we're doing right now.

Utkarsh Maheshwari: And I think any comments on your, this thing, satellite launch vehicle thing? Where we have reached in terms of our thought process, in terms of our, this thing, pursuit?

Srinivas Reddy: We are progressing very well there. In fact, a lot of designs activity have been completed. We are doing extremely well there. And probably by the end of this quarter, I'll be asking my Executive Project Director, Dr. Vedachalam, who's heading that project, to participate in earnings call and give a brief to all the investors of what's happening. We're doing extremely well there. We're very happy with the progress.

Utkarsh Maheshwari: When we can expect some kind of, you know, buzz in

terms of -- some kind of order flows, I

mean, say, mid of next year, we can expect some kind of bidding site after the approvals are in place?

Srinivas Reddy: For the SSLV, it's a four-year developmental activity. And we are the company who are doing it in a silent way. See, all the engine-related subsystem designs are in progress right now. And we are planning the four combustion experiments that is going as per the plan. So the overall timeline is four years, which I've said. We are into the second year right now, but the progress is very good. So in the next earnings call, I would definitely invite Dr. Vedachalam to give a brief to all of you on the kind of progress we have made in this.

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Utkarsh Maheshwari: Sir, just before I drop out, just want to understand one thing. You did mention about this margin at 26%. But earlier we used to have that higher margin of 28%, 29% as an EBITDA level. So are those days are gone, or do we have a thought process that we will come back to those ranges in next two to three years?

Because in last couple of years, the gross margins have been under-impacted, which has impacted our EBITDA at the reporting level. And every quarter, there is a dip as a number. So do we aspire here from current levels to reach that 28%, 29% band in next two years, or how we look at things going forward?

Srinivas Reddy: See, if you look at the future outlook, I have said, even for next year, I have said our EBITDA will average out at 26% for INR900 crores. But moving forward, the growth rate, we have done analysis of the subsequent year as well.

We'll similarly clock, we have a clear backup for that, not taking any chances. We have a similar growth pattern for even the subsequent year. But EBITDA will be back to 28%, 29% in those levels.

Utkarsh Maheshwari: So it is fair to assume that in next two years, we should be able to reach our original band of 28%, 29%, say by FY'26 -- kind of '25, '26.

Srinivas Reddy: Yes, '25, '26, we'll get back to our 28% EBITDA level for sure.

Gunneswara Rao: So if I add here, see our manpower cost is 16% last year. We initially planned for 12% manpower cost with higher revenues. But since now the guidance is 610, we are going to be at 24%. So it

is purely the volume game. The more the volume, fixed costs can be apportioned to the larger revenue. So there definitely we can achieve once we reach 900 and growth of 45 %, 50%, definitely EBIT DA will be improved.

Utkarsh Maheshwari: Okay, so basically that's a major game of a scale, what is going to come to our place
Gunneswara Rao: Yes.

Utkarsh Maheshwari: And just one more last thing. What kind of change of realization for us happens is a change of model. What kind of change? If you can just quantify the percentage, I mean, when you are supplying Santa Cruz or Phoenix versus the Keeylocko and Yuma in terms of percentage, what is the incremental percentage gain for us?

Srinivas Reddy: There is not much of a change, probably 8 % to 10%, depending on the work content involved. That's what we have in Santa Cruz, right? So Yuma was around something like INR7.5 lakhs, INR8 lakhs, this is around INR9 lakhs plus. So that's the kind of revenue we're looking at. But again, what all of us should keep in mind is the incremental kilowatt increase because of Santa Cruz.

So that's the reason why the customer moved from Yuma to Santa Cruz. So technically , the change is about maybe 7% to 10% roughly in terms of the revenue outlay. But the policies can
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differ. The policies can differ because the power output is much higher in Santa Cruz. That's the main idea.

Utkarsh Maheshwari: Per unit cost is lower in case of Santa Cruz, relatively.

Srinivas Reddy: Exactly. That's the idea, right? In the long term, if you look at

it, even as an investor or whatever,

shareholder, would also look at the health of the customer as well. So there is a sizable cost reduction from their side because of the higher power output from a given unit.

Utkarsh Maheshwari: Fair point, fair point. Thanks a lot, sir. I'm done with my questions. Thanks.

Moderator: Thank you. And the next question is from the line of CA Garvit Goyal from Nvest Analytics Advisory LLP . Please go ahead.

Garvit Goyal: The first question is on our order book. So this 1200 CR order book, so what is the expected execution period for the same ?

Srinivas Reddy: So as I said, we're going to about INR900 crores of orders for next year, right, the revenue. So more or less, plus what we're doing currently, we are expecting some more orders next year. So almost like 35% of that would be executed for the next year.

Moderator: The current participant has been dropped from the line . Should we take the next question? The next question is from the line of Shashikant from Brighter Mind Equity. Please go ahead.

Shashikant: Thank you, sir, for giving me opportunity. Basically, I wanted to know the department of the order. How long it will take? As you said, it will take around one to two quarters. I mean, is it coming FY24 end or is it coming to FY25?

Srinivas Reddy: Which one?

Shashikant: Order book from Bloom.

Srinivas Reddy: Yes, order book from Bloom. What is the question? Can you repeat?

Shashikant: So as you said that some order book has been deferred for the next year, right? So does it come towards the end of FY24 or will it come in FY25?

Srinivas Reddy: So that's what I said. You know, in FY25, we have taken an estimate of around INR300 crores for the hotbox division. It's roughly around 3,500 units. So it's back to normal. And whatever execution we do, what is getting deferred, we'll get executed and the upside to it, as soon as Bloom informs us, we'll have the upside to it. But we have not taken those upsides at all in our guidance numbers at all, including the electrolyzers.

So whatever upside happens, will happen. So that's a different story. But we wanted to be very clear on how we are progressing as of today. And based on those estimates, we have clearly said that our growth will be at 45% / 50% at 900 crs for next year for sure.

Moderator: The next question is from the line of Mithun Aswath , from Kivah Advisors . Please go ahead.

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Mithun Aswath: Yes. Just you've explained, you know, I think the revenues for this year and next year quite in detail. Just wanted to understand on the promoter's stake, you know, there's been consistent selling. Just wanted to understand, is there any method to this? Would you continue to hold your stake at these levels? Because I think progressively it has come down. So just wanted to understand what is the view from the promoter's side?

Srinivas Reddy: See, basically, I don't have any control over it. But what I can say is that frankly, I have not sold

any shares. I hold the highest number, almost the highest. I'm in the top two shareholders in the company. I truly believe in this company.

The promoters also truly believe in this company, for sure. But they're all diversified promoters. It's a 50-year-old company. And they are different professions, living in different parts of the world. But I think the promoters getting into the market will come down drastically moving forward. That's what the information I have.

And definitely, I will be also discussing in the promoter group about this. They are very confident about the company. But I can't really restrict them. Because I have no powers to do that. But it's got nothing to do with the company performance. The promoters have sold at 1250 also, right?

So does it make any difference? No. So we are looking at MTAR as a company, as an institution moving forward.

So it is not about promoters. It's about how the performance of the company is. And that's not going to change at all.

Mithun Aswath: You mentioned something else. I just lost you. You said that the quantum of selling will reduce. So what did you say?

Srinivas Reddy: I said that probably the promoters would not come into the market as much as they did in the past. That's all I'm saying.

Mithun Aswath: Okay. So there is no idea of the co-promoters to increase the stake or buy from the other promoters?

Srinivas Reddy: Well, that can happen also. Because the way the company is performing -- I've repeatedly said that the performance of the company is not linked to promoter sales at all. Now, moving forward, probably some promoters can buy internal stake. I'm not too sure about that. But even that can happen.

But that's what it's going to be. But I will clearly say that MTAR is a 50-year-old company with a diversified promoter portfolio. But at the end of the day, I really appreciate all the investors for supporting this company. But we are there to perform. The work is over. I mean, there will be a product line change, which is genuine. And you have to always look at the long term. I've explained the short-term process and the long-term goal as well.

Mithun Aswath: Right. And my last question is beyond FY25. How do you see the trajectory of growth? And what kind of visibility do you have for that?

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Srinivas Reddy: We have done a detailed analysis for next year and the subsequent year as well. So I didn't want to go into the third, fourth year. It didn't make sense to me at this point of time. But me and my team did certain analysis. And the way the orders are flowing, the way we are growing, and the infrastructure we have built, and a lot of -- if you look at our numbers, you might say EBITDA might be lower this year by 24%.

But we have captured a lot of manpower costs, employee costs for the future as well. Right. So in engineering, you need the right management bandwidth as well, which we are doing very well in that area as well. But we'll go in a similar percentage points, more or less. Probably around, FY26 would be about 30% to 35%. Between -- it ranges from 30% to 40%. But that's the range I'm talking about FY26.

Moderator: Thank you. And the next question is from the line of Bala Krishna from Oman Investment Advisors. Please go ahead.

Bala Krishna: Thanks for the opportunity, sir. Could you please update on this defense license product, sir? Have you developed any new products? And whether we have received any orders against this defense product?

Srinivas Reddy: It's too early to say that because we just received the license. We are working on a lot of -- our R&D team is working on a lot of products which make sense for us. We are working on it. As and when we make a progress, we'll definitely let you know about it. But definitely, there is a lot of activity going on out there as well.

Bala Krishna: Okay, sir. And secondly, on this, you've got substrate products like elbows and bar screws. So how's the traction on this? And do we have any incremental orders from the government?

Srinivas Reddy: We will get to those orders. For example, the roller screws. No one in the country has developed it before we have developed it. It has been tested and proven with the DRDO labs already. So that is done. Now, there is specialised raw material which we have to get it.

We are working on that. Once we do it, we'll start the production activity for roller screws as well. And that will be part of our product portfolio moving forward. And including the electromechanical actuators, EMAs, what we have done, we are delivering it in this quarter. And that's another product which we have already established right now. So all these activities

, we

have done a great amount of work for the future of the company.

And that does not reflect in the numbers what you're seeing there. And that reflects in the next year and year to come, as I said very clearly, how the other segments are doing very well, apart from the clean energy segment as well.

Bala Krishna: Yes, I understood, sir. And lastly, I'm sure this hydrogen fuel cell, how's the traction over there?

And I think some hydro-based companies are also working on this hydrogen boxes. So do you see the opportunity, any near-term opportunity for us to ramp up in that sector?

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Srinivas Reddy: Well, we are completely geared up. We have developed the model. It has been proven in the United States. So I have not considered that in my next year guidance or the year after. As soon as we get the orders, we'll update you and we'll revise our guidance.

But as of today, I want to be really conservative in what I'm going to say, because what impact I had in the last two quarters. So we have taken a very conservative guidance of INR900 crores and we want to stick to that. And if anything upside happens in terms of the upside of the hotbox division or the upside of the electrolyzers or any other upside, we have not considered any of those things, which will definitely happen, but we have not considered those things.

Moderator: The next question is from the line of Mr. Santosh from Asian Market Securities. Please go ahead.

Santosh: Thank you, sir. Couple of questions, sir. First, I would like to understand, of the 3,500 hotboxes or the INR300 crores hotbox related revenues that we are guiding for next financial year, which variant should be contributing how much?

Srinivas Reddy: I've taken only Santa Cruz as of now, Santosh. I've said that very clearly. As of today, I've taken only Santa Cruz. Any other design development, anything happening upside, including electrolyzers, that is an upside. I have not considered any of those things. And this I've done because unless I was 100% sure of the number, I've not taken any of those assumption numbers for next year.

Santosh: And secondly, on the electrolyzers part, if I am not wrong, I think for last five, six quarters, we're working at different stages on the electrolyzers part. Despite such a big opportunity and Bloom claiming to be more ready with six, seven variants, which they have worked upon to date, why there is not strong ramp up happening? They've built the capacities, but they're not able to ramp up.

They've tested their products with various clients, various end users. What in your assessment is the reason that they are still trying to make the product more efficient or if you could just give what you hear from the client side in terms of further faster ramp up happening on the electrolyzers part?

Srinivas Reddy: So the first thing is, Santosh, we are dispatching about 60 electrolyzers this quarter as well. Now, moving forward, what the customer has clearly told us is that based on their order booking, they will immediately release the back-to-back orders to them. We make electrolyzers completely for them.

So they are very hyped up about electrolyzers. They're very excited about it. But the order book has to be, orders have to be booked by the customer. Once that is done, we will get those orders back-to-back to them. I have not taken into my guidance that number because it's an assumption. If it comes, which to my knowledge, 90% it should happen or even 100%.

But as the minute comes, then we look at it in terms of guidance. So I didn't want to take any number, which is especially what me and my team have reviewed. We don't want to take any number into guidance, number of revenues, unless it's a done deal for us.

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Santosh: Understood. Sir, one small clarification.

Are we done with the batch production orders for these electrolyzers? Or is there still some more work that needs to be going through the batch production phase?

Srinivas Reddy: We are done with the batch production by this quarter. That's what I said. We are sending the last batch of 60 numbers we are sending this quarter. We are done with that.

Santosh: And now from here on, do you expect that the electrolyzers should be entering the mass production phase only? Exactly. Do you understand what I am saying?

Srinivas Reddy: But the subject is the order booking by the customer.

Moderator: Thank you. And the next question is from the line of Abhijeet from Yes Securities. Please go ahead.

Abhijeet: Yes. Thank you for the follow-up opportunity. So, if you look at the non-clean energy segment,

so in FY23, the revenue was about INR90 crores. And what you are guiding for FY25 is about INR450 crores of revenue from that non-clean energy segment, which includes space, defense, and the product segment. Incrementally, about INR360 crores, they are getting in two years from that particular bucket. So, what is one particular product that is contributing to such a high increase in these revenues?

Srinivas Reddy: Yes. So, that's exactly what I said. Yes. You're absolutely right. That's a very good question. See, what exactly I've said earlier also is that we have done a sizable amount of work with various customers in different segments over the last one year.

And to come to this level of enhancing our revenues in different segments, I'll give you the break-up roughly also. And that's why your Hot Boxes division, because of this enhancement of revenues from other segments, which is very important for the company as well, as per our strategy, the Hot Boxes division, when I said INR300 crores, is roughly around 33%, right? Whatever it is, right?

So, the rest of it, like nuclear will stabilize at INR65 crores because Kaiga 5 and 6 will come into play only for FY26, the INR500 crores order what I'm talking about, right? And also, there is a refurbishment of Tarapur reactor, which is going to happen. And that order, they said they'll give us next year.

They have not taken that into consideration also for next year. So, nuclear is going to see a very good growth. It will remain at 65 next year, but the subsequent year will go up to INR130 crores, FY26. Defense, we're a small portion of the defense business, but we're getting very actively looking at, after getting the license, we're looking at various R&D programs, we're looking at that. Then space, from INR40 crores to INR45 crores, we are going to INR150 crores for next year, right? That's purely because of the first article, what we have done with various amenities. I don't want to spell out the names right now, which I've told earlier, but we have done very good work, excellent work in terms of the first articles, how we are going to move forward. So, that's MTAR Technologies Limited

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why there is a INR100 crores jump in the space business as well, space and aerospace exports. Products, we are going up to INR130 crores.

Last year was hardly INR18 crores - INR20 crores. We're going up to INR130 crores. It includes the ASPs, the EMAs, the ball screws, roller screws, WLBs, all these various products, and we are also qualified for one of the MNC customers for ball screws as well for exports.

It's been proven, tested, and they're very happy with our quality. So, we are moving in that direction. Then, sheet metal, we have started working on the first articles for even domestic business as well right now, and that's going to go up to about INR40 crores of sheet metal domestic business, which will go up to INR80 crores the subsequent year.

The clean energy, which I said for next year is INR425 crores, the hotbox is about INR300 crores. Then, we have the fluid

s, which they said they'll do 300 units next year with us. Then, we have the hydel, wind energy, and the other enclosures, and all those put together is about INR425 crores.

So, this is a clear breakup. So, what I'm trying to say here is the strategy for the company was to really do extremely well in the other segments as well as the clean energy, and if you can see the breakup right now, that's the way moving forward. You know, even in FY '25 to FY '26, the growth is going to be similar.

45%-50% for FY '25, and FY '26, I have said, we have an approximate band of 30 %-40% revenue growth for FY '26 as well. So, we have a clear plan laid out for the next two years.

Abhijeet: Understood, sir. Lastly, the two segments you talked about, products and sheet metals. So, what are the applications for these from non-defense, non-aerospace, what other sectors do you know these products would find application in?

Srinivas Reddy: Well, a mix of all. They're in the clean energy segment, they're in the defense segment, they're in the nuclear segment, they're in different segments that we are working with in the product division.

Abhijeet: Right. But why do we categorize it separately from the nuclear segment, let's say, or defense segment?

Srinivas Reddy: See, the idea is these products are specifically manufactured by MTAR, some of them are import substitutes as well. Nobody in the country makes these products, right? So, we want to categorize our product division separately and take it to a different level altogether.

If you're looking at from INR15 crores to INR80 crores to INR130 crores to INR200 crores moving forward, this is a high margin business for us. It's doing pretty well. We want to really focus it as a separate segment altogether and not to mix up with other segments. So, that's the main reason.

Abhijeet: Understood, sir. Thank you for the explanation. That's it from my end.

Moderator: Thank you. In the interest of time, this will be our last question. I would now like to hand the conference over to Mr. Srinivas Reddy, MD and promoter of MTAR Technologies Limited for closing comments.

Srinivas Reddy: Thank you all for attending this earnest call. It was very important for us as a senior management team to address all your concerns. And I hope we have addressed all your concerns about MTAR. You should not be concerned at all.

Our worst phase is done. It's purely because of the product line change, what I've explained earlier, certain things for external factors. But we are back on track and whatever guidance we're given for the next quarter or the next year, we have taken in a very conservative manner with the experience what we had in the last two quarters.

But I will assure all the investors and shareholders that we are back on track and we'll be there what we have guided you for the next couple of years. Thank you so much for attending this call. I really appreciate it.

Moderator: On behalf of MTAR Technologies Limited and Orient Capital that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

Date: 5 June 2024

To,

The Manager,
BSE Limited, P. J. Towers, Dalal Street, Mumbai-400001.
(BSE Scrip Code: 543270) The Manager,
NSE Limited, Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 29 May 2024.

Unit: MTAR Technologies Limited
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday, 29 May 2024.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record .

This is for your information and records.
Thanking you,
For MTAR Technologies Limited

Naina Singh Company Secretary and Compliance Officer

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"MTAR Technologies Limited
Q4 & FY '24 Earnings Conference Call "
May 29 , 202 4

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR AND
PROMOTER – MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO PUSARLA – CHIEF FINANCIAL
OFFICER – MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD IR AND STRATEGY –
MTAR TECHNOLOGIES LIMITED

MODERATOR : MR. PARTH PATEL – ORIENT CAPITAL

MTAR Technologies Limited
May 29, 2024

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Moderator: Ladies and gentlemen, good day and welcome to MTAR Technologies Limited Q4 and F Y '24 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then

zero on your touchtone phone.

Please note that this conference is being recorded. And now I hand the conference over to Mr. Parth Patel from Orient Capital . Thank you and over to you, sir.

Parth Patel: Thank you, Nirav. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q4 and FY '24 results discussion call. Today on our call, we have Mr. Srinivas Reddy, sir, Managing Director and Promoter, Mr. Gunneswara Rao, sir, Chief Financial Officer, Ms. Srilekha Jasthi , Head IR and Strategy. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on the company's website. I would like to give a short disclaimer before we begin the call.

This call may contain some of the forward -looking statements, which are completely based upon our belief, opinion, and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Srinivas, sir, for his opening remarks. Over to you, sir. Thank you.

Srinivas Reddy: Thank you and good morning to everyone. Thank you for taking the time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao , Chief Financial Officer, Ms. Srilekha Jasthi , Head Strategy and Investor Relations and Orient Capital, our Investor Relations Partner . We have uploaded our updated investor deck, press release, and results highlights on the Stock Exchange and Company website. I hope everybody had an opportunity to go through the same. So today, basically, as a leading provider in multiple segments, in terms of clean energy, defense, nuclear, space, and aerospace sectors, we have consistently delivered robust financial performance and strategic growth in the past. With regards to Financial Year '24, we definitely encountered a dip in our earnings, primarily due to the following reasons.

One, customer transition impact. One of our key customers, Bloom Energy, contributing substantially to our revenue stream, has initiated a comprehensive transformation of the business model in terms of the hot boxes or the model, what they want to change for higher power output. Consequently, there has been a temporary reduction in their procurement volumes from us, impacting our earnings.

Once the new model Santa Cruz is fully implemented, it will result in enhanced operational synergies and more sustainable partnerships. We have clear indications that we will bounce back to higher procurement volumes by Bloom during the second half of the year. Two, our team is closely collaborating with a number of MNCs, and worked on various first articles in various projects. And company had to incur expenditure for development of these first articles, which has definitely affected, to a certain extent, our EBITDA levels for the year, but will result in high revenue streams for coming years.

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For FY '24, we had revenues of 8 crores in MNC Aerospace Division. And for FY '25, the revenues generated will be close to about INR72 crores. This is a clear indication of what kind of work we have done in terms of developing the various first articles and products for the multinational that we are working with right now.

We will also be signing a number of long -term agreements moving forward with MNCs in the aviation sector

. And we have already received the agreement for one of the aviation sector projects from IAI, which will result in a business opportunity of close to 90 million to 120 million over the next 15 years. We have been working on these long -term agreements for more than six months. Further, we are working on such long -term agreements in various projects with various MNCs, and we should receive the final agreements over the next two quarters to take this forward, and which would result in higher revenue stream generation over the next two to three years.

For the financial year FY '24, we had also deepened our value creation by close to about INR25 crores to INR30 crores in the shop floor in various nuclear and space projects, because of the deliveries of the incoming raw materials in the second half for the major projects. Based on the current situation, we have the raw materials in place for the current financial year to enable us to make substantial progress in these projects, not only to achieve the desired sales, but also to achieve the value addition in the shop floor in all the projects.

Our team is collaborating with various customers to integrate our cutting -edge solutions into the revamped framework, ensuring mutual growth and long -term value creation. Despite this short -term impact, our core financial metrics remain strong on a long -term basis. Our aim is to have a diversified portfolio across multiple sectors, which mitigates risks associated with any single customer.

We are working towards proactive cost management strategies to improve our EBITDA margins, and investments in R&D projects, including developing first articles and products, will

position us favorably for future market opportunities. We are very optimistic about our future outlook, supported by several key factors, diversification of customer base and continual development of first articles for various MNC customers as global demand continues to rise. Ongoing expansion plans and strategic partnerships are expected to drive the revenue stream. Our commitment to sustainable practices resonates with industry trends and regulatory frameworks, enhancing our competitive edge. Based on the current estimates, we are expecting increase in revenue guidance of 30 % to 35% for FY '25 and EBITDA margins of around 22%. 40% of the revenue should be achieved in the first half of the year and the rest 60% will be achieved in the second half of the year. We will continue to grow at a minimum of 30 % to 35% for FY '26 with improved EBITDA margins close to 24% plus. We have closed the year -end order book at INR915 crores and expect to have a closing order book of INR1500 crores by March FY '25. The major orders are expected from nuclear, space, defense, MNCs and clean energy sectors.

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I am happy to announce that we have onboarded Mr. Arun Ojha, Chief Commercial Officer, who will be responsible for business development and MNC supply chain. He has 25 years of vast experience in supply chain, business development and manufacturing and works for prestigious firms like Schlumberger, ALSTOM , L&T and Andritz . Under the leadership of Arun, we are expecting to enhance the customer base further and he has already initiated discussions with various global MNCs and the target is to diversify even into the oil field sector in a very big way and he has enough connect in these areas. Over the years, he has worked with Schlumberger and the others.

In conclusion, our current quarter and financial year ' 24 reflects a pause in our earnings but our long-term trajectory remains robust. We are confident that the strategic shifts taken by the company unlock new avenues of growth. Our diversified portfolio, strong financial foundation and unwavering focus on innovation and sustainability will continue to drive our success.

I do understand that m

ost of the shareholders would be disappointed with the financials for FY'24 but please look at the long -term goal of MTAR and the kind of work we have done in the past one year to build strong customer base to enable robust long -term trajectory for the company. I would like to thank at this moment all our engineers, middle and senior management of MTAR who work hard in achieving the results the company needed for a robust future outlook by developing various first articles and products during the year for future growth.

Bloom Energy transition impact encouraged us even more to strengthen our other verticals very aggressively during the year and to conclude, we have done our best to have a strong future outlook for the company. I would also like to thank all the investors and shareholders of MTAR in supporting the company. It is a technology -based company and such blips are expected but on long -term we are always the winners and we strongly believe in that.

Now I would hand over to our CFO, Mr. Gunneswara Pusarla to take over the financial performance of the company for FY '24 and Q4 of this year. Thank you.

Gunneswara Rao: Thank you, Mr. Srinivas Reddy. Good morning everyone and a warm welcome to our earnings call today. I will take you through the financial highlights. After that, we will open the floor for questions and answers. And this financial year, we have clocked a revenue of FY'24 we have clocked a revenue of INR580.8 crores from operations as against INR573.8 crores in FY '23. The company had posted an EBITDA of INR102.7 crores in FY '24 as compared to INR154 crores in FY23.

Our profit before tax stands at INR73 crores in FY '24 as against INR 140.2 crores in FY '23. The company has registered a profit after tax of INR56.1 crores in FY '24 as against INR103.4 crores in FY '23. As explained by our MD, the decline in profitability mainly due to operating leverage and deferment of orders in clean energy and space verticals. However, we are working on adding the new customers and setting up the aerospace division to cater to the aerospace customers.

So the company has witnessed an improvement in the net operating cash flows to INR57.4 crores in FY '24 compared to INR7.4 crores in FY '23. This is mainly due to various monitoring steps

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we have taken in the company and achieved a positive cash flow from the operations. The company is focusing on improving cash flows from operating activities further by end of the current fiscal year. As the MD said, we are actually targeting to increase our revenue by 30 % to

35% in FY '25.

Our NWC days stand at 252 days in FY '24. We have achieved a reduction in receivables and raw material inventories compared to the last financial year. RM days in FY '25 stands at 118 days compared to 154 days in FY '23. Similarly, receivable days were reduced to 93 days as against 132 days in FY '23. So while the scope of reduction in WIP is limited -- now based on the product mix, we are focusing on reduction of RM inventories further to lower NW days to 230 days by end of FY '25.

Our debt levels remain healthy where we have an outstanding fund-based debt of INR190 crores. The company's working capital debt is INR93.9 crores after existing positive cash balance of INR39 crores. The net debt is only INR54.7 crores in FY '24. So the positive cash flows is mainly resulting to the last days of the quarter we received the funds which were repaid in the April 2nd of this financial year.

We are working in line with our strategy to add more customers and accordingly we are setting up new unit to cater to the aerospace customers. Also are trying to increase our wallet share with the existing customers. As informed by our MD, there could be short-term impact on margins but our long-term vision is intact and growth is intact. Thank you all.

Moderator: Thank you ver

y much. We will now begin the question and answer session. The first question is from the land of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: Just two questions for management. So basically, Bloom Energy for which significant revenue comes from South Korea. I was going through the green hydrogen laws and South Korea actually mandates that if you localize your production, there's a higher chance that you will get orders from South Korea.

And actually, Bloom competitor is doing the same in South Korea. So, that is a direct risk to MTAR because obviously localization of production means they will produce all their parts in South Korea. So, does the management see this as a risk going forward? Can this be a possible risk?

Srinivas Reddy: So, as far as South Korea is concerned, I think the new government, they wanted localization but it can only be done to a certain extent. We are still exporting substantial revenues to South Korea even today. And that's not going to change. So, not only we are supplying to South Korea directly but also to the US. So, that's really not going to change much in terms of the localization. Every country has that localization policy but they can do it only to a certain extent. But if you look at our revenue stream, the revenue stream is not only coming from USA but also from South Korea as well.

Vipraw Srivastava: Cool. Noted. Second question is regarding Bloom's deal with Amazon. They were installing Bloom servers in Oregon which actually didn't go through. So, Amazon's partner SK now has MTAR Technologies Limited
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250 million of inventory on their books of Bloom fuel cells. So, I mean, can this result in a pushback for MTAR going ahead since SK has a lot of inventory on books because that Amazon deal didn't go through? I mean, what was the communication from Bloom to you guys? Any thoughts on that?

Srinivas Reddy: So, basically if you look at our current forecast for the current financial year, we have taken 3,300 units of hot boxes and last year we have done 2,752. So, we are still being on the conservative side in terms of the number of boxes that we are going to deliver to them. And I have heard recently they have also won a contract with Intel which the requirement is going to go up in the second half of this year. So, that I don't think will have an impact on any of the numbers what we have taken in terms of what we can do with Bloom at this point of time.

Vipraw Srivastava: Okay. Noted. And yes last question is that you have to understand that Bloom's fuel cell does emit carbon, right? They have some carbon emission per megawatt hour and actually that carbon emission is higher than certain states in US grid emission. So a lot of these states are actually lobbying against Bloom.

They don't want their fuel cell to have installed. So I mean what are your thoughts on this if this happens I mean because Bloom emits I guess 600 LBS per megawatt hour and some grids in US are completely renewable. They emit 200 LBS, 300 LBS per megawatt hour. So this can be a potential risk to Bloom and in that sense can be a risk to MTAR also. So how do you see that happening? Have you had talks with Bloom's management on this?

Srinivas Reddy: So basically when you convert methane, CH4 and when doing a catalyzation process there will be a very marginal carbon emission, right? So obviously the electrolyzer process will have zero carbon emission. Now, that's the ultimate goal, but Bloom has expanded into a lot many number of states, United States as far as we know about it.

And I don't think this will really affect their long-term plans in expanding to various states, United States and as of now I don't see any kind of such information coming from Bloom that

they're losing orders because of this. Primarily, most of the orders our substantial order

s are also

going to come in during second half of this year is what Bloom has told us and that's how they're going to increase their volumes subsequently.

Vipraw Srivastava: Last question. So obviously solid oxide fuel cell has a lot of computing technologies also. There is this tech coming up from Ceres Power which has actually also got Bosch as their partner. So that is giving significant compression to Bloom in South Korea. So wanted to understand that in the future let's say this company becomes big. So can you supply to them also or do you have some exclusivity contract with Bloom?

Srinivas Reddy: We don't have any exclusivity contract with any customers till date. And we have the technology and we have the foundation laid to address any of these technologies with any company as and when we take it forward. So there is no issue of giving any exclusivity to any company at this point of time.

Vipraw Srivastava : Okay. Thanks a lot.

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Moderator: Thank you. Next question is from the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Hi. Good morning, sir. So regarding the margins in the Q4 sir actually we are expecting some higher margins because of domestic revenue in the Q 4, but surprisingly the margins are down. So is there any specific reason?

Moderator: Bala, sorry to interrupt you. Your voice is not coming clearly.

Bala Murali Krishna: Just a minute.

Srinivas Reddy: No, I could hear him. So Bala can I answer you now? Can you hear me?

Bala Murali Krishna: Yes sir.

Srinivas Reddy: See Bala as I explained overall so what we have done is our focus was on – so when we had the transition or the product mix of Bloom being changed or the shipments being deferred, whatever you can call it because of the strategic movement towards the higher level model of Santa Cruz. Our main focus for over the last 6 months has been to develop various products and first articles to ensure that we have the right customer diversification and also to ensure the robust growth for the company. Because we have established ourselves very well with Bloom technology in terms of production and in fuel cell technology especially.

So in terms of that also the margins are lower, because our focus was on first articles to incur enough expenditure there and the value add of our domestic projects the clearances of raw materials for nuclear space, all that took some time. But we are back on track with that and we should not really worry about this.

As far as I'm concerned I'm very clear that we are right on track in terms of where we should be moving forward. This is a temporary blip. I definitely do understand. I have clearly mentioned that, but we have done substantial work within the company by all our engineers and the team to develop various first articles and products which will really help the company to have a very robust growth moving forward.

So I don't think we should really worry about this and I'm definitely not worried. I'm actually very excited about the kind of work we have done over the last one year in terms of moving forward with a great amount of customer diversification. That's why we have signed, we have finalized a major agreement with even IAI also recently and we are working on a lot more projects with other MNCs as well which will be signing such agreements purely based on the kind of work we have done which does not reflect in our numbers in any case.

Bala Murali Krishna: Sure sir. That's great. And secondly sir this electrolyzer. So any further update on orders or any new customer acquisition in electrolyzers sir?

Srinivas Reddy: Not as of now Bala because we have about 34 electrolyzers to be dispatched which we are doing part of it this quarter and next quarter, but the Bloom has indicated that once they get the fresh

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batch of orders for electrolyzers they definitely will move forward with us obviously. And I'm hoping that something should happen by second half of this year.

And we have not plugged that number also into our business plan for this year. So, anything happens in terms of more number of hot boxes or the electrolyzers will be an upset for the company which we have not taken into this quarter. So we have been very cautious this time about what we are saying to all of you in terms of our guidance.

Bala Murali Krishna: So just a follow-up on that. So in electrolyzers part are we having any discussion with any domestic customers because there are also capacities building in domestic also for electrolyzers?

Srinivas Reddy: See they are talking about building the capacities in domestic, but they still have to do the prototypes and develop their product. I have not seen anyone doing that as of today. So once that happens then we can take it forward. So we just have to wait and watch for that.

Bala Murali Krishna: Lastly, on Fluence Energy deal sir any update on that?

Srinivas Reddy: See Fluence, they are definitely going to be our partners for sure, but they are going to start first with the domestic project and then move on to the exports because India has developed the capability of manufacturing the batteries required for that because for exports you incur the duties, the majority of the market is in Australia and other countries where we have the duty issues coming in because we don't have the duty to manufacture 100% in India.

So as far as exports are concerned they are working with two, three companies within India for the battery manufacturing, but for domestic they are bidding for various vendors and actually they have mentioned to me that they are working on three tenders. If any of those tenders if they get it, the orders will come to MTAR. So everything is tied up with MTAR, but we are just waiting for the orders from Fluence. Whenever they win the tenders they will release the orders to us that's where we are right now. So, we have not taken that into account for this financial year as well. So if it comes then it will be their upside for us.

Bala Murali Krishna: Okay that's all from my side. Thank you all the best sir.

Moderator: Thank you very much. Next question is from the line of Bhaskar Kasera from Kotak Mahindra Asset Management. Please go ahead.

Bhaskar Kasera: So sir last quarter, you had mentioned that we will be doing 170 crores of revenue this quarter, but delivered like only INR143 crores of revenue. So what is the major reason behind it?

Srinivas Reddy: See one of the reasons is on the Space sector we are supposed to dispatch our semi cryo engine which we are working on with ISRO. Now, there has been a small blip in that in terms of – I can't go into the details right now but it's mostly on the ISRO side in terms of the technology-related issues. So, they made last-minute corrections in some of our sub-assemblies, which they wanted us to do to ensure that the product comes out in the right manner.

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So, to be very brief on the brazing process – so, that's what is happening and that corrections are being made right now. So, that has shifted the revenue to the next financial year. So, that's one of the main reasons behind this difference in the revenue stream.

Bhaskar Kasera: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Abhijeet from ICICI Securities. Please go ahead.

Abhijeet: Thank you for the opportunity, sir. First question is sir, do we see a risk to our wallet share with Bloom Energy, especially in the context that there has been a moderation in the outlook for revenue growth, even for Bloom and they have suffered cash flow issues? So, in that broader

context

and also sir, there has been a major design change in the fuel cell that they are operating with.

Abhijeet: So, do we see a risk that our wallet share might get reduced with Bloom Energy going forward?

Srinivas Reddy: See, I don't -- If you talk about the wallet share see, overall, if you look at Bloom the way their order book movement happens or the orders they book, I don't see any risk coming from there.

What I would see or what we have seen over the last -- once this transition has happened in terms of the change of model, reduction of procurement volumes, we went very aggressively. Actually, it opened up our eyes as well to be frank. We went very aggressively over the last six months and we were working on it even before that but we went really aggressive in terms of expanding our customer base and quickly producing the first articles and products for the various industries that we are working on with.

Now, as far as Bloom is concerned, in fact, they are asking us to do more of their other requirements right now, which we are working on in terms of first articles for Bloom as well, which they have other suppliers but still, they want to come back to MTAR, the kind of quality we are supplying to them. So, I don't see any risk in terms of Bloom volumes going down. You can see only an upside from where we are today. So, what we have taken into our guidance is what we have as of today and if anything goes upside then that's what I said, it will be an upside for us. So, I don't see any kind of risk coming from that angle.

Abhijeet: Sir, what is your assumption in terms of Bloom revenue growth for FY '25? Overall, we have guided for around 30 %-35% revenue growth for FY '25. So, in that what is the Bloom revenue growth component?

Srinivas Reddy: We have taken hardly about 15%. So, the growth is coming from the other sectors, especially in the aviation sector, which we are very upbeat about it and it's going to grow even larger in the subsequent years as well, as we streamline our operations in the aviation sector.

Abhijeet: The second question would be, sir, Q4 gross margin is at around 45% versus an earlier expectation that given that domestic revenue mix would be much higher in the second half the gross margin profile would look much better. And this is what is worrying me is that the gross margin profile, what would be sustainable gross margin profile?

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And especially I think we have garnered a lot of MNC Aerospace business. So, in that particular stream of business is the margin profile a bit inferior compared to the other businesses that we have?

Srinivas Reddy: Well, the MNC Aerospace is the sector margins are not inferior. To begin with, we look at margins of 20 % to 22% but it would improve as we streamline the operations, as we ramp up . So, in terms of reduction of cycle times, improvement in operations and stuff like that. So, over the next one year, we'll see a much better margin coming because of the improved operations on the shop floor. That's how it's going to work with any of these new verticals that we're working with. So, that should not have any issues in terms of impacting our margins for these new products.

Abhijeet: Right, sir . That would be it.

Gunneswara Rao : Thank you. If I add to my MD, as he was explaining in space some of the products were deferred to next financial year. We are carrying the inventory at a cost basis. A lot of price escalation clauses are there, which will crystallize once we deliver in this financial year. That is also one of the contributors to the margin difference but our margins are intact. There is not an issue.

Abhijeet: Right, sir. Thank you, sir. That's it from my end.

Moderator: Thank you very much. Next question is from the line of Ashish Jindal from Motilal Oswal Financial Service . Please go ahead.

Ashish

Jindal: Hello, sir. Ashish Jindal retail investor.

Srinivas Reddy: Hi, Ashish.

Ashish Jindal: Good morning, sir. So, my question is, Bloom energy has already low reserves and their losses are eating into their reserves each year. Their share price depicts their investor outlook for the company, which would make raising fresh money difficult. Do you not see any solvency issue with the company?

Srinivas Reddy: No, I really don't see that. If you look at the recent developments in Bloom energy as well whether you heard or not, they've also signed a contract with Intel recently with one of their major customers. And also, they have enough order books to handle the various requirements they have. So, as I mentioned earlier, basically, it is a transition phase for Bloom moving from one system to the other system and making it sustainable over a couple of quarters.

But I don't see any reasons in terms of having any risk in terms of the revenues that we can generate through Bloom over the years. And in fact, we're adding a lot more products which they're asking us to do moving forward, which we're working on right now. So, I don't see any issues out there. That's what it is. I'm in constant touch with them. But we have still taken numbers what we think should be as of today. But anything which the demand goes up in the second half of the year that we have to see.

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Ashish Jindal: Okay, sir. So, my next question is that MTAR guidance for F Y '26 comes to a little above INR1000 crores . Can you please bifurcate the Bloom and non -Bloom guidance for F Y '26?

Srinivas Reddy: See, basically, if you remember we were at 70% with Bloom . Our aim over the next three to four years is to -- We're not worried about Bloom coming down. Bloom will do the numbers higher and higher. But our target is to bring down diversified to various customers so that the Bloom percentage would come to around 35 % to 40% or even less. So, in F Y '26, if you look at it, it would be around that range. We're looking at about INR450 crores or INR500 crores or even less than that.

Ashish Jindal: Okay, sir. So, my last question is, can you please give some information about the long -term defense sector outlook for MTAR?

Srinivas Reddy: We are working on various aspects. You know, we also have a defense license, if you remember that. So, our R&D is still working on various products that we can really work with them. In India, it takes time to get them certified and with various of these products. But what will help us is to collaborate with MNCs to bid for the projects which the army is looking for in the long run. So, this license would help in that way.

So, on an immediate basis. So, we are looking at such projects as well. But our main focus

defense is very cyclical in terms of what we can get. But fortunately, we are in multiple segments, diversified portfolios. So, it helps us to take our time to build our defense portfolio in the long run.

Ashish Jindal: Okay, sir. Thank you, sir.

Moderator: Thank you. Next question is from the line of Anupam Goswami from SUD Life Insurance. Please go ahead.

Anupam Goswami: Hi, sir. Sir, can you give us a little guidance on the order mix, order inflow mix in the next year? How we are seeing order from agreement as well as from Bloom? And also, H1, how you are seeing and versus H2? Which half will we have the bulk of the orders mostly?

Srinivas Reddy: See, the most important thing is we have enough orders for this year to execute. Our guidance of revenues is not linked to the orders. Second is, if you look at nuclear, as I have said earlier, we are expecting INR500 plus crores of orders from tender 5 and 6. Those tenders are all finalized, but I think they are going to open the tenders probably in the month of June. When they are going to do that, I am not aware,

but that is what they have said.

And once they do that, there is a process for which ultimately MTAR getting those orders, but we have not plugged in those revenues linked to these orders for this financial year.

So, the nuclear segment order book will be very strong by the end of the year, because there is going to be a refurbishment of the Tarapur reactor as well, which MTAR will get involved. And that will happen during the second half of this year, where we should back the order by the end of this year. And that is another INR130-INR150 crores of orders.

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So, totally we are looking at about INR650 plus crores of orders flowing in. And these orders will be executed in the subsequent financial year. So, the nuclear segment will eventually move up the ladder in terms of revenue stream year-on-year basis. So, that is where we are looking at as far as nuclear is concerned. Space, we get regular orders, which we continue to get within the year. We are expecting another INR70-INR80 crores of orders coming in in the current financial year.

And obviously, in the aerospace sector, which we are signing various agreements right now. We are very upbeat of it and we are expecting substantial orders coming in because of the kind of first articles work we have done. And we will continue to do those first articles for various MNCs during the current financial year. So, we might close in with an order book of INR1400 - INR1500 crores by the end of the year. That is what we are expecting at this point of time.

Anupam Goswami: And when do we see the Bloom orders also recovering? And also, sir, because we did some 1400 level of revenue this time, but our gross margin were grossly impacted. And so is EBITDA margin. How do we see this improving? Even though we have orders to execute, but how do we see the margin improving?

Srinivas Reddy: The margins would improve over the second half of the year. We are progressively improving our margins because the operating leverage, what we had with Bloom, has reduced right now because of the lower volume. But it will definitely go up as we move forward. And obviously, we have added a lot more other customers right now. So, definitely, quarter-on-quarter basis, our margins will improve definitely.

And as I said, even in FY '26, our margins are going to go up by 2 %-3% not just higher. So, that is what is going to happen. So, the Bloom volumes are going to be higher. See, we have taken 3300 units. Last year, we have done 2700 units. The volume go up that will create a lot better margins, which we have not considered right now. But definitely, we are seeing some kind of uptrend happening in the second half of the year. And let's hope for the best. That's what we are looking at. But we have not considered that as of today.

Anupam Goswami: So, Bloom orders will also... We are expecting about second half of the year to recover?

Srinivas Reddy: Definitely, that's what we are looking at right now. For sure.

Anupam Goswami: Okay, sir. Thank you. I will join back in the queue.

Moderator: Thank you. Next question is from the line of Meet Jain from Motilal Oswal. Please, go ahead.

Meet Jain: Hi, sir. Just on the guidance part, like earlier, we are targeting around INR900 crores of revenue in FY '25, and which cut down to almost INR750 crores. So, where was this major gap coming in? And also, on the space side, we have added around INR150 crores of top line in FY '25. So, are we firm on that guidance?

Srinivas Reddy: Yes, we are. As of today, look, We have taken a conservative outlook. We would like to do that. We are firm on this. Looking at what has... As I explained earlier, what has happened in the past financial year, we are very clear about it. But what is most important is, as I have explained, we

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have done a lot more work in terms of building the proper growth for the company for the future. In the last year, it does not reflect in numbers.

But yes, we have taken this guidance very cautiously. And we will see how it will go from here quarter-on-quarter basis. This is the beginning of the year, and we will see how it goes quarter-on-quarter basis, how it will move. But it will move... It is not going to be on a downtrend for sure. That much I can guarantee every one of you. But it will definitely -- that is how we are going to purchase guidance, and that is how we will move forward.

Meet Jain: So, just to understand, where is this major cut coming from? Like, earlier we added clean energy to INR400 crores of revenues. So, are we seeing a major cut from the clean energy part because of Bloom's order book?

Srinivas Reddy: Yes. Partly on the clean energy part, we have reduced -- also, we have not cut the clean energy revenues, part clean energy revenues as well as of today. So, we have reduced at various levels.

But certain things happen, then we go back to the numbers what we are looking at. But as of today, this is where we start.

Meet Jain: Okay. And on the same for the margin side. So, margin, like we are expecting around 22%, margin FY '25. So, where are we still seeing higher cost? Can you guide that also? So, are we doing more first articles? That's why we are guiding some kind of lower margins and expanding there. Can you throw some light on that?

Srinivas Reddy: Yes, absolutely. Because, see, when we do the first articles, even for like last 6 months to 9 months, we are working on first articles, there is a lot of expenditure incurred in that, right? But what it gives you is a very good revenue stream and EBITDA margins moving forward once we streamline the operations.

So, definitely the EBITDA margins will get improved once we establish all these verticals, which, fortunately, our team has done a great job in securing these agreements and convincing the MNC customers in what we have shown them. So, definitely we will see improvement in these margins as and when we streamline the operations in terms of the new verticals that we have developed right now.

Meet Jain: Okay. So, as you mentioned earlier, our margins from the Bloom Energy orders have also declined. So, how soon can we expect that to improve? Like you mentioned, from second half.

This is based on the volumes that we are doing in FY '25.

Srinivas Reddy: Yes, that's right. See, as of today, the kind of volumes we have given the guidance, that's where we stand. But, if there is an upside to it, then obviously the operating leverage will be much better and the margins will improve. So, we are definitely expecting an upside to it, but we don't want to talk about it right now at this point of time. And we will stick to this initial guidance for the year. And as and when things improve, we will obviously inform all of you.

Meet Jain: That's a last question. As we recently got the defense license, and we also mentioned that we are looking for some partners. So, where are we on that?

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Srinivas Reddy: We are working on that. In fact, we are having a couple of meetings even in the month of June.

So, that's a process by itself, right? Waiting for the tenders, jointly, collaboratively. That's the fast track way of doing it because we have the license and we are working towards that. And we would like to work with companies which are in sync with us in terms of margins that we can maintain. That's also very important in such collaborations. So, we are working on such projects as I mentioned earlier. And once it happens, then we will let you know about that. We are sincerely working towards that.

Meet Jain: So, are you also developing that in-house, any products for this defense, industrial license?

Srinivas R

eddy: Yes, we are definitely doing that. Our R&D is working on various products. Then there is the process of getting certified and all that. So, that's the process that we are following right now.

Moderator: Thank you. Next question is from line of Hiloni from Pi Square Investments. Please, go ahead.

Hiloni: Hi, I just wanted to get some clarity on the aviation sector long-term agreement that you spoke in the opening comments. Just wanted to understand what is the long-term agreement. I think you quoted around \$90 million. So, can you just throw some light on the same?

Srinivas Reddy: Yes, sure. See, basically, this is with Israeli Aerospace Industries where we are supplying the assemblies to them. This is a contract agreement to be supplying over the next 15 years. With an estimated value of 90 million plus or whatever, to 120 million over the next 15 years. So, this is one of the projects. So, we are also working on four or five other projects where, as and when we finalize everything, then such agreements will flow in.

So, that's why I said over the next two quarters you will see at least about two to three more agreements happening with MTAR because of the kind of capabilities we have. We are also commissioning a state-of-the-art aerospace division in Hyderabad as Unit 7 which is getting commissioned in the month of June. This is being exclusively done for all these MNCs to execute their orders and requirements over the years. So, that's where we stand right now.

Hiloni : Okay. And what would be your capex guidance for FY '25-'26?

Srinivas Reddy: FY '24-'25, right?

Hiloni : Yes, like for the next two years.

Gunneswara Rao: For FY '25, we are looking for around INR70 crores to INR75 crores which includes the already existing POs which issued last year. So, FY '26 will not be that much. It is based on the new programs which we receive. We will take care based on the business case analysis like for example, for Fluence we require separate capex. Hence, we will take a call on Cap ex based on the business case requirements. As of today, it is not factored into our FY '25.

Moderator: Next question is from the line of Rudresh Kalyani from Kalyani Private Business. Please go ahead.

Rudresh Kalyani: Yes. So, we were doing something with in-phase program, right? So, when are we going to start minting money from that and any insight on that end?

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Srinivas Reddy: Could you repeat the question, please?

Rudresh Kalyani: See, we were doing some space program with the in-phase, right? In-phase program of the government. ISRO.

Srinivas Reddy: Yes. Yes. So you are talking about the SSLV, right? So, basically, yes, that's a project by itself which we are working on which is like a 4 to 5 years kind of a project which we are working on with a team of scientists that we are working on right now with our team and it would take that much time to develop the launch vehicle. So, we are working on that and that's where we are right now. So, it's a 4 to 5 years kind of a program.

Rudresh Kalyani: So, we are not expecting anything from it until 2027 -28 something like that.

Srinivas Reddy: Yes, it takes that much time, right? To build a launch vehicle. It's not that easy. So, we are working on that which is a very unique vehicle with a liquid propulsion engine. So, that would take that much time.

Rudresh Kalyani: And one more question is on see few months back the government quoted 1 gigawatt hydrogen fuel project. So, are we doing anything on those lines and entering into that?

Srinivas Reddy: We are not entering into that but the final product manufacturers like Bloom and other companies who have the right product to do it they will definitely enter into that and we are doing the contract manufacturing. So, once these projects come into limelight and any of these orders are

re

booked then obviously MTAR will get benefited from those.

Moderator: Thank you. Next question is from Sumant Kumar from Motilal Oswal . Please go ahead.

Sumant Kumar : Sir, can you talk about the US business has any impact of higher cost of capital to Bloom or your business also and how is the any policy change you are expecting for US election going on in November 2024?

Srinivas Reddy: We are expecting better policies moving forward as well. So, I think we all know that the elections are happening in US in November. So, a lot of companies are holding back until such time to see the change of policies or better obviously there will be better policies in place. That's what we are looking at. But lot of companies are looking at it until the elections are done. So, we have to wait and watch and see how it goes.

Sumant Kumar : And, about the increase in cost of capital increased any impact on your business capex size and all ?

Srinivas Reddy: Gunneswara, you want to answer that?

Gunneswara Rao: See, the cost of capital is not, presently for working capital that I am talking about. Our cost of capital is only 6 percentage. But in case of US dollar loans and capex related, we will use the US dollar loans since we have a natural hedge already. We will use US dollar loans and see that our cost of capital will not be more than 8% or 7.5%.

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Sumant Kumar: I am talking about your business, your client in US and cost of capital has increased there. So any US demand, kind of Bloom demand any impact on the capex of US because of higher cost of capital and you are getting faced with this higher cost of capital through Bloom?

Srinivas Reddy: No, if you look at the companies which Bloom is dealing with, most of the equipment they are

selling outside say like dealing with companies like Apple, Google, all this kind of companies, hospitals, which are well funded. Intel, for example. I don't think that is going to be a major impact for Bloom as such in terms of increase in capital cost in United States.

Gunn eswara Rao: Our pricing are fixed and there is no impact to our cost of capital for Bloom, or USA. So, over prices are fixed.

Sumant Kumar: And any competition from solar powered and hydrogen? The cost conversion, people are sifting more to wards solar not the hydrogen?

Srinivas Reddy: No hydrogen as I said is going to take time. It is something which everybody wants to do at the end of the day. For example, did you imagine that 10 years back will have electric cars, but if you ask me today, probably 7 to 8 years from now you will see more of hydrogen related locomotives. So it is a matter of time that we move to that zero carbon emission. That's what the whole world is looking at because of climate change and that's what they are giving a lot of incentives subsidies in terms of getting into this line of activity moving forward as well.

Moderator: Thank you very much. Next follow -up question is from the line of Vipraw Srivastava from InCred Research. Please go ahead.

Vipraw Srivastava: Just wanted to said so, what is happening with Bloom is that there is a lot of demand of data centres in US due to generative AI boom, so that is actually resulted in people being very optimistic about the company. So how do you see that playing out will that lead to incremental demand in coming years over a longer term view point and data centres will also come to India ultimately and India Bloom does power for Intel in Bangalore. So let say data center ramps up in India and grid obviously wouldn't be able to supply all that powers. So that's where Bloom fits in. How do you see that developing over let say next 3 to 5 years? How would that developing?

Srinivas Reddy: This is what the Mr. K.R. Sridhar, the CEO of Bloom has mentioned even six months back. That its going to see a real upside in terms of the

artificial intelligence, AI data centres coming into play in the United States as well as all over the world. Bloom plays a perfect role for such data centres. These are already powering some of the other data centres as well today. So the AI data centres are going to be a real upside for Bloom as well the progress over the next three, four months to five months, six months. So the long -term, yes, definitely that is going to have a major upside for Bloom as well, which we have even seen the recent articles of how these AI data centres are going to give a positive impact to Bloom moving forward as well.

Moderator: Thank you very much. Ladies and gentlemen, in the interest of time, that will be our last question. I will now hand the conference over to Mr Srinivas for closing comments.

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Srinivas Reddy: Thank you very much for attending our earnings call. And As I said earlier, that we definitely had a pause of our earnings for FY '24 but we need to look at our long -term goals of MTAR and kind of work we have done in the past one year to build a strong customer base to enable a very robust long -term trajectory for the company. I would like to once again thank my entire engineers, middle and senior management, of MTAR and obviously all the shareholders and investors who have been supporting us. And we really look forward for better and better performance moving forward over the next 3 to 5 years. Thank you so much.

Moderator: Thank you very much. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2024

Date: 21 August 2024

To,

BSE Limited ,
P. J. Towers, Dalal Street, Mumbai -400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai- 400051. (NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 14 August 2024.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday, 14 August 2024 at 10:00 a.m.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in. You are requested to kindly take the aforesaid on your record.

This is for your information and records. Thanking you,

For MTAR Technologies Limited

Naina Singh
Company Secretary and Compliance Officer
Encl: As above.

email : info@mtar.in website : www.mtar.in

CIN No: L72200TG 1999PLC032836

MTAR Technologies Ltd. (Formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar, Hyderabad - 500 037. Telangana, India. office: 040-44553333/23078312 fax: 91-40-44553322/23078316, GST No.: 36AACCM2021N1ZL

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MTAR Technologies Limited
Q1 FY '25 Earnings Conference Call
August 14, 2024

MANAGEMENT : M R. SRINIVAS REDDY – MANAGING DIRECTOR AND
PROMOTER – MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD, STRATEGY AND
INVESTOR RELATIONS – MTAR TECHNOLOGIES
LIMITED
M
OPERATOR : M R. PARTH PATEL – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the MTAR Technologies Limited Q1 FY25 Earnings Conference Call hosted by Orient Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference has been recorded. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you and over to you, sir.

Parth Patel: Thank you, Sumit. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q1 FY25 business discussion call. Today on our call, we have Mr. Srinivas Reddy sir, Managing Director and promoter, Mr. Gunneswara Rao, Chief Financial Officer, Ms. Srilekha Jasthi, Head Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and on the company's website. I would like to give a short disclaimer before we begin the call.

This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion, and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Srinivas, sir, for his opening remarks.

Srinivas Reddy: Thank you and hello and good morning to everyone. Thank you for taking the time to join us today. Today on the call, I am joined by Mr. Gunneswara Pusarla, Chief Financial Officer, Ms. Srilekha Jasthi, Head Strategy and Investor Relations and Orient Capital, our Investor Relations partners.

We have uploaded our updated investor deck, press release, and results highlights on

the stock

exchanges and company website. I hope everybody had an opportunity to go through the same. In Q1 FY25, we have posted a revenue of INR 128.3 crores with an EBITDA of INR 16.6 crores at a margin of 13% and a net profit stand at INR 4.4 crores. We have an increase of employee benefit expenses in this quarter to the tune of 22%, which would eventually come down because of the establishment of new business verticals.

On an annual basis, the employee benefit expense would drop to about 16% with a robust revenue growth in the subsequent quarters. Also, as guided earlier, we are still maintaining a 22% EBITDA margin for the year with plus-minus 100 basis points and with a revenue growth of 30-35% year-on-year basis. I just would like to mention and guide for the Q2 numbers as well, which is just about 45 days from now.

We estimate that the highest ever revenues to be around INR 200 crores plus with an EBITDA margin of 20% plus-minus 100 basis points. Going back to Q1, in Clean Energy, we have executed roughly around INR 86 crores of orders and we have dispatched around 814 units of Hot Boxes and around 22 units of electrolyzers. Buikling Nation with Exceptional Engineering

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This is in line with the overall dispatches that we have mentioned earlier, close to 3,300 units for this financial year. The closing order book for Bloom Energy stands at Rs. 468 crores by end of Q1.

In addition, we have received around INR 140 crores of orders last week and the company will be receiving further orders during the current financial year for the various requirements of the Clean Energy segment, especially with Bloom Energy as well. We expect to execute around Rs. 104 crores of orders in Q2 and INR 323 crores for FY25 in this sector. The past few quarters have been challenging for us for various reasons, which was explained earlier.

I am pleased to inform everyone that our main customer, Bloom, is witnessing a rise in commercial demand, primarily from various data centers and posted a strong Q2 CY25 as well. The revenues of Bloom are projected to grow 18% per annum on average during the next three years, compared to the 8% growth forecast for the electrical industry in the U.S., while the past few quarters have been challenging for the company. The reasons for which have been explained very clearly in the past quarters.

In the case of civil nuclear power, in the first quarter we were building the systems for dispatches for the subsequent quarters. We have done a marginal sales of INR 1 crore plus. We built a lot of work in progress that shall be dispatched over the coming quarters. We look forward to deliver around INR 16 crores of orders in Q2 and the company shall be executing around INR 62 crores in FY25.

The contract of Kaiga 5 and 6 reactors has been awarded to a private player and as per the tender terms, they have to outsource the subsystem orders for the nuclear island to pre-qualified vendors of NPCIL. We are definitely expecting around INR 600 crores of orders coming in from Kaiga 5

and 6 in the second half of this year and orders from refurbishment of reactors are expected over the coming quarters as well.

We are expecting a strong closing order book of around INR 700 crores in civil nuclear power by end of this fiscal year itself. We have executed around INR 8.5 crores of orders in space in Q1, constituting 7% of total revenue. We expect a three-fold increase in revenues in space in FY25 compared to FY24 and also we have increased volumes from MNC aerospace as well. In Q2, the company shall be delivering around Rs. 12 crores of orders to ISRO and Rs. 25 crores of orders to various MNC customers as we have now gone into the production mode for the various first articles we have done earlier. On an annual basis, we are estimating an execution of Rs. 120 to Rs. 130 crores of orders in

this sector of which around Rs. 50 crores of orders will be delivered to ISRO which includes Semicryo as well and the balance Rs. 70 to INR 80 crores will be from the MNC aerospace customers as we have taken up the production orders from these customers after completing the first articles.

Batch production orders are being placed by the MNCs as and when a set of first articles are being executed on a continuous basis by the company keeping the future growth in mind. We could have further order inflows in this sector with the tune of INR 120 crores over the coming quarters. Building Nation with Exceptional Engineering
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As you are aware, the company has also entered into a long-term agreement with IAI, Thales and we will be signing a long-term contract with GKN Aerospace soon. Apart from this, we are also in discussion with various MNC aerospace customers for several other projects.

The revenues from defence for Q1 stand at Rs. 4 crores and in Q2 we will execute around Rs. 5 to 6 crores of orders and an annual execution is estimated at around INR 30 crores. Products and others have been doing extremely well based on our earlier efforts with very robust growth prospects. It is emerging stronger as we have dispatched around Rs. 28 crores of orders. We shall be executing around INR 37 crores from this segment in Q2 as well and Rs. 130 crores of orders shall be executed on an annual basis. In INR 130 crores, around INR 20 crores of orders are being executed for new customers in other sectors. We plan to execute around INR 12 crores in Q2 from other verticals of Clean energy like hydro, wind etc. and other sectors and end up with about INR 45 crores of orders being executed in FY25.

We are very confident of achieving the 30-35% growth in revenues and achieving a 22% EBITDA margin with plus-minus 100 basis points and the long-term growth of the company remains intact. In addition, we also target to improve our cash flows further by end of this fiscal year and reduce the net working capital days to 220 days.

While the company has clear targets with respect to revenue growth, improvement in margins and reduction of working capital base, I am confident of achieving the same, we are taking necessary steps to ensure a sustainable growth in long term.

Although Clean Energy is witnessing a bounce back due to stronger demand, which is a positive sign for us, we are primarily focusing on also diversifying and strengthening our revenues from other verticals as well. The growth in other verticals over the next 2-3 years is going to be very strong based on the efforts being made in developing various first articles for customers in various fields. Accordingly, the company is in final stage of discussion with clients in oil and gas field as well.

We are expecting a strong inflow of orders in this segment as well in the current fiscal year where we start with the first articles and then move on to the volume production in the next financial year. In addition, we are commissioning our new aerospace facility in Hyderabad by end of September and it will be fully operational by end of December with all the certifications done and this unit is expected to further impetus the growth of our aerospace vertical.

Further, we are also planning to close out the oil and gas vertical itself by establishing the required facilities for which we have enough equipment within the company and we will be adding further equipment to take care of the bottleneck areas in this field itself.

The primary focus of the company is on increasing the inflow of orders entering into long-term agreements with customers and building new verticals which will definitely ensure a strong growth outlook moving forward and that's the focus in which we are working upon on a regular basis. Our CFO, Mr. Gunneswara Pusarla will discuss in detail

on the financial performance of
Q1 FY25. Building Nation with Exceptional Engineering
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Gunneswara Pusarla : Thank you Mr. Srinivas Reddy. Good morning everyone and a warm welcome to our earnings call. First and foremost, I would like to express my gratitude for your continued trust and support for MTAR. I will now cover the various financial performance parameters for Q1 FY25 post which we will open the floor for questions and answers.

When compared to QoQ, Q1 FY25 versus Q4 FY24, on the revenue front at consolidated level, revenue from operations stood at 128.3 crores in Q1 FY25 as against rupees INR143 crores in Q4 FY24, a decrease of 10.3% when compared to QoQ.

Moving on to EBITDA, reported at 16.6 crores in FY25 as compared to 18.2 crores in Q4 FY24.

Profit before tax stands at 6.2 crores in FY25 Q1 as against 7.2 crores in Q4 FY24. Profit after tax was at 4.4 crores in Q1 FY25 as against 4.9 crores in Q4 FY24. Our EBITDA margins will improve starting from Q2 due to operating leverage and increase in revenues.

In Q2 we estimate EBITDA of 20% plus or minus 100 bps as aided by our MD. Sequentially it will improve in subsequent quarters so that we will end up with 22% plus or minus on an annual basis. The company has reduced its long-term debt by 15 crores from 142.5 crores to 127.4

crores in Q1 FY25. During the year the company is repaying INR 41.9 crores in term loan.

Another positive sign is the cash flow from operations stood at INR 24 crores positive as compared to FY24 full year Rs 57.4 crores. The company will be achieving an improvement in cash flows by end of FY25 compared to FY24.

Our net working capital to revenue days for Q1 FY25 stood at 277 days. In absolute terms the working capital reduced to 390 crores from 400 crores. Though there is a reduction in RM and receivable on absolute terms, the number of days is still higher due to lower revenue. We are confident of reducing it to 220 days on increased turnover by end of this financial year.

As informed by our MD the company is working on various initiatives such as adding additional customers, expanding its presence in aerospace by setting up dedicated facility at Hyderabad as

required by the OEMs, enhancing product portfolio with existing customers, venturing into new verticals like oil and gas sectors extra. We expect EBITDA and PAT margin to improve from Q2 and H2 of FY25 on account of higher revenue expected at 30 % to 35 % and also through operating leverage.

Going forward we continue to maintain EBITDA at 22% plus or minus 100 bps. So we are working on various initiatives such as process improvement, batch production in aerospace.

The company will reduce the debt substantially by end of this financial year. I am opening the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is on the line of Bala Murali Krishna from Oman Investment Advisors. Please go ahead.

Bala Murali Krishna: Good morning sir. My first question is regarding the number of Hot Boxes delivered and electrolyzers this quarter? Buikling Nation with Exceptional Engineering

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Srinivas Reddy: So we have delivered 814 hotboxes this quarter which is in line with the 3300 Hot Boxes that we are supposed to deliver in this financial year. And also we have delivered 22 units of electrolyzers this quarter. And apart from this in Q2 there is a lot of pull in and we are expected to deliver about 990 Hot Boxes this quarter.

So there has been a very increased demand from the Bloom Energy customers and also they have released orders for further INR 140 crores which we have informed the stock exchange last week. So we are expecting an improved demand and coming back to the higher dispatches moving forward

as well in the coming quarters which we will know further as we move forward.

Bala Murali Krishna: Okay sir. Is there any update on the electrolyzers order, further orders and how much you have yet to deliver from the previous orders?

Srinivas Reddy: We have executed all the existing orders that we have on electrolyzers. So we are expecting further orders coming in but we do not have a clear idea right now on when exactly we will get the further orders. But definitely Bloom is moving very aggressively in terms of implementing various projects in electrolyzers. So as and when the orders are booked we will get back-to-back orders from them and once we have it then we will definitely intimate everyone.

Bala Murali Krishna: Secondly on this aerospace unit which you are going to start, what is the product we are going to make here and oil and gas sector we are expecting orders and what is the product for the oil and gas sector?

Srinivas Reddy: So basically in Aerospace we are working with various MNCs. For example, as you mentioned with IAI, GKN Aerospace, Thales etc for various of the requirements in the aerospace sector and we have already done the first articles. Now we have gone into the production mode. That is why you have seen growth in the revenues coming in from this sector already this year as compared to last year. Last year we hardly done 8 crores or 9 crores in terms of first articles and this year we are looking at about INR 70 crores plus. So that

is a substantial improvement in the aerospace revenue itself.

So once this unit is commissioned, we will see a lot more impetus in terms of revenue growth coming in from this which has been an exclusive state of the art plant which we are commissioning shortly in Hyderabad itself. So that is where we stand and as far as the oil and gas is concerned, we have just discussed with a number of customers and we are looking at executing certain first articles this year and then we move into volume production next year and that will also add to a new vertical which we intend to start and we are progressing very well in terms of discussion with various MNC customers in this line.

Bala Murali Krishna That is helpful. Fluence Energy sir, any update on the progress on the deal with Fluence Energy?

Srinivas Reddy: No, as I mentioned earlier Fluence has already concluded the discussions with us. The only thing is they have to win orders within India to begin with, for us to get back-to-back orders. They are participating in various tenders so as and when they win the orders then it will probably commence that particular area. We will be able to get some orders. Buikling Nation with Exceptional Engineering
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But as far as exports are concerned, as I mentioned earlier they are working with a couple of companies to establish the battery manufacturing units in India. Once that is done then we will be able to even handle the exports for Fluence Energy in the long run.

Bala Murali Krishna Okay sir, lastly on this order intake I think we have a target of closing orders at INR 1500 crores. We are on track for that?

Srinivas Reddy: We are definitely on track for that. The majority of the orders are going to come in obviously from the nuclear sector which is very clear right now and once the private player who is getting it will get back-to-back orders from them because we are supporting in the case of manufacturing of the nuclear island which we specialize in that. Also in aerospace sector and Clean Energy sectors we are expecting a lot more orders coming in including the defense sector as well. So, we are definitely in line with what we have said earlier as having a strong closing order book for next year.

Bala Murali Krishna : Okay sir, that's all from my side and all the best sir. Thank you.

Moderator: The next question is from the line of Su

nidhi Joshi from KM Capital Advisors. Please go ahead.

Sunidhi Joshi: In the press release you had mentioned about Q2 being very strong and post that can we expect H2 also showing good momentum and our guidance for FY26 also remains intact?

Srinivas Reddy: Absolutely, that's what we have clearly mentioned that it's not about Q1 for us, it's about how we are taking this company forward and we are just like 45 days to 50 days from Q2 and we are pretty confident of recording the highest ever revenue for MTAR in the history of MTAR which is around INR200 crores plus. And the second half is also going to be very strong for MTAR based on the kind of work we have done over the past 8 to 9 months and based on that our revenue growth which we have mentioned 30 to 35% year on year is very much intact including the margins which we mentioned at the end of the year at 22% plus minus 100 basis points. We are right on track with that as well.

Sunidhi Joshi: Okay, fair enough and it would be great if you could comment on how this breakup would be across all the segments.

Srinivas Reddy: Are you talking about Q2?

Sunidhi Joshi: Yes

Srinivas Reddy: So basically, if you look at nuclear, we'll be executing orders worth about INR 16 crores roughly.

We are very specific in this because we know what's going to happen and then we are closing out the fuel machining head contract completely well within the time frame of NPC IL without incurring any LD charges, so we are well ahead of time. And space and aerospace sectors, space we're doing about INR 13 crores and odd and aerospace we'll be doing around close to about INR20 crores as such.

Products we'll be doing roughly about 37 crores and odd and clean energy segment in hydro wind we'll be doing roughly close to about 11 to 12 crores and in the sheet metal vertical we are Buikling Nation with Exceptional Engineering
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looking at about INR17 crore of business coming in and in the Hot Boxes segment which I said the demand has gone up to 990 units right now from 814 of last quarter and which is far more than what we anticipated and we touch around close to about 88 to 90 crores of sales from there. So this is the approximate breakup of the revenues that we're expecting for Q2 and that's why we have mentioned that we'll touch around 200 crores plus in Q2 where we stand right now that's

the breakup of the whole sales.

Sunidhi Joshi: Okay got it got it and also can you help us know the total L1 orders being bid for the quarter ?

Srinivas Reddy: Basically we have a bid for number of orders in the defense sector , in the space sector , in various other sectors and we are expecting all the orders to come in this quarter and the next quarter as well. We can't really quantify that but it depends on when exactly they will release the purchase orders . So we're waiting for that . We have won orders even from defense we have won roughly around 30 crores of orders for various products including wing kit assemblies , scramjet engines and all that . So all these things will come into play for the future years and those orders are expected to come in any time now.

Sunidhi Joshi: Okay thank you sir all the very best.

Moderator: Thank you. The next question is on the line of Meet Jain from Motilal Oswal. Please go ahead.

Meet Jain: Hi sir good morning. One question regarding our guidance s, how confident are we to achieve that in that Q2 we have given a break up of all the revenues and like what can be a downside risk on this?

Srinivas Reddy: I don't see any kind of downside here at all because they are well on track with the revenues for Q2 and that's why we specifically are guiding for Q2 as well this year . And we have given also the clear breakup in various segments that we're going to achieve these revenues and we are right on track with that. So I don't see any kind

of downside with this.

Meet Jain: Okay even on the margins are like we are riding on 20% kind of margin plus or minus 100bps . So we foresee such kind of product portfolio that can help us achieve this kind of margin.

Srinivas Reddy: Yes that's right so we will be achieving a margins of EBITDA of 20% plus minus 100 basis points , that's what we're looking at for Q2. And in the second half also we are having a strong revenue outlook and as well as improved margins . So ultimately we'll end up with what we've guided in terms of revenue growth and the EBITDA margins what we have said 22% plus minus 100 basis points for this year.

Meet Jain: Okay and any guidance on the closing order book by FY25 including L1?

Srinivas Reddy: Yes the closing order book as I said will be roughly around INR 1,500 crores and we are expecting major orders coming in from nuclear , aerospace, defense and also the space sectors and the new verticals we are entering into as such . So we have estimated all that based on the time frame most of those orders will kick in in second half of this year and we'll end up with a strong order book by end of this year. Buikling Nation with Exceptional Engineering

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Meet Jain: Okay apart from that , in the product and other segments , are we developing any new products . Like we have few products which we were able to generate a very good revenue out of that . So any new products that we are supposed to launch this year or in the pipeline?

Srinivas Reddy: The R&D and the new product development team is working on various products including valves for defense and space sectors as well . So we are looking at a lot of areas where there are quick wins for us , we are focusing more on that right now . So those things will come into play probably by end of this year we'll be able to see the light of some of those products for sure .

Apart from that which we had mentioned earlier finally our roller screws have been proven in the defense department and they're releasing a certification by end of this month. And with that the import it will become a 100% import substitute for us moving forward . And the government need not further import from Rollvis Sweden as we will be the first company who has developed this product which is useful in all the defense areas and space sectors as of today.

Meet Jain: So the new products that will be launching by the end of FY25 and the roller screws also which have been approved in the defense so this all will be contributing from FY26 onward?

Srinivas Reddy: Yes, absolutely yes . So what was the idea behind this is that we are clearly focusing on various products as import substitute products and all this will definitely contribute for the future growth in the next financial year FY26 for sure.

Meet Jain: Okay and one last question is on this defense, so where are we on this defense JV that we highlighted earlier.

Srinivas Reddy: We already have the defense license but we are looking at the right opportunities in the right partners in terms of the JVs right . It has to be beneficial for MTAR to move forward with such JVs. So we had couple of opportunities which we looked at it but we are not convinced with the kind of returns that we're going to have but we are still working with various companies to see how best we can do to have a jump start in terms of taking this forward. So once that happens then we'll be able to let you know about that.

Meet Jain: Got it. Also sir I just wanted to understand the capex guidance for FY25.

Srinivas Reddy: So basically , as I said we're already implementing the aerospace sector which we mentioned last time. We are looking at oil and gas as well and we're expecting the first orders to come and kick in sometime this quarter or beginning of next quarter . And as I said most of our unit equipment are fungible

in MTAR so we're going to use our existing capex for what is already implemented in the company for the oil and gas field for the first articles . But in order to establish an independent facility for them we might look at about we'll be shifting a lot of machine s out there in a separate facility and also add a few bottleneck machines . We're estimating the capex requirement which can be between 35 to 40 crores which will enable the company to do volume production for next year hopefully we're looking at about 150 crores of revenues coming in from there from oil and gas itself . So we are working on that it's still work in progress and once that is done we'll be quickly establishing all this to ensure that we book those revenues for next year after completing the first articles in the current financial year

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Meet Jain : Okay so only around 35 to 40 crores, this is the capex guidance for FY25?
Srinivas Reddy: For the oil and gas field yes they are around 40 crores and odd and aerospace already we have mentioned the capex requirement which is already under implementation right now and should be done by September and fully commissioned by December end
Meet Jain : How much is that capex sir?
Srinivas Reddy: See we have exclusive facility in Hyderabad which we have taken for 16 crores earlier and we're looking at probably around 20-25 crores of expenditure that we've incurred to set up the full - fledged state-of -the-art plan t for the aerospace industry that's what it is .
Meet Jain : That has been spent in this quarter and the previous year ?
Srinivas Reddy: It's in the process and that's why I said we're commissioning part of it in September and fully commissioned by December so it's a work in progress in implementation state it will be done by December end.
Meet Jain : Got it sir thank you
Moderator: Thank you. The next question is from the line of Harshit Kapadia from Elara Capital . Please go ahead
Harshit Kapadia: Hi thanks for the opportunity , I just wanted to understand sir on the hot boxes side are we now completely moved to Santa Cruz from Yuma or there are still some inventory for Yuma left in the system that's the first question . And secondly sir on the quarter two number you mentioned 200 crores , is that a correct number and what margin are you looking at for q2 is what you have also mentioned.
Srinivas Reddy: Yes so we have completely moved to Santa Cruz . See what is important here , it took some time because a lot of field tests also Bloom has to do as a company , which has been successfully done and that's how the whole thing has changed right now . And we have completely moved to Santa Cruz block 2 and it's fully implemented right now and Yuma is completely out of the picture . And as far as q2 is concerned I did clearly mention that we'll be doing our highest ever revenue around 200 crores and with a margin of 20 plus minus 100 basis points understood then where
Harshit Kapadia: And where are we in the value chain of increasing our share on the you know hot boxes and the green hydrogen chain you are looking to add more products , pie from just from the Santa Cruz boxes as well . So if you can share some details on that , that would be helpful .
Srinivas Reddy: See I can't go to specifics but we are just working on a few of those items right now . The first articles are being established and which will come into play in the next half of the year and full flesh in the next financial year . So we're working on those things right now and probably we'll see some traction happening over that over the next quarter or so
And as far as the electrolyzers are concerned as I said earlier we're completely manufactured the entire units for Bloom and we are looking forward for the new set of orders from them . It depends upon the

orders which Bloom will receive which actually they're going in the right direction as Buikling Nation with Exceptional Engineering
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mentioned in their earnings call as well and hopefully we'll get that is an independent vertical and right now we have not considered that in our revenue budgets for this year . But if it happens then it will be a separate new vertical which we have already established .
Harshit Kapadia: And what kind of opportunity would you associate electrolyzer with sir .
Srinivas Reddy: See electrolyzers is something very new right . Production of green hydrogen so that's something which a lot of countries are looking for and already bloom has established it and already executed some projects . I heard they've also executed one project in Europe as well . So we are looking at that vertical growing really in a very big way but it would take a little time but it will definitely happen . We're already there and hopefully I know even if you get the orders this year you're not

budgeted in our revenue outlook but definitely we'll see some kind of revenues coming in next financial year for sure.

Harshit Kapadia: And in terms of client diversification from Bloom , we had also submitted some of prototypes to some US companies and we were looking to add more clients so where are we in that growth phase sir

Srinivas Reddy: We are actually very strong in that . As I said we are working with US companies we're also working with Israeli aerospace industries , we're working with GK N and American companies , Dallas , European companies . So a lot of other companies we are working with us in a very big way.

See in engineering what happens is we have to build the product we have to do the first articles establish it, do batch production we have gone through all that right now . That's why we are into the volume production right now . We're also getting into the oil field which I mentioned earlier . So all this will enable us to diversify more and more and strengthen our other verticals in a big way and especially with nuclear sector becoming stronger and stronger for us finally because of the orders which will come in flowing for us I see the nuclear division is going to grow very rapidly over the next and we'll have enough on our plate for the next 10 years. And plus a lot of private industries are looking at smaller nuclear reactors to be established they're working with the government for that which has been announced in the budget as well . So we have a lot of scope in improving our area because we really specialize in the nuclear division for the last 40 years . So all this will enable us to diversify well and drastically reduce the customer concentration risk over the next two years for sure.

Harshit Kapadia: Fair enough sir and on space industry now you have been doing a lot of amount of product additions , so if we can give some highlights where are we in terms of growth in the particularly space sector . And any pipeline which you can share in terms the Gaganyaan etc which is there and where you will be able to delve more into this.

Srinivas Reddy: See all those projects we're already working with , you know space from 1989 we're working with them and we're very exclusive in terms of supplying the liquid propulsion engines , cryogenic upper stage engines for them. And the major product that we're working on hopefully we're going to end up dispatching it is the Semicryo engine for the first time so we're developing that as well . So also the growth in the space also depends on the number of launches they do and Building Nation with Exceptional Engineering

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how they want to take it forward . So we have to look at that but we are very stable in this space business because of our exclusive relationship with ISRO and th

e kind of technology we have developed with them and that will continue for us.

Harshit Kapadia: Understood sir. Wishing you all the best sir. Thank you.

Moderator: Thank you. The next question is from the line offer of Arafat Saiyed from InCred Research . Please go ahead.

Arafat Saiyed : Yes hi sir thanks for taking my question. Sir can you take us through the outlook of Clean energy and especially Bloom energy . So what kind of let's say the growth they are guiding you in terms of revenue and value addition?

Srinivas Reddy: See as I said right now , we are seeing a spurt of demand from Bloom energy which we anticipated but we were waiting for the time to come in . So if you look at the first quarter we have done 814 boxes . Now we are doing 990 for Q 2 and probably progressively we'll do such increased requirements from Bloom we have to wait and see. So we are in line with what we have said earlier .

In terms of the number of units we're going to dispatch but probably that might increase or that might fortunately will be there for sure , the kind of growth we're looking at right now . It was like sudden requirements which are coming in from them because of the various orders they have won the kind of outlook they have . So we would see a positive growth coming in from

Bloom as I mentioned earlier and in the long run they're also looking at about 18 percent kind of growth and we'll also see that kind of growth. Plus, we're trying to increase our wallet share with Bloom as well . So I think now we are back on track with Bloom completely and we're hoping to do better and better moving forward.

Arafat Saiyed : The next question on oil and gas so what kind of opportunity are you looking at in this space and also which clients you're tapping in this space and what's let's say major outlook on this segment and how this revenue will grow over the next three to five years , any guidance on that

Srinivas Reddy: See oil and gas, we have just over the last three to four months discussed with various customers who have visited our facilities . I don't want to spell out the names right now, but they visited our company , they have certified , they were very convinced with what our capabilities are. In the past we had also worked with Schlumberger as a customer , I am talking about 10- 12 years back .

So, we know what that oil field is all about.

As I said most of our equipment is fungible so we're trying to use our existing equipment for the first articles this year and then moving forward we're going to establish independent facility for the volume production next year . Now what is the growth outlook yes , it is actually very interesting because we are looking at , as I said earlier at least about INR 150 crores plus for next year, we can execute if we do the first articles on time which we will focus on in the current financial year and in the long run this vertical can grow as big as Bloom as well or even more .

The existing customer what we have so that's our goal in which we are trying to move ahead. Buikling Nation with Exceptional Engineering

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Arafat Saiyed : Okay and adding to that sir , what kind of product are you looking at in this space and what's your usp and also what is the investment in this space , are you looking to invest in the next couple of years.

Srinivas Reddy: I can't specifically specify a product , there are various requirements are given to us most of them are assemblies some of them are products . It's a multiple kind of requirement that they have .

And the investment as I said will be roughly around, with the existing equipment what we have and the additional around INR40-INR45 crores of equipment that we need to implement , which is not much based on the existing capex . Already machines that we have right now so that's the kind of outlook we have for this year to

implement

Arafat Saiyed : Okay fine sir that's it from me, thank you.

Moderator: Thank you, the next question is from the line of Gaurav Utrani, from IIFL Securities . Please go ahead.

Gaurav Utrani: Hi Sir, thank you for the opportunity . Sir just wanted to check on the nuclear power orders for the same because see we have received the notification that Megha Engineering already received the order from them , for Kaiga 5 and 6. So when can we expect our inflows to sort of build enough which we are actually expecting to the extent of 500 crores

Srinivas Reddy: Yes, so it should be in the second half . So, the tender has won by them . Basically, the process is that NPC IL has to release the order for them in turn for us to get back to back orders , so we are hoping that we'll definitely get it in second half of this year

Gaurav Utrani: And sir apart from that we have also talked about 14 refurbishments for this nuclear reactor fleet which you were expecting . So any sort of inflows from that as well would be contributing to our inflows in FY25?

Srinivas Reddy: Yes, that is for sure . They're saying that by mostly that's a fast-track project . Any refurbishment of reactors is on fast track . So, this is the Tarapur reactor which they are taking up and they're saying they'll float the tenders in third quarter of this year. So, if they float the tenders in third quarter of this year . we'll have those orders coming in before March.

Gaurav Utrani: Okay and sir revenue build up we would be seeing from FY 26 for nuclear segment .

Srinivas Reddy: Yes, for sure definitely okay.

Gaurav Utrani: And sir , apart from that on the oil and gas which you were talking about , if you're able to sort of qualify for our first article any margin differential which we are seeing in terms of how margin accretive these orders could be for us going forward say from perspective of next three to four years

Srinivas Reddy No we don't want to specify the margins at this stage but definitely . We are entering into a very niche area of oil and gas . Unless the margins are reasonably good, we don't do that so we have done that study already . So it is in line with the kind of margins we are looking at on a long -term basis somewhere between 24 % to 26 % EBITDA margin , so that's not the issue Buikling Nation with Exceptional Engineering

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Gaurav Utrani: Any incremental capex we should be requiring to set this up or already we sort have the facilities to take such orders?

Srinivas Reddy: As I mentioned earlier, we do have some facilities but incrementally we might have to spend around INR40 crores plus to establish independent facility for this for volume production to begin with

Gaurav Utrani: Okay, thank you sir , that's all for my side thank you.

Moderator: The next question is on the line of Bala Murali Krishna from Oman Investment Advisors . Please go ahead .

Bala Murali Krishna: Thanks for the follow-up. So, any update on this defense like products which are going to pick

up other than roller screws any other for advice for defense ? [inaudible 45:15]

Srinivas Reddy: I did mention that Bala, see the roller screws we are getting a full certification by end of this month. And once that is done it will be certified as a 100% in process, so that's taken care of.

And we are working on various other products which can be equipment's which is being done by our R&D and NPDT. So, once we do that then that will also add on to our product portfolio for the future coming years, so we're working on that.

Moderator: We will move to the next question is from the line of Narayan Danak an Individual Investor, please go ahead.

Narayan Danak: Good morning. The first question is in union budget finance minister has allocated some amount to small nuclear reactors the subsidies on that

any benefits so far from that for us ?

Srinivas Reddy: Because that's something which we have we have worked upon in the earlier years. We still don't have full clarity on that whether it's going to be 220 megawatts or even less than that we don't have that clarity but they're saying it's going to be 220 megawatts for a lot of private players who

wanted to establish those facilities. So MTAR has built a lot of reactors, nuclear alliance in the past. And it depends on when they're going to get implemented, it might take a year or couple of years but we have to see how it goes.

Narayan Danak: Right. So far no orders from that, as I understand.

Srinivas Reddy: No you can't get orders overnight right, they have to implement that, it's a process by itself. But we have a great opportunity if that gets implemented and they're pretty serious about that.

Narayan Danak: Sure, thank you. My second question is the revenue decrease that we have seen in this quarter Q1, for next three quarters for FY25, the revenue run rate that we have to have is the same amount of revenue that we conquered in FY24 as a whole. If we are targeting 20 percent increase in the revenue YoY so, in this case uh do you see that it is achievable sir

Srinivas Reddy: Yes, I clearly mentioned in my earlier responses, that in Q2 itself we'll be doing our highest ever revenues of INR 200 crores in all. And then we move forward to the second half being much stronger. So, we will be on track with our growth guidance of 30% to 35% year-on-year basis. Buikling Nation with Exceptional Engineering

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Narayan Danak: Sure thank you and my last question is, sir what do we see ourselves, as a big tech company or which vertical are we in the industry as leaders or we would like to be. See the question comes from the fact that we have expanded to many verticals, so which is our favourite and where do we like to grow ?

Srinivas Reddy: See ultimately the verticals are different but everything is the technology and the engineering behind it. You can name it differently you can call it nuclear you can call it aerospace or whatever it is or clean energy but ultimately, it's the technology which we have built over the years. And that's our strength and that's how we're able to enter into number of verticals and that's the kind of technology we have in terms of manufacturing and in terms of doing various things in this company over the years. So that's our basic strength and that's how we're able to enter into different multiple verticals. So ultimately, it's the engineering which counts.

Narayan Danak: And if I can squeeze in the last one, the domestic contribution is higher in percentage terms. Is it due to the overall reduction in the revenue for this quarter or is it really something which is happening on domestic sales right now?

Srinivas Reddy: See domestic has been low in Q1 but moving forward in the next three quarters, the domestic sales are going to be higher because we have built a lot of work in progress in building the dispatches for the next quarters in the domestic sector in various areas. So that is why when I have given a breakup of Q2, I've also mentioned that. So, we are actually converting all of them into sales which you will see happening in the next three quarters. So that is what it is.

Narayan Danak: Sure, thank you. And if the last one the clean energy and civil nuclear vertical has shown the least revenue compared to others in terms of contribution. I have heard you saying that that would be compensated in the next quarters but why such a less order turnout or order completion in Q1?

Srinivas Reddy: See in nuclear we are actually building the WIP for Fuelling machine head which are closing the contract which were doing it in Q2, so that was work in progress. So that major contract is getting

closed out in Q2 that is the main thing. And the rest of the other sectors lot of work in progress has been done all the dispatches will happen in Q2 so that is the main reason. So, these are long cycle projects which were closing out in the next three quarters.

Narayan Danak: Sure, and employee increase in expense, expense on employees is due to petroleum, energy, and aerospace vertical that we are entering is it due to that?

Srinivas Reddy: See there are two things, there see we are building up our management bandwidth the employees for the future growth of this company. Now as I said earlier it is at 32% right now in Q1 but

eventually it end up there if you come down to 16% based on our revenue growth. So, it's also important of make a strong employee group to cater to the growth of the company which is also very critical

Narayan Danak: S ure, that that helps thank you very much.

Moderator: In the interest of time, this will be our last question . I will now like to hand the conference over to the management for closing remarks . Buikling Nation with Exceptional Engineering

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Srinivas Reddy: S o, I would like to thank everyone for attending this call today and as the CFO has mentioned, I really appreciate all your support and to have patience, we are right on track with our growth guidance and EBITDA guidance for the year and thank you so much for attending the call today .

Moderator: Thank you, o n behalf of Orient Capital that concludes this conference . Thank you for joining us and you may now disconnect your lines . Buikling Nation with Exceptional Engineering

Call: Nov 2024

Date: 7th November 2024

To,

BSE Limited ,
P. J. Towers, Dalal Street, Mumbai -400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai- 400051. (NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 30th October 2024.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday, 30th October 2024 at 11:00 a.m.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in. You are requested to kindly take the aforesaid on your record.

This is for your information and records. Thanking you,

For MTAR Technologies Limited

Naina Singh
Company Secretary and Compliance Officer
Encl: As above.

email : info@mtar.in website : www.mtar.in

CIN No: L72200TG 1999PLC032836

MTAR Technologies Ltd. (Formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar, Hyderabad - 500 037, Telangana, India. office: 040-44553333/23078312 fax: 91-40-44553322/23078316, GST No.: 36AACCM2021N1ZL

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"MTAR Technologies Limited
Q2 and H1 FY '25 Earnings Conference Call"
October 30, 2024

MANAGEMENT : M R. SRINIVAS REDDY – MANAGING DIRECTOR –
MTAR TECHNOLOGIES LIMITED

MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED

MS. SRILEKHA JASTHI – HEAD STRATEGY AND
INVESTOR RELATION – MTAR TECHNOLOGIES
LIMITED

M

MODERATOR : M R. PARTH PATEL – ORIENT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the MTAR Technologies Limited Q2 FY Earnings Conference Call. As a reminder, all participant line will be in listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you, and over to you, sir.

Parth Patel: Thank you, Na mi. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q2 and H1 FY 2025 earnings discussion call. Today on our call, we have Mr. Srinivas Reddy sir, Managing Director and Promoter; Mr. Gunneswara Rao sir, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website.

I would like to give a short disclaimer before we begin the call. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties. With this, I would like to hand over the call to Srinivas sir. Over to you, sir.

Srinivas Reddy : Hello, and good morning to everyone. Thank you for taking the time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao Pusarla, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and Investor Relations; and Orient Capital, our Investor Relations partners. We have uploaded our updated investor deck, press release and results highlights on the stock exchanges and company website. I hope everybody had an opportunity to go through th

e same.

I'm pleased to inform you all that we have delivered a strong quarter with 48% increase in revenues Q-o-Q basis and 12.2% increase in EBITDA Q-o-Q, in line with the guidance given in

Q1. The second half is expected to be stronger than the first half. We expect to achieve revenues of around -- overall revenues for the year for around INR725 crores with a margin around 21% by end of FY '25. We are working on several strategic projects in the company over the past three years across all the sectors, which will give us a progressive growth in revenues over the next two, three years.

There shall be a sequential improvement in margins in the coming quarters as we ramp up the production of new products and aerospace and clean energy sectors as well. The company has added a lot of new products such as sheet metal assemblies, ASP assemblies and enclosures in clean energy vertical over the past two years that are generating substantial revenues now.

MTAR continues to innovate and add new products across all verticals. We have been working on maximizing the order inflow in our areas of focus such as engine subsystems, aerostructures and specialized products across space, MNC aerospace and defense sectors. Accordingly, we have enhanced our aerospace customer base, secured the combustors order for Scramjet engines

and entered into long-term agreements with MNC customers as well. Building Nation with Exceptional Engineering

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Going forward, we expect to deliver a robust growth in Clean Energy and MNC Aerospace verticals because of the product portfolio we have developed over the past two years and the new products we are currently working on. I would like to give a detailed overview across all the sectors. In clean energy, we have executed around INR192 crores of orders in the first half of the year.

We have dispatched 1,808 units of hotbox units and 36 units of electrolyzers. The closing order book for Bloom Energy stands at INR493 crores. We are expecting similar execution in H2. We

are optimistic about growth in clean energy in FY'26 as Bloom gave an indication for execution of 4,000 units in calendar year 2025 as against an initial indication of 3,000 units. We expect a 20% growth in revenues from this vertical alone in FY'26.

We have witnessed a substantial growth in space in line with our predictions in the first half where we have delivered around INR17 crores of orders in MNC aerospace for the first time. We expect to execute around INR45 crores of orders from MNC aerospace with H2. We estimate

a robust growth in this vertical over the next three to four years with 45% revenue increase. We have delivered around INR16 crores of orders to ISRO in first half and we project around INR25 crores of execution in second half of the year to ISRO.

While ISRO is projected to grow at 20% year-on-year basis over the next 2-3 years due to the strong industry tailwinds. We have closing order book of INR158 crores in space of which INR50 crores is from MNC aerospace and INR108 crores is from ISRO. The execution in civil nuclear power plant that includes in the first half, the execution in second half will be stronger as we are building, working on the projects, major projects like FMBC and FT Systems and we are working on it in the first half and deliveries will commence in the second half.

So, we expect to deliver around INR60 crores of orders in FY '25 in this sector on a cumulative basis. This sector is expected to witness a 40% -45% growth in FY '26 backed by robust order book and strong order pipeline from refurbishment of reactors and Kaiga - five and six reactors. The revenues from defense for first half stand at INR8.6 crores. The annual execution is estimated to be around INR20 crores. We are emphasizing on this sector and working on increasing our market share by securing strategic orders related to e

ngine subsystems and aerostructures that have been our core competencies of MTAR. We recently secured a developmental order for combustors of standard engines based on air-breathing technology for INR15 crores. Similarly, we are working on Wing-kit assemblies, airframes and other structure-related orders for some of the prestigious defense programs. We have registered a final growth in products with INR71 crores of execution in the first half. We expect to execute nearly INR140 crores of revenue from products on an annual basis by end of FY '25. This vertical is predicted to register a growth of more than 30% over the coming quarters. From fabrication vertical, we expect to execute around INR22 crores of orders from hydropower, wind energy and other sectors. The company estimates a robust closing order book because of the increased order inflow in H2. We have improved our cash flows over the past three quarters and target to improve it further going forward as well. Also, we aim to reduce our net working capital base progressively over the next 2-3 years. Building Nation with Exceptional Engineering
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I would like to reiterate that we are working on achieving robust revenue growth, sequential improvement in margins, reduction of working capital base and improvement of cash flows. We can look forward to consistent improvement in these areas on a progressive basis over the next 2/3 years as well. In the short term, we have targeted to achieve around INR725 crores of revenue with around 21% of EBITDA by end of FY '25. Our CFO, Mr. Gunneswara Rao, will discuss in detail on the financial performance for Q2 FY 2025. Over to you, Mr. Gunneswara:

Gunneswara Rao: Yes. Thank you, Mr. Srinivas Reddy. Good morning and warm welcome to our earnings call. I would like to extend my gratitude to all the shareholders and prospective shareholders for your continued trust and support. Today, I will be discussing key financial performance metrics for Q2 FY 2025 on a consolidated basis, along with our strategic priorities on cost optimization growth and operational efficiency.

Quarter-on-quarter, when it comes to quarter-on-quarter performance, we achieved a robust quarter with revenue growth of 48.3%, reaching INR190.2 crores in Q2 FY 2025 compared to INR128.3 crores in Q1 FY 2025. EBITDA improved significantly, standing at INR36.8 crores in Q2 FY '25, up to 121.7% from INR16.6 crores in Q1 FY '25. Profit before-tax saw a remarkable growth, reaching INR25.3 crores in Q2 FY '25 representing 307.9% increase from INR6.2 crores in Q1 FY '25.

Profit after-tax reached INR18.8 crores in Q2 FY '25, marking a 324% increase from INR4.4 crores in Q1 FY 2025. When it comes to year-on-year performance, revenue from operations grew by 14% Y-o-Y to INR190.2 crores in Q2 FY 2025 from INR166.8 crores in Q2 FY 2024. EBITDA recorded a modest increase of 2% Y-o-Y, reaching INR36.8 crores in Q2 FY 2025 versus INR36.1 crores in Q2 FY 2024.

PBT slightly decreased by 1.5% to INR25.3 crores in Q2 FY 2025 from INR25.7 crores in Q2 FY 2024. PAT was INR18.8 crores in Q2 FY 2025, when it compares to INR20.5 crores in Q2 FY 2024. So when it comes to operational improvement strategic focus, we anticipate EBITDA margins will improve in H2 because of higher operating leverage due to increased revenues and optimization of costs driven by the improved operational efficiencies once we enter into batch production in MNC Aerospace division and also other verticals.

The company has reduced the long-term debt by INR16 crores bringing it down to INR142.5 crores to INR126.4 crores, out of the total repayment obligation of INR45 crores by end of this year. Cash flow from operations stands at INR18 crores in Q2 FY25 with the goal of surpassing FY24's annual cash flow of INR57.4 crores by end of FY 2025 with increased revenue projections. Our net working

capital to revenue days are 247 days and we are targeting to reduce to 220 days by end of financial year FY 25.

So as told by our MD, the company has been focusing on various strategic initiatives to drive growth and risk mitigation including expanding our customer base, establishing a dedicated aerospace facility in Hyderabad, increasing our product portfolio with current clients and

exploring opportunities in new verticals such as oil and gas. Looking ahead, we are looking forward to EBITDA margins around 20%, driven by higher operating leverage and by enhancing Building Nation with Exceptional Engineering

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cost efficiency through process improvements. With this, I open the floor for discussion and welcome any questions you may have. Thanking you once again.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vipraw Srivastava from PhillipCapital. Please go ahead.

Vipraw Srivastava: So first question on the guidance. What's the management guiding for full year? Can you please reiterate margin and revenue?

Srinivas Reddy: As our guidance is around INR725 crores revenue and EBITDA around 21%.

Vipraw Srivastava: And for FY '26, I mean, any thought process what kind of road map are you seeing?

Srinivas Reddy: So for FY '26, we are looking at a growth of 20% with improved EBITDA margins moving forward from there.

Vipraw Srivastava: 20% right?

Srinivas Reddy: 20% revenue growth for FY '26.

Vipraw Srivastava: Why this decline? I mean, in the past the company has grown 70%, 50%. Why this 20% number? I mean, why this decline?

Srinivas Reddy: We are looking at -- we would prefer to be a little bit on the conservative side when we look at the guidance numbers. So at this point of time we're looking at about 20% revenue growth which comes out to roughly around INR860 crores of revenue for next FY '26.

Vipraw Srivastava: Okay. Fair enough. And I mean, how is Bloom going to contribute to this, Bloom's Energy revenue? I mean, are you seeing a ramp-up there or what's the outlook on that side?

Srinivas Reddy: See, Bloom, as I mentioned in my speech what I've said earlier they initially forecasted 3,000 units and now they have ramped - they have increased confirmed forecast for 4,000 units for the next calendar year. So what we are looking here, the good news is that we are looking at going back to complete the original normal demand situation of Bloom, which is what we're looking at for the next financial year, the way we are looking at things right now.

Vipraw Srivastava: But Bloom's comment has been very positive, right? I mean they are saying that they're expecting a strong growth in next calendar year. So I mean, why is it not translating to your revenue growth?

Srinivas Reddy: See, the forecast given by Bloom as of now, they have given from 3,000 units to 4,000 units already. So they might further improve it over the next two, three months. So it goes in a step-wise manner. So as of today, what information we have is what I'm trying to communicate. But definitely, it might be much higher. So it depends on how they would like to forecast and release orders accordingly.

Vipraw Srivastava: Okay. So Bloom does a quarterly forecast for you? Or how long forecast do they give quarterly or half yearly? Building Nation with Exceptional Engineering

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Gunneswara Rao: See, they normally -- presently, they're releasing orders based on quarter-to-quarter basis, but they give forecast for the calendar year, in fact. So right now, from 3,000, they have increased it to 4,000 units for next calendar year, which can even go up further. So that depends on a quarter-to-quarter basis, they up their forecast. So mostly, it is going to be in the upward trend. So probably by end of

this quarter, we'll know more about the increased forecast what they would like to give. And based on that, all the materials are planned accordingly.

Srinivas Reddy: I just want to add one thing. We never have given 70%, 80% guidance. FY '23, we achieved 78% revenue growth. And FY '24, we gave around 40%. But later on, some of the transition issues, there we could not achieve. But FY '25, we have given 30%. We are sticking to around 725 Crs we are saying. So we are sticking to that. We have never given 70%, 80% growth year-on-year.

Vipraw Srivastava: No. The anticipation was that from FY '26, the group numbers will come in so that number increase, no issues. Just a last question. So for the nuclear energy part, so how is that shaping up? What kind of revenue numbers are you expecting in FY '25 for that?

Srinivas Reddy: See, nuclear energy basically is working on two major projects right now and the deliverables will start from Q4. And the new order inflow from Kaiga 5 & 6 and refurbishment reactor are expected in the second half of the year, mostly by Q4, I guess. And the execution part will start from next year. So we are seeing a very strong growth happening in nuclear sector based on the kind of orders that we're going to receive. As I said, we're expecting more than INR500 crores worth of orders coming in from nuclear in the second half of this year.

Vipraw Srivastava: Okay. And last question, sir, for Q3, do you -- so I mean to achieve your target, you would be need to do INR200 crores plus revenue, right? So you would be able to do that, right, for the Q3?

Srinivas Reddy: No. As I said, the second half is going to be much stronger. I cannot precisely say how much we are going to

do as of now, but we will be doing -- we'll be having a strong revenue base in Q3 and Q4 as well. But overall, we'll achieve revenues of about INR725 crores for this year. Vipraw Srivastava: But in Q2, you told that -- last quarter, in Q1, you told you will do INR200 crores plus in Q2. So what's stopping you from giving a number for Q3?

Srinivas Reddy : No, we'll do similar -- I'm not trying to not to give numbers, but we'll do more or less similar numbers in Q3 and slightly more in Q4. That's what we're going to do.

Moderator: The next question is from the line of Balamurali Krishnan from Oman Investment Advisors. Please go ahead.

Balamurali Krishnan: So any update on the electrolyzer orders

Moderator: Sorry to interrupt ...

Srinivas Reddy: We don't have any update as of now, but that's not what is included in our plans even for this year or for next year. But what I'm hearing is that as soon as Bloom books the orders for the Buikling Nation with Exceptional Engineering MTAR Technologies Limited
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electrolyzers, we'll get that additional revenues or the orders that we're expecting from them. We'll have more clarity by end of this quarter. And hopefully, we will start the electrolyzers vertical from next financial year for sure.

Balamurali Krishnan: Okay. That's helpful. And for Fluence Energy, any update sir?

Srinivas Reddy: Bala, can you repeat your question? I can't hear you.

Balamurali Krishnan: On Fluence Energy, any update on Fluence Energy?

Srinivas Reddy: Fluence, as I said, we have already -- we are in agreement with them. So they have to win orders in the domestic market, which they're yet to win any orders. So the moment they win the orders, we'll get back to back orders. So we're just waiting for that to happen.

Moderator: The next question is from the line of Meet Jain from Motilal Oswal.

Meet Jain: Sir, first question is this quarter, we saw a major jump in order book in the defense. Can you touch...

Srinivas Reddy: Can you speak a little louder. I am not able to hear you well.

Meet Jain: So this quarter, we have seen a very good jump in our defense order book. So can you just throw some light on t

hat, which segment and which profile are we doing that?

Srinivas Reddy: I can't hear you well. Can you just repeat your question again?

Meet Jain: On the defense part, we have seen a very strong growth in the order book. So can you just touch upon that?

Srinivas Reddy: See, we have been working on various defense projects and what you're seeing right now is a result of that. So in any vertical that we are working on, like, for example, the scramjet engines and a lot of other projects we're working on. So our -- the new product development team and the R&D team has been working with various defense labs over the last six months to nine months. So this is a result of that. So basically, we are going to even further work on various of such projects, not only in defense, but in the space sector where they're asking us to develop various valves for them. Defense also, they're doing the same thing with us. So these are all the result of what efforts we have been putting in, which does not reflect in numbers, but it is definitely showing the kind of results what we are seeing today, and you'll see that more happening over the next quarters coming in. So that's what it is.

Meet Jain: Okay. Any update on the defense JV that we're looking for?

Srinivas Reddy: Not as yet. See, the good news is that we have finalized various agreements with very good MNCs, as we have said earlier, with I AI, with GKN Aerospace and stuff like that. So we are continuing to work on various projects with them on the first artical basis. And the real ramp -up Buikling Nation with Exceptional Engineering
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in the batch production and volume production will happen in the next financial year, but we've already entered into certain production batches this year.

That's why you can see a much larger numbers in the MNC business right now. And that's going on the right track. And we are very happy about it that they have certified us to produce for them. And we're al so waiting for certain certifications by end of Q4. So this will result in a substantial growth in this sector moving forward.

Meet Jain: Okay. And one thing on the receivables. And we have seen a very strong increase in the receivable days this quarter. S o what this is regarding also, we saw a lower inventory. So can you throw some light on that as well?

Srinivas Reddy: Yes. Based on the revenues, what we have done and the dispatches what have happened, so obviously, the receivable days have gone up. But during this quarter, the receivables will

obviously come down. But most of the dispatches happened in the second half of this quarter. And that's why you see a slightly higher receivables, but probably it will come down during this quarter as we move forward.

Meet Jain: So does it relate to any particular order or particular client which has been delayed in the payment or something like that?

Gunneswara Rao: There is no delays. 90% of the 90%, 95% of receivables are current and only 5% based on the quality clearances, it will be paid. There won't be any overdue receivables.

Meet Jain: Okay. Okay. And last is on the production side. We are anticipating a strong growth in this segment for second half as well as for coming years. So can you help me understand that any new products that we have launched or that will be launched in the coming quarters in this segment -- under the defense offset -- defense embargo side?

Srinivas Reddy: See, the first thing is, as I said, we got the orders for some of the new product developments that we got Scramjet engines. The Roller Screws were already certified and approved by the defense.

We're just waiting for the paperwork now. It's a long-drawn process with defense to get the approvals. It's a 100% import substitute. And finally, they have tried it, they have tested it, they are functioning very well. That's one good news. So we're

just waiting for the official documentation to be done. So once it is done, then we'll be able to launch the roller screws as well.

And we're also looking at exports of next products, not only for India, but also for exports.

Because we can compete with Roller we've done easily. It's not an issue at all. So we are working on various other projects.

Like, for example, we are working on heaters, electrolyzers to reduce the cost. The R&D is working on that. So we're working on various valves for defense and as well as space right now.

So all this is under work in progress. And you will see the way we have seen the results now, you'll see it happening quarter-on-quarter basis.

Meet Jain: What is the key products that is driving this segment as of now? Buikling Nation with Exceptional Engineering
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P. Srinivas Reddy: Which one, the product division?

Meet Jain: Yes, product division.

P. Srinivas Reddy: So it's got a combination of various things. We have the ASPs, we have the ball screws. We have the water lubricated bearings. These are the key products that is driving the product division right.

Meet Jain: Understood. And one last question is any guidance on the closing order book side for FY '25?

P. Srinivas Reddy: Can you repeat that?

Meet Jain: Any comment on the closing order book for FY '25?

P. Srinivas Reddy: See, as I said, we said earlier that we'll be closing at INR1,400 crores to INR1,500 crores. It all depends on the Kaiga five and six orders kicking in the second half, which should definitely happen because everything is done and dusted. So it's only a matter of paperwork to be done by NPC IL and the bidder who has won the contract. So we're just waiting for that. So once that is done, mostly either by end of Q3 or definitely in Q4, we should have those orders kicking in, and then we'll be able to close the order book at INR1,500 crores and all.

Meet Jain: Got it. So our closing order book mix remains ...

Moderator: Sorry to interrupt you, sir. I request you to re-join the queue for follow-up questions as there are many participants. The next question is from the line of Mithun Aswath from Kivah Advisors. Please go ahead.

Mithun Aswath: Just wanted to get a sense of what is the overall order book currently? And how much of orders have you won in the first half? And how much of orders do you expect to get in the full year?

P. Srinivas Reddy: So the overall order book as of end of Q2, I think, is around INR940 crores. And the orders that we have won for this quarter is around INR247 crores in all. So that's what it is. And by end of the year, as I mentioned earlier, that we're looking at INR1,400 crores to INR1,500 crores. That includes also the orders coming in from Kaiga. But we'll get a lot more orders in the clean energy sector and as well as MNC Aerospace sector in the second half. So we are pretty much confident that we should close at INR1,400 crores to INR1,500 crores.

Mithun Aswath: So you have about a INR1,500 crore order book, is it?

P. Srinivas Reddy: By end of the year. As of now, it is about INR940 crores.

Mithun Aswath: Okay. And out of this INR1400 crores. Bloom Energy's contribution

P. Srinivas Reddy: It should be around INR500 crores and odd. That's what we're expecting.

Mithun Aswath: And INR500 crores assumes the 4,000 unit number or INR3,000? Buikling Nation with Exceptional Engineering

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P. Srinivas Reddy: So, as of now, we have constructed 4,000 units. So as and when it keeps going higher, then probably we get higher orders coming in. It's not only the units, but also the sheet metal assemblies and other things that we are doing for the Bloom. So even that will also go proportionately higher, like enclosures and assemblies and all that.

Mithun Aswath: Understood. And what i

s the execution timeline for the Bloom Energy orders technically?

P. Srinivas Reddy: So, technically, it is for one year. Orders that you -- when I say 4,000 units, it's for the next calendar year over the next 12 months.

Mithun Aswath: Understood. So, the INR500 crores, you will be able to execute in the next fiscal?

P. Srinivas Reddy: Yes.

Mithun Aswath: Right, right. So that gives us some good guidance or at least visibility for execution next year.

So, I'm just trying to understand, obviously, your margins were much higher in the last couple of years, and they have deteriorated as operating leverage went down when the revenues came down.

Are you -- and in the second half, you need to report very good margins in order to achieve the full year 21%. Obviously, last year was slightly disappointing. I'm just trying to understand, can we go back to the mid -20% range of margin? Or is it as the Bloom Energy gives you more business, the margin trajectory is coming down? Just wanted your thoughts on that.

P. Srinivas Reddy: Yes, that's a good question. See, as I said earlier, we'll have sequential improvement in margins quarter -on-quarter basis moving forward. But when you look at -- we are ending up at around 21% margin for this year. But one thing you should understand is that we're also looking at expanding our management bandwidth, the kind of revenues that -- the way we are growing.

So, we're also investing in a lot of human resources areas and other areas in which we are looking at. And that's how we are looking at right now. And a lot of outsourcing which we are doing right now will be done in-house moving forward. For example, the plasma coating which we are outsourcing in the United States right now for some of our products.

Now, we have the equipment coming in and the qualification is going on. So, a lot of activities happening in that area to reduce our costs drastically down. If you look at the other expenses those things are going to come down drastically moving forward. And if you look at FY26, the kind of estimates we have, we will definitely improve our margins better and better and we're looking at 2023, 2024. I can't just say exactly right now, but definitely there will be a progressive improvement moving forward in mid-20s. That's what we are looking at over the next year and year and a half.

That's what we're looking at and going back to the normal margins what we're looking at. But we are making all our efforts to not only expand our management bandwidth, reducing our outsourcing costs, getting qualified for various things that we are outsourcing right now and

improving our MNC business in a big way in aerospace as well. All this will contribute to better margins going forward as we can see right now. Buikling Nation with Exceptional Engineering
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Mithun Aswath: Just one last one. Obviously, Bloom Energy is a large contributor to the overall revenue and its volatility also impacts your company and obviously for you to give guidance quarter -on-quarter is also stressful. I'm just trying to understand how will you kind of diversify out of Bloom. MTAR should not be linked just with Bloom. So it should be a company which is beyond just

Bloom Energy. So, I'm just trying to understand how would you try to do that ?

P. Srinivas Reddy: Yes you are absolutely right. I understand that. See, we are not depending on Bloom as such. If you look at our revenue growth like, for example, if you look at year -on-year basis the revenues from other sectors are growing rapidly. For example, if you look at nuclear with the Kaiga 5 and 6 coming in, the huge orders coming in flow. Obviously we'll see a very good revenue growth happening in nuclear sector. MNC Aerospace, especially we have done a lot of work.

What we were hardly doing anything earlier, now we are doing extremely well in that in terms

of the first articles and now doing the production basis for the MNCs. So we are improving on every sector other than Bloom. So over the next two years we can see the other sectors revenues growing very rapidly higher. And if Bloom is growing, there's nothing wrong with that, but we're also growing in the other sectors. That's the way you should look at it.

Mithun Aswath: But I'm just saying as a company, wouldn't you want to make the exposure to Bloom maybe 25%, 30% of your overall revenues rather than having an exposure of 40%, 50%. That's what I'm just trying to understand.

P. Srinivas Reddy: Absolutely, you're right. So that's our target. How do we achieve that target is, one, grow in the other sectors as much as possible. So that's where our entire focus is. When we talk about margins, to grow in the other sectors, that's what I said. We have improved our management

bandwidth. We are establishing a new exclusive aerospace facility by end of December this year. We are doing -- we are taking all the required steps to achieve what we are trying to tell us that's the goal for the company. And the virtue of which is Bloom is growing much faster and like they introduce electrolyzers, it will even grow higher, but there is a very conscious effort of improving the revenues in every vertical that we're working on right now.

Mithun Aswat h: Got it, sir. Thanks and all the best.

Moderator: Thank you very much. The next question is from the line of Nilesh Soni from JM Financial. Please go ahead.

Nilesh Soni: Yes. Hi. I have two questions. One, can you give us the update of the new client addition in Clean Energy? How is the traction being over there? And secondly, on the roller screw what's the status over there? And once the mass production starts after all the trial process are done, so what can be the revenue potential for them from that product in first year and then going forward? These are my two questions actually?

P. Srinivas Reddy: Yes, sure. So basically, in the Clean Energy segment, as I mentioned earlier in the various sectors of fuel cell, hydro, wind everything, we are working with various customers right now. Already a lot of first articles have been done. We are moving into the batch production like we're looking Buikling Nation with Exceptional Engineering

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at voice, we're looking at Andritz, GE, Regen Power is another company which has joined us.

So we are adding a lot of clients.

And basically, these are the -- this is the area which we are trying to grow more and more moving forward, and we'll continue to do that. But when it comes to fuel cells, we have not seen -- other than Bloom, we have not seen any company which has grown to the level of Bloom right now where MTAR can get involved. Probably we'll look at it as and when any company has come to a stage where we can be their OEM moving forward as well. Now, what was your second question on the Roller Screws?

Nilesh Soni: Roller Screws, as I've said -

Srinivas Reddy: Yes, Roller Screws, I have said that all our Roller Screw have been qualified. We're just waiting for the documentation part of it, which is a 100% import substitute. The Government of India, the defense programs and the space programs have been importing this at a very high cost from Rollvis Sweden. Now we'll be able to substitute that completely moving forward. I won't be able to quantify the exact numbers, but they have a huge demand for it.

So as and when we get the certification done over the next one month, and then the entire imports of Roller Screws would stop and MTAR would start supplying for all the programs within India. And we're also looking at some part of it for exports as well. So we're working on the overall quantum of business that we can get.

It is pretty much -- over the next one, two years, we are looking at about INR50 crores to INR60 cr

ores or INR70 crores of business coming in from Roller Screws as well. So that's something which no one has done it till today in this country, and we are able to achieve that. Until now,

they have been importing from so many years from Sweden. So we're able to stop that moving forward.

Nilesh Soni: So is there any delay going from defense department side because on the certification front because we were supposed to get this around two months back when we last interacted in the last call, you were saying that this might be coming in?

P. Srinivas Reddy: Yes, there has been a delay but the issue here is that to certify a product which is a 100% import substitute they have to do all the trials to ensure that it is at par with the import product what they're getting it right now which they have now it's been done so the process itself took that much time. I won't blame the defense department for that because they have to be 100% sure before they take a call on that. So fortunately we are through with that right now and it's only the paperwork which is pending which will be done in a month's time.

Nilesh Soni: Okay. So it's only the paperwork, which is remaining and else our product is totally qualified, right, if I am....

P. Srinivas Reddy: Absolutely, yes. Yes.

Nilesh Soni: Okay, okay. That's it from my side. Thank you and all the best, sir. Buikling Nation with Exceptional Engineering MTAR Technologies Limited

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P. Srinivas Reddy: Thanks.

Moderator: Thank you very much. The next question is from the line of Jinesh Shah from RSPN Ventures.

Please go ahead.

Jinesh Shah: Yes. So my first question would be with respect to the new segment that we are entering, which

is oil and gas fields. So I would like to -- we are like the facility in Hyderabad, right? So I would like to know the status of that, like we were in talks with the customers. So what's like the status of order and from when we can expect the execution going to see...

P. Srinivas Reddy : So basically, we had inquiries from various companies. I would like -- the first company, we have already received the first articles order to do the first articles for Weatherford right now. We are right up there. So we have received the purchase order for the first article. So once we execute the first article, the qualification process is about four to six months. But what they have indicated to us is that they're not going to wait for the qualification. They're going to work on a couple of major products with us for which we are doing the first articles, and we get qualified across the board for two or three products up there. And once we finalize the pricing and everything, we enter into a long-term agreement with them.

And then we are looking at a substantial revenues coming in from the oil and gas itself. So right now, we are not considering this in our guidance as well because we would like to be a little bit conscious about the fact of getting qualified for the first articles and then getting the batch and volume production into place. So this has not been included in our revenue guidance for now.

So -- but it is going very well right now, and we are on track with that.

Jinesh Shah: Okay. So, like this vague idea together, we can expect execution from probably the second half of the next year, right?

P. Srinivas Reddy : Probably the second half of the year, the overall order book - orders for these products can be between \$25 million to \$30 million per year. So we can expect the - we'd have established a specific line for it and we are looking at probably in the second half of next year, probably we should be able to start the real batch and volume production for that. And you can see in FY '27 a full -grown revenue from oil and gas like I said.

Jinesh Shah: Okay. Thanks a lot. And my second question would be since we have a significant amount of revenue from Bloom Energy

regy. So I would just like to know the reliability of the statement that the product of Bloom Energy which is solid oxide fuel cells, like I read somewhere that solid oxide fuel cells of Bloom Energy emits more carbon than the power grids which can in long - term, have an adverse impact, though Bloom is having a good response as of now. So I would like to just know the reliability of the statement and which can have an adverse impact on MTAR as well in the long run?

P. Srinivas Reddy: That's absolutely not right. See, if you look at -- it's a very simple thing. When you're converting a natural gas that is methane, you have a very low carbon footprint. That's what the current model is. Now when you go to electrolyzers it's zero carbon footprint. So this is where we stand. So Building Nation with Exceptional Engineering

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there's no way that you can compare with the power grid and say that it is more or less. It doesn't work like that.

Jinesh Shah: Okay, That's it.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from PhillipCapital. Please go ahead.

Vipraw Srivastava: Hi. Thanks for allowing me a follow -up question. I'm audible, right?

P. Srinivas Reddy: Yes, you're audible. Please go ahead.

Vipraw Srivastava: So regarding the commitment for FY '26, so I mean for fuel cell, so basically the forecast which has been given by Bloom. So on those forecasts, what kind of margins to expect? I mean this year you're doing around 21% margins. So next year, we expect that to increase or to stay flatish? How do we see this?

P. Srinivas Reddy : For FY '26, we are looking at, as I said, closer to mid -20s. That's around 24% plus, minus 100 basis points. That's what we are looking at.

Vipraw Srivastava: Fair enough, sir. And sir, second question on the other expense for this quarter, it's around 12.5%.

I mean, I know operating leverage will kick in, that will bring it down. But again where do you see it stabilizing? I mean, other expense as a percentage of sales on a sustainable basis, how do you see it stabilizing?

P. Srinivas Reddy : See, there are two aspects of it. As I mentioned earlier, the outsourcing costs have gone up mainly because of the plasma coating for our products, which we are sending it in US. Now, that plasma coating qualification is going on in MTAR right now. We already have the equipment. We have received it. The qualification process is going on. So that's going to come down drastically. So these are the various steps that we have taken to reduce our cost and improve our margins. So that's exactly what the other expenses, what you see there is going to come down over the next two quarters.

Vipraw Srivastava: So tentatively by the end of this year, we expect this to stabilize to normal levels, other expense?

P. Srinivas Reddy : Yes, exactly because our outsourcing costs are going to come down drastically, because of the cost. Once we are qualified, our costs are going to come down.

Vipraw Srivastava: That gives you the conviction to achieve 21%. Fair enough. Thanks a lot.

Moderator: Thank you. The next question is from the line of Vansh Modi from S van Investments. Please go ahead.

Vansh Modi: So, I just wanted some clarity on the outlook for exports for FY 2026 and FY 2027. Going forward, what is the expectation in revenue and contribution to the bottom line?

P. Srinivas Reddy : For FY26. Buikling Nation with Exceptional Engineering
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Vansh Modi: FY26 and if possible FY27.

P. Srinivas Reddy : No as I said earlier FY26 we are looking at substantial growth in MNC Aerospace business as well as the clean energy sector. Then the oil and gas might kick in slightly later in the second half of the year and then for FY 27 it will be a full-grown revenue both on oil and gas as well.
So

you're looking at oil and gas for FY27 would be around USD 25 million at least. And then obviously, the Clean Energy numbers, you all know about it .

The way we are doing if we grow at 20% year -on-year basis. And then MNC Aerospace business is going to grow at 40% to 45% year -on-year basis. So we're going to see a substantial growth in exports in three different sectors. One is aerospace; one is clean energy and the third one is the oil and gas by FY 2027. We'll see a full grown export potential in these three areas because by that time we'll be qualified for all the projects in MNC Aerospace business, oil and gas as well.

Moderator: The next question is from the line of Jinesh Shah from RSPN Ventures. Please go ahead.

Jinesh Shah: I might have missed one thing that I would like to know the FY ' 25 projections for these two segments specifically, which is clean energy and space segment, if you can reiterate that.

P. Srinivas Reddy : Clean energy and a aerospace, right?

Jinesh Shah: Yes.

P. Srinivas Reddy : So, as I said, we're looking at about -- in the clean energy segment, probably we'll doing around INR380 crores to INR400 crores, INR380 crores odd for FY '25. And in the space sector, we're looking at around close to about INR55 crores to INR60 crores of revenues coming in, in the space segment as such.

And this is going to grow more and more because our new projects that we are doing right now, we get qualified for them, the first articles. And that's how I said, over the next two years, FY '26-'27 you will see a substantial growth in both these areas and also in the oil and gas in FY '27 as well.

Jinesh Shah: Okay. So like we were looking about 40% growth that you mentioned the big percentage, right, for aerospace?

P. Srinivas Reddy : For aerospace, yes, because we are not only looking at one company, we're looking at multiple companies, and we have an exclusive facility being commissioned by end of December, January for aerospace, specifically for MNC customers. And that's a state-of -the-art plant, which we are commissioning in Hyderabad by end of December. So that will really take us to the next level in terms of higher productivity and achieving those numbers what we're looking at in the growth target.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital. Please go ahead.

Thank you. Buikling Nation with Exceptional Engineering
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Vipraw Srivastava: Thanks for allowing me one more follow -up question. So regarding the Bloom 's forecast, so 4,000 hot boxes which you are telling. So this is for the full year just shared by Bloom or is this your internal forecast?

P. Srinivas Reddy : No, it is not internal. Whatever I'm talking about is what clear indication they have given us as far as the forecast is concerned. That's what I've communicated to you.

Vipraw Srivastava: Right. Why I'm asking this is actually because the street estimates of Bloom Energy is very bullish for calendar year 2025. They expect large data center orders coming in. So that's not collaborating, I mean, with what you are saying. So I mean, is there a...

P. Srinivas Reddy : Yes, so let me explain this to you. This is what they have given us as of recently in the last two, three weeks, okay? Now this gets revised upwards. There's no downward to this. See the good news is that we suffered last year because of the transition change from one product to the other, point number one. Point number two is that created reduction in shipments and all that. But we are back to normal right now. That's the great news.

And second is that the increased forecast will kick in by end of this quarter, the way the Bloom communicates to us because we have enough time for the year to procure all the material to adhere to their requirements. So that 4,000 can go up even higher. That is something which I can

tell once they communicate to us by end of this quarter. So that's how it works. Normally, they do it by end of this year.

Moderator: Thank you. In the interest of time, this was the last question. And I now hand the conference over to Mr. Srinivas Reddy for closing comments. Please go ahead.

Srinivas Reddy: Thank you so much to everyone for attending these earnings calls today. As I said earlier that we are progressively improving in our revenue growth and as well as our margins, and we'll continue to do that. And I would sincerely thank all our shareholders and investors regarding supporting MTAR. And we'll definitely see better and better growth numbers and margins sequentially quarter-on-quarter and over the next two, three years. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Building Nation with Exceptional Engineering

Call: Feb 2025

Date: 18.02.2025

To,

BSE Limited ,
P. J. Towers, Dalal Street, Mumbai -400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai - 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 11.02.2025.

Unit: MTAR Technologies Limited
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Tuesday, 11th February 2025 at 10:00 a.m.
The transcript of the earnings call is also available on website of the company i.e. www.mtar.in. You are requested to kindly take the aforesaid on your record.
This is for your information and records. Thanking you,
For MTAR Technologies Limited

Naina Singh Company Secretary and Compliance Officer

Encl: As above.

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Q3 FY '25 Earnings Conference Call "
February 11, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to MTAR Technologies Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from Orient Capital. Thank you, and over to you, sir.

Parth Patel: Thank you, Muskaan. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q3 and 9 months FY '25 earnings discussion call. Today on our call, we have Mr. Srinivas Reddy, Managing Director and Promoter; Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website.

I would like to give a short disclaimer before we begin the call. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Srinivas sir. Over to you, sir.

Srinivas Reddy: Hello, and good morning, everyone. Thank you for taking the time to join us today. Today on the call, I am joined by Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and Investor Relations; and Orient Capital, our Investor Relations partners. We have uploaded our updated investor deck, press release and result highlights on the stock exchanges and company website. I hope everybody had an opportunity to go through the

same.

I'm pleased to share that this quarter, we have delivered a good revenue growth of 47.4% year-on-year growth in revenue and 39.4% year-on-year increase in EBITDA. Our EBITDA margins came in at 19.1%. There has been sequential improvement in margins thereafter due to operating leverage and commencement of volume production for MNC customers.

We've also received significant orders of more than INR400 crores in Clean Energy and aerospace sectors recently, strengthening our order book. So far, this is an inflow of INR817 crores of orders across various sectors in FY '25.

Furthermore, we have received orders worth INR2.7 crores the beginning of the relations with Fluence Energy, which we always spoke about to execute the proto units. And once we complete the proto units probably by end of June, we are expected to move into the progressive growth in volumes.

We anticipate to receive orders from Kaiga 5 & 6 reactor soon and also from the various refurbishment reactors almost close to 5 reactors, which we are looking forward. We're looking Building Nation with Exceptional Engineering
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forward for a very strong Q4 as well and falling in line with the guidance given by us with INR700 crores -plus revenues overall with EBITDA of 21% plus minus 100 basis points for FY '25.

The company has been taking strategic measures over the past years, adding several new customers and expanding the product base that will start benefiting us in the quarters to come and the years to come. Currently, we are executing first article orders for various MNCs like Fluence, IAI, and Weatherford, etc. We expect to enter into volume production with various customers in a progressive way starting from FY '26.

Based on the kind of work we have done over the last couple of years, looking at the future roadmap for the company, we predict a 30% revenue growth in FY '26 and similarly an equivalent kind of growth moving forward for the next 2 years as well with a progressive improvement in EBITDA starting with 24% for next year FY '26 and 2 percentage basis points -- like 200 basis points improvement each year moving forward as well, ending up with a FY '28 at 48% EBITDA percentage based on the revenue growth and the kind of work we have done over the past couple of years.

We will be able to bounce back very comfortably with larger revenues and higher EBITDA margins, as mentioned earlier. And we expect to enter into clear volume production for new products in various Clean Energy and aerospace sectors. Now I would like to give a detailed overview across all the sectors.

In Clean Energy fuel cells, we have executed around INR 304 crores orders year-to-date comprising power units, heat cycle assemblies and enclosures for Bloom Energy. There shall be

around INR100 crores of execution or more in Q4. The outlook of Bloom Energy looks quite optimistic. Bloom has signed a supply agreement with American Electric Power for up to 1 gigawatt of its products, the largest commercial procurement of fuel cells in the world to date. AI-powered data centers are a huge case for Bloom Energy as per various market sources. Such AI-powered data centers are predicted to require 1 gigawatt power for their products. We expect to execute more than INR430 crores in fuel cells moving forward for the next year, for which we have already received the majority of the orders, and there could be an upside to this based on the commencement of execution of AEP orders.

We continue to witness phenomenal growth in space and MNC aerospace division. We have delivered INR24 crores of orders year-to-date for ISRO and INR24 crores of orders year-to-date for MNC Aerospace. We expect to deliver another INR25 crores of orders for MNC aerospace and INR15 crores of orders for ISRO in Q4.

Our closing order book stands at INR187 crores in this p

articular segment at the end of Q3. We

are projecting around INR145 crores of executions in MNC aerospace and around INR50 crores of executions for ISRO in FY '26, backed by strong flow of orders. As you are all aware, we have signed a long-term agreement with IAI. We have received around INR28 crores of orders so far from IAI this fiscal year. Building Nation with Exceptional Engineering

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IAI remains a key strategic customer for us and we are expecting orders for various other projects from them. Currently, as I mentioned earlier, we are working on the first articles for IAI and also with respect to the other MNC customers. And we expect to commence batch production for next fiscal year. In addition, we have executed around INR8 crores of orders for GKN Aerospace in FY '25 and we expect to ramp up increased volumes with these MNC customers significantly from FY '26.

While we have executed INR16 crores of orders year-to-date for Civil Nuclear Power, we expect to execute around INR30 crores of orders in Q4. The execution of FY '26 is projected to be around INR75 crores as we have built a work-in-progress for existing orders, that can be dispatched in FY '26.

Moving on to Defence. The revenues stand at INR12.2 crores year-to-date and annual execution is estimated to be around INR30 crores. This year, we have witnessed an increase in inflow of orders and our Defence order book is expected to grow further over the coming quarters because of which we shall -- have an exponential growth in Defence starting from FY '26.

We project around INR40 crores-plus of execution in FY '26 as well. And we have initiated the execution of development order for combustors of scramjet engines for hypersonic missiles. In addition, we have been declared L1 in some of the projects in which we are dealing with Defence in the recent time.

Products vertical continue to register a significant growth with an execution of around INR100 crores year-to-date. We expect another INR30 crores of revenues from products in Q4 FY '25. This vertical is projected to record revenues of more than INR170 crores to INR180 crores in FY '26.

We continue to improve our cash flows and our net working capital days, we have generated a positive operating cash flow of INR102 crores which is far higher than what we were able to do in the past few quarters. And our NWC days have also come down to about 222 days by end of Q3 in line with our target.

We target to improve further the operating cash flows and NWC days over the coming quarters.

We are focusing on strengthening our product portfolio, diversifying our customer base and improving our margins, which we believe will be reflected in our performance over the coming quarters and over the coming next few years as I mentioned earlier.

Now I would request our CFO, Mr. Gunneswara, who will discuss in detail on the financial performance of Q3 FY '25.

Gunneswara Rao: Thank you, Mr. Srinivas Reddy and good morning and warm welcome to our earning call. I

would like to extend my gratitude to all the shareholders and prospective shareholders for your continued trust and support. Today I will be discussing key financial performance metrics for Q3 FY '25 on standalone basis, along with our strategic priorities around expansion into potential Building Nation with Exceptional Engineering

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growth sectors, increasing wallet share of existing customers, cost optimization and operational

efficiency.

Now the financial performance Y-o-Y Q3 FY '25 versus Q3 FY '24. Revenue from operations stood at INR174.5 crore s in Q3 FY '25 as against INR118.4 crore s in Q3 FY '24, reflecting a 47.4% year -on-year growth. EBITDA was INR33.3 crore s in Q3 FY '25 compared to INR23.9 crore s in Q3 FY '24, registering a 39.4% increase.

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it before tax stood at INR21.4 crores in Q3 FY '25, up from INR12.9 crores in Q3 FY '24, representing 66.3% growth. Profit after tax increased 52.8% year -on-year, reaching INR16 crores in Q3 FY '25 compared to INR10.4 crores in Q3 FY '24.

When it comes to the strategic focus and operational improvements, as we continue our strong growth trajectory, we anticipate further improvement in EBITDA margins from Q4 supported by operating leverage and increased revenue scale. The company has been strengthening its financial position with a reduction of INR10 crores long -term debt, bring it down to INR142.4 crore s to INR132.5 crore s. The total repayment obligation for FY '26 stands at INR46 crores. Cash flow from operations was robust at INR102 crores in Q3 FY '25, significantly outpacing FY '24's total annual cash flow from operations of INR57.4 crore s. The improvement was driven by efficient working capital management with INR58 crores generated through reduction of receivables and increasing payable days.

The net working capital to revenue days stood at 222 days, which is in line with our targeted working capital days by end of FY '25. As explained by our MD in detail, so we are in exciting growth phase. As of now, we're actively expanding our market presence and strengthening our position across multiple sectors.

Under the leadership of our MD, the company is focusing on key strategic initiatives to drive the growth and risk mitigation, including expanding our customer base, increasing wallet share of our existing customers, and we are commissioning dedicated aerospace facility in Hyderabad to cater the growing demand in the sector.

Also, we are venturing into oil and gas and battery storage systems, and we are expanding our presence in aerospace in a big way. And also other priority sectors to diversify our revenue streams. Looking ahead, we remain committed to sustaining EBITDA margins in the range of 24%, supported by an anticipated 30% revenue growth in FY '26 compared to FY '25.

So with this, I open the floor for discussion and welcome any questions you may have. Thank you everyone for your time and thanks.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Vipraw Srivastava from PhillipCapital. Building Nation with Exceptional Engineering
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Vipraw Srivastava: Today, on the guidance you provided a 30% revenue growth. Can you just say how much you expect the Clean Energy business to grow in FY '26?

Gunneswara Rao: Can you repeat your question, please?

Vipraw Srivastava: Yes, what I was saying was that you have guidance for 30% revenue growth in FY '26. How much do you expect the Clean Energy business to grow Y-o-Y?

Srinivas Reddy: See basically, we're looking at a conservative estimate of 30% revenue growth not only for FY '26, but the kind of work we have done over the last couple of years with various customers in terms of first practices, not only in Clean Energy, but also in aerospace. We expect a similar revenue growth over the next 3 years with improved EBITDA margins. As I said, starting from 24% to 26%, we end up at 28% by FY '28.

Now Clean Energy segment looks a very comfortable number, whereby the Santa Cruz boxes have been streamlined. We're adding more wallet share into the system with the customer as well. So we're looking at almost close to about INR500 crores plus in terms of sales that we will be doing with respect to Clean Energy for the next year.

Vipraw Srivastava: Okay. So in terms of hot boxes, how much it will be?

Srinivas Reddy: The hot boxes would be close to about INR470 crores and all for next year.

Vipraw Srivastava: Okay, fair point. And secondly, since you're seeing a quick ramp up on the Aerospace and Defence side, what kind of numbers you are seeing in this? When do you

see this business

ramping up? FY '27, is that correct?

Srinivas Reddy: Yes. See, basically, we have -- some of the customers we have already ramped up into volume production and some are doing first articles as well. So it will be a mix of first articles and volume production for FY '26. And FY '27, you would really see a major volume breakthrough, especially in MNC aerospace sector, since our new plant is getting commissioned at the end of this month.

Vipraw Srivastava: And sir, how much was the -- I mean not guidance but what's the kind of range you're looking

at for FY '27, for A&D?

Srinivas Reddy: For which one?

Vipraw Srivastava: For Aerospace and Defence, A&D.

Srinivas Reddy: Yes. So Aerospace and Defence would really drastically improve. Like, for example, next year, we'll be doing around -- only in MNC aerospace itself, we'll be doing about INR125 crores next year, which is a phenomenal growth, right? And that's a combination of first articles and volume production and then FY '27 will be much larger than that. Building Nation with Exceptional Engineering
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So that's where we stand as of now. And all this effort, I would appreciate my team. They've done a great job, especially in the last 1, 1.5 years, to actually build this vertical. And also, we're getting certified by NADCAP and also by the various MNC customers for our special processes and for our new plant, aerospace plant as well, which is very critical for Aerospace.

Vipraw Srivastava: And so, the global tailwind is also helping, right? I mean, the whole Aerospace and Defence industry is in a tailwind because of these wars so that also helps, right?

Srinivas Reddy: Yes, definitely.

Vipraw Srivastava: And sir, lastly, on the nuclear orders, so when do you expect to get them, the nuclear orders?

Srinivas Reddy: Look, there are two types of orders that we're expecting, which I would like to explain. One is on the Kaiga 5 & 6, recently, I think the LOA has been given to Megha Engineering for Kaiga 5 & 6. So hopefully, we'll be having those orders coming in probably by the end of March or beginning of next quarter. That's the major orders, which I've said, at least INR500 crores to INR600 crores.

And then there are 5 refurbishment reactors where tenders are getting floated shortly. I don't want to get into the numbers there because of being a tender, open tender, but there are substantial orders that will flow in over the next 3 to 6 months. So overall, we're expecting close to 1000 Crs of orders, in history, it never happened, but finally, it's happening now. Close to about INR1,000 crores of orders, which can flow into MTAR over the next 6 months.

Vipraw Srivastava: And the last question from my end. The Government of India, this term, the Act -- which was repealed by Government of India for nuclear sector. So now foreign companies can also participate in India nuclear storage. So do you see any impact of that, positive or negative? What's your take on that?

Srinivas Reddy: It has to be positive. You see, basically, we have enough on our plate with our domestic nuclear reactors and PHWR reactors, what we're working on, and other specific research projects that we're working on right now. So any MNCs who would like to participate, obviously, MTAR will contribute to them in a big way.

So let's see how it happens. So I am -- as it is we have enough on our plate right now with our own reactors, which are being expected to come, more and more of these reactors are expected to come. So we are actually thinking of having an exclusive plant for the nuclear division as well, the kind of orders which are flowing into the company.

Moderator: The next question is from the line of Balamurali Krishnan from Oman Investment Advisors.

Balamurali Krishnan: Congratulations on good numbers, sir. So the electrolyzer parts are -- so in the -- from the Bloom

Energy order, do we have any electrolyzer order also, or it is all about hot boxes only?

Srinivas Reddy: No, electrolyzers would take some time, as I said earlier, but as of now, we have enough on our

plate in terms of the regular hot boxes that we are doing for them, and also adding additional Building Nation with Exceptional Engineering

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wallet share into there. We are slowly moving into the assembly part of the business with Bloom.

That's going to add more wallet share into the system, so that's what I am trying to explain.

So whenever electrolyzers happen, we have already proved it, we have exported to Bloom, they have also proved it to the customers. So hydrogen is something which would take a little time, but it will happen. So I wouldn't be able to comment much on that right now, but if it happens, it's great. So let's see how it goes.

Balamurali Krishnan: Then some electrolyzer manufacturers have participated under the PLI scheme for manufacturing the electrolyzers. Whether that is that kind of business is different from us, or we are also eligible for that one? And do you want to participate in that PLI or not?

Srinivas Reddy: No, we can. As and when we get the orders, and how we can progress, not only for supplying with India and internationally, then probably yes, we can do that.

Balamurali Krishnan: Okay. And then on nuclear parts, sir. So we are expecting INR1,000 crores of orders in the

maybe next 12 months. So what kind of capacity is required to execute those orders, and how much amount is assigned?

Srinivas Reddy: So we already have the capacities in place for nuclear division. We have been doing for the last 35 years to 40 years. So except of few bottlenecks here and there to address that kind of orders, we are fine with that.

Balamurali Krishnan: Okay. And lastly on this batch production, mass production, we are going to -- we are supplying first articles to the customer. So how much revenues can we expect from this mass production for this first article in this next fiscal year, FY '26?

Srinivas Reddy: That's what I said, we are looking at almost like INR125 crores of revenues coming in from MNC aerospace itself for next year, based on a combination of first articles and batch production for FY '26. And then for FY '27, it will be a much higher number because we have established the first articles for some more customers.

So we are focusing on growing the aerospace sector in a very big way, and our new plant also is getting commissioned by the end of this month. So that's a very positive trend and a lot of effort has been done over the last 1.5 years to get to where we are today. And also all the certifications of NADCAP are in progress.

We also got NADCAP certifications recently for pre-treatment process and special process, I think hopefully we should get it by April. So we are on track with all this, and all these are the efforts of the last 18 months what we have done.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital .

Balasubramanian: Congratulations for a good set of numbers. Sir, I just want to understand about import content for our raw material side. And you mentioned about 28% kind of EBITDA margin by FY '28.

What are the key triggers to achieve those margins? Building Nation with Exceptional Engineering

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Srinivas Reddy: See, the most important thing is we have been investing on our team leadership over the last 1 year and just looking at the future growth of the company. And as the revenues grow, our employee benefit expenses will drastically drop. We have been investing ahead of time for that. Obviously, we need to do that. We are looking at the future road map for the company. And also our margins would

improve more because we are diversifying into aerospace and we are doing more of the nuclear division orders which are of higher margins. And we have better operating leverage with volume production with various MNC customers that we are working on right now.

So by FY '28, you would see a comfortable 28% kind of EBITDA margins based on all this work that we have done in the recent past for the future growth of the company and to achieve better EBITDA margins moving forward.

Balasubramanian: So what is the import content, sir?

Srinivas Reddy: Which one?

Balasubramanian: Import content, percentage terms. Any target to achieve?

Srinivas Reddy: Import content see, imports, we do a very few import contents like Inconel and all those raw materials that we import. But most of the materials, we are trying to localize it and trying to buy from various companies within India as much as possible. But some of the moving forward, we'll also evaluate and see how much less we can import so the company can benefit better and better, especially with the forex fluctuation that we have today.

Balasubramanian: So like in new vertical areas like oil and gas, I think we have started executing on first articles. And how do we see this business over the next 2 years to 3 years? And you have mentioned about the battery storage system. So it's good to throw some light on that. What are the opportunities we have?

Srinivas Reddy: See, one is on the battery storage system, we've been talking about Fluence Energy for quite some time. But fortunately, finally, we are designing and developing along with them the new battery storage system for them, which we have received the purchase orders already . And that we're hoping that by June, we'll be able to complete all the prototypes. And then we slowly move into volume production.

But we will see the real ramp up happening, which will be close to about INR2 crores, INR 3 crores plus in FY '27, with respect to the battery storage systems as well. So this is the kind of growth they're looking at. A lot of effort is being made in terms of getting qualified and moving towards the growth phase for the next few years. And what was the next question on the oil and gas?

Balasubramanian: Oil and gas. Yes, sir. Building Nation with Exceptional Engineering

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Srinivas Reddy: We already received the purchase orders for the first articles, which we are doing now. We're establishing an exclusive plant for oil and gas, which will translate into a volume production from FY '27, partly in FY '26, but mostly in FY '27, close to about INR150 crores to INR180 crores in the first year, FY '27.

And then we move on to close to about INR250 crores in FY '28. So that's the kind of planning we have done in terms of how to achieve our growth parameters in various divisions that we're working on right now.

Balasubramanian: Sir, I think the nuclear side, we have seen a lot of good announcements from the budget. And sir, what's the update on this Kaiga 5 & 6 nuclear reactor order?

Srinivas Reddy: I just mentioned it right now that we can expect those orders sometime by the end of March or beginning of next quarter, which are substantial, more than INR500 crores plus. And there are also another 5 refurbishment reactor standards that are being quoted in a month or a couple of months. So we're expecting close to about overall INR1,000 crores worth of nuclear orders coming in over the next 3 to 6 months.

Balasubramanian: Okay. Sir, just a bookkeeping question. What's the cash balance and debt side for Q3?

Srinivas Reddy: GR, can you answer this please?

Gunneswara Rao: Yes. Our long term debt is INR132.5 crores. And the cash is INR25 crores we have. That also we received on the last working day of the financial year. And another INR20 crores we kept as a deposit for the bank guarantee, 10% margin money.

Moderator: The next question is from the line of Nikhil Agrawal from Kotak AMC.

Nikhil Agrawal: So just wanted some clarity on the guidance that you have given for FY '25, if you could repeat it, a little bit unclear.

Srinivas Reddy: Yes, sure. So FY '25, we said we'll achieve revenues of about INR700 crores -plus with EBITDA margin of 21% plus -minus 100 basis points. That's what I've mentioned earlier. We are on track with what we've said earlier. And we should have a better Q4, much better than Q3 as well. And then the margins also, to maintain that margin, we'll be expecting close to EBITDA margin of 24% for Q4 is what we're looking at is plus minus 100 basis points. So that's how we'll be able to achieve the overall annual margin guidance what we have given and the revenue guidance what we have given.

And moving forward, FY '26 to FY '28, based on what I've explained earlier in the call, with the various projects and qualifications that we are going through, we are expecting a comfortable revenue growth of 30% year -on-year basis consistently for the next 3 years. And with improved margins of 24% in FY '26 and then moving on to 26% in FY '27 and stabilizing at 28% in FY '28. Building Nation with E:icceptlonal Engmtnering

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Nikhil Agrawal: All right. Understood. And so you mentioned INR1,000 crores of orders in FY '26 from nuclear only, right? Which includes the refurbishment as well as Kaiga orders.

Srinivas Reddy: Yes. That's right. So basically, you have the order breakup from Kaiga 5 & 6. And also, there are 5 reactors which are coming into refurbishment, which MTAR specializes in that. One is 2 reactors of Tarapur, one in Rajasthan, one in Kaiga as well, and the other one is in MAPS reactor. So basically, there are 5 reactors which are getting into refurbishment mode. So all this together, we have enough on our plate over the next 6 months. Knowing the procedures, within 3 to 6 months, we'll have this INR1,000 crores of orders flowing into the company. That's the latest update that we have on the nuclear side.

Nikhil Agrawal: The refurbishment order, how much time would that take to actually generate, translate to revenue?

Srinivas Reddy: It's about 18 months. So what you're looking at here is what's most important is all these orders have to be executed in a 3 -year period. If you look at Kaiga 5 & 6, it's a fast -track project which the government of India is looking forward for, right? That's all they've structured on one company and then subcontracting it. So overall, if you look at it, refurbishment reactors are 18 months and Kaiga 5 & 6 is a maximum of 3 years.

Nikhil Agrawal: 3 years?

Srinivas Reddy: Yes.

Nikhil Agrawal: All right. So lastly...

Srinivas Reddy: We see a major revenue growth happening. By the time these orders come in, we get the raw material and all that. So you'll see a part of the revenue growing in FY '26, but a majority of the revenues will kick in in FY '27 and '28.

Nikhil Agrawal: Right. And sir, lastly, any impact of DeepSeek on the Bloom Data Center business? Have you heard anything from them regarding this?

Srinivas Reddy: Absolutely not. And I have not heard anything of that. In fact, not only they are looking at improved volumes, which they will keep updating us from time to time. And also, we are increasing our wallet share within -- we're moving it to the assembly mode as well with that. So there is no such information of any impact as far as the data center is concerned.

Nikhil Agrawal: Because, sir, as far as I remember, in the previous calls, you mentioned that the next big trigger for growth for Bloom would be the data center business. And with DeepSeek coming in, I've read that it's a major threat to data centers all across the world. So that's why I was a bit curious about this?

Srinivas

Reddy: No, that's not going to really affect the way Bloom is moving forward with the data centers, especially the kind of orders they have received. And they have not -- they have held back a lot Building Nation with E:icceptlonal Engmtering
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of information because they are expecting a lot more orders kicking into their system over the next couple of quarters is what I've heard.

Moderator: The next question is from the line of Ayush Bansal from Niveshaay Investment Advisors .

Ayush Bansal: I would also like to ask about the Kaiga 5 & 6 nuclear reactor. Like in the previous call, you mentioned that MTAR has exclusive capabilities in 14 packages. So can you tell us more about those areas and does no other company has these capabilities to execute those areas?

Srinivas Reddy: There are two aspects to it. One is on the capabilities side, MTAR is obviously rated number 1 in all these 14 packages. There are a few companies which in few of the packages, they can get qualified, which is listed in the tender. But what is most important is the execution time, because these are fast-track projects with a lot of LDs which will get imposed on the main contractors. So it's important that these projects have to be executed, especially Kaiga 5 & 6 on a fast-track basis within the given timeframe. So we have proven in the past that we have done projects where NPCIL has given us 3 years, we have done in 1.5 years to 2 years, or even less. So we have a major advantage in terms of execution of these projects, if you look at the overall bigger picture of the entire project as well. So that's why we are pretty confident of getting these orders through for the next couple of months or 3 months.

Ayush Bansal: Okay. Sir, and as we know that these are the first 2 reactors in the line of 10 reactors to be built in India. So can we expect similar orders for other reactors as well?

Srinivas Reddy: Yes. Definitely yes. And either -- it might be direct orders or it can be indirect, so it all depends on how NPCIL will look at it. But definitely yes. We are part of the whole system in which, we are part of the whole nuclear core reactor technology which we have excelled over the last 30 - 35 years. We definitely will be part of the future reactors as well.

Ayush Bansal: And sir, will MTAR benefit from the INR20,000 crores being allocated by the government for the nuclear sector in this budget?

Srinivas Reddy: Yes. Definitely yes, right? So whatever nuclear reactors, the government can allocate the budget, but there is a time frame for everything. So it depends on how the tenders are floated and how it is done, when it is done. So obviously, if you look at a 3 to 5-year roadmap, we will have enough order books from the nuclear division, that's what this country needs.

And MTAR has always worked along with NPCIL to develop all these nuclear reactors over the last 30 -35 years. We worked jointly on the 4 reactor fuel groups. So basically, MTAR is going to get benefited based on how it progresses moving forward.

Ayush Bansal: Okay. Sir, and any update on the roller screws segment?

Srinivas Reddy: Roller screws, we have already been qualified. In fact, probably from next month or so, they might have this import substitution done, certified with us. And once that is done, we are through Building Nation with E:icceptlonal Engmtering

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with it. So it's a process by itself. They do various tests. Right now, the final tests are going on. It's already through with what they have told me.

So once that is done, then the roller screw from Sweden will be stopped. Government of India will stop importing it and it will be an import substitute where MTAR will start supplying the roller screws for all the requirements.

Moderator: The next question

is from the line of Mamta Agarwal from ABS Investments.

Mamta Agarwal: I have a couple of questions. Partly the receipt order, which we have received from you, as well

as few of her first article orders like...

Srinivas Reddy: Mamta your voice is breaking and too much of disturbance. Could you repeat your question, please?

Mamta Agarwal: I have a question regarding the receipt order, which we have received from you, as well as other first line articles from Fluence, Weatherford, IAI. So if you could give a sense of what is the quantum of securing orders, which we are expecting from this first line articles, whether this would be helpful?

Srinivas Reddy: Whatever I could hear from you, you are talking about the first article orders from IAI, Weatherford, GKN, etc. See, basically, IAI, we have signed a very long -term agreement with them for 15 years, which we have mentioned earlier as well. We already received orders for about INR28 crores to INR30 crores of orders from IAI for first articles to be done from various project groups.

Similarly, with GKN, we are doing a combination of volume production plus further projects we are doing first articles. Weatherford, right now, we are doing the first article. So what it translates to is a much higher number moving forward. That's what I have explained earlier. If you look at Weatherford, we are looking at INR150 crores to INR250 crores of volume production over the next 3 years, year-on-year basis. Similarly, with IAI, we are looking at more than INR100 crores, INR150 crores doing execution of the projects.

GKN is close to about \$10 million. So these are all the efforts of the team over the last 18 months to see where we are today. Today, we are pretty confident of looking at the company where it is going over the next 3 years with a consistent revenue growth of 30% year-on-year basis. This is a reflection of what we have done in the last 1.5 years to build the various other verticals and with improved margins as well.

Mamta Agarwal: Okay. So just to follow up on this. So like these orders, let's say after -- like entry barriers for competitors. And what efforts are you putting to get more orders from this MNC?

Srinivas Reddy: I am really not able to hear you well. There's a lot of disturbance, noise. I didn't get your question.

Mamta Agarwal: Sir, I was asking about what are our efforts to get more orders from this MNC? Building Nation with Exceptional Engineering
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Srinivas Reddy: More orders from where?

Mamta Agarwal: From MNCs?

Srinivas Reddy: From L&T?

Mamta Agarwal: MNC.

Srinivas Reddy: Can you repeat that?

Mamta Agarwal: Sir, more orders from this first line article other MNC?

Srinivas Reddy: Yes. See, it's a continuous process. I understood you now. See MNC business as I said, we are working with various MNC customers. In fact, we have number of visitors, number of -- I'm not even talking about those customers right now. As and when we move forward, we will be adding more of the first article orders with various other MNC customers as well.

Moderator: The next question is from the line of Ayush Bansal from Niveshaay Investment Advisors.

Ayush Bansal: Sir, can you just broadly line out the margins which we have in the hot box segment, nuclear and aerospace segments?

Srinivas Reddy: See, the -- GR, you want to explain this?

Gunneswara Rao: At the margins, across all divisions, we are pretty much having similar margins. Less than 20% margins we don't take normally. But in case of space, we have little bit more margins, say around 5% to 7% because of the free-issue raw material. Like some 4-5 years, 3 years back, maybe Bloom is lower margin compared in.

But today, with operating leverage, Bloom is also in line with the other margins, even domestic also. In EBITDA margins, I am talking. So gross margins may be

lower in case of Bloom,

whereas domestic gross margins are higher. So across all divisions, we have pretty much the same EBITDA margins.

Ayush Bansal: So sir, the margin for Yuma hot boxes and Santa Cruz hot boxes are in the same line?

Gunneswara Rao: Yes. Same line because it is almost 95% the same only. There is not much difference in terms of the pricing and also in terms of the bill of materials.

Moderator: The next question is from the line of Sahil Vohra from MNF Associates.

Sahil Vohra: Congrats on the good set of numbers. My first question is, we have been trying since a few quarters to bring down our working capital days close to 200-odd days, but then it shot up to 250-odd days. How do we see the same in the near future since now we have completed the first order articles for few of our customers?

Srinivas Reddy: GR you want to answer this? Building Nation with Exceptional Engineering
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Gunneswara Rao: Yes. Actually, our working capital days for this as of December is 222 days and we have projected around 225 days by end of this financial year. We are trying our best to reduce the inventory levels, increase the payable days. As you know, since we are in various sectors and also the credit terms with the customers of Bloom and other things .

So we are planning in the long run, we wanted to reduce to 175 days, so maybe FY '27 onward, but 200 days is required because of the various projects and the increased revenue, 30% increased revenue we are projecting in FY '26. But as of now, 222 days is our working capital days, not 250.

Sahil Vohra: Okay. Understood. My next question is, where do we see our debt levels going ahead? Do we foresee or reduce debt levels as we move ahead or are we largely comfortable at the current level? If you can shed some light on that.

Gunneswara Rao: See, our debt levels are very low, like INR132.5 crores is only long-term debt we have. Every year repayment obligation is INR46 crores, so we have for next 2 years. After that, it is 25 -or- so because of some loans we are repaying in next 2 years. After that, some other loans are there. So INR132 crores is not a big number because of the growth.

See, all these establishments of aerospace sectors, fabrication, sheet metal, last 2 years, we have a lot of internal accruals we have put in the company. So definitely our aim is to reduce the debt and again, as and when, suppose the oil and gas, we are doing the first articles now. And as and when we sign the contract, we get the orders for the batch production, we will have to incur separate hanger for that.

As explained by our MD earlier, we are setting up a new facility for the oil and gas sector. So for which I think around INR60 crores to INR80 crores of capex required to set up at 100%. But that is not going to be incurred in a same immediately next financial year, starting of the financial year. So over the next 9 months, we will incur that money.

And also, some of the -- there is a bottleneck missions across all the plants and also sustenance capex is required for us. So next year, we are planning to take a debt of around INR60 crores to INR80 crores for the oil and gas and other areas and remaining we will spend from our internal accruals.

And we repay INR46 crores and take maybe INR60 crores to INR80 crores of debt. So incremental debt may be INR25 crores or INR30 crores next year. But the most important thing is we have put lot of internal accruals in the system over a couple of years for our growth projections.

Moderator: Ladies and gentlemen, in the interest of time, we will take this as a last question. I would now like to hand the conference over to Mr. Srinivas Reddy for closing comments. Over to you, sir.

Srinivas Reddy: Thank you very much. Thank you, everyone, for joining the earnings call today. And as I mentioned earlier,

we are in definitely a very nice space right now in terms of what we have Building Nation with E:icceptlonal Engmtering
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done over the last 18 months to ensure that we have a consistent growth moving forward over the next few years. And we continue to make our best efforts to improve our margins. As I mentioned earlier, year-on-year basis and also to adhere to the revenue projections that we have given as guidance over the next few years. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you. Building Nation with E:icceptlonal Engmtering

Call: May 2025

Date: 30.05.2025

To,

BSE Limited, P. J. Towers, Dalal Street, Mumbai-400001. (BSE Scrip Code: 543270) NSE Limited, Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 23.05.2025.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Friday, 23rd May 2025 at 11:00 a.m.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records. Thanking you,
For MTAR Technologies Limited

Naina Singh Company Secretary and Compliance Officer
Encl: As above.

email : info@mtar.in website : www.mtar.in

CIN No: L72200TG1999PLC032836

I MTAR Technologies Ltd. (Formerly known as MTAR Technologies Pvt Ltd), 18, Technocrats Industrial Estate, Balanagar , I Hyderabad -500 037. Telangana , India. office: 040-44553333 /23078312 fax: 91-40-44553322 /23078316, GST No.: 36AACCM202 1N1ZL

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"MTAR Technologies Limited Q4 & FY '2025
Earnings Conference Call"

May 23, 2025

M
ANAGEMENT : M R. SRINIVAS REDDY – MANAGING DIRECTOR ,
MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER ,
MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD STRATEGY , INVESTOR
RELATIONS , MTAR TECHNOLOGIES LIMITED

MODERATOR : M S. VIDHI VASA – MUFG INTIME INVESTOR
RELATIONS

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Moderator: Ladies and gentlemen, good day and welcome to MTAR Technologies Limited Q4 FY '25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Vidhi Vasa from MUFG Intime Investor Relations. Thank you, and over to you, ma'am.

Vidhi Vasa: Thank you. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all the participants on Q4 and FY '25 Earnings Discussion Call. I hope everyone had an opportunity to go through our Investor Deck and Press Release that we have uploaded on exchange and the Company's website.

I would like to give you a short disclaimer before we begin the call:

This call may contain some of the forward-looking statements which are completely based upon our belief, opinion, and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Srinivas sir. Over to you, sir. Thank you.

Srinivas Reddy: Hello, and good morning to everyone. Thank you for taking the time to join us today. Today in the call, I am joined by Mr. Gunneswara Rao – Chief Financial Officer; Ms. Srilekha Jasthi – Head (Strategy, Investor Relations); and MUFG Intime, Investor Relations Partners.

We have uploaded our updated Investor Deck, Press Release and Results Highlights on the stock exchanges and Company website. I hope everybody had an opportunity to go through the same.

We are pleased to inform you that we have delivered a growth in FY '25 with revenue from operations at Rs. 676 crores representing 16.4% year-on-year growth and EBITDA of Rs. 120.9 crores, demonstrating 7.2% year-on-year growth. The growth in revenues is primarily driven by increase in wallet share with existing clients and addition of products from new customers.

Our margin is slightly lower than the estimates by 200 basis points because of the spillover of execution of new projects in aerospace and defense to Q1 FY '26. In FY '26, we look forward to a 25% growth in revenues on a conservative note, with 21% EBITDA margins plus/minus 100 basis points. We anticipate a sequential improvement in EBITDA margins in FY '26 due to operating leverage and scale-up in production of new products developed over the past couple of years. (MTM)

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Notably, we have successfully executed proto units for various multinationals, and additionally we are also working on first articles for leading multinationals like Fluence, Weatherford, IAI, GE Healthcare, etc. We have secured orders worth Rs. 720 crores in FY '25, for which Rs. 178 crores are from aerospace and defense which is a substantial improvement in this area and Rs. 349 crores of orders are from clean energy underlying our technological leadership in these sectors.

In clean energy, we have delivered around Rs. 417 crores of revenues. The Company is presently working on increasing the wallet share with the customer in FY '26 that is going to boost the revenues further in the vertical. In fabrication, hydropower, and other segments, we look forward to deliver around Rs. 60 crores of orders this year. We have completed the execution of proto one for Fluence Energy and currently working on proto two and we are in discussion with

Fluence for orders related to mass production. We look forward to growth in clean energy at the rate of 15% to 20% in this sector including fuel cells, hydropower, battery storage systems and others.

The Aerospace and Defense sector has witnessed significant progress in several key projects to ISRO, DRDO and MNC Aerospace including the successful delivery of ammunition boxes, engine components for various customers including Thales, GKN, Elbit Systems. We delivered around Rs. 93 crores of orders in this division. Aerospace and defense sector is an exciting phase supported by Make in India tailwinds and strong export interest. We anticipate a phenomenal growth of 80% from this sector in FY '26.

We have registered revenues of around Rs. 19 crores in Civil Nuclear sector in FY '25 as against Rs. 157 crores of closing orders. We are in advanced stage of executing nuclear orders currently and look forward to deliver around Rs. 60 crores of orders in this sector in FY '26. Kaiga 5 & 6 reactors orders have been placed on the private entity and we are expecting the orders soon as we are pre-qualified vendor for NPCIL.

We started receiving tenders for refurbishment of reactors. In addition, we have also started

working on budgetary quotes for 220 megawatt s Bharat Modular Reactors. We recorded Rs. 148 crores revenue in products and other verticals, and we expect a 20% growth in this segment as well.

The Company is actively working on increasing the product base and expanding the customer portfolio. We have achieved a significant improvement in operating cash flows by generating cash flows of Rs. 101.3 crores in FY '25 as against Rs. 57.4 crores in FY '24. In addition, we have reduced our net working capital days to 229 days. And we expect to improve our cash flows and net working capital days further over the coming quarters.

Successful delivery of first article orders for va rious new products across all sectors underscores our execution capabilities and co mmitment to operational excel lence. The Company continues (MTm

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to focus on quality, innovation, and process excel lence to drive long-term shareholder value.

We

are optimistic about robust order inflows over the coming quarters that will strengthen our order book.

Furthermore, we are in discussion with multiple customers in clean energy, oil and gas and aerospace sectors to enter into a long-term contracts. The Company has also entered into long-term contract with some of the few domestic co mpanies for execution of Rs. 20 crores year-on-year over the next five years.

Our consistent revenue growth over the past five years demonstrates sustained growth momentum and we remain confident in our abilit y to maintain this growth trajectory with an average growth of 25% year-on-y ear over the next three years due to multiple growth engines across various sectors.

Our CFO – Mr. Gunneswara Rao, will discuss in detail about the Financial Performance for FY '25. Over to your, Mr. Gunneswara.

Gunneswara Rao Pusarla: Thank you, Mr. Srinivas Reddy. And good morning and a warm welcome to our Earnings Call. I would like to extend my gratitude to all shareholders for your trust reposing on our Company.

Today, I will be discussing key Financial Numbers for Q4 FY '25 and FY '25 on a consolidated basis.

Coming to , Y-o-Y, revenue from operations stoo d at Rs. 183.1 crores in Q4 FY '25 as against Rs. 143 crores in Q4 FY '24 which resulted 28.1 % increase. EBITDA reported at Rs. 34.2 crores in Q4 FY '25 as compared to Rs . 18.2 crores in Q4 FY '24, with an increase of 87.5% on Y-o-Y basis. Profit before tax stands at Rs. 18.6 crores in Q4 FY '25 as against Rs. 7.2 crores in Q4 FY '24, 159.6% increase on Y-o-Y. Profit after tax was at Rs. 13.7 crores in Q4 FY '25 as against Rs. 4.9 crores in Q4 FY '24, 182.7% increase Y-o-Y.

When coming to yearly numbers in FY '25 versus FY'24, our revenue from operations stood at Rs. 676 crores in FY '25 as against Rs. 580.8 crores in FY '24, 16.4% increase in Y-o-Y. We would like to inform you that this is the highest -ever turnover in our Company we have achieved in FY '25. When it comes to EBITDA, reported at Rs. 120.9 crores in FY '25 as compared to Rs. 112.7 crores in FY '24, a 7.2% increase Y-o-Y. Pr ofit before tax stands at Rs. 71.6 crores in FY '25 as against Rs. 73 crores in FY '24, a 2% decrease year-on-year. Profit after tax was at Rs. 52.9 crores in FY '25 as against Rs. 56.1 crores in FY '24, a 5.7% decrease Y-o-Y.

I would like to also add key strategic focus areas:

So, the Company has strengthened its financial po sition with a reduction of Rs. 15 crores long-term debt, bringing it down from Rs. 142.5 crores to Rs. 127 crores. So the total repayment (MTm

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obligation for FY '26 is at Rs. 46 crores. 80% of the long-term debt whatever we have we are repaying by FY '27. Balance will be in the next one-two years we are repaying.

Cash flow from operations was robust at Rs. 101.3 crores for FY '25, improved compared to FY '24's total annual cash flow of Rs. 57.4 crores with our daily monitoring of the working capital and other focus areas.

When it comes to working capital, the net working capital to revenue stood at 229 days in FY '25. And also, we would like to further try to reduce working capital for FY '26 to 200 days.

So, like I also want to add, the Company is in the key sectors we are catering as on today. India's engineering sector is poised fo r growth driven by government initiatives promoting renewable energy, civil nuclear power, and defense indi genization. MTAR's diversified portfolio and engineering capabilities is well positioned to capitalize these opportunities. In civil nuclear domain, we have a clear visibility to support I ndia's nuclear energy expansion to 100 gigawatts

by 2047 with its new reactor approvals, retrofit programs of which five reactors are set for refurbishment, for which we are receiving enquiries from the customers.

In aerospace and defense, we are seeing a positive outlook from our operations as explained by

our MD, and in our new unit which was commissioned in FY'25 is set to witness exponential growth in line with government focus on self-reliant India and in defense and also the global procurements by Tier 1 and foreign OEMs. We have continued our engagement with major defense OEMs and PSUs by participating in Make in India defense tenders which are gaining traction with increasing budgetary allocations.

Looking forward, the convergence of national priorities across clean energy, civil nuclear power and defense self-reliance is creating favorable environment for engineering companies like ours.

So we remain committed to sustain EBITDA margins (+/-21%), and with 25% revenue growth in FY '26.

So with this, I open the floor for discussion and welcome any questions if you may have. Thank you very much.

Moderator: Thank you. Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vipraw Srivastava from Phillip Capital. Please go ahead.

Vipraw Srivastava: Hi sir. Quickly on the guidance part, I missed the nuclear guidance, so what kind of growth are we expecting in the nuclear segment for FY '26?

Srinivas Reddy: So, FY '26 is going to witness a substantial, yes, we closed the order book at Rs. 155 crores for nuclear, but it will witness a substantial inflow of orders during FY '26. One is, we have already received the tenders for the refurbishment of five reactors, a couple of reactors from Tarapur and (MTm

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refurbishment of reactors in Kaiga, Rajasthan and Madhya Pradesh. So, these tenders we are supposed to quote by next month and we are expecting those orders, because we have worked on this refurbishment of reactors in the past in a big way, so we are expecting substantial orders to come in from the refurbishment of reactors.

And secondly, also the purchase order for the private entity MEIL has been released by NPCIL.

Since we are qualified vendors, as I have mentioned earlier, we are going to expect substantial kind of orders coming in from there as well. So, we are looking at least around Rs. 700-plus crores of orders flowing in from nuclear division. So, we have enough on our plate to have a consistent growth in these areas. But we have not considered any of these orders in our current business plan for FY '26. So, what we have considered is what orders we have on hand as of today is what we have considered in our growth plan for this year. But we have a substantial exponential growth in nuclear division moving forward, including the budgetary quotes we have given for Bharat Modular Reactors which NPCIL has asked us for 220 megawatts. So, that's where we stand.

Vipraw Srivastava: Yes. So nuclear will be more or less flattish for FY '26, is that correct understanding?

Gunneswara Rao Pusarla: To add to your point, like from Rs. 19 crores what we have done in FY '25, we are expecting to do Rs. 60 crores in FY '26. That is also whatever orders we are having in hand.

Vipraw Srivastava: Rs. 60 crores, right?

Gunneswara Rao Pusarla: Rs. 60 crores we are planning for FY '26.

Vipraw Srivastava: Okay, sir. Noted. And sir, in the products division, what's the guidance you have?

Srinivas Reddy: Products division, I think last year we have done around Rs. 148 crores, and we still have growth of at least about 20% in this area. And we have developed various products and we have

improved this substantially. If you look at in the last three years to now, there is a huge growth in this area and we continue to do that. So, our team has been working on various products which are getting qualified, where we are doing first articles, some are related to government organizations. Roller screws, we are already qualified, technically we are just waiting for the

final confirmation. So, we are going to be a 10

0% import substitute for the Government of India

for this sector. We have been importing from Rollvis Sweden. So, we are working on a lot of products like EMAs, electromechanical actuators and all that. So, we should have at least about 20% further growth of the product division for this year.

Vipraw Srivastava: Okay, sir. Noted, sir. And sir, lastly on aerospace and defense, you have said 80% growth, right?

Srinivas Reddy: So I would like to explain that, so this is an area where we are growing substantially well and it's something which is very interesting. If you look at the Company's position in FY '24, we had (MTm

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about Rs. 9 crores to Rs. 10 crores of business in this sector. In FY '25, we have done Rs. 48 crores, especially with our new unit which was commissioned in Hyderabad. And then in FY '26 we will be looking at least about Rs. 145 crores of revenues being generated. So this is growing at a rapid pace. The main reason is, we are qualified and certified by a number of MNCs for exports in this area. And we have successfully executed various first articles now they have gone into the ramp-up production for these areas. And some of the customers where we have entered into a long-term agreement with IAI, we have now already started working on the first articles which will get converted into mass production as well.

So, there is a substantial improvement in this area where the margin profile is also very good. So they are all very complicated kind of SMEs which we are working on and this is something which we are really excited about moving forward. Apart from this, we are also looking at various aerospace projects which we have been asked to work upon in terms of RFPs, which is not part of the discussion right now. So as and when we have some traction on those things, we will obviously inform all of you on that particular segment.

Vipraw Srivastava: Right. And sir, last question from my end. Regarding Bloom Energy, sir what is the commentary from their end? Because Bloom has seen a lot of traction in the US, so what are they communicating to you regarding their order book and their growth prospects?

Srinivas Reddy: No, it is more or less, see, what they have done is they have improved their wallet share also they want us to increase. So we are now doing additional assemblies for them within the system what we are making for them which we are going to start executing it from this quarter onwards, which will ramp up in the subsequent quarters. So, what we have mentioned about 4,000 units which we are going to dispatch to Bloom, with additional wallet share is what's going to happen this year. And there is no change in that. There might be further improvement on that, that we have to see.

So ultimately the kind of guidance we have given in terms of growth and margins, we have factored every instance of what's external to the Company. For example, the tariffs issue which is going on with the United States, we have considered all those factors in arriving at this particular growth percentage. And we feel that because of our diversification into various countries and exports, we are in a position where we are still able to maintain that growth and achieve the margins that what I have mentioned, 21% plus/minus 100 basis points. And this we have considered all the factors, and any other factor which favors the Company then we will be able to improve much better on what we have said.

Vipraw Srivastava: Sure, sir. Thank you. I will join back the queue. Thank you.

Moderator: Thank you. The next question is from the line of Meet Jain from Motilal Oswal. Please go ahead. (MTM Building Nation with Ex-lonal Engineering
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Meet Jain: Hi, sir. So my first question is on the spillover that you talked about, can you throw some more

light on this? Like, it has been during (Inaudible) 21:04.3 what was the factor behind the spillover? And can we expect this in 1Q? And because of that, can we see a better margins in 1Q as compared to last year?

Srinivas Reddy: No. Basically, what I can say is that, one is the spillover is one on the domestic side. Because if you remember, we are working on the semi-cryo engines which there have been certain corrections, certain design changes, so now we are trying to finalize that. But more or less, there has been a little bit of a pause on certain export shipments as well because, if you remember, the April 2nd announcement by the United States on tariffs. So, we wanted to wait and watch and see. But post that, once the 90 days pause was released, then the situation became normal subsequent to that.

But, we have considered all those things in the subsequent quarters. As I mentioned, we have factored everything which is external to us to achieve the growth and the EBITDA percentages.

And what you will see here in the current year is, you will have a linear quarter-on-quarter growth throughout the year, and as well as the EBITDA margins. So, that's how it's going to be.

And we are also working on reduction on outsourcing which we are getting qualified for the certain products. So, we have done that and we are in good shape to take the Company forward over the next three years in terms of our growth, and as well as the improvement in margins quarter-on-quarter and year-on-year basis.

Meet Jain: Helpful. So, when we see other export heavy companies to US, we have seen a huge outflow in 4Q in the anticipation of this tariff. But when you say, in our case we are seeing a pause by some of the customers, so just wanted to get some more clarity because of the anticipation of tariffs the shipments from India to US have seen a massive increase across industries, so that has been the case for us as well, right?

Srinivas Reddy: No, it is not the case. See, pause means there was not technically a pause, but there were few

more shipments that could have taken, but not that it really affected us. Because there was a margin of Rs. 25 crores plus difference in terms of the revenue that we could have generated in additional, in terms of domestic and a few shipments in terms of export. So that's where it got deferred by a few days. Not that it is stopped, but post April 2nd again it continued and it's in the normal routine right now. So that's what it is. That's why I said that we have considered all this in the current year also, we have factored all these variables in our guidance for the current year as well.

Meet Jain: Understood. In terms of our fuel cells, clean energy guidance, I did not get that one, can you just reiterate what kind of guidance are you giving for FY '26 for the fuel cells? Building Nation with Exceptional Engineering
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Srinivas Reddy: See, fuel cells, we are looking at almost like we have hotbox units. I cannot spell out the number of boxes and all that based on the customers' feedback to us. But we will be growing at a rate of 20% compared to the last year what we have done. We have done around Rs. 450 crores plus last year, so we will do around 20% more this year.

Meet Jain: So, will this include any electrolyzer orders? So what kind of orders are we getting for electrolyzers from them?

Srinivas Reddy: We have not included the electrolyzer orders as of today. So this is what I am trying to explain that we have taken the position as of last week, is what I am talking about the numbers. So, obviously, if electrolyzers orders come in, then it will add on to the numbers what we have said, but we have not considered that as of now.

Meet Jain: Understood. And lastly, on this other expense part, we have seen an increase in other expense in absolute terms in this quarter, any one-offs in that?

Srinivas Reddy: Yes, because if you look at it, the majority of that is the plasma coating which we are doing in a US Company. And now we have done the samples, we have given it for lab testing, and we are expecting the qualification to be done over the next one month. Once we do that, then our outsourcing will drastically come down and we will be able to supply without any kind of outsourcing expense. So we will see some kind of reduction happening partially this quarter and subsequently for the next three quarters. So, we are looking at that as well and the majority of that is that, the outsourcing part of it.

Meet Jain: Okay. Thank you so much. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Bala Murali Krishna from Oman Investments. Please go ahead.

Bala Murali: Good morning, sir. So regarding the guidance of 25% we are expecting in case of nuclear sector, aerospace and defense we are expecting substantial increase. So the clean energy sector, I think, there may not be much growth in this year, right?

Srinivas Reddy: No, we have the growth. That's what I mentioned earlier, in the clean energy we are looking at about at least 20% growth this year in the fuel cells, in hydel power and those areas what we are working on. And the nuclear, we have not considered any of those orders which I said which we have claimed this year, substantial orders. So one good thing is that now it's already done in terms of Kaiga 5 & 6, the purchase order has been released to MEIL. Now they are working with us in terms of finalizing various contracts with us. That process is going on right now and then the refurbishment of reactors. (MTM)

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So, we are looking at anywhere between, I do not want to spell out individual numbers because of certain confidentiality, but we are looking at around Rs. 700 crores to Rs. 800 crores of orders flowing in over the next one, two quarters. So this, we have enough on our plate and further we are going to receive further orders as well. So we have enough on our plate to exponentially grow in the nuclear division moving forward. And we have the capacities to handle this as well.

Bala Murali: Okay, sir. So lastly, I think in previous year we were expecting to close the order book by Rs. 1,500 crores, we ended up around Rs. 1,000 crores. So this year what would be the expectations of closing the order book considering all these factors?

Srinivas Reddy: Look, as I said, whatever number I gave, we will have a very strong order book because when we said Rs. 1,500 crores, we factored in Kaiga 5 & 6 orders coming in, but that's getting deferred to this and the subsequent quarters, right, and also the refurbishment of reactors. And then we will be getting substantial orders from aerospace division, which we are doing extremely well right now. Then the space sector as well, defense as well is doing really well, we are doing substantially well in various areas. So we will have a very strong order book. And we will be able to further crystallize the closing order book for this year, probably a month, a month, and a

half from now, once we have more clarity and all this. But we will have a very strong order book by end of this year after executing what growth what we have mentioned right now.

Bala Murali Krishna: Okay, sir. And this electrolyzer process, I think there is some PLI scheme also announced on that one, so are we looking to participate in the PLI scheme?

Srinivas Reddy: We have already done the electrolyzers. We have proven it. But as I said earlier, we are yet to receive any further orders on electrolyzers as of today. Once we receive it, then we will look at our numbers at that point of time. So, we have not considered that as of now, which I mentioned earlier.

Bala Murali Krishna: But I think there is some

traction in the domestic market also because some PSU entities are very aggressive on this electrolyzer hydrogen production. So, other than Bloom maybe we have some good scope in the domestic?

Srinivas Reddy: See, to establish this, to be very transparent about it, it will take time in terms of the facilities and the infrastructure that we need to build for hydrogen storage, various other aspects. So, that is where we are right now. But good thing is, we have already developed the product. So, we are just waiting for the traction to happen internationally. So, that's where we get the real volumes. I understand the domestic requirements, but that's something which I do not want to comment right now. So, as, and when something happens, we will definitely inform all of you.

Bala Murali Krishna: Okay. Lastly, on this new product we developed for the naval valves, so what could be the expectation from this product, sir, if it is going to the limited production or bulk production? (MTM

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Srinivas Reddy: So, the requirements are very high, because we have designed and developed it along with the D&D naval area. So, we are expecting substantial volume production requirements coming in from that segment in the defense side of the business. And that's what we are doing, right? Every year we keep developing these products and you will see the traction happening subsequently in terms of volume production. So, our product development team is taking up such products where it makes really economic sense in terms of having that kind of volumes moving forward. So, whatever you are seeing in our presentation is relevant to volume production moving forward.

So, those things as and when they happen, they will add on to our order book and the execution cycle, which we have not taken today, but it will definitely happen.

Bala Murali Krishna: Okay. Lastly, on this Fluence Energy thing, there's no further update. Is there any progress on that deal?

Srinivas Reddy: No, we have already mentioned about the updates. See, they have given us to do the prototypes. We have already done the first one. The second one is in progress, which we will most probably try to complete in this quarter. Once that is done, then we move on to the batch production and volume production. So that's what we are going to do. So, we have not considered any of that volume production or batch production in the current growth what we have taken, because we wanted to be relatively conservative in what guidance we give. But that's in the advanced stage of discussion in terms of not only the completion of the prototypes but also in terms of signing off the agreement which can happen this quarter or the next quarter moving forward.

Bala Murali Krishna: Yes. I think as per our earlier discussion, I think when they receive any orders from India, so that we are going to execute it. So as of now, do they have any orders on hand from India for execution purposes?

Srinivas Reddy: No, that situation has changed right now because what they are trying to do right now is that they are going to buy the pods, the entire assembly from us, and the batteries are going to be installed at the site. So now we are open to the whole market, so that's the big advantage. That's how they have changed their whole business outlook in terms of manufacturing in India.

Bala Murali Krishna: Thanks a lot. That's all from my side.

Moderator: Thank you. The next question is from the line of Utkarsh Maheshwari from Reliance General Insurance Company Limited. Please go ahead.

Utkarsh Maheshwari: Good morning, sir.

Srinivas Reddy: Yes, good morning.

Utkarsh Maheshwari: Sir, just want to understand our medium-term perspective in terms of how we are guiding and how we are delivering, I mean, this is like on a very pretty consistent basis. (MTM

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Srinivas Reddy: Can you speak a little louder because we are not able to hear you.

Utkarsh Maheshwari: Yes. My question is more from the structural thought process. I mean, from every time what we have guided, we have been running somehow short of our guidance. So this time do you think that our guidance is like almost at the lowest point of the thought process and maybe like we can outperform this?

Srinivas Reddy: That's exactly the idea. See, what you have said is right, but what you have to also understand is that over the last few years we have guided, but over the last one year there was some misses in terms of guidance. But the current financial year we have ensured that we have given a situation of the worst case scenario where we stand in terms of various external and internal factors, and we have guided in such a manner. So, you can be rest assured that what we have guided for this financial year is what we will be able to achieve for sure.

Utkarsh Maheshwari: And maybe like margins, I mean, we were thinking like 24% odd, now we are guiding 21%, so could this be the bottom? Or I mean we can expect some kind of outperformance from these margins? I mean, just want to understand the thought process.

Srinivas Reddy: So that's what I said, we wanted to make sure that we are making every efforts to improve our operating margins and also our EBITDA margins. But we wanted to ensure that we guide in a manner that what we can definitely achieve. And probably if things go in the right direction, probably we will do better than this. But we do not want to say that right now. But this is a basic minimum guidance, what we have given is the basic minimum guidance.

Utkarsh Maheshwari: Okay. Fair point. Thanks. That's it.

Moderator: Thank you. The next question is from the line of Ayush Bansal from Niveshaay Investment Advisors. Please go ahead.

Ayush Bansal: Hi. Good morning, sir.

Srinivas Reddy: Good morning.

Ayush Bansal: Sir, like I wanted to ask, we make actuators for Tejas aircraft, right? And with more focus on indigenization and government planning to add almost 300 Tejas aircrafts, so how big opportunity do we see here? And like out of the 36 Tejas aircrafts in operation currently, how many of it has actuators provided by MTAR?

Srinivas Reddy: See, the electromechanical actuators we have supplied to the defense and they have actually tested it and they have performed very well. And in fact, they have also used our roller screws

to test these EMAs, indigenous roller screws, and they also performed very well. They passed the load test, they passed all the relevant tests they did. So this is what I am saying, when you (MTM Building Nation with Ex-lonal Engineering

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have developed the product, you can see the traction happening in terms of EMAs in a big way.

And in fact, we had a series of meetings with them recently as well because of the certain emergency procurements we have been looking at. And we are looking at lots more EMAs which are going to come in the way of MTAR in the current financial year and the future year as well.

So, when we talk about certain guidance, as I keep repeating, that we have not considered any of these opportunities which are already developed by MTAR but you still have to get those

volume orders coming in from the defense sector, which will happen very shortly. So that is where we stand. So we have a great opportunity because we have already executed it. We have proven our product. So we are right on top of it to ensure that we can deliver such EMAs to the defense sector moving forward.

Ayush Bansal: And sir, like who are the other competitors providing the similar product? And how much do we contribute to a single Tejas aircraft?

Srinivas Reddy: We cannot quantify how much we contribute, but when we specifically talk about

our EMAs, our EMAs have proven the best in the market in terms of quality, in terms of performance. That has been also mentioned by the defense sector. And we are in good shape in terms of delivering the maximum requirements to the defense sector because ultimately, they detect the quality and the performance of the EMAs. Most of the EMAs we were also importing earlier, and that also we have changed the whole scenario right now, because of our capabilities to handle it. So we not only manufacture right from the basics, right from the component level to the assembly level, the entire system. So that's what we have done. So let's hope for the best in terms of getting the maximum kind of orders moving forward.

Ayush Bansal: Okay, sir. And do you have any idea on LCOE of fuel cell versus solar? And how do you see demand for fuel cells shaping in the foreseeable times?

Srinivas Reddy: No, there is enough demand. See, that's why we are able to grow at that rate, right? Four, five years back to what we are today, we have done a lot of innovations to make it from where we are right now. So it is growing at a rate of 20% , it might grow even further higher. So it all depends on how the market moves. But we are in good space as far as the fuel cells are concerned.

Ayush Bansal: And sir, can you just comment what is the cost of a hot box? And how technically difficult component it is to make, like do you see high competition or something?

Srinivas Reddy: I would not be able to comment on the numbers in the hot box, because we have been asked not

to disclose that by the customer, because they have certain issues with that. But the entry barrier for manufacturing these systems, it's pretty long and it is not easy as well. So, it's not that competition can be created overnight. It is not going to happen that way. For MTAR itself it took number of years to develop it, and also to inn ovate various products that we have indigenized (MTm Building Nation wltti Ex-lonal Engineering
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with. So that's where we are. So we are in a very good space as far as the fuel cell technology is concerned.

Ayush Bansal: Okay, sir. Thank you. That's all.

Srinivas Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Vipraw Srivastava from Phillip Capital. Please go ahead.

Vipraw Srivastava: Thank you for allowing me for a follow-up. Sir, quickly on the recent bill which has come up in US, where they are revoking subsidies for solar. So any thoughts that does it impact MTAR and Bloom positively? And can it be a potential trigger for MTAR in the long run?

Srinivas Reddy: I do not think so, because Bloom is in a very comfortable space right now in terms of their own order book and requirements. And we do not have any such information. And in fact, they are

trying to increase their wallet share as well wh ich we are doing right now, as I said earlier,

Vipraw. So, I do not think we have any kind of asset or a trigger which might create an issue for us. So there is no indication of that.

Vipraw Srivastava: Sure, sir. And sir, secondly, quickly on the Flue nce part. So again, Fluence also supplies lithium-ion batteries for US market. And if US market faces issues, do you see it having a repercussion the India market? Or are these two embedded?

Srinivas Reddy: No, see, right now, as I said earlier, we are cr eating assemblies for them, excluding the batteries for now. They are going to do that at site. So, th at opens up the entire market. That's what Fluence is looking at. So, it's a new design up there, which we have designed and developed it along with them. We have successfully completed the first prototype, and now we are moving on to the second prototype. And once that is done, then we move on to the batch production and then the mass volume production as well. So, mostly, as I said earlier, the finalization of all this will happen e

ither in this quarter or next quarter, where we are going to sign off a long-term agreement with them before we get on to the volume production.

Vipraw Srivastava: Sure, sir. Thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Piyush Sevaldasani from Sundaram Alternates. Please go ahead.

Piyush Sevaldasani: Yes, hi, sir. Thank you for the opportunity. Sir, my first question is on the clean energy, fuel cell

side. Sir, if you look at the guidance of Bloom En ergy, it's much higher relative to what we are guiding. So, can you help me understand why are we being conservative or we wait for more orders to come, and then we see an upgrade there? (MTm

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Srinivas Reddy: See, that's what I have said earlier. So, we have guided the growth as well as --

Moderator: Sorry to interrupt. Sir, there seems to be a disturbance in your line.

Srinivas Reddy: Yes. Can you hear me now? Can you hear me now?

Moderator: Yes, sir. Please go ahead. Yes, sir. Yes, sir.

Srinivas Reddy: I think my line is fine actually. So, what I have said earlier is that we have considered the guidance of the numbers based on where we are today. But over the next one, two quarters, many things can happen, but we have not taken any of those into account. So, as of today, this is what we have done, this is what the guidance we have given as a base minimum. So, the reason why we have done that is that we would like to make sure that what guidance we give definitely we will achieve that, and probably we might do better than that based on a lot of external factors, nothing to do with us.

So, a lot of good things are going to happen. For example, whether it's Bloom or whether it is Fluence Energy, where we are going to sign an agreement. We have not considered various things what we are already working upon. But as and when those things happen, then we look at it and then we keep informing our investors on a regular basis. So, that's the game plan for this year.

Piyush Sevaldasani: Sure, sir. Sir, my second question is on the CapEx. We have done Rs. 100 crores CapEx for FY '25, can you help us understand what was this done for? And incrementally, how should we see CapEx moving which segments, and what would be the quantum?

Srinivas Reddy: See, it depends. See, right now, this year the basic minimum bottleneck areas, we are looking at about Rs.

50 crores to Rs. 60 crores of CapEx going in. Not only for the requirements, not for this year, but for the next couple of years. But if you look at a specific project, like we are working on some very big projects which I am not able to disclose right now, but once those projects and agreements are signed, then it will be a separate CapEx required for that. We already have enough land banks, both near the airport, in the SEZ and a few other land banks that we have taken. So these will be used not only for our future projects and for expansion programs, which we have a roadmap over the next three to five years.

Piyush Sevaldasani: Sure sir. Sir, just lastly on the nuclear segment, you said the execution in FY '25 was slightly on the weaker side. Can you help me understand why it was impacted? Was there any project delay or some clearance delays? And why are we expecting a jump to Rs. 60 crores in FY '26?

Srinivas Reddy: See, basically, that's what we have dispatched, right? So, we are working on two major projects, one is the FMBC and the fuel transfer systems, which are the long-term projects. We have done substantial work in that, which is under work in projects. And we will be executing those projects (MTM

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for the current financial year. So, even though the sales are at Rs. 19 crores, we have done substantial work in these long-term projects over the last one

year. And now we are going to

move on to start dispatching them in the current year and the subsequent year.

So, what orders we are going to receive, if it's substantial orders, we have not considered that in our business plan for this year. But you can see a nice exponential growth in nuclear division since everything is right there on our table right now in terms of order booking and execution will happen over the next three to four years. So, we are looking at a pretty good exponential growth in nuclear division, which obviously got delayed, right, in terms of order booking, because of the delays from various areas. But now, already the paperwork has started moving and we will be able to bring those orders over the next one, two quarters.

Piyush Sevaldasani: Sure, sir. Thank you and all the best.

Srinivas Reddy: Thank you.

Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A: Good morning. Sir, earlier guidance of working capital days to a target of 175 days, what are the strategic initiatives we are taking it right now, because right now it's about 220 levels?

Srinivas Reddy: GR, you want to answer it?

Gunneswara Rao Pusarla: Yes. See, we have guided working capital days 225 days for FY '25. So we have achieved 229 days. 175 is a long-term goal, it cannot happen immediately

Balasubramanian A: I was talking FY '27 targets, sir, I think.

Gunneswara Rao Pusarla: Yes, FY '27. See, the moment we have the operating leverage and growth, we are expecting 25% year-on-year, and we are working closely on the receivables and inventory levels, definitely that number can be achievable. And we have the calculations also.

Balasubramanian A: Got it, sir. Sir, in that Middle East side, oil and gas, especially DMT and CapEx are picking up. And how our businesses are doing in oil and gas, how the things are shaping up?

Srinivas Reddy: So we are working with the oil and gas customer with Weatherford. We are going to execute the first article's completion in this quarter, the end of this quarter or beginning of next quarter. And mostly, a long-term agreement is going to be signed off, most probably in this quarter itself. And then we create the required infrastructure once the agreement is signed off for batch and volume

production. So, that's going in the right direction. And that's something which we have not, again, (MTM

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stated in our business plan right now because that's how we have conservatively estimated our growth plan. So, as, and when it happens, we will inform the investors accordingly.

Balasubramanian A: Sir, we have taken a separate debt for this oil and gas segment, Rs. 60 crores to Rs. 80 crores kind of debt? Or still we have not taken?

Srinivas Reddy: No, we have not yet taken that debt.

Balasubramanian A: Okay, sir. When we can expect plant for this oil and gas, sir?

Srinivas Reddy: That's what I said, mostly in this quarter we will be able to sign off the agreement. And once we do that, then the whole process will start. Because we are simultaneously doing the first article, which will be done by end of this quarter. And once that is done, then we move on to the batch production within our existing facilities. But for volume production, we have to create a separate infrastructure for them for which we have the land bank. And once we do that, once we sign off the agreement, the whole kick-off will start off on the oil and gas, which will happen mostly in this quarter we will be able to sign off the agreement.

Balasubramanian A: Got it, sir. Sir, my final question on aerospace and defense, I think we have initiated a

development order for compression assemblies of scramjet engines. And so when can we expect volume orders for these hypersonic missile developments?

Srinivas Reddy: No, first we have to

execute these scramjet engines, we have to do that. We are in advanced stage of that. The raw material has come in, the manufacturing is going to commence. The sooner

we do that, the whole team is working on it. So once we are able to do that, then progressively we will be able to see a proper traction in this area as well. And that's a very highly sophisticated order which we are executing in terms of scramjet. So let's see how it goes. And we are on top of that issue. The whole team is working on it, especially right from the new product development team and the execution teams are working on it to take it forward.

Balasubramanian A: Got it, sir. Thank you.

Moderator: Thank you. The next question is from the line of Isha Murthy from IM Capital. Please go ahead.

Isha Murthy: Hello. Sir, can you provide me the guidance for clean energy, like civil nuclear power and aerospace and defense? And what are your plans to like improve your cash flows?

Srinivas Reddy: So, the improvement of cash flows, I think GR, you want to answer that first, then I can go after that I guess?

Gunneswara Rao Pusarla: once the revenues are increasing, profitability increasing, the internal accruals will be there. And also, we are working on the working capital days also, closely monitoring it. So, we have (MTm

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achieved Rs. 101.9 crores, but we are working with a lot of suppliers also to improve our credit period. So, definitely every year our target is to make the positive cash flow from operations henceforth.

Srinivas Reddy: The second part of the question is, see, we are into various segments, multiple segments as I mentioned earlier, and we are seeing similar kind of growth pattern happening in every segments, especially in aerospace and defense we are seeing a huge traction happening there.

We have created those facilities. Our products have been approved. Certifications we have received, including our special processes for aerospace in fact we are one-stop shop for various multinationals. We have been certified by NADCAP which is a big achievement, which we received a certificate now. So we have done a lot of work in terms of where we are today in terms of moving forward with the right growth that we are looking at. So that's where we are today. And I can really congratulate the entire team to create the platform to have a consistent and good growth over the next few years with improved margins.

Isha Murthy: Okay. I also have one more question. Like, you have indicated a sharp ramp-up in aerospace revenue, from like FY '26 and higher in FY '27 as well. So, what gives you the confidence in this steep growth? And also, long-term contracts or visibility from MNCs already secured to support the scale-ups?

Srinivas Reddy: Exactly. So the confidence level is, one is, we have already done a lot of first articles and moved on to the volume production. In some cases, we are already doing the first articles and they are getting approved. We got the required certifications as well. And that's why you can see in the current year itself in aerospace industry, like it was not there before as I mentioned earlier. In

the aerospace sector we did Rs. 9 crores and Rs. 45 crores last year, and this year we are doing close to about Rs. 145 crores.

It's purely the effort of the team, not only to develop the products for the MNC in the aerospace sector and getting it approved and certified. And that's why we are seeing the numbers growing rapidly. And we are also having the customer confidence in MTAR in terms of quality and performance, what we have already delivered. So these are the factors which have gone into it. And we have created the right infrastructure in terms of special processes and machining and assembly of these products for us to be where we are today and how we are growing in this sector.

Isha Murthy:

Okay, sir. Got it.

Moderator: Thank you. The next question is from the line of Ayush Bansal from Niveshaay Investment Advisors. Please go ahead. (MTm

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Ayush Bansal: Hello, sir. I had one more question that back in 2020-'21 we were sitting at gross margins of somewhat 67%-68%, which now stands at 47%- 48%. So can you just tell for this drastic drop of 20% in gross margin, is this due to raw material cost or something else?

Srinivas Reddy: It's basically the product mix, right? So, earlier the gross margins for the clean energy segment

are lower, the volumes are higher, the operating leverage is much better. But if you look at the way we are moving forward, we have diversified into the aerospace and defense sectors in a big way where the margins are much higher. So, basically the gross margins are also going to be higher in terms of these segments. And also, we are moving into the volume production as well, so you can see a better gross margins moving forward as we move on in terms of diversification. And we are actually implementing it and executing those orders right now. So we can see that happening over the next few years with improved gross margins as well.

Ayush Bansal: Okay, sir. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Yes. I just had one question on the battery storage system. So we were developing and designing it, so where have we reached with the prototype? And has there been any qualification that we have received from it?

Srinivas Reddy: Yes. We have done the first prototype, so that's been approved by the customer. And now we are moving on to the second one, with a little bit more changes in the design and they wanted some improvements from their side, nothing to do with them. We are working together with the design and development. So once we do the second prototype, so that will be the basis for our batch production moving forward. That's what I have said, and which we are mostly planning to complete it by end of this quarter or beginning of next quarter. Once we do that, then we move on to the batch production. Then all the designs will be frozen and then we move forward for batch production and volume production.

Maitri Shah: Okay. And what kind of expectations do we have from this product in terms of like revenue in FY '27?

Srinivas Reddy: FY '27, will have a substantial revenue. But I am not going to disclose that more in terms of numbers once we sign off the agreement with Fluence, because we have to finalize the pricing and everything because we are doing the prototype right now. But it's a fantastic opportunity for the Company and we are successfully executing the prototype right now. So, the market has also opened up because of batches being installed at the site. So let's see how it goes. And once we sign off the agreement, we will inform you. Then obviously given the kind of volumes, it will be a substantial number that we are looking at. (MTM)

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Maitri Shah: Okay. And just one clarification, sir you mentioned that we will be growing at 25% for the next three years, is that right? Did I hear that right?

Srinivas Reddy: Can you repeat that question?

Maitri Shah: At 25% for the next three years?

Srinivas Reddy: Yes, that's right. Absolutely right.

Maitri Shah: Okay. Thank you so much.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Srinivas Reddy for closing comments.

Srinivas Reddy: So, I would like to thank everyone for taking time to attend this call. And I would like to mention that we are continuing to work towards our growth and also to improve our margins on a linear fashion, quarter-on-quarter basis.

Even the growth, we are expecting to grow on a linear basis, quarter-on-quarter basis, year-on-year basis. And we are on track in terms of what we have done, which you cannot see in the form of numbers, but you can see moving forward over the next three years, the kind of work we have done in the various segments that we are working on right now. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines. (MTM)

Building Nation with Exponential Engineering

Call: Aug 2025

Date: 13.08.2025

To,

BSE Limited, P. J. Towers, Dalal Street, Mumbai-400001. (BSE Scrip Code: 543270) NSE Limited, Exchange Plaza, Bandra Kurla Complex, Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) - Transcript of Earnings call held on 06.08.2025.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday, 6th August 2025 at 11:00 a.m.

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records. Thanking you,
For MTAR Technologies Limited

Naina Singh Company Secretary and Compliance Officer
Encl: As above.

email : info@mtar.in website : www.mtar.in

CIN No: L72200TG1999PLC032836

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"MTAR Technologies Limited
Q1 FY '26 Earnings Conference Call"
August 06, 2025

MANAGEMENT : M R. SRINIVAS REDDY – MANAGING DIRECTOR AND
PROMOTER – MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD STRATEGY AND
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MODERATOR : M R. PARTH PATEL – MUFG INTIME

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MTAR Technologies Limited
August 06, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the MTAR Technologies Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Parth Patel from MUFG in time for opening comments. Thank you, and over to you, sir

Parth Patel: Thank you. Good morning, everyone. On behalf of MTAR Technologies Limited, I extend a very warm welcome to all participants on Q1 FY '26 Earnings Discussion Call. Today on our call, we have Mr. Srinivas Reddy, Managing Director and Promoter; Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and IR.

I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on exchanges and the company's website. I would like to give a short disclaimer before we begin the call.

This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today. The statements are not guaranteed for our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Srinivas sir. Over to you, sir.

Srinivas Reddy: Hello, and good morning to everyone. Thank you for taking the time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and Investor Relations; and Orient Capital, our Investor Relations Partners.

We have uploaded our updated investor deck, press release and results highlights on the stock exchanges and company website. I hope everybody had an opp

portunity to go through this. I'm

pleased to report a robust performance in Q1 with revenue from operations at INR156.6 crores, representing a year-on-year growth of 22.1%.

EBITDA came in at INR28.4 crores, showing a year-on-year increase of 70.9%. These results demonstrate stable execution and continued momentum across all our key business segments. As communicated in the previous quarter, we anticipate sequential improvements quarter-on-quarter basis, particularly in the second half of the year.

Revenue growth is also expected to be stronger in H2. This momentum will be driven by operating leverage and scale up of production for new products developed in Clean Energy and Aerospace sectors over the past few years. We remain committed very clearly to our FY '26 guidance of 25% revenue growth and an EBITDA margin of 21%, plus/minus 100 basis points.

While tariff-related uncertainties persist with respect to the U.S. market, we remain confident in sustaining our export momentum. This is underpinned by our cost competitiveness and the engineering depth achieved through the indigenization of key components, especially in all the sectors wherever we are exporting through various segments in U.S. market. Building Nation with Exceptional Engineering

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And we are also diversified into various other countries in our exports mainly to Europe and Israel. Our continued focus on innovation and localization enhances our ability to deliver high-value solutions to customers globally despite shifting trade dynamics.

Starting with Clean Energy segment, we delivered approximately INR105 crores in revenues in this quarter. This fiscal year, the company has undertaken development of new products for Bloom Energy, further expanding our wallet share in this sector.

As highlighted earlier, our cost competitiveness and engineering expertise continue to provide us with a distinct advantage over our Southeast Asian counterparts amidst heightened global uncertainties such as tariffs.

We have been assured by all our customers that they will be ensuring stability across all the supply chain partners especially MTAR being involved in the high-technology segment. And additionally, our customer, Bloom Energy has provided a very high -- highest ever forecast for the execution of our boxes in the upcoming fiscal year post the tariffs announcement. Bloom Energy continues to strengthen its position in the data center market by signing strategic agreements. Most recently, it announced plans to deploy its fuel cell technology at select Oracle Cloud infrastructure data centers in the U.S.

The median data center size is projected to grow by nearly 115% from approximately 175 megawatts today to around 375 megawatts over the next decade, presenting substantial growth opportunities for fuel cell adoption.

Clean technologies are playing a critical role in the global transition to a low-carbon economy, driving sustainable growth in energy while unlocking significant long-term growth opportunities for supply chain partners.

Looking ahead, we anticipate a robust growth of 15% to 20% in FY '26 across clean energy sector, including fuel cells, hydropower, battery storage systems and others.

We continue to maintain strong traction in the aerospace and defence vertical, delivering approximately INR25 crores in orders during the Q1. The company is actively strengthening its defence portfolio and is currently participating in tendering process for various prestigious programs for Government of India.

While we are in the process of developing several new products for a leading multinational aerospace customers, we have also participated in tenders for new products such as actuation systems for launch vehicles aimed at increasing our wallet share with -- these initiatives are part of our strategic effort to deepen engagement with key international customers

and leading Indian

organizations like ISRO and DRDO.

Additionally, European nations are increasingly looking at partnerships and collaborations with Indian defence manufacturers as their supply chain is constrained by limited local manufacturing capacity and still workforce shortages, especially in aerospace and defence sectors. This dynamic presents significant export opportunities for Indian manufacturers and MTAR is well positioned to capitalize on this emerging demand. Building Nation with Exceptional Engineering
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We're actively focused on expanding our wallet share with existing European customers while also working on onboarding new clients. We expect revenue growth of approximately 80% from this segment in FY '26.

With a robust product pipeline and increasing participation in high-value strategic programs, we anticipate exponential growth in this segment over the coming years. In civil nuclear sector, we registered revenues of approximately INR5.4 crores during Q1. The company has submitted various quotes for the upcoming projects in Kaiga-5 and -6 and refurbishment reactors for Madhya Pradesh, Rajasthan and Chennai projects.

These projects involve critical assemblies, which MTAR is well versed with. And as I mentioned earlier, during the current financial year, we are anticipating orders close to about INR1,000 crores coming in from the nuclear division over the next 3 to 6 months. We anticipate delivering orders worth around INR60 crores in this sector in FY '26 underscoring our ongoing commitment to supporting the nuclear power industry with highly specialized products for the core of the reactor.

And this segment is going to grow exponentially year-on-year basis from FY '27 onwards based on the kind of orders that we are expecting to come in during the current financial year. Finally, in the products and other verticals, we registered revenues of INR21 crores in this quarter and expect a 20% growth in this segment for FY '26.

The continuous execution of orders for various new products across clean energy, aerospace and defence sectors highlights our strong execution capabilities and unwavering commitment to operational excellence. The company remains focused on quality, innovation and process efficiencies as key levers to drive long-term shareholder value.

We anticipate, as I mentioned earlier, increased order inflows in the coming quarters in civil nuclear power and as well as in aerospace and defence sectors, which are expected to further strengthen our order book substantially.

Additionally, the company is actively engaged in advanced discussions with multiple customers in clean energy, aerospace and defence sectors to establish long-term contracts and we have notably entered recently into a long-term agreement with Weatherford over the next 5 years, being the first year following the successful execution of first article products.

Now I would like to hand over to our CFO, Mr. Gunneswara Rao, who will discuss in detail on the financial performance of Q1 FY '26.

Gunneswara Rao: Thank you, Mr. Srinivas Reddy. Good morning, everyone, and thank you for joining us today for the Q1 FY '26 Earnings Call. First, I would like to extend my sincere gratitude to all our shareholders for the trust and confidence you continue to repose in our company. We are pleased to report that the first quarter of FY '26 has been marked by strong financial performance and consistent progress across our strategic growth areas. Building Nation with Exceptional Engineering
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So the revenue from operations stood at INR156.6 crores in Q1 FY '26 compared to INR128.3 crores in Q1 FY '25, a 22.1% year-on-year increase. EBITDA was reported at INR28.4 crores in Q1 FY '26 up from INR16.6 crores in Q1 FY '25, a robust 70.9% year-on-year increase.

Profit before t

ax stood at INR114.8 crores as against INR6.2 crores in Q1 FY '25, reflecting a 138.7% year-on-year growth. Profit after tax was INR10.8 crores compared to INR4.4 crores in Q1 FY '25, an impressive 144.2% year-on-year increase. In case of working capital days, it has increased to 267 days from 229 days in the previous quarter.

This rise is mainly attributable to the lower revenue realization from some of the customers in the ongoing conflict in that region. So that is the reason we could not able to receive the funds in the last week of the last quarter.

However, it is received in the first week of the month, almost \$2.5 million is received in the first week of the end of the quarter. As explained by our MD, we are seeing a stronger order visibility in the civil nuclear power segment. We expect to receive approximately INR1,000 crores in the next 3 to 6 months.

As we all know that India's strategic push to increase nuclear power capacity to 100 gigawatts by 2047, we see the clear visibility and forecast for the civil nuclear sector. So to meet this demand, we are setting up a new dedicated facility, which will significantly expand our capacity and enhance delivery capabilities in this vertical. In case of Aerospace, last year, we have done around INR45 crores of revenue.

This year, we are targeting almost INR100 crores to INR120 crores of revenue by end of this financial year. This growth also driven by the repeat business from our existing customers, also increased production capacity and which last year, we have commissioned a separate unit in Pashamylaram in Hyderabad.

So this production capacity and repeated business will enhance our revenues further. And also, I just wanted to tell you, we wanted to venture into the Oil & Gas sector. We have already signed a long-term contract in oil and gas sector for the Weatherford.

And we are venturing -- we are creating a dedicated facility in the SEZ to support this vertical.

We see promising long-term growth potential in this sector and also tapping into the new markets and customer segments. Thank you again, once again for your continued support.

With this, I open the floor for discussion and welcome any questions you may have. Thank you everyone.

Moderator: Thank you very much. We will now begin the question and answer session. The first question comes from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: There's two questions. First of all, on the financial side. So what's the net working capital days you're expecting by the end of this year? And what's the capex guidance for FY '26? Building Nation with Exceptional Engineering

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Gunneswara Rao: Yes. So regarding capex, for oil and gas sector, we are spending around INR70 crores of capex for this year. Other than that, there is some sustenance capex and a few other equipments which we are buying for this financial year. It will be around INR100-plus crores for this financial year. And as far as the next year concerned, only around INR25 crores to INR30 crores is there as per the like sustenance capex. But we will see as and when any new customers come, we will see at that point of time.

Srinivas Reddy: Yes. Here he was asking about net working capital days, how it will be?

Gunneswara Rao: 267 days. Now it was up from 229 to 267. This is the main reason is some of the customers in Israeli area because of the ongoing war, we could not receive almost \$2 million worth of receivables. And some other customers also paid in the first week of July.

So if we take into account, it will be as -- it is same as the last quarter. However, we are targeting to reduce our working capital days to 200 days by end of this financial year.

Vipraw Srivastava: Secondly, sir, on Bloom as you mentioned that they have been winning a lot of orders in U.S. So the Indian data center space is also evolving in a hu

ge way. So any plans for Bloom to come

to India or they will be currently focused only on U.S. market?

Srinivas Reddy: No. The issue -- it's not about plan to come to India. The idea is that obviously, post tariffs announcement also, we got the highest forecast from Bloom for next fiscal year. That is a very good sign, right? And then apart from that, they're also increasing step by step the wallet share for MTAR at various assemblies, what we are doing for them.

So I would see over the next 2 years, probably they would look at doing the complete assembly.

I'm just hoping that they will strategy-wise also for them for catering to the Asian markets and Indian markets or the European markets, they could probably look at the situation of directly shipping the products from here back to these countries and taking the products to U.S. for the U.S. market.

So that's, I think, the strategy that they're trying to adopt. That's why our wallet share is also

increasing step by step over the last 2 quarters in what we are doing with Bloom.

Vipraw Srivastava: Right, sir. And sir, lastly, on the aerospace and defence, that is doing very well in Europe because of the ongoing conflict in that region. I mean the increased traction that you are seeing is it a function of the conflict in that region or the structural reason why these companies are tying up with. Inaudible:17:17

Srinivas Reddy: No, it's not entirely because of the conflict. So we don't -- obviously, none of us want any conflict anywhere in the world, right? So basically, if you look at our projects what we are doing, we are working with the U.S. customers, we're working with Israeli customers, European customers, basically for the civil aircraft primarily. And then the defence side also, we are working with various projects for all these customers. Building Nation with Exceptional Engineering
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And it's all based on the needs what they have. And obviously, it's -- all these are on a long-term contract basis, either we have with IAI or oil-free with Weatherford or with any other company like GKN, different companies that we are working with.

So the way we have proven our first articles and the production, what we have created, the batch quantities and the production, the quality what we have maintained, they're extremely happy with us, and they are increasing the order book step by step with MTAR, and that's why you see the numbers growing year-on-year basis. And we're expecting the same momentum moving forward as well.

Moderator: The next question comes from the line of Piyush Sevaldasani from Sundaram Alternate.

Piyush Sevaldasani: Congrats for great set of numbers. My first question is on the Bloom Energy. When we listen to the commentary from Bloom Energy that it is very strong. However, we are not seeing that kind of growth in our order inflow in the Clean Energy segment. So can you please help us understand

when should we expect large orders from Bloom Energy coming in should it be second half this year or maybe next year? Also why our growth is really 15% in this segment when Bloom is guiding for much higher growth?

Srinivas Reddy: Okay. So first answer to your question of order inflow is, see, basically, the forecast from Bloom has been given just after the tariffs were announced, they've given 25% higher numbers than what we are doing this year. So technically, the orders is just they'll follow automatically. So

whether it will happen in this quarter or next quarter, they will release those orders. So that's not an issue at all.

They've already given us the authorization to go ahead with the sourcing of raw materials and bottom for this. For this, and they have sent an official communication as well. So we are -- so the order inflow is much higher compared to the current year by about 25% or more.

And when we talk about the growth, yes, we say conservatively

15%, 20%, but we always say

that, but we are expecting a lot more because of our increase in wallet share in various segments what we are working with Bloom. And it's going to go higher and higher, as explained earlier to Vipraw as well.

Piyush Sevaldasani: My next question is on the -- can you please help us understand where is the order stock because it's been quite a time we are still using large orders in the nuclear?

Srinivas Reddy: So look, basically, now it's in very advanced stage. We can expect the orders some coming in this quarter, some by next quarter. That's why the CFO mentioned within the next 3 to 6 months. These orders of close to INR1,000 crores are not part of our execution plan for this current financial year. That's why we see a lot of exponential growth in nuclear division moving forward in the next 3 years.

And all these orders have to be executed on a fast-track basis within 3 years. The reason is one is Kaiga-5 and -6 is on a fast track basis. It's a new reactor, 700-megawatt reactors, 2 of them. And the rest of them are the refurbishment reactors that we are working with reactors in Tarapur,

Madhya Pradesh, Rajasthan and Chennai. All these are coming -- are in the pipeline. Building Nation with Exceptional Engineering

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Tenders have been floated. We have quoted for that. So these are all orders which have to be executed in 24 months. So there is enough on our plate once these orders kick in for the next 3 years. And also further 4 reactors are going to come in 700 megawatts in Mahi Banswara in Rajasthan.

Those tenders are expected -- that's not part of this INR1,000 crores what I was talking about.

That is something new which we have come to know recently. And that will kick in probably in second half of this year, the tender should be quoted for that as well where that's being worked upon right now.

Piyush Sevaldasani: Sure, sir. Sir, my last question is on the gross margin. So we saw an improvement in the gross

margin despite material change in the revenue mix. Can you help us understand like which segments have better gross margin because despite clean energy having much higher revenue mix, gross margins have improved?

Srinivas Reddy: GR, you want to answer that?

Gunneswara Rao: Yes. The gross margin, the main reason is we are working on the various long operating cycle projects like civil nuclear power, we have FMBC and FT systems. Substantial work has been done on those jobs. That is the reason a lot of work is in the form of change in inventory. So that is reflecting the higher gross margin.

And also some of the clean energy products we manufactured for the subsequent quarters. So it means our production is more than the sales during the last quarter despite having good numbers, and we have produced a lot of work in the other areas also. That is the reason gross margins were higher.

Moderator: The next question comes from the line of Renu Baid from IIFL Capital.

Renu Baid: My first question is broadly first to understand the INR100 crores capex that you have mentioned for this year, would that entail us taking up more debt or how are we planning to fund this capex?

Gunneswara Rao: See, we are going to take some debt also, maybe 70% is from the debt and 30% internal accruals we'll do. And already, our existing debt is around INR120 crores around that number. So we are repaying the existing debt within 2 to 3 years of time. This will be funded by the term loans.

Renu Baid: And secondly, I'm not sure I just want to clarify, did you mention that for the nuclear products, given the demand which is there, we are planning a dedicated facility for nuclear or was it only for oil and gas? Just trying to clarify on that again...

Gunneswara Rao: No. Oil and gas, we are setting up a new dedicated facility in SEZ. For a civil nuclear power, we have -- we are also setting up a dedicated facility near our e

xisting units here, but that will be

not so big facility. It will be a small facility wherever we have a bottlenecks are there, we are addressing through that new facility.

Renu Baid: Okay. Right. Because the current utilization for nuclear facilities would anyway be running pretty low currently? Building Nation with Exceptional Engineering

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Gunneswara Rao: Yes. So, go ahead sir.

Srinivas Reddy: No, no, we have enough capacities. But the only thing is if you look at the quantum of orders we are receiving, like if you have to execute, let's say, INR1,000 crores order book in 3 years, which has never happened in the past, we have enough capacities.

But as CFO has mentioned, we'll have certain bottlenecks here and there, which we need to address them and including storage of raw material and stuff like that because we're handling a number of projects now moving forward from FY '27, '28, '29.

So we are creating a small facility next to our Unit 3, if you are aware, which is close by where it handles the nuclear division to have a support system in terms of addressing these orders and ensuring that these are executed within the time frame because Kaiga 5 and 6 is a time-bound project and also the refurbishment reactors in Madhya Pradesh, Rajasthan, Chennai and Tarapur are all time bound projects.

So we have to ensure that and ensure that we grow in that manner and then we get subsequent reactors as well like Mahi Banswara and other reactors coming in subsequently, right? So we need to create the support system to ensure that we execute these projects in 3 years' time.

Renu Baid: And just a little bit more on the nuclear segment, while you did mention briefly in terms of these orders to come through in the next 3 to 6 months, can you share a bit more granular updates in terms of where is Kaiga 5 and 6 stuck? It was expected long back. And similarly, where are we in terms of project award for the refurbishment projects across the 3 states that you mentioned?

Srinivas Reddy: Kaiga 5 and 6 already, as we speak, the discussions are going on, as all of you are aware, it's given to MEIL, so we have given 16 packages to them. Right now, the final negotiations are going on with the company to finalize it. And hopefully, by end of August or September, we should be able to freeze the Kaiga 5 and 6 orders, what we're expecting in this quarter.

And as far as refurbishment of reactors are concerned, we have quoted for at least about 80% of the tenders, only 1 or 2 tenders are pending, which are coming in within the next 1 week. And the information I have is maximum the outlay of time to get the orders in place for refurbishment of reactors based on the L1 category, we are expecting within 3 to 6 months time for all other refurbishing reactors.

Renu Baid: Are we already have -- is MTAR already announced L1 on these refurbishment projects or...

Srinivas Reddy: Not yet. We are more or less highly qualified to do these projects, especially the refurbishment of reactors. And so basically, we are expecting -- we are pretty confident of bagging the maximum number of orders. And the announcement should be done, I think, by September, October, by the time they do the evaluation and price bid and all that, price bid opening and all that. So we're expecting at least the L1 status will know probably in the month of September or October.

Renu Baid: Got it. Secondly, when we look at the Bloom Energy portfolio and they have guided pretty strong

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hot boxes alone? Or are we also seeing some activities and traction around there other products like electrolyzers where we were the lead partners with them?

Srinivas Reddy: So we are seeing the wallet sh

are increase not only in the hot box segment, but also in the enclosures and other products that we are doing right now over the last 3 months to 6 months.

So that's going on step by step, they're increasing it to ensure that most of the work is done back here.

And the ultimate goal, I think, is, as I said many years back or even a couple of years back is that they might look at complete assembly system back in India to cater to various other countries back from India to Europe to Asian countries, etcetera. So that's how the wallet share has been increasing step by step over the years.

Renu Baid: Right. And last question, if I can. You're probably missing some of your comments around space segment. So how has been the business there? Are any projects in pipeline? We had some issues with the semi-cryo engine. So where is that? And the SSLV program where we were investing to have our own independent products, where are we on the product development side?

Srinivas Reddy: See, there are a couple of things here. One is we have been more realistic in our approach, keeping the company as -- taking the future of the company as the most important factor. First is on the space side, it's a stable kind of a business that we are doing. And in fact, we are adding -- we are hoping that we would back the electromechanical actuator systems for the space, which we have participated for ISRO, which we have not done earlier. For the first time they have done it.

So mostly, we are hoping that we would get th at project, which is subs tantial, which will be close to about INR60 crores to INR70 crores of business coming in only from EMA. And apart from that, the regular business is going on without any hindrance, the further orders for the Vikas engines are also expected during this fiscal year.

Large number of Vikas engines are expected during this fiscal year. Other than that, even the cryo engine orders are expected. Now semi-cryo, Renu, is basically, if you have heard about this, the Chairman of ISRO has announced that most probably by FY '27, they will launch -- start using the semi-cryo engines. We are working day in and day out to meet and complete the semi-cryo engine hardware dispatch this year. There has been certain design issues in one of the assemblies, which we are working on. Hopefully, in this quarter, we'll resolve it along with ISRO. And once that is done, we're all set to launch the semi-cryo program successfully this year. So we are hoping for that.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for a good set of numbers. Sir, my first question regarding Bloom Energy orders remained robust around 4,000 hot box units. Just want to understand, is there any impact on tariffs or U.S. policy shifts like IRA solar subsidy locations? Building Nation with Exceptional Engineering
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Srinivas Reddy: Answer to your first question is we don't have any kind of impact on the tariffs being announced by U.S. as far as our U.S. customers are con cerned. We are in the technology area. And as I mentioned in my speech as well, based on what we have developed over the years and the cost competitiveness and the kind of technology we have developed, we have no such indication and

Bloom also announced a very aggressive forecast for next year post the tariff announcement. So we are just focusing on what we are doing right now in terms of developm ental activities, and I don't see that's going to be any factor as far as MTAR is concerned.

Balasubramanian: Expected in next 3 to 6 months, is basically in to like pressurized heavy water reactors or small modular reactors?

Srinivas Reddy: These are all pressurized heavy water reactors, PHWRs.

Balasubramanian: Okay, sir. And sir, secondly, on the battery storage side, I think Proto 2 delivery when we can expect and when we can do mas

s production agreements and what kind of revenue potential expected on the Fluence side? And Fluence is shifting to full part assemblies, it is any additional capex required for this assemblies and how will compare between Fluence and hot boxes in terms of margin?

Srinivas Reddy: The margins are probably the similar margins. We can't just assume that right now, but we are

still working on the Proto 2, which hopefully, this quarter, we should be able to complete it. And once that is done and the final design and all that is frozen, then we move on to discussing about the future with Fluence.

So it's a little premature right now for me to comment on that. But we are in a stage where we have done Proto 1, we are working on Proto 2 and then we move on. We talk about the long-term agreement or whatever. So it depends on Fluence, how he wants to take it up in the future.

Balasubramanian: Sir, final question. Electrolyzers, we have been developed. How do you look at on the scaling point of view? And are we participating any PLI schemes? And how will domestic demand pick up in electrolyzer side?

Srinivas Reddy: As I said earlier, electrolyzer is going to take time. We need the right infrastructure for that not only here, but also internationally as well. We have developed it, but we are just waiting with our partners, Bloom to get the order book going on electrolyzers. Internationally, it has to have the right kind of infrastructure for that. Once that happens, then we'll definitely let you know about that.

Moderator: The next question comes from the line of Meet Jain from Motilal Oswal.

Meet Jain: First question is, sir, on the product business. We saw a degrowth of 24% this year -- this quarter, and we expect a guidance of around 20% kind of growth. So where do you see which segment are? And also can you throw some light on any approvals you're expecting this year for any new

products and also in terms of how many products are the development stage on that? That's my first question. Building Nation with Exceptional Engineering

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Srinivas Reddy: So on the product side, basically, we are working on ASPs, ball screws, valves, different products we have actually started executing them as you are aware of it. So mostly on the valves side, we are looking at a high traction coming in there on the EMA side as well.

And also on the ball screw side, which we got already the export orders from MNC customers, which we start working on the production right now on the prototype and the volume production

as well. So we are expecting a diversified kind of growth in the products division, which we have expanded it over our NPD division over the last couple of years, and we have taken it forward that way. So that's how we're going to have that kind of growth moving forward as well.

Meet Jain: So any particular reason for a degrowth this quarter? Any delay or any one-off?

Srinivas Reddy: Not exactly a degrowth because the kind of product requirement that they had for this quarter was slightly less than what it's supposed to be, but it's going to catch up in subsequent quarters. And also, we are adding some more products which will be exported during the subsequent quarters as well. So that's why we are pretty confident to have that kind of growth moving forward.

Meet Jain: Okay. So seeing the current geopolitical scenario, can we assume that this is the -- can be a reason for a decline or the low requirement for this kind of product in this quarter?

Srinivas Reddy: No, absolutely not. It is not because of that. It's because of one of the products like ASPs, there were enough inventory levels in Bloom and they've asked us to ship a lot more in the subsequent quarters. And plus we're adding a lot of other products where we're exporting in ball screws and as well as in valves within for the defence organizations as well. So it will catch up and we'll achieve that growth by end of the year.

Meet Jain: Okay. Apart from the working capital side, we talk about the receivables, how it has increased.

I would also like to know the inventory. So we see the inventory days both in the RM and WIP

has seen a sequential increase. So is it a seasonal kind of phenomenon or there are certain

inventories in hand? Can you throw some light on that as well?

Srinivas Reddy: Yes, you can go ahead.

Gunneswara Rao: Yes. The reason is, as I told you, there are a lot of -- the work is done in the form of WIP in the first quarter. That is the reason for increase in WIP. It will be dispatched in the subsequent quarter. And the RM also because of the aerospace revenue, which we are targeting more than INR100 crores to INR120 crores compared to INR45 crores in the last year. So we need to order

in a minimum batch sizes. So eventually, it will come down. But however, our target is 200 days we are targeting by end of this year.

Meet Jain: So for 200 days target, we need to decrease our receivable days and days by a significant amount.

So...

Gunneswara Rao: Yes, you go ahead. Building Nation with Exceptional Engineering

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Srinivas Reddy : So we are expecting like it will be an equal proportion between both the things or we'll see 20 days elevated and receivables to be more better going ahead, how it will be?

Gunneswara Rao: No, we have -- there are credit terms agreed with customers there. We are focusing on timely

collection as far as receivables are concerned. And we are trying to reduce raw material days as much as possible. We are trying to inward only just in time in case of raw material. In the case of WIP, for example, since we are expecting a lot more orders in the nuclear sector, we have to do a lot of work and dispatch in 2 to 3 years of time.

So the WIP may increase, but the revenues also proportionately will increase. In absolute terms, WIP may increase, but days may come down because of the higher revenue projections. So receivables, we are trying our best and raw material, we will -- we are trying to reduce as much as possible. And the WIP in absolute terms, it may increase. But on the days front, it will come down.

Moderator: The next question comes from the line of Keyur Kumar Vidalia from Niveshaay.

Keyur Kumar Vidalia: Congratulations on a good set of numbers, sir. I just wanted to know like what kind of assembly we provide for the refurbishment and the upcoming reactors? And like is there any assembly under the development or on the approval side?

Srinivas Reddy: No, what all we are supplying to the nuclear division all have been done by MTAR for a number of years. So there's nothing to develop this. We have been working with NPCIL for almost 40 years now with the nuclear division. So they all developed products and assemblies that we have done in the past. And these are all the requirements that they need, and we are one of the leaders in that division. So there's nothing to develop there. We have already developed all these...

Keyur Kumar Vidalia: Okay. And in the refurbishment and the upcoming reactors, like what kind of opportunity do you see for the reactor?

Srinivas Reddy: I can't quantify the numbers because the tenders are on live right now, but it's a great opportunity. It's almost like we're looking at 5 reactors going under refurbishment, which is happening at one time. So that's a sizable opportunity that we are looking at.

Moderator: The next question comes from the line of Dhavan Shah from AlfAccurate Advisors.

Dhavan Shah: So my question is on the Bloom side of the business. If I look at the Bloom's presentation, I think they have mentioned that because of the increase in the demand in U.S. -- power demand in the U.S. because of the hyper data center, they are focusing roughly 750 terawatts of new demand by 2030. And they've also shown that this new technology of

fuel cell, which can help to meet this incremental demand and substitute the demand versus the traditional side of the business. So how do you see the adoption of that technology in U.S.? And how are we placed to capture the potential market from that side of the business? Building Nation with Exceptional Engineering

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Srinivas Reddy: See, that's what I said. In terms of Bloom, we are working with them for past 10, 12 years right now, and we have been a very strong supply chain partners for them. So whatever opportunities they have, which is very encouraging for us as well, it flows back into MTAR in terms of the kind of orders we get to supply them the required equipment that they need. And they're also trying to increase their wallet share in each of those assemblies that we are supplying to them.

So it's a great opportunity.

So we'll take it step-by-step, year-on-year basis, and we are well equipped to address their requirements in terms of capacities and all that. So that should not be an issue for MTAR even moving forward for the next 3 to 4 years.

Dhavan Shah: Is there any metric to understand this 750 terawatt hours of demand, would generate how many hot boxes demand incrementally for Bloom and what...

Srinivas Reddy: No, it all depends on the technology, how it moves from a year-on-year basis, right? So it's not necessarily that the hot box today can generate 65 kilowatts. Tomorrow, it can go up to 75 as well. So each of the hot box generates 65 kilowatts. So it all depends on how we move forward step by step in terms of improving the technology and which we are continuously working with Bloom as we speak.

Dhavan Shah: Understood, sir. And I think your competitor is from Taiwan, wherein the tariff is roughly 20-odd percent versus our tariff is 25%. So if you can share what is the cost differentiation between us and them? You said that we are lower than them. So if you can help us to understand in terms of the percentage, how much is that?

Srinivas Reddy: I don't know what exactly the -- I'm not aware of what prices the Taiwanese supplier is supplying. But as far as -- one thing is as far as the innovation and various products that we are doing for Bloom, we are far ahead of them.

And secondly, as far as the capacities that are concerned, we are far ahead of them. And obviously, we have a major wallet share in terms of hot boxes with Bloom compared to the other competitors. So I don't want to go into specifics, but the difference in tariff will not make any difference as far as Bloom or MTAR is concerned. That should not be a matter at all.

Dhavan Shah: Understood. And sir, if I look at the last 3, 4 quarters, I think the clean energy from Bloom is doing roughly INR100-odd crores of business every quarter for us. So when do we see this INR100 crores can go up to INR150 crores, INR200 crores per quarter? If you can help us to understand that stuff?

Srinivas Reddy: So as I said earlier, you asked the right question as well. So next year, we're looking at about close to INR140 crores to INR150 crores of revenues coming from Bloom per quarter.

Dhavan Shah: From next year, FY '27, you are saying?

Srinivas Reddy: Yes.

Dhavan Shah: Okay. And this year? Building Nation with Exceptional Engineering

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Srinivas Reddy: This year, it will be like whatever, INR100 crores plus it will be in that range.

Dhavan Shah: Run rate would more or less the same INR100 crores per quarter?

Srinivas Reddy: The run rate for next year is much, much higher.

Dhavan Shah: Understood, sir. And if you can help us to understand this new product development for Fluence, you mentioned in the presentation that the Proto 1 is already completed. Proto 2 delivery was also expected to be delivered in the first quarter '26. So I believe that, that might also have been completed.

So how do you

see that kind of the business from Fluence, the incremental opportunity per year?

And from -- by when can we see that in the numbers? And secondly, about the Weatherford also,

if you can help us understand the execution is also completed over there. So what could be the opportunity from that business also?

Srinivas Reddy: See, the first step is in Fluence. What is important is we need to complete -- it's a completely new design. We are doing design and development for them and we are doing the Proto 2 right now. Once that is completed, then a lot of discussions will happen in terms of finalizing the final product what they want to launch. And that will take some time.

So what we are looking at is once that is done, then we'll be able to talk about the agreement, the future and things like that, probably it can reflect in FY '27. Hopefully, let's see how it goes, but we have to wait and watch for that. But we are going in the right direction as far as Fluence

is concerned, let's see how it goes. And Weatherford, we are already in advanced stage. In fact, we have almost completed the various assemblies in prototype.

And now they're looking for the batch and volume production. They have asked us in the recent meetings how much capacity that we can spare within the existing units because we are building a separate facility for them near the airport, which will get commissioned by June of next year.

So that will be a full-fledged program for the next 10 years for Weatherford. And also, we are looking at other oil and gas companies as well within the same facility with different kind of machinery setup. So it's going in a very positive way. So that will be the add-on revenues coming in for the next financial year in the oil and gas sector in a big way.

Moderator: The next question comes from the line of Nikhil Agrawal from Kotak PMS.

Nikhil Agrawal: My question was for Bloom. You mentioned that Bloom has given a forecast of 25% growth in the hot box procurement. So this is for MTAR specific or is it for the company as a whole, for Bloom as a whole?

Srinivas Reddy: No, it's MTAR specific. The kind of numbers we're doing this year and for next year, if you look at various things that we're doing for them, that's what we're looking at.

Nikhil Agrawal: Okay. Great. But so for the Clean Energy segment, you've given a guidance of about 15% to 20%. So are we expecting any pressure on realizations or should we -- like will you be revising the guidance further as the procurement improves? Building Nation with Exceptional Engineering

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Srinivas Reddy: See we have said 15% to 20%, but we are looking at much better percentages going forward for FY '27, right? So we just said 15%, 20%. There's no pressure on realizations, absolutely, that's absolutely out of the window. So it's going in a very positive way in the right direction, and we are very happy that Bloom is also doing pretty well right now. So the kind of numbers we're expecting for next year are substantially higher than what we're doing today.

Nikhil Agrawal: Okay. So can you help us with the revenue contribution from Bloom for the last 2 years and the next 2 years that is expected? Is that possible?

Srinivas Reddy: We have done an average run rate of, let's say, INR100 crores per quarter or INR110 crores in that range, which I can go up through -- as I mentioned earlier, the question asked me what was asked earlier. So the way the kind of forecast is given probably might tax about INR130 crores, INR140 crores, INR150 crores per quarter.

Nikhil Agrawal: This is -- this can pan out from next quarter, onwards like around about?

Srinivas Reddy: Next financial year.

Moderator: The next follow-up question comes from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Yes. Sir, quickly, sir, on the -- so Bloom has got one more partner, sir, in Taiwan, right, for manufacturing. So incrementally, sir, the market share remains the same, right, between you and Taiwan supplier. With my understanding is you are the larger player in terms of market share. So you maintain your share with Bloom. There is no -- because of tariff, there is no shifting of volumes to Taiwan -- Taiwanese player you maintain in your share, right, sir, understanding is correct?

Srinivas Reddy: Yes, absolutely right.

Vipraw Srivastava: Okay, sir. Got it, sir. And sir, last question, sir, from my end. So obviously, in this budget, last budget, there was a change in the nuclear act wherein. Now foreign players can also come and invest in the country. So from a long-term perspective, do you see this having any implication in the nuclear sector with foreign players coming in, you will be running to collaborate with them or will there be a competition to you? Any thoughts on that?

Srinivas Reddy: There's nothing like competition to us. See, we are looking at pressurized water reactors in India. And the foreign players are like light water reactors, and they will also subcontract a lot of their requirements back for the Indian companies which are qualified to do that. So we can only benefit from that, and it's nothing like competition out there.

Moderator: Thank you. Ladies and gentlemen, in the interest of time, this will be our last question for today. I would now like to hand the conference over to Mr. Srinivas Reddy for closing comments.

Srinivas Reddy: So thank you, everyone, for attending this earnings call. And I would like to mention that we are working towards achieving our guidance for sure for this current financial year. And also, we have been doing a number of developmental activities for the future growth of the company, which all of you are aware of. Building Nation with Exceptional Engineering

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It's not just about numbers, but kind of innovation and development what MTAR is doing for the future growth of the company. And we are right on track with that. And I expect the company to do better and better year-on-year basis.

Thank you so much for all your presence in today's earnings call. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines. Building Nation with Exceptional Engineering

Call: Nov 2025

Date: 13.11.2025

To,

BSE Limited,
P. J. Towers, Dalal Street,
Mumbai-400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla
Complex,
Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Subject: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015) -Transcript of Earnings call held on 06.11.2025.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Thursday, 6th November 2025 at 11:00 a.m. (IST).

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Naina Singh
Company Secretary and Compliance Officer

Encl: As above.

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"MTAR Technologies Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 06, 2025

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR AND
PROMOTER – MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD STRATEGY AND
INVESTOR RELATIONS – MTAR TECHNOLOGIES
LIMITED

MODERATOR : MR. PART H PATEL – MUFG INTIME

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Moderator: Ladies and gentlemen, good day, and welcome to the MTAR Technologies Limited Q2 H1 FY

'26 Earnings Conference Call. As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call? Please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from MUFG Intime. Thank you, and over to you, sir.

Parth Patel: Thank you. Good morning, everyone. On behalf of MTAR Technologies, I extend a very warm welcome to all participants on Q2 and H1 FY '26 Earnings Discussion Call. Today on our call, we have Mr. Srinivas Reddy, Managing Director and Promoter; Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on the exchanges on the company's website.

I would like to give a short disclaimer before we begin the call. This call may contain some of the forward -looking statements, which are completely based upon our beliefs, opinion and expectations of today. The statements are not guaranteed for our future performance and involves unforeseen risks and uncertainties.

With this, I would like to hand over the call to Mr. Srinivas sir. Over to you, sir.

Srinivas Reddy: Hello, and good morning to everyone. Thank you for taking the time to join us today. Today in the call, I'm joined by Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head Strategy and Investor Relations; and MUFG Intime (Orient Capital), our Investor Relations partners. We have uploaded our updated investor deck, press release and business highlights on the stock exchanges and company website. I hope everybody had an opportunity to go through the same.

To begin with, in Q2, we have recorded revenues of INR135 crores with 12.5% EBITDA. And we are looking forward for a very strong second half, almost 2x of the sales done in the first half, with a revised guidance of 30% to 35% increase in revenues for FY '26 compared to our initial guidance of 25%, which is driven by robust order inflows scheduled for execution within the fiscal year.

While there is a temporary dip in EBITDA in this quarter, this is a short -term phenomenon, and we expect a strong performance in the second half of FY '26, which is clearly indicated by the kind of orders which have come in, which have to be excluded within this fiscal year itself. Our annual EBITDA margin is predicted to remain around 21%, in line with our initial guidance, supported by improved operating leverage and higher capacity utilization in H2.

Notably, the order book we have closed at INR1,296 crores at the end of Q2 compared to INR930 crores at the end of Q1. And further, we have received orders worth INR480 crores post Q2 as on date. So based on the expected inflow of orders during the year, financial year '26, we are

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expecting a closing order book of close to INR2,800 crores by end of the year, which is a substantial increase compared to last year, based on the additional orders coming in from clean energy segment, nuclear space, et cetera.

We expect a robust performance in the clean energy segment, which is the vertical itself in the second half of FY '26 with revenues of approximately INR340 crores anticipated during the period. The solid oxide fuel cell, SOFC, industry continues to witness from growth momentum with the customers announcing plans to double its manufacturing capacity to 2 gigawatts by 2026, supported by large deals with various customers.

Based on this, we have already planned

the required expansion plans for the hotbox division

from the existing 8,000 units to over 12,000 units by end of March, which is a substantial increase, and further expansions are being planned for additional to go up to 16,000 units by September of next year and by March of next year to go up to 20,000 units capacity for this particular division.

These expansions are purely based on the kind of orders we are receiving and the forecast we have for the subsequent years as well. The much anticipated fleet reactive orders are expected to be received in the coming weeks, totalling to approximately around INR500 crores for Kaiga 5 and 6 where all the details have been finalized and the POs are expected anytime during this month itself.

With the execution schedule over the next 3 years with various packages that we are going to work for Kaiga 5 and 6 and this the highest order that we are going to receive in this month for the nuclear division.

So based on this, from FY '27 onwards, this vertical is expected to record significant growth backed by strong pipeline of all these new orders and also the orders are expected from the refurbishment reactors of 5 reactors have being refurbished, where tenders have been floated

and we have participated in all such tenders in the recent past.

As expected these orders would be expected in this financial year from the refurbishment reactors as well. So we should end up close to about addition overall about INR800 crores of orders kicking in into the company by the end of the year in the Nuclear Division itself. For the Aerospace and Defense segment, the company continues to follow strategic growth path engaging in key programs with leading MNC customers and domestic entities as well. And as you are all aware, we have also participated in the recently in the expression of interest for AMCA aligned with our long-term strategy.

We also initiated discussions with new global OEMs and expanded program engagements with existing aerospace partners as well. And we are definitely in line with the development of various first articles and some of them have also gone to volume production during the course of this year.

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We're witnessing a notable margin improvement in this vertical as well and expect to execute close to about INR100 crores less worth of orders in this vertical during the current financial year. And the momentum of this with the completion of the first articles for the various projects that we are doing, we have substantial growth happening in the coming years as well. In addition to this, the company expects a robust performance across the products and other verticals as well, with an annual revenue exceeding about INR100 crores in this products vertical as well as in the current financial year. And moving forward, the products vertical as well will show a substantial improvement in terms of revenues based on the kind of orders we have received in the recent past.

We are also clearing the first articles to our Oil and Gas division, Weatherford inclusive and with volume production expected to ramp up from next fiscal year once the new oil and gas plant becomes operational by June 2026. With strong order visibility across multiple sectors, the company is well positioned to accelerate its growth over the next 2, 3 years.

We remain enthusiastic about the new opportunities and challenges that lie ahead, as we continue to capture this growth momentum. While working capital days are currently elevated due to higher inventory levels built to support purely the expected growth in Q3 and Q4 which is almost 2x of sales compared to the first half.

The company anticipates reducing them to around 2 to 3 days by end of this fiscal year. This improvement will be driven by current efforts to streamline inventory management amidst the strong growth

growth of the company is poised to witness. We continue to closely monitor working capital and cash flow management to ensure sustainable and healthy growth as revenues expand across all business verticals.

Now I would like to hand over to our CFO, Mr. Gunneswara Rao, who will discuss in detail on the financial performance for Q2 FY '26. Over to you, Gunnes.

Gunneswara Rao: Okay. Thank you, Mr. Srinivas Reddy. Good morning all. Thank you for joining us over the earnings call. I'm going to take care of quarterly performance, Q2 FY '26 versus Q1 FY '26. Our performance is moderated, that is due to inventory build-up for the next 2 quarters.

So revenue from operations stood at INR135.6 crores in Q2 FY '26 as against INR156.6 crore in Q1 FY '26. EBITDA reported at INR17 crore in Q2 FY '26 as compared to INR28.4 crores in Q1 FY '26. Profit before tax stands at INR5.7 crore in Q2 FY '26 as against to INR14.8 crore in Q1 FY '26.

Profit after tax was INR4.2 crores in Q2 FY '26 as against INR10.8 crore in Q1 FY '26. So I just want to discuss the working capital days as our MD has already highlighted, we wanted to bring down to 220 days. Present higher working capital base due to the inventory WIP built up for the next 2 quarters, revenue forecast, which is almost 2x of the first half of the year.

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Whereas in absolute terms, the working capital is reduced by INR21 crores compared to the last quarter. Though the number of days were higher, the absolute working capital is lower by INR21 crores. So we remain committed to improving this further and are targeting to 220 days by end of other FY '26.

Other positive sign is the cash flow from operation improved significantly to INR39.8 crores compared to the negative INR1 crore in the previous quarter. We expect this momentum to continue and are confident of surpassing last year's full year cash flow performance. The order book position of the company as of 30th September '25, stood at INR1,297 crore, whereas as of

5th November, it was INR1,703 crores, which is already disclosed to stock exchanges, recent orders whatever we have received.

We expect a strong acceleration in order inflow during the second half of the quarter and remain committed to sustainable growth. Our outlook and strategic priorities in the company, immediately, the company wanted to achieve the turnover 2x in the second half of the year. And as you all know that our customer is increasing their capacities in the fuel cell domain. So we expect a significant growth in this sector and also civil nuclear power. In case of civil nuclear power, as our MD told, we are going to receive around INR500 crores of orders in this month, almost everything is finalized, it is in the last moment, last phase.

In case of aerospace, also, our verticals continues to scale at a healthy pace. We are seeing encouraging traction from the existing customers. Also, the existing customers have added additional scope into our product portfolio, whatever we are delivering in timely manner and in 100% quality.

And also, I just want to highlight that we are setting up the oil and gas sector in a dedicated asset at facility, which is going to be commissioned in the next year, second quarter onwards. And over the past year, we have seen strong tailwinds driven by national priorities from clean energy and civil nuclear expansion to greater self-reliance in defense manufacturing.

These ships are creating an encouraging environment for your company that combined engineering depth with execution strength. Our diversified portfolio, our people and steady investment we have made in capacity give us the confidence to keep the building on this momentum. In the near term, our focus as our MD told, maintaining EBITDA at around 21% and achieving around 25% above revenue growth in FY '26 compared to the previous year.

Thank you for your continued support. We will now open the floor for questions and answers. Thank you.

Moderator: Thank you very much. The first question is from the line of Sandeep Tulsiyan from Sundaram Alternates. Please go ahead.

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Sandeep Tulsiyan: Thank you for sharing the road map for capacity expansion in clean energy going from 8,000 to 20,000 units over let's say next 18 months. If you could also share some details how much of this expansion would require you to set up a new facility and what kind of capex will it entail?

Srinivas Reddy: See, basically, initially from 8,000 to 12,000 we are doing in our existing plants, which will be commissioned by March. And that should be approximately around -- roughly around INR35 crores to INR40 crores. Already, the plan is to ensure that the expansion plan is completed by end of March.

We already have the infrastructure in place. It's only the equipment, furnaces and related balancing equipment to be received, which we have already issued the purchase orders, and we should have them by March. And then based on the commitments given by Bloom and the forecast and the way we are looking at things, we need to expand further by another 8,000 units going up to 20,000 units.

So we are trying to set that up in our existing infrastructure next to EOU. That's the plan. And that -- the initial phase of 4,000 will be done by September of next year, and the additional 4,000 should be done by March of next year. So it should be close to about -- since we have the infrastructure in place, it should be close to about INR60 crores of capex, which might require to go up to 20,000 level, from 12,000 to 20,000.

So that's the overall plan. The way the demand has been created, sudden upsurge in the overall demand. And this is what we are looking at having the capacity of 12,000 by end of March and 16,000 by end of September of next year and 20,000 by end of March FY '27.

Sandeep Tulsiyan: Got it. Got it. Thank you for clarifying that. Second question is also regarding you mentioned earlier that the hot boxes would probably get upgraded from 55 kilowatt to 75-kilowatt consideration. And also, you have, in the meanwhile, doing a lot more components for these hot boxes which is increasing your wallet share within the total output for Bloom Energy.

So just wanted to understand now what proportion of the final box will be at this year? And second related question to that is, in light of these tariffs, there was a plan to assemble these hot boxes in future in India, where are we in terms of the talks progressing on that front?

Srinivas Reddy: See, we have already added as much of wallet share as possible in the hot boxes that has been done over our Q2, actually. And it's a continuous process. And at this point of time, see, tariffs are not being affected in terms of what we are doing today because of the kind of BOM percentage of hot boxes compared to the overall broader picture, what you see with Bloom right now, or with our customer right now.

So as far as the overall estimate is concerned, that's a long-term plan, moving forward over the next 2, 3 years. But today, we would like to focus on the hot box related items. Then we also have the products division of ASP, which is also -- yes, we have received substantial orders

compared to what we were doing in the first half of this year.
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To almost like 1,25,000 units each quarter we have to execute. And we also planned additional smaller expansion plan to enhance the capacity from 80,000 units per quarter to 1,25,000 units per quarter over there as well.

And similarly, you can see a similar kind of upsurge in in encoders as well from our treatment industry where they're looking at -- they were buying actually around 500 units per qua

ter, now

it's gone up to 1,000 units per quarter. So we are seeing a substantial increase -- incremental increase in every area involved in the fuel cell segment apart from the hot boxes as well.

Moderator: Thank you. The next question is from the line of Viraj Parekh from Carnelian Asset Management. Please go ahead.

Viraj Parekh: Thank you, sir. Just a few questions. First, I think you laid out a good capex plan of approximately INR60 crores for hot boxes. I think for Weatherford, also, we are doing an amount of capex in the range of INR100-odd crores. Given we are expecting a significant nuclear order and our working capital cycle is quite high. So I wanted to understand that over the next 3 years, how do I look at the fund flow of the company?

Are we going to be taking more debt? How are we looking to fund the capex and manage the working capital as we are growing exponentially over the next, you know, second half and even the next 2 years going ahead?

Srinivas Reddy: Gunnes, do you want to answer this, please?

Gunneswara Rao: Yes. So, regarding the working capital, as we all know, whenever we get orders from our existing customers, be it civil clear power or fuel cell, our working capital cycle in the fuel cells is around 180 days. So any incremental revenue will require 180 days of working capital required. So what presently, what we are trying to do is whatever is possible in the case of inventories and other things we wanted to reduce as much as possible.

In case of fuel cells, the credit period is 45 days net, which means after receiving US A, 45 days it is to be counted. Around 100 days, it is our working capital and 60 days for inventory and the operating cycle. So around 160, not 180 -- 160 days is working capital required. We are targeting to raise debt as of now. But we will use our internal accruals both for capex also for the working capital requirement.

Presently, if you look at my working capital, debt is only INR77 crores out of INR420 crores of working capital deployed in the company. So we are going to raise a debt of additional, say, maybe INR150 crores, INR200 crores to support the growth. And even if you -- even if I take total debt won't be more than INR250 crores at any given point of time in the next -- I mean in the near future.

Viraj Parekh: Got it, sir.

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Gunneswara Rao: And also we are receiving advances. Capex also we're going to raise a debt. As and today, our long-term debt is around INR100 crores only. And every year, we are repaying INR46 crores every year. So by next 2 years, existing debt will be zero. And we will have a new debt of, say, maybe INR150-odd crores we will raise for the proposed expansions in oil and gas and fuel cells capacity buildup.

Viraj Parekh: So, are there any other capex plans apart from fuel cells and oil and gas?

Gunneswara Rao: No, whatever I told that, you know, that INR150 crores as of now for the existing clients, whatever we have, as and when the new revenue opportunities arise, we will take up at that point of time. So we are not incurring any capex on the anticipation of orders. So only once we have a confirmed forecast or orders then only we are incurring the capex.

Viraj Parekh: Right. I had a question on the nuclear side. I think you're expecting around orders this month or this financial year for Kaiga -5 and 6. And you also said that we participated in a few refurbishment tenders. So keeping both of these in line, do we have -- in the tenders, we are expected to receive and the ones we participated in provided that whatever the win ratio we have, we achieve it? Do we have enough capacity to cater to this -- to these orders? or is it like we come back in it?

Gunneswara Rao: Yes. We have the capacity to handle the whatever orders we are anticipating around INR800 crores from both refurbishment

and Mega engineering. So we have a capacity only bottle necks

we have to address, which is not going to be more than INR20 crores - INR30 crores. Our existing capacities are there and which we can use for this INR800 crores orders.

Viraj Parekh: Got it, sir. And we want to understand there was a news article about some tie-up for some AMCA project. So if you could like elaborate a bit on that, it would be helpful for us to understand the defence case? What are we looking over the next 5, 10 years?

Gunneswara Rao: Yes. This is regarding -- can you come again? I...

Gunneswara Rao: Okay, AMCA project. Now see, presently, we have -- yes, understood. Presently we have signed an EOI with the Adani Aerospace. And we have submitted our expression of interest with ADA.

So they will finalize the qualified people out of the 6, 7 people have participated in this race.

So ADA will decide based on the qualification criteria and then they will issue the RFP to the -

- all the eligible people based on the quotation submission of our quotations, it will be decided.

And the initial first six - seven years, we have to develop five prototypes. Later on, 126 members of the aircraft is -- missile is required.

Viraj Parekh: Okay. And the last question, this quarter kind of margins and certain operating expenses led to kind of a weak kind of an operating margin for us. Anything specific this year? Is this the trajectory that will continue going ahead?

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Gunneswara Rao: No. There are some projects in the domestic sector which has a long lead time. We have to build the inventories. If you look at our working capital, which is almost INR204 crores of working capital, all this working capital is made to order scenario, not made to stock scenarios. So, we are building up the inventories for the future sales. That's what as we told earlier, second half of the year will be 2x of the first half of the year, our revenues. We have a confirmed order. We are in line -- we are in the process of achieving that target.

Moderator: Our next question is from the line of Meet Jain from Motilal Oswal.

Meet Jain: Sir, my first question is on the fuel cells part itself. So, we are seeing a good traction from the Bloom Energy in terms of ordering. So my question is regarding our margin profile with them going ahead with the bulk of the order coming in and the ASPs what we are seeing? And any competitive intensity we are seeing from our Taiwanese partners also from this front?

Srinivas Reddy: Absolutely not, Meet, because basically, the demand is so high right now, in fact, the customer is looking at even 16,000 kind of units at this point of time, but we are trying to expand to 12,000 behind of the year.

And also moving forward, as I mentioned earlier, we are looking at additional expansion of 8,000 more units in two different phases. Phase 1 will be by September and Phase 2 by March.

But as far as the on hotbox is concerned, even with regard to the products, if you look at the ASPs as well, we had a capacity of roughly around 70,000 units and now we are moving up to 1,25,000 unit per quarter.

So there is an incremental expansion plan at different divisions that we are looking at, at this point of time. And I don't think there is any kind of pressure in terms of pricing or tariffs or anything at this point of time. And even Bloom is expecting the tariffs to come down, but let's see how it goes, but that's not going to really affect the plan what we have in place today.

Meet Jain: Understood. Sir, on this, can you more clarify this, what you're talking about is 1,25,000 units, what exactly that it is?

Srinivas Reddy: That's the ASPs that we're doing, right? That's a separate division we have in the Products division, which we supply again to Bloom as well where we are doing -- we're going up to 1,25,000 units which trans-

lates to a substantial increase in the -- compared to the first half of this year.

Meet Jain: Understood. Understood. And second part is on the working capital. As Mr. Gunneswaraji had already mentioned the working capital days, so more on that part. So as you know, in the working capital has been a bit of concern in terms of fuel cells and seeing a good strong growth in this segment. So any measures are you taking in terms of inventory management or vendor side management to or receivable side to bring it down to a substantial level? Any thoughts on that?

Srinivas Reddy: We are working on that. Gunnes, you can answer that, okay.

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Gunneswara Rao: Yes. Yes. We are working on various initiatives in reduction of inventories and trying to increase our payable days. And in case of Bloom is only 160 days compared to our targeted working capital days of 220 days. So the more is the Bloom production, it will be 160 days. It is always it is going to be lower in the total number.

So, as far as the working capital, we are trying to ensure that we are just in time of bringing the material into the factory. So all those measures we have taken now staggered deliveries, we have already initiated staggered deliveries based on the production requirement. So, we will try to achieve 220 days in the current financial year and our long-term target is around 200 days next year and 180 days post couple of years from now.

Meet Jain: Okay. And sir, last question is on the current quarter. So, if you see current quarters, we have seen a decrease in each of the segments, like be it aerospace, be it your nuclear, be it your fuel cells. So any light on that? Is there a deferment of execution or what led to a slowdown in this quarter?

Srinivas Reddy: No. There is not. See, we are really not concerned about Q2. The reason being that there are a number of factors. One is uh there has been a prolonged discussion on the tariffs with our customers during the quarter. And while doing that, it almost took like three weeks, three and a half weeks to push back the whole thing, because we are exporting also in aero space to the US. We're also exporting obviously Bloom to the US. So we have stuck to our position in terms of where we are and not to get the tariffs affected because we are in the technology area. And we have developed various innovative things for our customers over the years, which has put us in a very strong position to get them also the savings over the years.

So that took some time to really push back and to discuss and finalize various things. And that's what we look at right now and the surge also happened at the same time subsequent to that and in a big way. So a lot of planning had to be done in terms of what we need to do.

So that's why you can see the second half, we have a clear position where we have the strongest order book ever MTAR has seen before. And we are very confident of achieving twice to sales in the second half with higher margins, so that we end up with our guidance of 21% margin on a conservative basis. And also, we had set the guidance of 25% for revenue growth, which now we are saying it should be between 30% to 35%. That's around close to about INR900 crores of revenues that we can generate for this year.

And we see a very positive kind of forecast for the next financial year as well. I don't want to talk about numbers right now, but based on the kind of expansion plans we have, which I've explained, all of you can simply analyze all that stuff. But that's how it's going to be. So we'll give more details in the Q3 earnings call for the next financial year as well.

Meet Jain: Sure. Okay. Last clarity question is the closing order book number. You mentioned around INR2,800 crores, right?

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Srinivas Reddy: That's right.

Yes.

Moderator: The next question is line from the Balamurali Krishnan from Oman Investment Advisors.

Balamurali Krishnan: Hi. Good morning, sir.

Srinivas Reddy: Good morning.

Balamurali Krishnan: First question is regarding this partnership -- the partnership with Adani. So what is our scope in that one, sir, for the jet engines, AMCA engines? How much share we are expecting and that one -- if it is go through?

Srinivas Reddy: Yes. Srilekha, you want to answer that?

Srilekha Jasthi: Hello.

Srinivas Reddy: Srilekha, are you there?

Srilekha Jasthi: Sir, I'm on mute.

Srinivas Reddy: They're asking about the AMCA program with Adani the details, can you answer that, please?

Srilekha Jasthi: Yes, sir. So when it comes to AMCA, we just participated in the expression of interest along with Adani as a non-lead partner, where Adani will be the lead partner with 50% equity stake and we will be the non-lead partner with 50% equity stake. So the whole concept of this AMCA is whichever consortium wins this order, they need to form a joint venture and they need to take up the production of five prototypes. Later on, they'll be able to take up the production of 126 aircraft manufacturing orders.

So, when it comes to this project, it's a very prestigious project that has been taken up by Indian ecosystem and every company has participated, we have also participated in the EOI. Once our consortium gets shortlisted in the EOI, we'll be able to participate in the bidding phase. We need to submit the bids, post that only we'll get to know what are the winning chances. So it's a long-haul thing. We'll get to know who stands where in the coming five to six months.

Bala Murali Krishna: So all this process, how long it will take? Are we able to know and further any time lines, ballpark time lines?

Srilekha Jasthi: So coming to the time lines, like they might announce who got shortlisted in the EOI in the coming couple of months, post that we need to participate in the bid, which will take around three months -or-so. By May 2026, hopefully, they'll be announcing who has won the bid. And

then within three months, they need to form a JV and they need to take up that 5 prototype order. Government of India is planning to roll out first prototype probably by end of 2028 -or-so. The time lines are very ambitious when it comes to AMCA as against LCA Tejas , which took a lot of years to develop. So they are trying to get these 5 prototypes in the next 10 years, which is a MTAR Technologies Limited
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very ambitious time line. And if this program takes off well, it's going to be very good for India n aerospace industry.

Bala Murali Krishna : Fair enough. Srinivas sir, on the Bloom side, I think this year, you may close by around INR500 crores from the Bloom. So I think Bloom has also won so many orders in the recent time. So what is the indication from their end for the supply of this hot boxes in the coming years? How much we can expect?

Srinivas Reddy: No, I've already explained that, right, Bala? Basically, we are expanding to some 8,000 capacity to 12,000 by March. That's purely based on the order inflows, what we have. And then we are progressing to 16,000 by September and 20,000 by March of next year. So that itself is an indication , the way it is growing in terms of the demand cycle, what we have and moving on forward as well. It's not about this one year, two years. I think we see a very good traction coming in for the future years as well.

Bala Murali Krishna : Got it. One follow -up, so these boxes, we are directly shipping them to U.S. So I think we had a plan to make a complete assembly of the boxes. So if it is done, then maybe we can supply these boxes directly to the customer site like maybe South Korea, like that. Is it possible, sir? Is it on cards or anything needs to be done in this year?

Srinivas R

eddy: No, that's going to happen over the next two, three years. But at the end of the day, most of the orders, if you see the AI data centers, most of them the orders are booked in U.S. and they also have enough demand in South Korea as well, and they're also entering into Europe in a very big way. So it's a transition which will happen over the next two, three years. And there are a lot of outside factors also involved in that.

But look, we have enough on our plate right now in terms of executing all these orders, substantial surge compared to what we had earlier, right? We were looking at hardly 3,500 hot boxes per year in the past and stuff like that. But now we are looking at almost a phenomenal amount of -- see, we are expanding purely based on the demand and the orders received. So we should -- I think we should go step by step and ultimately achieve what we want to do, as you mentioned.

Bala Murali Krishna : Good sir. Sir, any update on this electrolyzer part, sir?

Srinivas Reddy: Not as yet. There's enough surge on the existing hot boxes itself. And electrolyzers, it will take a little more time. Like we have already executed it. We have done it, we have proven it. So that the hydrogen part of the story will take a little bit longer than what we can think about right now.

Bala Murali Krishna : Alright. That's all from my side. Thank you.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian : Thank you so much for the opportunity. Despite tariff hurdles we're witnessing strong order inflows. Sir, my first question regarding the Bloom Energy dominant driver maybe INR 140-

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INR150 crore per quarter kind of revenue from FY '27 kind of we may expect. And sir, the first thing Bloom is entering it into a data center side, what is our scope of work in data centers and what kind of opportunities we have?

And secondly, on the Fluence side, the battery storage program, when we expect the commercialization and permit opportunities and revenue size will we expect over the next four to five years time frame?

Srinivas Reddy: See, look, I've said this earlier as well. See, basically, our job is to supply the units to Bloom. The power generation is done by Bloom for all the data centers, which is really in a very big demand right now. There is a huge power shortage, and that's what they're capturing more and more orders. That's getting translated into our order book position out here in terms of what supplies we do to Bloom, right, that's point number one.

And as far as -- so that's on the really good uptrend, the surge is also very high. So we have planned everything very well in terms of execution, in terms of expansion plans which I've said by March, we'll have 12,000 units of expansion plan in place. And by next year, we'll have another 8,000 moving forward in a couple of phases in September and March.

So that's the plan what we're looking at, purely based on the order inflows and the forecast given,

strong forecast given to us and to plan ahead of time. So fortunately, we had enough capacity to begin with around 8,000 units, which we never used it in the past. So we had that capacity, so which we are able to service with me to the requirements of the customer at this point of time, and we are increasing 12,000 by March. So that's what we're looking at.

And if you look at it even over the next four, five years, this uptrend is going to continue. And coming to Fluence, we are still working on the prototype second prototype that we are doing. And once that is done, hopefully, I was talking to our team, and they said that we should be able to finalize the long-term agreement sometime during the year, mostly by Q4 of this year.

And to begin with, then we had established the required facilities for them and we're looking at second half of

next year to solely start the batch production. And then you look at probably around revenue growth of what you're looking at between INR200 crores to INR400 crores of revenue coming in over the next two, three years. And then they keep going higher and higher from there on. So that's what we're looking at right now.

Balasubramanian: Okay, sir. Sir, we are targeting a 2x kind of revenue in H2 compared to H1. I just want to understand what are the key challenges we have faced in Q2? And what kind of implementations we are going to do to achieve those targets?

And I have seen inventories have been ballooned to nearly INR450 crore kind of range. And this inventory is especially dedicated to current order book executions or expected over long-term sub contracts also?

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Srinivas Reddy: No. Basically, most of the inventories, whether it is in raw material or in work in progress are related to the existing orders that we have and also the orders that we have received, right? So all our existing -- you don't build inventories without any orders.

So it's all -- some are short-term orders that are getting excluded and some are slightly longer term. So the challenges that we faced in Q2, as I mentioned earlier, is the tariffs, which we had to really negotiate and push back on various aspects. And then we were successful in terms of finalizing with our customers without affecting our bottom line.

And that's -- that is more of a priority for the company looking at the long term of the company and not to get in a situation where we get into a situation where we reduce our margins and all that. So we stuck to our position in terms -- because we're in the technology area. And the overall BOM cost for Bloom is not much compared to what we do.

So overall, it was a -- see, on the positive side, we have done everything possible to circumvent the tariffs and to ensure that the company's long-term growth and margins are maintained. That's what we're able to achieve in Q2. Obviously, during this process, it took almost three, three and a half weeks to do this stuff, so which what -- a lot of dispatches got delayed.

But subsequent to that, everything is back to normal right now. It doesn't matter what the tariffs are. And we will be in a position to achieve the 2x of sales in the second half and also adhere to the much higher revenue guidance than what we have given earlier. And also, we'll be able to maintain the overall annual margins what we had guided earlier. So that's where we are today.

Balasubramanian: Okay, sir. Sir, on the margin side, last Q1 we did 18% and Q2 12.3%. Now we are guiding 21% kind of margins. What are the levers to achieve those margins in H2?

Srinivas Reddy: So basically, the higher revenues, point number one. In terms of what sales we have forecasted for Bloom, we've confirmed dispatches close to around hot box in itself, we've been looking at around INR340 crores of revenues being generated there which is very clear on our dispatch plan. And then the various other segments and products that we are shipping out.

So obviously, with those kind of revenues, which we have never achieved before like we didn't even touch INR200 crores in a given quarter in the past. Now we're looking at almost like close to INR300 crores of revenues each quarter for this year. And I'm not talking about the next year, the next year is a different ballgame altogether.

So that's going to compress our overheads going to the percentage, overheads are going to come down drastically and reduction in inventories. So a lot of things are going to happen to have much improved margins over the second half of the year to average out at around 21% EBITDA for this year. And you can see a substantial growth in the subsequent years with much better margins moving forward.

Balasubramanian: Got it, sir. Thank you

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Moderator: Thank you. The next question is from the line of Abhijeet Singh from Systemati x. Please go ahead.

Abhijeet Singh: Thank you for the opportunity and very encouraging to see such good order inflows.

Srinivas Reddy: Abhijeet you are very low on your voice. Can you come closer this side.

Abhijeet Singh: I hope I am audible now?

Srinivas Reddy: Hello .

Abhijeet Singh: Yes. So my first question is on...

Srinivas Reddy: Abhijeet you are actually breaking up and we're not able to hear you.

Moderator: The last question is disconnected. So the next question is from the line of Nikhil Agrawal from Kotak Non -Discretionary PMS .

Nikhil Agrawal : Sir, my question is more on the data center side. So while we are tapping the data center boom in the U.S. through Bloom Energy, do we see India in the market relatively as the countr y we're much better place is different from the power supply ?

Srinivas Reddy: Yes. India needs to have the infrastructure as well. You need to have the gas pipelines and all that stuff. So already Intel has our units there in Bangalore. So it all depends on the kind of infrastructure that can build within the count ry to have this. So that's where we stand. So probably in the long run, we'll have that. It's not today to subsequent years. So look, right now we have enough demand abroad in U.S., Europe, everywhere, South Korea. So we need to have the kind of infrastruc ture to have those kind of systems out there.

Nikhil Agrawal : [inaudible 0:49:12]

Srinivas Reddy: I can't hear you well.

Nikhil Agrawal : Hello. Is it better.

Srinivas Reddy: I can't hear you.

Nikhil Agrawal: Hello.

Srinivas Reddy: Yes. Can you repeat your question, please.

Nikhil Agrawal: [inaudible 0:49:35]

Srinivas Reddy: You are breaking up, I'm not able to hear you.

Nikhil Agarwal: Okay, sir . I [inaudible 0:49:43] . Thanks . That's it from me.

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Moderator: Thank you. The next follow -up question is from the line of Abhijeet Singh from Systematix. Please go ahead.

Abhijeet Singh: Thanks for the opportunity again. I hope I'm audible this time.

Moderator: Yes, sir. You are audible.

Abhijeet Singh: Sir, my first question is on a clarification on the capex numbe r. So we are going to do a capex of INR150 crores in the next 2 years. Is the number correct?

Gunneswara Rao: No, INR150 -plus crores is for this financial year and the next financial year. Whatever we are committing now it is going to spend in the next financial year. The equipment everything will come in June month, some will come in this financial year. So it is not for the next 2 years. It is for this year and next financ ial year. Probably some m ore sustenance and bottlenecks capex we will incur after the March.

Abhijeet Singh : And out of this, the INR60 crore s is for the fuel cells clean energy business?

Gunneswara Rao: Around INR40 crores for the fuel cells and INR90 crores for oil and gas. So remaining for the multiple units, multiple sectors.

Abhijeet Singh: Right. And sir, what will be the peak revenue l ike once we ramp up our hot boxes capacity to 20,000 per annum. What will be the peak revenue that we c an generate from this capacity?

Srinivas Reddy: We will not be able to disclose that. We cannot disclose that right now. We are under NDA, so we cannot disclose that.

Abhijeet Singh: Sure, sir. But just wanted to understand one thing. Sir, what is the -- is there going to be a realization impact on account of increased tariffs? So what is the kind of arrangem ent of the increased costs, who i s going to absorb it and how will it work in terms of margins?

Srinivas Reddy: That I've already said. So that's why w e took some time in Q2 to discuss all that, but we're not impacted by the tariffs. Our overall BOM costs co

mpared to overall picture in Bloom is hardly

less than single -digit percentage. So that's not really going to affect us at this time. And the tariffs come down is good for the customer as well. So that's where we are right now. We're not looking at a commodity kind of products to get worried about .

Abhijeet Singh: Right. Sir, on t he nuclear side, apart from K aiga-5 and 6, what are the potential pipeline in the next 3, 4, 5 years for different reactor products to that we can supply?

Srinivas Reddy: See, basically, let's talk about what we are -- what we are going to get right away. If nuclear -- we keep saying so many things, but as of now the mos t positive picture is that we should receive overall orders of INR800 crores this financial year, not only from Kai ga-5 and 6, but also from

the refurbishment reactors. And then there's Mahi Banswara project there in four reactors, which are being done with NPC IL and NTPC.

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So those will come into picture over the next 6 months. So there are progressively a number of projects which we are planning in the Nuclear division. So we can see it's not like in the past, but now we have seen the real situation happening in terms of these products getting cleared and to be executed pretty quickly. So that's how the whole situation has come to right now. So that's the reason why our Nuclear division will see a real exponential growth moving forward based on the kind of orders we are going to receive.

Abhijeet Singh: Right, sir. I was like referring to those Mahi Banswara and the Chutka I think the two...

Srinivas Reddy: Yes, Mahi Banswara is in the advanced stage. So those tenders will start coming in over the next 3 to 4 months or 5 months ..

Abhijeet Singh: All right. And sir, just one related question on the SMR technology, are we going to participate in that or have you given any thought on these smaller reactors based on that SM R technology?

Srinivas Reddy: So we will when it comes to that. Right now, it's a discussions going on. So when it comes to that, obviously, MTAR will get involved in that.

Abhijeet Singh: Right sir. Thanks a lot. I will get back in queue.

Moderator: Thank you. The next question is from the line of Vinayak Kariwal from Xponent Tribe. Please go ahead.

Vinayak Kariwal: Hi, sir. Thank you for the opportunity. Sir, on the [inaudible 0:54:45] the product cost is going to go down in double digits, the [inaudible 0:54:55] cost is going to go down in double digits and also there was some data where I could say that your product cost has decreased over the time. So how much of a risk do you see the realization going on over the next in 2, 3 years?

Srinivas Reddy: No, can you repeat your question because your voice is little broken.

Vinayak Kariwal : Yes. So sir, just wanted to know, so on the Bloom call they are mentioned that their RM cost is going to go down in double digits. So going ahead, how big of a risk do you see that the RM cost -- the product realization going down over the next 2, 3 years?

Srinivas Reddy: See, the realization is not going to go down. See, the basic thing is the Tier 2 suppliers what we talk about, like for example, we (56:04)buy Inconel , we buy steel, we buy some bought out items . Lot of negotiations are going down to bring down those costs, right? So I don't see that we are going to really get affected in terms of the final product that they are producing for them. But input costs have to come down.

So that's what they're looking at primarily in terms of -- see, our operating margins are at 40%.

So 60% is a lot of scope for Bloom to reduce those costs as much as possible. So that's what they're working on right now. So that basically, I was a cost model where if the BOM cost comes down, we have proportionately adjust the price , other than that it will not affect our value -add or a

nothing that we are going to do moving forward.

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Vinayak Kariwal : Ultimately, you will get those price decreases from your suppliers, then you will pass on. So if do that then you are saying that you will be able to pass on, but if not then maybe your price realizations go down and maybe Bloom pushes you to bring down your prices because you are anyways getting high volumes from them like maybe \$200 million next year. So...

Srinivas Reddy: No, no, no. It's going to be hardly any marginal change, but what I'm trying to tell you is there's so much of requirement and the demand right now. Their primary focus is on the bill of materials that they are buying on their behalf, where they have to bring down those costs. So it's not that we've already informed Bloom during the tariff stage as well that we are doing our best in terms of our value add, but the main focus for them has to be on the input costs. So that's what they're looking at ...

Vinayak Kariwal: Sure. And sir, I wanted to ask one, like one of the comparative question. How do you compare yourself with the competitors in Taiwan and India in terms of pricing and the product quality? I mean, how does it wants to purchase between you three players , how does it choose , like, in terms of does price matters a lot or the diversification criteria is a big thing for them or the re is a certain product quality, which is why the choose you and not the other two players?

Srinivas Reddy: See, there are a lot of factors which go into it. We have done a lot of innovation of various of the bought out items which are indigenized for them, which we're doing exclusively for them here, right? And in terms of quality, we have always adhered to the standard what Bloom wanted all the time. It's not necessarily the pricing all the time.

It's about how you execute and how what kind of quality that we supply to the MNC customers. Are we on on-time deliveries, how we stand there. So we have been in the green all the time in terms of OTDs, and also the most important is the quality. So we have been always maintaining that. And that's why they're adding more and more wallet share into our system. And also, we are working with them on various other projects, right?

For example, some products we are doing for them and the enclosures and all that stuff. So we are moving in the right direction with them. And -- it's not about competition. It's about how well we can do to ensure that our customer is extremely happy in terms of what we are delivering to them, so we primarily focus on that and nothing else.

Vinayak Kariwal: Sure, sir. And the last question would be, sir, if you could give me an idea. The ASP assemblies which we supply, how many ASP assembly go per box -- like per hot box? How many ASP assemblies go in passing the hot box? So I could like -- maybe we could understand how big ASP assemblies could get for you in the number of hot boxes increase.

Srinivas Reddy: Around 16.

Vinayak Kariwal: 16 ASP SMEs per hot box?

Srinivas Reddy: Yes.

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Vinayak Kariwal: Okay. And sir, just ..

Srinivas Reddy: I could add in this last question.

Vinayak Kariwal: So you said there would be no impact of tariffs. There is no impact on tariff on you. But so could we deduce from that, that even if the tariffs come down from here will be no material advantage for you?

Srinivas Reddy: Yes. See, the tariffs come down, it's fine, it's fine for the customer, right? As of now, I've said very clearly that in Q2 most of our time was in discussion about these tariffs and how to go about it and all that. And finally, we were very clear from our thought process that there is so much of demand for bloom right now. So basically, we said that there's nothing much we can do back in India.

That's something

which is external, and we will not be able to do much on them, because we are not a commodity kind of a product to worry about that, right? So we are very clear in that. So if we absorb the tariff then we don't stand a chance, so it doesn't make any sense. So that is something that the American companies have to figure it out.

But hopefully, for them as well, the tariff has come down in India, probably November, December, hopefully, we should help them a lot. So that's where it is. So as far as we are concerned, we are clear about that aspect.

Vinayak Kariwal: That helps a lot, sir. Thank you so much.

Moderator: The next question is from the line of Nilesh Jain from Astute Investment Management Private Limited.

Nilesh Jain: My first question is on the nuclear side. Given that you are expecting orders on Kaiga -5 and -6 and also from the refurbishment orders. Whenever we get these orders, what would be the execution time line for these?

Srinivas Reddy: It depends on the package, right? It ranges from 1 year to 3 years, that's execution time. So if we're looking at INR800 crores, at the maximum few projects can go up to 3.5 years, but all this needs to be executed within the next 3-3.5 years.

Nilesh Jain: Okay. And given that we have strong capabilities on PSW. I wanted to understand on FBR and PWR. What would be MTR per reactor, what will be the opportunity we would have here?

Srinivas Reddy: See, the FBR reactors we have done -- we have entire 1 which has done it in kalpakkam right, so we have done that. Those reactors are still have to be get commissioned. So once they are commissioned, then they'll come up with the next batch of the reactors. So let's wait and see for that. We are not seeing -- once that is done, then we should be able to address that because we have done the core of the reactor for the FDR.

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Nilesh Jain: My third question is on the product side. I wanted to understand the scaling and scope on the EMA and roller screws, like what can be the potential opportunity for both these two business in FY '27 onwards?

Srinivas Reddy: See, roller screws we're already qualified. It's only -- the Defense is taking a little time for their procedures for testing and all that. Probably it's a matter of time that they will clear it in this quarter itself. The for final analysis to be done, which I think my team is doing it right now. And

EMAs we've already started supplying to them. So there is a lot of potential.

See, these are various products that we have developed and some -- in engineering, it takes some time to get qualified. They do a lot of testing, everything goes well and then they start placing orders and trying to take it in the requirements. So we are almost in the last stage of that situation right now.

Nilesh Jain: Okay. Sure, sir. And on the aerospace side, I wanted to understand scaling on IAI's side, IAI as a client and also other aerospace customers, given that we have seen good traction in this side of the business.

Srinivas Reddy: Absolutely, yes. In fact, I'm very excited about it because see, what we are trying to do, which all of you should understand is, apart from the fuel cell sector, we are really focusing on various other growth engines in MTAR, whether it is aerospace, oil and gas, nuclear space, defense or whatever.

They are two multiple segments. So we are diversified. We have a diversified strong growth engines at every area. So Aerospace is one segment which we're really focusing upon primarily in exports, and we are doing a lot of first articles right now for IAI and we should complete hopefully all the first articles for the projects what they've given us by June of next year and then the volume production will start.

And we are also doing for American company called GKN. We have already done -- we're already into volume product

ion for them after doing the first articles. Then they've given one more project to us, which we are doing the first articles right now. So a lot of -- see, there is more -- it's not that we are worried about the orders.

A lot of customers are coming in, but we are going step by step in terms of what we can actually capture and take it forward and then doing it in step by step manner. So we don't want to mess up with the existing customers and the new customers will come in with once we are free from all these first articles, we will move on to volume production, then it becomes a plug-and-play situation, right?

So that's what we are trying to do right now. So this is going to be a continuous process year-on-year basis, not only within the existing customers, but also adding the new customers.

Nilesh Jain: This business, if I look at some 5-year time line, it has potential to go to INR100 crores to INR500 crores. Can we look at that picture?

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Srinivas Reddy: Absolutely. You got right on target that our goal also is over the next 4 to 5 years, the aerospace business should easily be touching about INR500 crores, yes.

Nilesh Jain: And just last question is on the space side. We have been working on SSLV for almost more than 3 years now.

Srinivas Reddy: No, no, SSLV we've put a pause to it because we have so much on hand right now. And we didn't want to risk too much at this point of time in terms of a huge outlay of budget for that, which can be an issue in terms of our bottom line and the kind of money that we're going to spend on that.

So they have taken a timely decision to put a hold on that and focus more on the areas where to strengthen all our growth engines first and then look at that at a later date. We're waiting and watching what's going to happen with the other companies also and we have got certain feedback that it's better to pause a little bit on that and move forward.

Nilesh Jain: And just a follow-up to that is on semi-cryo engine because there was some design change. Are we progressing on that or that has also been on pause?

Srinivas Reddy: Yes, we are progressing on that finally. We had one of the assemblies. There was a design change and not only the design change, but also we had some issues in terms of the brazing methods being used for one of the assemblies which is -- which has been resolved right now. So now we are progressing smoothly on that. So in all probability, beginning of next year, we should be able to report the first hardware of semi-cryo.

Moderator: Thank you. The next question is from the line of Mihir from TRUST Mutual Fund. Please go ahead.

Mihir: Sir, on the tariff side you mentioned that expecting given the cost of [inaudible 1:08:32]?

Srinivas Reddy: No, no, I can't hear you. You are echoing a lot. Can you...

Mihir: Is this audible now?

Srinivas Reddy: Yes, you are fine now. Please go ahead.

Mihir: Yes. Sure, sure. Sir, on the tariff side you mentioned, I mean, despite tariffs coming in, they will still be able to maintain the margins. Are we going to have a higher credit period for compensating the increase in tariff, which you said?

Srinivas Reddy: No, absolutely not. There's no change in our payment terms at all.

Mihir: Okay, understood.

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Mihir: Understood. On Kaiga -5 and 6, what stage of awarding -- I mean, at what stage of process is it there currently? And who others are also there in evaluation for the component supply that we are going to be doing?

Srinivas Reddy: No, Kaiga -5 and 6 is already finalized. It's only the p aperwork, which is spending. That's why I said it's a confirmed orders that they're going to get, most probably in this month itself, anytime this month . It can happen an

y time this month. So there is nobody -- everything has been done and it's only -- it's in the final stage of releasing the purchase orders. That's it.

Mihir: Understood. Sure. Sure. How is the fuel cell -- I mean the hot boxes fuel cell demand apart from Bloom Energy ? I mean, which all customers -- are there any customers who are showing strong demand over here?

Srinivas Reddy: No. SOFC is , Bloo m is the only company which does in the world, right? So we're working with them right now. So the demand is very high, as explained in earlier discussion s as well. So the demand is much more than what we can actually take.

Mihir: Okay. Understood. Actually, there was a South Korean company also, which was t rying over here, but that's not showing any traction at all ?

Srinivas Reddy: See, South Korean company , Bloom is working with them, right? So you're getting confused there. South Korean company , Bloom is working with them as a joint venture.

Mihir: Understood. Sure. And just last question on the INR2,800 crores number that you mentioned. So this is after t he execution, right, after the execution that you will do in FY '26?

Srinivas Reddy: Absolutely, that's what I meant. Closing order book means after execution. So INR2,800 crores is after execution.

Moderator: Thank you. Ladies and gentlemen, due to time c onstraints, we have reached the end of the question -and-answer session. I would now like to hand the conference over to management for closing remarks.

Srinivas Reddy: So, thank you all for saving your valuable time to participate in MTAR's earnings call. as I always mentioned, that we are right on track in terms of our growth, both in terms of revenue and margins.

And we have taken all steps required over the last couple of years to be where we are today and how we're going to move forward over the next 5 years. And it's a continuous process in MTAR. And you will see better and better performances moving forward based on the efforts that we have done over the last couple of years.

And I would like to thank once again for all the support from all the invest ors, shareholders of MTAR and also the fantastic contributions which are being done by the senior management of MTAR and all the employees of MTAR. Thank you so much.

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Moderator: Thank you. On the behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2026

Date: 5th February, 2026

To,

BSE Limited,
P. J. Towers, Dalal Street,
Mumbai-400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla
Complex,
Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Sub: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015)
Transcript of Earnings call held on 30.01.2026.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Friday, 30th January 2026 at 11:00 a.m. (IST).

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

P. Srinivas Reddy
Managing Director
DIN: 00359139

Encl: As above.

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"MTAR Technologies Limited
Q3 & 9 Months FY '26 Earnings Conference Call"
January 30, 2026

MANAGEMENT : MR. SRINIVAS REDDY – MANAGING DIRECTOR AND
PROMOTER – MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD, STRATEGY AND
INVESTOR RELATIONS – MTAR TECHNOLOGIES
LIMITED
ORIENT CAPITAL, INVESTOR RELATIONS PARTNERS –
MTAR TECHNOLOGIES LIMITED

MODERATOR : MR. PARTH PATEL – MUFG INTIME

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Moderator: Ladies and gentlemen, good day, and welcome to MTAR Technologies Limited Q3 and 9 Months FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Parth Patel from MUFG Intime. Thank you, and over to you, sir.

Parth Patel: Thank you, Rudra. Good morning, everyone. On behalf of MTAR Technologies, I extend a very warm welcome to all participants on Q3 and 9 months FY '26 earnings discussion call. Today, on our call, we have Mr. Srinivas Reddy, Managing Director and Promoter; Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head, Strategy and IR. I hope everyone had an opportunity to go through our investor deck and press release that we have uploaded on the exchanges on the company's website.

I would like to give a short disclaimer before we begin the call. This call may contain some of the forward-looking statements, which are completely based upon our belief, opinion and expectations as of today. The statements are not a guarantee for our future performance and involves unforeseen risks and uncertainties.

With this, I would like to hand over the call to Mr. Srinivas sir. Over to you, sir.

Srinivas Reddy: Thank you, Parth. Hello, and good morning, everyone. Thank you for taking the time to join us today. Today on the call, I'm joined by Mr. Gunneswara Rao Pusarla, Chief Financial Officer; Ms. Srilekha Jasthi, Head, Strategy and Investor Relations; and Orient Capital, Investor Relations Partners. We have uploaded our updated investor deck, press release and results highlights on the stock exchanges and company website. I hope everybody had an opportunity to go through the same.

I'm pleased to inform you that, as highlighted in our previous earnings call, we anticipated a stronger second half of the year, and we have delivered accordingly with phenomenal growth in Q3. The company recorded revenues of INR278 crores, representing a robust year-over-year growth of 59% with EBITDA of INR64 crores. This marks the highest quarterly revenue achieved by the company to date, and we are confident of sustaining this momentum and achieving further milestones in the coming periods.

One of the most encouraging structural developments in the strong growth witnessed across all our business verticals, supported by favourable industry tailwinds. Since inception, the company has strategically focused on technology-intensive products in high-growth sectors and has built a strong export wing, creating a robust foundation for long-term sustainable growth. I'm pleased to inform that our current performance is a direct outcome of this long-standing strategic position.

During the current fiscal year-to-date, the company has received its highest ever order inflows in the Clean Energy Fuel Cells and Civil Nuclear Program segments, underscoring the strength

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of our growth trajectory. The closing order book as of Q3 end stood at INR2,394 crores, where INR1,370 crores of orders across all sectors are received in Q3, reflecting robust industrial tailwinds.

In the clean energy fuel cells vertical alone, the company received orders worth INR1,080 crores during the first 9 months of the fiscal year, of which approximately INR645 crores was secured in Q3. This reflects the strong market share of our products and our role as a strategic partner in our customers' growth journey.

Both the clean energy fuel cells and aerospace verticals are expected to witness exponential growth in the coming years, drive

n by favourable demand trends and expanding market opportunities. Furthermore, we have also received the much-anticipated orders of INR500 crores plus for the Kaiga Units 5 and 6 nuclear reactors, reinforcing our strong positioning and long-term growth within the Indian nuclear energy ecosystem. We expect the closing order book to be at INR2,800 crores by end of FY '26 that will enable for sustaining our growth momentum over the coming quarters.

Clean energy fuel cells is one of the most exciting sectors and is poised for significant growth driven by the global transition towards clean and sustainable energy sources. In addition to this energy transition, the rapidly growing demand for power for AI-driven data centres is accelerating the need for reliability, 24/7 power generation solutions, thereby driving strong adoption of solid oxide fuel cells.

In this context, we are further encouraged by the recent development wherein our customer has entered into a \$2.65 billion agreement with AEP for supply of solid oxide fuel cells. Driven by strong demand from AI-powered data centres, conventional data centres and the global clean energy transition, our customer is projected to grow at an average rate of approximately 30% through 2030. As part of this expansion, the customer is expected to add 2 gigawatts of capacity by the end of CY '26 and further scale this to approximately 4 gigawatts in the subsequent years. Aligned with this growing demand and forecast from our customer, we are augmenting our in-house manufacturing capacity in a phased and sequential manner. We are currently in the process of increasing capacity to 12,000 boxes by end of the current fiscal year and plan to further scale this to 20,000 units by end of FY '27. And further, we are planning to actually create facilities to augment capacity up to 30,000 units in the subsequent year.

Given our strong engineering capabilities, cost competitiveness and execution track record, we expect to retain a majority market share in these units withstanding previous global uncertainties. Accordingly, the company has recorded revenues of INR387 crores in the Clean Energy Fuel Cell segment alone during the first 9 months of the fiscal year and expect to deliver revenues of INR250 crores by end of the current fiscal year in Q4.

We are also anticipating significant growth in the civil nuclear sector starting from next fiscal year, supported by robust order pipeline from Kaiga 5 and 6. In addition, we expect to receive further orders from the refurbishment reactors during the quarter and beginning of the next quarter. Furthermore, the government is likely to announce a dedicated production-linked MTAR Technologies Limited
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incentives, PLI scheme valued at INR18,000 crores to INR20,000 crores for manufacturing of critical nuclear components in the upcoming union budget.

Such initiatives aimed at strengthening India's domestic nuclear supply chain are expected to provide further impetus to the growth of the nuclear ecosystem. We believe the company is well positioned to capitalize on emerging opportunities in the nuclear sector, which is marked by high barriers to entry.

Another sector witnessing strong growth momentum is aerospace and defence. In light of recent European defence security initiatives and push by Indian government on exports, we believe that Indian aerospace sector is at a structural inflection point. With our expanding capabilities, proven execution track record, growing customer base and participation in next-generation programs, the company is well positioned to capture this emerging growth opportunity. In the Aerospace and Defence segment, we achieved revenues of approximately INR72 crores for the 9 months ended FY '26 from various customers.

Going forward, we intend to focus on next-generation technologies and structural assembly orders. We are actively engaged in strategic

next-generation programs, including AMCA, where we have commenced participation in structural assembly tenders. Recently, the company was declared L1 for the main landing gear test setup assembly, marking a key developmental milestone. We'll continue to participate in subsequent structural assembly tenders as the program progresses.

With multinational customers, we plan to progressively graduate to structural assembly orders over the coming years as we enter into volume production for the existing parks. In line with this strategy, the company is actively working on multiple new inquiries. In the Products and Other vertical segments, the company has generated revenues of approximately INR84 crores, and we expect to close the year with revenues of around INR130 crores.

Overall, the company remains confident of sustaining the growth momentum and expect to grow rapidly over the next 3 years, driven by healthy order book, favourable industrial trends and continued execution excellence. The company also anticipates a meaningful improvement in margins over the coming quarters, supported by operating leverage and favourable shift in product mix towards higher volume production.

Return on capital employed is expected to improve even further, supported by high asset turnover ratio in the Clean Energy segment. While there may be a short-term impact on working capital days, we expect this to improve substantially over the coming quarters as we continue to optimize inventory levels, secure customer advances in a big way and strengthen receivables management. We're also expecting significant advances from customers, which will enable us to reduce our working capital cycle.

Now our CFO, Mr. Gunneswara Rao will discuss in detail on the financial performance of Q3 FY '26. Please go ahead, Gunneswara Rao.
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Gunneswara Rao: Yes. . Good morning, all. Thank you for joining us over the earnings call. We registered a robust growth in this quarter as explained by our MD compared to previous years. So, I would like to update on the financial performance for this quarter.

On Y-o-Y performance, Q3 Y-o-Y for this year versus last year Q3, our revenue from operation at INR278 crores in Q3 FY '26 as against INR174.5 crores in Q3 FY '25, which translates to 59.3% increase on the Y-o-Y basis.

EBITDA reported at INR64 crores in Q3 FY '26 as compared to INR33.3 crores in Q3 FY '25.

This translates 92.5% increase on Y-o-Y basis.

Profit before tax stands at INR46.1 crores in Q3 FY '26 as against INR21.4 crores in Q3 FY '25, 115.2% increase on Y-o-Y basis. Profit after tax was at INR34.7 crores in Q3 FY '26 as against INR16 crores in Q3 FY '25, which is 117.3% on Y-o-Y basis.

The company is well positioned to capitalize growth opportunities across the clean energy, civil nuclear and aerospace sectors as informed by our MD and is actually augmenting the infrastructure support the future expansion amid the strong growth momentum is visible in these sectors. The company continues to place a strong emphasis on cash flow discipline and working capital management.

As explained earlier, the working capital days are 260 days during this quarter, primarily due to the higher receivables associated with increased turnover. The company is targeting working capital levels is approximately around 200 to 210 days in the next fiscal year, supported by ongoing initiatives to optimize our receivables like we are discussing on various advance opportunities from customers. And also, we actually work on inventory management to see what else we can reduce inventories I.

While there has been a short-term impact on cash flows due to elevated receivables, we are confident that we are going to manage our working capital and cash flow from operations by discussing with customers on advance initiatives. In addition, we are confident that we will improve and sustained margins

over the coming quarters.

And our order book stood at INR2,394.90 crores by end of December. And we are going to -- our forecast for the end of this financial year is INR2,800 crores. And other things are, we are working on various growth engines in the company, which will enable the company to achieve sustained growth over coming years.

While the company has delivered a strong performance this quarter, we remained focused on sustaining this movement, achieve further milestone in the coming quarters and coming years. And we thank you, our shareholders, for the continued trust and confidence. With this, I open the floor for the discussion. Thank you, everyone.

Moderator: Thank you very much. The first question is from the line of Piyush Sevaldasani from Sundaram Alternates. Please go ahead.

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Piyush Sevaldasani: Congrats for a strong set of results. Sir, my first question is on the offtake visibility for the capacity expansion, which we are doing for Bloom, taking hot boxes from 8,000 to 20,000. Now we are talking about taking it to 30,000. So, we understand that Bloom is seeing increased acceptance of its products, but can you give some more confidence on the offtake because India is having a higher tariff rate compared to our competitors? And how should we think of market share evolving over time?

Srinivas Reddy: Thank you for your questions. First, I would like to emphasize on the visibility on the expansion for the Clean Energy segment. So basically, we have a capacity, as you mentioned, 8,000 units, but we are expanding to 12,000 by end of March. Everything is on track with that. And then based on a clear visibility given by the customer, we are expanding in a phased manner to 20,000 units, hopefully by end of December. And then with that, we'll have a capacity of about 20,000 units.

And then we move on to the Phase 2 of the expansion plan to about 30,000 units in the subsequent year. The infrastructure will be built for 30,000 units, but the equipment will be planned in such a way that it's done in 2 different phases or I would say, 3 different phases. Phase 1 is 12,000, which will be ready by March end.

And Phase 2 is about -- overall 20,000 by December end and Phase 3 to 30,000 by the subsequent

year. So, this is being done purely based on the kind of demand forecast what we have received from the customer, and that's how we are doing it.

And as far as tariffs are concerned, as I mentioned even in my earlier call that we are not anyway concerned with being a technology company and the way we have progressed in terms of our competitiveness and various developmental programs we have done for the customer. The demand continues to be the same. And hopefully, in the future, we hope that the tariffs would come down, but that's not going to affect the company's growth momentum as we see right now, which we have clearly seen in the current quarter as well.

Piyush Sevaldasani: Sir, my next question is -- yes, I think that's very clear. Sir, my next question is on the gross margins. We have seen a decline in gross margins this quarter. Could you explain why -- I think we were going through pricing negotiations with Bloom last quarter. Can you help us understand what would be the sustainable gross margins?

Srinivas Reddy: Gunneswara, do you want to answer that?

Gunneswara Rao: Yes. While this current period is -- current quarter is 46.1% gross profit, whereas 9 months ended, if you look at, it is 49.5%. It is purely on the product mix. Just because gross margin is lower, it doesn't mean that our EBITDA will affect. As we explained it many times, the gross margins in the fuel cells is lower, in case of domestic, it is higher.

But however, the efforts required to make the domestic sales is more compared to the fuel cells because it is continuous production, and we were doing over the year. So, our EBITDA margins will

I not impact because of the gross margins.

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Piyush Sevaldasani: Sure. So, our EBITDA guidance, which we have earlier mentioned, that continues to stay same, right?

Gunneswara Rao: Yes, we will -- we have said around 21% plus or minus 1%. And as you know, by end of this 9 months, our EBITDA percent is 19.2%. With the strong forecast in the Q4, we are confident to achieve those numbers, whatever is guided.

Piyush Sevaldasani: Sure. And then, sir, on the nuclear order, which we have received for INR500 crores, can you please help us understand what could be the execution cycle for this?

Srinivas Reddy: The INR500 crores orders should be executed within a period of -- over a period of 3 years. That's how it is done. That's the timeline that we are looking at. There are various projects out of this INR500 crores. Some will be executed within a year, some 1.5 years, some in 2 years and some projects within 3 years. So, it's a combination of all this. So, all this INR500 crores should be executed within the next 36 months.

Moderator: Our next question is from the line of Renu Baid from IIFL Capital.

Renu Baid: Congratulations, sir, for the good results. The first question is just trying to understand the clean energy portfolio more closely. Can you help share what has been the utilization levels for 9-month period of the current capacity of 8,000 units?

And the capex target that we plan over the next 2 years as we take this capacity to 20,000 and 30,000 in the next 18 months, what is the quantum value we are targeting to spend and whether it would be entirely brownfield expansion at the current units or we may need a combination of a new greenfield facility as we move towards 30,000 units by early part of CY '27. And I probably -- it was not very clear in terms of audio. Can you repeat what was the revenue which you guided for clean energy for fiscal '27 for the current year?

Srinivas Reddy: Okay. See, the 8,000-capacity utilization, I think we are doing it in the current quarter, Renu, because it's not only about the equipment, but also ramping up, there are a lot of activities involved in the manufacturing process. So, we are fully geared up for that. And the subsequent quarter, that is Q1 of next year, we'll be moving up to utilizing the 12,000 capacity, which will get commissioned by end of March.

And beyond that, we are moving the entire facility to the SEZ near the airport for the entire Bloom operations to expand to up to 20,000 and then subsequently to 30,000 unit. So that will be completely a new plant which we are trying to establish near the airport, everything under one roof so that it becomes more operationally more efficient. That's the basic plan, what we are looking at.

What was your second question, Renu?

Renu Baid: When we look -- what is the value spend capex that you're looking for this expansion? Initially, we had guided that it would be something like INR25 crores, INR30 crores for the first phase.

So how are we looking at the overall capex for clean energy expansion?

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Srinivas Reddy: So basically, that's right. For 12,000, it's about 35,000 to 40,000 whatever numbers we have given earlier. But for the -- going from 12,000 to 20,000, the infrastructure is being done for 30,000. The building, everything is being constructed for the long-term requirement of the company. But the equipment installation will be done for additional 8,000 units. And subsequently, we'll do for the next phase up to 30,000.

So, we are looking at roughly about INR50 crores to INR60 crores of capex that might be required, it's an approximate number. We're still working on it. It should be finalized in the next couple of weeks. So that's the approximate number what we are looking at.

Renu Baid: Sure. Second, in terms of the -- you did mention that for landing gear a

ssembly, recently L1. So,

what kind of revenue opportunity we expect in the aerospace business from the customer here?

Srinivas Reddy: No, that's landing gear test set up assembly that's referred to the AMCA program. We are just working on the prototype. It's just the beginning of the whole program, right? So, the prototype is worth around INR4 crores, but the requirement would be very huge in the coming years. So, there are various segmental orders that we are being released. So that's just the starting point, and we'll see how it goes over the coming years.

But the Aerospace segment, as I said earlier, we are doing extremely well. We are doing a lot of MNC customers right now. We are growing pretty rapidly. We are still doing some first articles. We enter into volume production with the customers simultaneously, working on a number of packages. So that's the kind of -- that segment is growing pretty well as a growth engine for MTAR, and it will move further up in the coming years.

Renu Baid: Got it. Sir, lastly, would you want to share what is the revised guidance for fiscal '27 and -- sorry, for fiscal '26? And any initial guidance that you would like to indicate for the next fiscal year '27?

Srinivas Reddy: No, the guidance would remain the same. We would -- as I said earlier that we would do 30% to 35% growth guidance for this year. So, we'll cross about INR900 crores plus for the financial year FY '26. And FY '27, we're expecting growth of about 50% revenue growth for FY '27 based on the current growth what we have, about INR900 crores plus in the current financial year. And obviously, the margins, what we said 21% plus/minus 100 bps will -- we are very confident to maintain or do slightly better than that. And the margins would further improve in the next financial year based on the kind of improved margins we have shown in this quarter.

Moderator: Our next question is from the line of Meet Jain from Motilal Oswal.

Meet Jain: Sir, my first question is regarding our aerospace business. As you indicated that we are doing multiple first articles. I just wanted to understand in terms of order book. So, in the last 3 quarters, we have seen a stable order book, like a very muted order book from aerospace and defence. So, I just wanted to get some clarity. Is this for a long-term contract? Or how can we look into this?

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Srinivas Reddy: See, we have the long-term contracts, but the orders, what we show in the order book is based on specific orders being given based on the long-term contract. The long-term contract is for 5 years, 10 years like that. But the orders what we reflect in the order book is based on the orders that they keep releasing to us on a quarter-on-quarter basis. So, we have the overall order book of around INR325 crores in the aerospace and defence sector.

Specific to aerospace, we have INR120 crores of MNC orders. And then space, we have INR120 crores odd and defence about INR80 crores. So, the total is INR325 crores. But this particular vertical is going to grow more and more in aerospace sector as and when we convert the first articles into volume production, which we have already done in the case of a few customers. And it's an ongoing process. They're adding more of the packages based on our performance and achievements that we have done over the last 1 year.

Meet Jain: Understood. So, this quarter, we grew by almost 70% in the aerospace division. So, can you just break it up in terms of how much was the new orders that the completion of first articles and the batch production and how much was the old orders, just a ballpark number?

Srinivas Reddy: You want the breakup of what the order received.

Meet Jain: We did almost INR31 crores of revenue in this quarter for aerospace. Just want to understand, as you mentioned that the first articles has been completed and we started batch production for

a few of the customers. I want to get a sense of the quantum of that?

Srinivas Reddy: Yes, it's about INR18 crores and odd is what we have done for the aerospace export orders for this quarter minus a INR1 crore here and there. I'm giving an approximate number.

Meet Jain: Got it, sir. Apart from that, my second question is regarding the products and other segments. In

terms of order book expansion, we saw almost INR137 crores of order we added in this quarter.

So, as we know that during this segment, we also cater to fuel cells, we cater to nuclear power.

So INR137 crores order is also linked to the strong order influence of Bloom part?

Srinivas Reddy: Yes. On the ASP division, yes, we also have a lot of orders coming in from that division. Apart from the other products that we do for ball screws, water lubricated bearings. And we're also -- we also got qualified for export of ball screws with our MNC customer recently. So that's something which is very positive for the company. So, we started doing exports of our other products as well in terms of ball screws right now.

Moderator: Our next question is from the line of Bala Murali Krishna from Oman Investment Advisors.

Bala Murali Krishna: First of all, congratulations on good set of numbers. In Audible:28:11 And you also delivered a great quarter. So, the first question is regarding, sir, BES opportunity. There's a lot of things going on in the country when it comes to battery energy storage system. So, fuel cell has one of our customers, fuel cell energy is also related to energy storage system. So, do we have any opportunity in this BES boom in terms of domestic?

Srinivas Reddy: No, I actually mentioned about this last time as well. So, it's taking its own time to get this going in terms of what we need to do in the battery storage systems. For domestic, there is a market, MTAR Technologies Limited

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but still, it is not -- it's going to take a lot more time than what we can anticipate right now. So, let's see how it goes. That's something which we need to see as and when there's a major development, then we'll let you know about it, Bala.

Bala Murali Krishna: Okay. Sure, sir. So, in terms of the PLI scheme for nuclear, so maybe it would be like we need to deploy much capital on yearly basis. But do you think that including these orders is the capital intensive or we can do with very little capital of existing infrastructure also?

Srinivas Reddy: We already have the infrastructure for the nuclear programs that we are doing. So, the PLI -- whatever the details of the scheme are not yet known, but once the union budget is done, then we'll know more details. which will be definitely beneficial to the company to do more and more. But we have the infrastructure to handle that already.

Bala Murali Krishna: Sure, sir. Lastly, on this Adani for the AMCA program, any update on that and also on the defence licenses. So, any products are in the pipeline to get the defence license?

Srinivas Reddy: That's being still assessed by ADA right now, the defence program, they are assessing it. So probably they are saying it will take another 2, 3 months for them to shortlist the company. So, let's see what happens.

Moderator: Our next question is from the line of Akshay J from Xponent Tribe.

Akshay J.: Congratulations on a very good set of numbers. Sir, I have a couple of questions. One is on -- specifically on aerospace. You said that your MNC aerospace revenue this quarter was about INR18 crores. Could you give us some colour on sort of how do we see this ramping up in terms of batch processes because we've been hearing a lot of FAIs going on. And I mean, the business has supposed to scale up and it has been scaling up. Is this INR18 crores now a quarterly recurring that we should at least think of as a base case? That's one.

Second, sir, could you give some thoughts or update on Fluence, the First Article Insp

ections

have been done, and we are expecting it to commercialize in some time. So, if you could give some colour on what is it that we are getting to because Fluence in the -- it's assisted and it's kind of scaling really, really well. So, I would imagine that you would be keen to get to the value chain sooner than later?

Srinivas Reddy: So, when it comes to the first question, the aerospace, what you're looking at INR18 crores, INR19 crores is just the beginning, right? We have been growing step by step in aerospace. So, part of the first articles, what we are working on, once it gets converted to volume production, we're looking at almost twice the number as what you can see right now, closer to INR40 crores or even up to INR50 crores per quarter. So overall, next year, we can look at that kind of a situation where we can do about INR150 crores to INR160 crores in aerospace itself.

And as far as Fluence is concerned, we're still working on it. So, we are working -- we have done the first article. Now they are a little bit -- there are a lot of design changes. They have not given us any specific feedback on that as of now. They're still working on it. But as and when something goes -- some improvements are done on that, then we'll see how it goes. But as of today, it is still a work in progress for us.

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Akshay J.: Sure, sir. So, if I ask a follow-up, just on the aerospace bit, commercial -- a lot of our clientele

is currently defence-led aerospace globally, IAI. I mean, GKN is definitely commercial. But what is our kind of -- are we working with Airbus, Boeing, other commercial aerospace companies that make larger planes for products because, I mean, that would really bring scalability to the business, right? I mean, could you give some thoughts on where are we on that part of the business?

Srinivas Reddy: So that's the plan, right? So, the plan is to work with companies like GKN and IAI, which are very good companies, who also supply to Airbus and Boeing, not that they don't supply. So, to get Boeing and Airbus and such companies for Indian parts, we are also looking at establishing that as well moving forward over the next 1, 1.5 years.

So that's how we look at the aerospace vertical in a very aggressive manner in terms of building it more and more. And moving -- by end of the third year, we're looking at revenues of at least INR350 crores to INR400 crores coming in with various of such customers. So that's our vision and the road map, what we have over the next 3 years.

Akshay J.: Okay. Next 3 years from now, right? Okay. Okay. And that is MNC aerospace, right?

Srinivas Reddy: Exactly, because there's a lot of certifications and processes that are involved. We are almost there in terms of various certifications. So, it's a matter of time that we can get into those kind of activities moving forward.

Moderator: Our next question is from the line of Mohit Kumar from ICICI Securities.

Srinivas Reddy: Mohit, we can't hear you at all.

Moderator: I don't think Mohit is on the call with us. So, our next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, ASP assemblies are nearly 126,000 per quarter with 16 ASPs plus hot box. I just want to understand like how this implies whether -- how we are going to take as a bottleneck for this capacity expansion. Right now, we have 8,000 units, and we are planning to reach up to 30,000 units maybe in 1 or 2 years' time frame. I just want to understand how the capex moving like concerning about ASP assemblies?

Srinivas Reddy: So yes, that's a good question. So, we have already planned for the increased quantity of ASPs each quarter in terms of the capacity. And as and when we increase the capacity of the hot boxes, the ASP capacities also will go up accordingly. So that's also being planned simultaneously.

Balasubramanian: Okay. And how much c

apex we have planned for to increase to 30,000 units, sir?

Srinivas Reddy: I've said earlier about this. It's a rough number right now, but it's approximately between INR50 crores to INR60 crores. That's what we're looking at for 20,000 and 30,000 comes later, right?

So that's probably an additional INR40 crores and odd to increase it from 12,000 to -- sorry, from 20,000 to 30,000. The infrastructure is being built for 30,000.

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Balasubramanian: Okay, sir. Sir, in Q2, I think some of the dispatches has been delayed nearly 4 weeks. And I just want to understand right now, we have INR278 crores. How much revenue came from these 4 weeks dispatches in Q3?

Srinivas Reddy: That's very marginal, right? I mean whatever we did -- see a lot of projects in nuclear are under work in progress because of the long gestation period. So once that is done, the dispatches from nuclear will happen from Q1 of next year in a big way. So that's how it is. But majority of the orders have been executed based on the Clean Energy segment and on the Aerospace segment as well.

Balasubramanian: Okay. Because why I'm asking this question is because our inventory days came down from 282 days to 210 days in Q3. Just want to understand, we have like again, we restocked for execution in Q4, sir.

Srinivas Reddy: Yes, because as the dispatches have gone up, the inventory days have also come down because of the exports that we have done. And we are trying to maintain -- the CFO is trying to maintain a very tight control on the inventories being positioned based on the needs on a quarter-on-quarter basis and the lead time by the suppliers. So, we are monitoring that very closely right now so that our working capital days also gets reduced as much as possible.

Balasubramanian: Okay, sir. Sir, my last question, BOM cost is hardly less than like a single-digit percentage, which is impacted by tariffs. Whether we are completely absorbing right now or it's passed through to the customers?

Srinivas Reddy: No, we are not concerned with tariffs at all with any of our MNC customers.

Moderator: Our next question is from the line of Charvin from Share India.

Charvin: Yes. So, my question was on the nuclear energy side. What is the opportunity size we are expecting once this INR20,000 crores, if it is PLI is allowed on the nuclear energy side? And what are we supplying on the civil nuclear side to the government?

Srinivas Reddy: So basically, we have been in the nuclear business for the last 40 years. So, we are supplying all the core nuclear reactor components and assemblies to government of NPCIL. We are doing

some major projects right now for them and the PLI would help, obviously. We are waiting for more details on that.

And also, there is a lot of requirements which are coming in with further reactors coming in and where the government has given clearance for the private sector to set up the nuclear reactors. So, a lot of -- if you look at the road map for the next 5 to 10 years, a lot more reactors are going to come into place, where MTAR would play a very key role in establishing such reactors by supplying the key assemblies to the nuclear reactors that we are looking at.

Charvin: Okay. Okay. So, majority of the opportunity we are expecting from the SMRs that are going to be constructed. Is it right?

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Srinivas Reddy: Yes, that's an added opportunity, but a lot of the other reactors the government itself is planning to establish 700-megawatt reactors over the next 5 to 8 years. So, let's see how it goes. Right now, we have enough orders on hand to handle the existing orders itself.

Moderator: Our next question is from the line of Aman from Astute Investment Management.

Aman: My first question is on the nuclear side. You've talked about scaling to start from FY '27 itself. So, do you expect it to h

appen in Q1, Q2 itself? Or will it be back-ended in Q3, Q4?

Srinivas Reddy: No, it will start from Q1 itself. Hopefully, we're going to start from Q1 itself and then move on from there. We already have started working on the existing orders and the new orders which have come in will slowly start kicking in from Q3, Q4, but the existing orders will start executing from Q1, Q2 onwards.

Aman: And do you expect around, say, INR150 crores to be done in FY '27 itself in nuclear?

Srinivas Reddy: I think very comfortably. That's a pretty conservative number for us, but we'll do much more than that.

Aman: Okay. And FY '28 will be further ramp up because we'll get additional orders, say, in Q4 and maybe FY '27 or so.

Srinivas Reddy: Yes, exactly. So, we have to -- so it's a very simple calculation. If we have order book of INR800 crores in nuclear, let's say, by end of the year, we need to anyway exclude that within the next 3 years, so.

Aman: Sure, sir. And in terms of, say, next 2, 3 years, where do you see this nuclear order book? Do you think this can grow on top of this INR800 crores or INR800 crores to INR1,000 crores is, say, a ceiling before anything newer happens?

Srinivas Reddy: I will not talk about the -- how much of orders, but definitely, I see a huge ramp up. One is on the operations side, the ramp-up on the operations side, but the number of orders which are going to kick in over the next 2, 3 years is going to be phenomenal because of the new reactors coming in and the government announcing the privatization. So, a lot of things are happening. So right now, we are very comfortable with this INR800 crores plus a lot more orders are going to kick in over the next 1, 2 years in any case. So, in the past, we should have -- we never had a very strong order book. We used to do a lot of reactors, but with a break. But now I don't see that break happening. So, there will be a nice exponential kind of a graph or a growth happening year-on-year basis based on where we are today.

Aman: Sure, sir. And just completing this part. So, we got most of the orders from Kaiga 5 and 6 and obviously, refurbishment is different. But what I see is every year, 2, 3 nuclear reactors are supposed to start or at least be part. So, is it fair to assume INR300 crores, INR500 crores additional order book every year on the conservative side?

Srinivas Reddy: That's a very fair number what we are looking at because now they're planning Mahi Banswara 4 reactor, 700 megawatts with NTPC and NPCL combination, which is called ASHVINI. So, a

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lot of such projects are coming in, the tenders will be floated. So obviously, that's how I said this area, nuclear division also is going to -- it will be a very good growth engine for MTAR moving forward on a year-on-year basis.

Aman: Sure, sir. Next set of question is on, say, Weatherford and IAI. So, the First Article Inspection is taking a little longer than maybe our expectation. So, do you expect Weatherford to start scaling in FY '27 itself or maybe it is delayed to FY '28, '29?

Srinivas Reddy: That's a good question. We have already completed the Weatherford first articles. It's been approved already. The only thing is we are waiting for is for the volume production. Now to do the volume production, our plant is getting ready. We are pushing it to be ready by June, but by September, we should be in a full-fledged commercial operations. So, then we get into the

volume production.

We're expecting the volume orders also to come in this quarter. So that's where we stand as far as Weatherford is concerned. It's all about doing the volume production. The infrastructure is getting ready for that in the SEZ near the airport. And so those revenues -- part of those revenues will kick in, in FY '27, and then it will go in a full-fledged manner from subsequent year onwards. Aerospace, we are not -- the first ar

ticles are not taking time. There are a lot of parts, a lot of assemblies for IAI. Already one of the customers, we are already doing into volume production. And they've added a lot more packages. So, both happen simultaneously, the volume and the first articles. IAI, the complete batch of first articles should be done and dusted by June, July. So that's the timeline we're looking at. And once it is done, then they look at volume production. So, in aerospace, the requirements are very stringent, as we all know, right? It's for aircrafts and all that. So, we are right on track with that as far as we are concerned. There are a lot of R&D and development program happens in first articles, which we are successfully doing it. And each month, we are doing more than close to about 100 parts per month, which is phenomenal. The average -- industry average is 300 parts per year, whereas we're doing 100 per month. So, we can't do faster than that. So, we're averaging around 80 to 100 per month to be very realistic. Aman: That is a very good run rate. I think most of the leading aerospace players are doing that much only, and we have scaled this number pretty soon?

Srinivas Reddy: Yes, exactly.

Aman: On that sir, just on Weatherford. So earlier, you had talked about maybe INR150 crores, INR200 crores kind of opportunity. So, FY '27, maybe INR50 crores, INR70 crores and FY '28, that full INR150 crores ramp-up. Is it a fair assumption?

Srinivas Reddy: That's a fair assumption, yes.

Aman: Sure, sir. Final question is on the clean energy on the other side, hydro power, wind and the other parts scaling. Could you quantify, I don't have the numbers. What is it today, excluding Bloom MTAR Technologies Limited
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and where do you see the scaling of any of these customers where you can see scaling to, say, INR100 crores kind of number for us?

Srinivas Reddy: No, it's not just one customer. We're working with GE, working with Andritz, Voith, a number of customers, right? Recently, we finalized with Andritz about INR40 crores of orders in hydro to be executed every year. We have done that recently. So that's purely based on our past kind of deliverables that we have given to all these customers. A lot of work has been done in that sector over the last 2 years.

So [inaudible 0:46:20] is another company. So, we are working with various customers. So, we're looking at about INR100 crores to INR120 crores of orders that we can execute next year. We are almost there, INR100-plus crores purely with these customers. A lot of work has been done.

So, this is what I keep saying. What you don't see in the balance sheet is the kind of work MTAR has been doing on the background with various customers, developing various first articles, proving our capabilities to the customers and all that you will see the results over the next year and moving forward as well.

Moderator: Our next question is from the line of Dhavan Shah from AlfAccurate Advisors.

Dhavan Shah: Congratulations on a great set of numbers. So, my question is on the order inflow. I think you mentioned that this year we'll close with the INR2,800 crores kind of the order book, and you also mentioned the revenue could be around INR900-odd crores for this year. So, if I reverse calculate the order inflow, it comes to roughly INR700 crores, INR800 crores of order inflow that can come in the fourth quarter. So, if you can share the breakup of the order inflows that you are expecting that can come during this quarter, the INR700 crores, INR800-odd crores?

Srinivas Reddy: See, it's a combination of the fuel cell orders, the nuclear orders, the space and aerospace orders. All this put together, should be roughly around close to INR700 crores to INR800 crores that we are expecting in this quarter. So that's how the closing order book would be around INR2,800 crores.

Dhavan Shah: Understood. Understood. So full year orde

r inflow would be roughly INR2,800-odd crores this year. And then next year, what kind of the order inflows are we expecting?

Srinivas Reddy: Much more than this. I can't really quantify the number right now, but we'll have a pretty good strong order book next year as well, much higher than what we have today.

Dhavan Shah: Understood. Understood. And the incremental opportunity from the Bloom would be how much next year, if you can give some guidance on that?

Srinivas Reddy: It's very straightforward. I mean, basically, it's not on how much, how much are we able to

deliver? That's the big question there. It's not about the order, right? So, it's based on the expansion plans that we have.
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So, they're asking for a lot more. But we are -- we have positioned ourselves to deliver 12,000 units and the expansion plan to 20,000 will happen by December, hopefully. Then we add another additional hot boxes to them. So basically, it is 12,000 units is what conservatively we have taken for next financial year.

Dhavan Shah: Understood. Understood. And the margins can reach up to 25-odd percent. That's what we are expecting because of the operating leverage, right, next year?

Srinivas Reddy: Yes. As I said earlier, I don't want to comment on the exact number. But if you look at the current quarter margins, it will further improve from there. And obviously, with higher operating leverage and better revenues next year, our margins will substantially improve.

Moderator: Our next question is from the line of Amar Ahir from Raedan Capital.

Amar Ahir: Is it possible for you to give like what would be your utilization right now?

Srinivas Reddy: What is it? The utilization of what?

Amar Ahir: All the capacity that you are having?

Srinivas Reddy: On the fuel cell side, you're talking about or.

Amar Ahir: Yes, on the fuel cell side?

Srinivas Reddy: Yes, we are up to 100% capacity. Literally, we are right on the top prim right now at 8,000 capacity. And then by end of March, we'll go up to 12,000 capacity. So, we'll utilize the full capacity utilization what we have.

Amar Ahir: Okay. And if you could give any guidance on the upcoming orders coming in FY '27? And where will your order book stand in FY '27?

Srinivas Reddy: FY '26, I've given already just now. We're expecting around INR700 crores to INR800 crores worth of orders this quarter. And then we closed the order book at INR2,800 crores. And if you talk about FY '27, then we'll have a lot more orders coming in. It's too premature to comment on that right now, but we'll have even more stronger order book -- closing order book next year.

Amar Ahir: Okay. And would it be possible for you to give a growth guidance for FY '27 and margins?

Srinivas Reddy: I mentioned this earlier; we're looking at about 50% of revenue growth guidance for FY '27 as of now and a lot more better margins and improved margins next year. compared to --.

Amar Ahir: Okay. 50%, you mean, 5-0, 50% right, for the FY '27?

Srinivas Reddy: That's right.

Amar Ahir: Okay, sir. And margins?

Srinivas Reddy: Margins, we have seen in Q3, we'll have a lot more improved margins beyond that, so in FY '27.

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Moderator: Our next question is from the line of Naman Parmar from Niveshaay Investments.

Naman Parmar: So firstly, I just wanted to understand on the nuclear side, like thorium-based deposit, right? So, we are aggressively working on to create a FBR for the thorium-based reactor. So, any capability that we are creating on that side?

Srinivas Reddy: We have already done for the FBR. The majority of the requirements of FBR reactors were done by MTAR in the past. Now those reactors have to get commissioned. That's the first step. We're expecting those reactors to get commissioned over the next 6 months is what they have said. And the next cycle is the thorium-base

d reactors. As you know, we have 40% of thorium deposits in the world. That's the nuclear cycle which was created by Baba Atomic Research Centre many years back. So that's the cycle which we want to achieve. We are not yet there, but ultimately, we will be there. So that's the idea behind this whole situation.

Naman Parmar: Okay. Understood. And secondly, on the bookkeeping side. So currently, what is your cash flow in the current quarter?

Srinivas Reddy: Gunneswara?

Gunneswara Rao: Yes. The cash flow from operations was INR22 crores negative for this year because of the higher revenues, which are actually sitting in receivables. But we are working with our customers on the various advance opportunities for this quarter in Q4. Let us see how the discussions goes on. And definitely, we are confident of getting advances from our customers. Our Q4 and year-end cash flows will be better than the last year, will be better by getting these advances, yes.

Moderator: Our next question is from the line of Dev Thacker from ithought.

Dev Thacker: Sir, on the nuclear side, how should we see the opportunity per reactor? Like will it be in line

with Kaiga's INR250 crores per reactor or should we see this increase for the newer set of reactors?

Srinivas Reddy: Slightly more because we are going to add additional assemblies for the new reactors called End Shield and Calandria. So probably it should be going up to about INR350 crores to INR400 crores of opportunity per reactor. That's what we are looking at. That's an opportunity. We have to see how it goes.

Dev Thacker: Got it. Sir, on the clean energy side, sir, as the data centre power demand is expected to like in the various estimates double from 60 gigawatts to 140 gigawatts. What percentage of this incremental share can be captured by fuel cells in next 3 years or 5 years?

Srinivas Reddy: The majority is by the fuel cells, right? People -- that's how the Bloom demand has gone up so much. There's a huge shortage right now. And over the next 5 years, it's going to be phenomenal. It only depends on how you can cope up with that kind of demand in terms of the expansion plans, the execution cycles and all that.

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So, it's not only orders per se, it's on how you can take that as an opportunity, demand as an opportunity to convert that into the execution cycle to do it and how soon you can expand your capabilities in terms of the capacities and all that. So fortunately, it's the other way around, right? It's not about orders, but it's about how much you can produce. That's where we are right now over the next 3 to 5 years.

Dev Thacker: Got it, sir. Sir, on the -- next question would be on the EBITDA margin. So, at current quarter, we are already at 23% EBITDA margin. So, in FY '28, we had guided for 28% EBITDA margin. So, are we sticking with that guidance or like the 20%plus/minus 1% kind of EBITDA margin?

Srinivas Reddy: Yes. FY '26, as I said, is -- average is about 21%, but FY '27 would be a lot higher than that, right? So, we'll be in the high -- much higher range. It's a very clear indications for all of you to see.

Dev Thacker: Got it. Sir, one last question. What was the update on the roller screws? And we had also got the license on the ECM and the naval equipment for submarines. Is there any progress on that side?

Srinivas Reddy: We are already certified for that. As usual, the defence program has a lot of certifications for roller screws because it's an import substitute. It is done already. We're just waiting for the final papers to come in. They're very happy with the performance of the roller screws.

They have tried and tested it; everything is done. So, we're just waiting for it. EMA is also the same situation. Hopefully, this quarter, all those certifications will be closed and we'll be through with the normal regular production what they need for the future as an im

port substitute.

Moderator: Our next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Congratulation, sir, on excellent set of numbers. Sir, my only question is on the working capital side. I heard you earlier where you said that the quarter 4 will be heavier on execution side since we are targeting 35% revenue growth. I wanted to understand what would be the inventory and net working capital levels that we are targeting for end of quarter 4? And what is the steady state number that one should look at going forward?

Srinivas Reddy: Gunneswara, do you want to answer this?

Gunneswara Rao: Yes, yes. So, quarter 4, we are targeting around 235 days with as is condition. But we are discussing with some of our customers on advanced payments. I think most probably we will get advanced payment. I think our working capital will drastically reduce if we get advances, then it will be less than 200 days. Otherwise, the 235 days, we are estimating by end of this year as is scenario.

Vignesh Iyer: And what would be, sir, the inventory days?

Gunneswara Rao: Inventory days as like today, whatever absolute numbers are there, we will be there only here and there 10 days. But with increased turnover in Q4, days will come -- further come down to, say, another 5 to 10 days, it will come down.

Moderator: Our next question comes from the line of Jaitra from Ebisu Investment Advisors.

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Jaitra: So, could you please share the current capacity utilization in your Aerospace and Defence segment?

Srinivas Reddy: See, I said we have enough capacity to handle up to even INR200 crores of business. We are setting up additional capacities; the machines are coming in as well. Right now, we are doing partial volume and partial first articles. But the kind of revenues that we can generate will be beyond INR200 crores plus once all the equipment comes in over the next 2, 3 months.

Moderator: Our next question is from the line of Nilesh Jain from Astute Investment Management Private Limited.

Nilesh Jain: My first question is on the clean energy side. So, during FY '23, we had done a peak revenue at that time and post which because there was a change in model which impacted the volumes, do you see anything such happening maybe next year or where because of change in technology, which might come into place?

Srinivas Reddy: I think that kind of a situation will not happen. There was a drastic change in the kind of event happened at that point of time. But even if there are some changes, there will be very minor tweaks, which can be manageable. That's not a problem. So, I don't see that happening moving forward.

Nilesh Jain: Okay. And in terms of realization, how do you see that going forward, given Bloom is also want to reduce further costs on their side?

Srinivas Reddy: Yes. The cost can be reduced based on -- primarily on the design side of the story, right, or reduction in the BOM costs and all that. Other than that, I don't see any kind of realization being changed. Suppose if they replace Inconel with SS or any change of materials based on the design engineers working together with MTAR, then the BOM cost comes down, then the realization, but that will not affect us because our value-add remains the same. So those kind of changes, subtle changes can happen. So that's the only thing. Other than that, the value-add would remain more or less the same.

Moderator: Ladies and gentlemen, in the interest of time, that was our last question. I would now like to hand the conference over to the management for closing comments.

Srinivas Reddy: I would like to thank all of you to attend this earnings call of MTAR Technologies. And I would like to also thank specifically the -- all the entire team of MTAR for putting together such great performance for this quarter and also for the coming quarters. We can clearly see that happening qu

arter-on-quarter basis based on all the hard work done over the years.

And also, I would like to specifically thank all our investors and shareholders in supporting us over the years. And also, we have put in our best efforts to improve further and further quarter-on-quarter basis. Thank you so much.

Moderator: Thank you. On behalf of MTAR Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Date: 20th May, 2026

To,

BSE Limited,
P. J. Towers, Dalal Street,
Mumbai-400001.
(BSE Scrip Code: 543270) NSE Limited,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), Mumbai- 400051.
(NSE Symbol: MTARTECH)

Dear Sir/Madam,

Sub: Disclosure under SEBI (Listing and Disclosure Requirements Regulations, 2015)
Transcript of Earnings call held on 13.05.2026.

Unit: MTAR Technologies Limited

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, Please find enclosed the transcript of the earnings conference call conducted on Wednesday, 13th May 2026 at 11:00 a.m. (IST).

The transcript of the earnings call is also available on website of the company i.e. www.mtar.in You are requested to kindly take the aforesaid on your record.

This is for your information and records.

Thanking you,

For MTAR Technologies Limited

Priyanka Agarwal
Company Secretary & Compliance Officer

Encl: As above.

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"MTAR Technologies Limited
Q4 FY26 Earnings Conference Call"
May 13, 2026

MANAGEMENT : M R. SRINIVAS REDDY – MANAGING DIRECTOR –
MTAR TECHNOLOGIES LIMITED
MR. GUNNESWARA RAO – CHIEF FINANCIAL OFFICER
– MTAR TECHNOLOGIES LIMITED
MS. SRILEKHA JASTHI – HEAD, STRATEGY AND
INVESTOR RELATIONS – MTAR TECHNOLOGIES
LIMITED
ORIENT CAPITAL – INVESTOR RELATIONS PARTNERS –
MTAR TECHNOLOGIES LIMITED

MODERATOR : M R. IRFAN RAEEN – MUFG INTIME

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Moderator: Ladies and gentlemen, good day, and welcome to the MTAR Technologies Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Irfan Raean from MUFG Intime. Thank you, and over to you, sir.

Irfan Raean: Thank you. Thank you, Julius. Good morning, everyone. On behalf of MTAR Technologies, I extend a warm welcome to all participants on Q4 and FY '26 earnings concall. Before we begin the call, I would like to give a short disclaimer. This call may contain some of the forward looking statements, which are completely based upon belief, opinion and expectation as of today. These statements are not a guarantee of our future performance and involve unforeseen risks and uncertainties.

With this, I would like to hand over the call to Srinivas sir. Over to you, sir. Thank you.

Srinivas Reddy: Hello and good morning to everyone. Thank you for taking the time to join us today. Today, on the call, I'm joined by Mr. Gunneswara Rao, Chief Financial Officer; Ms. Srilekha Jasthi, Head, Strategy and Investor Relations; and Orient Capital, our investor relations partners. We have uploaded our updated investor deck, press release and results highlights in the stock exchanges and company website. I hope everybody had an opportunity to go through the same.

MTAR has achieved record fourth quarter sales of INR306 crores and EBITDA of INR61.8 crores with PAT of about INR44.3 crores. For the year, we have achieved revenue of INR876 crores with EBITDA of INR171.2 crores and PAT of INR94 crores. The outlook for next financial looks very positive.

And having confidence in the execution of orders on hand, we are raising our guidance for FY '27 from 50% revenue growth to 80% plus - revenue growth, plus/minus 5%, with clear EBITDA margins of around 24% for the year, mainly due to our initial expansion of capacities in various sectors in clean energy, which has already commissioned. Apart from clean energy, the oil and gas plant will also be commissioned by September end and will be fully operational.

The nuclear and aerospace sectors will contribute much larger numbers with nuclear projects being executed this year, having strong order book and volume production commenced in aerospace division with certain customers. We can also look ahead with confidence in spite of geopolitical crisis as we are now well prepared and we are in a much stronger position now to achieve the required growth and the required margins as well.

The closing order book for FY '26 is at INR2,580 crores, and we had given a guidance of INR2,800 crores. The marginal difference is due to some nuclear orders and the defense orders being deferred to the current quarter, which does not have any impact on our business outlook for this year. We have secured orders of INR481 crores during the quarter. And we are very confident of receiving large orders across various sectors during FY '27. And also, we will end up with a very strong order book by end of FY '27, much larger than the closing order book of MTAR Technologies Limited

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FY '26. And the estimated closing order book would be close to about INR5,000 crores at the end of the year.

As you are aware, the company has always been strategically positioned to focus on technology incentive and differentiated products, and we are now witnessing the results of these efforts.

Today, exports contribute the majority of our revenues, reflecting the vision laid out

way back

in 2010. The manner in which the strategic decisions have unfolded reinforces our confidence in the direction we have taken. We are working on several key initiatives, which I will now take you through and which we believe are expected to deliver significant outcomes in the coming years.

Based on the advanced visibility, we have built capacities for our customers in the past, and we will be rapidly building capacities in clean energy sector during the current year and expand capacities as well as in subsequent years in this sector based on the customer requirements. We will never face -- or the customer would never face any kind of bottleneck in terms of the timely deliverables that they're supposed to meet.

And the teams are actively engaged in rapidly building these capacities, training their employees and ramping up the operations to meet the customers' demand. Further, we'll be entering into long-term contract with another international customer in supplying key infrastructure assemblies for AI data centers, for which we have already received the first article export orders for INR35 crores. And we have a potential of reaching INR 400 crores to INR500 crores over

the next couple of years. This is a significant development in the area of clean energy sector, which we are really excited about at this point of time.

MTAR has been in civil nuclear program for more than 35 years. And now, we have the strongest order book of INR650 crores plus, and all these orders have to be executed over the next 3 to 3.5 years. We do have the capacities to address the orders, and we are expecting more orders in the areas of refurbishment of reactors and also new reactors during the current financial year. This again will be on the growth path year-on-year basis, based on strong order book and execution capabilities of the company, having rich experience in the field over the years.

Another vertical of MTAR being the defense and aerospace business vertical, and we have orders for more than INR360 crores. And the business has demonstrated tremendous growth and continues to hold strong long-term potential. We are catering to several reputed MNC customers in this segment, and we have already commenced volume production [inaudible 0:06:44] and we are also working on the first article at the same time. The first articles for IAI should be completed by September of this year and should enter into volume production by October in the current financial year.

We are gearing up our capacities in this sector as well to handle the increased orders from these customers. In the domestic defense business, we are focusing on various programs of defense, mainly landing gears, structural assemblies for various aircraft programs, actuator assemblies programs, etc. And we are moving in the right direction in this segment, and we are very positive of building this segment in a much bigger manner moving forward.

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The product division is moving in the right direction with revenues increasing year-on-year basis. And for the current year, we should cross more than INR200 crores in this segment itself. We're already qualified now for various ball screw supplies to even MNC customers as well during the last financial year. And moving forward, we expect a lot more orders to come in, in terms of supplies of ball screws with these MNC customers. Finally, it has been a great year with a positive operating cash flow of INR196 crores.

And we ended with net working capital days of 172 days compared to the previous quarter of 278 days. We'll continue to focus on NWC in the coming quarters as well.

I would like to thank all the team members of MTAR for their exceptional efforts during the year and their continued focus and dedication towards achieving the growth of the company. And moving forward as well, the entire focus is go

ing to be purely on achieving the required

growth and delivering the required products to the customers on a timely basis. I would now hand over the call to our Chief Financial Officer, who will take you through in detail with regards to all the financial information of the company. Thank you.

Gunneswara Rao: Thank you, Mr. Srinivas Reddy. Hello, everyone. Good morning. Thank you for joining us on the earnings call. We delivered a robust performance in FY '26, registering a strong growth compared to the corresponding period last year. I would now like to take you through the company's financial performance for the year.

Overall, the company witnessed healthy growth on both Y-o-Y and quarter-on-quarter basis, driven by strong execution across key business segments. When it comes to the full year performance in FY '26 versus FY '25, revenue from operation stood at INR876 crores in FY '26 as against INR676 crores in FY '25, which is around 30% increase in YoY. EBITDA reported at INR171 crores in the FY '26, as compared to INR121 crores in FY '25, an increase of 41.7% increase.

When it comes to profit before tax, INR126 crores in FY '26, as against INR72 crores in FY '25, which is almost 75.1% increase in Y-o-Y. Profit after tax was at INR94 crores in FY '26, as against INR53.4 crores in FY '25, registered as a 76.2% increase. When compared to quarter 4 FY '26 versus quarter 4 FY '25, our revenue for this quarter 4 is INR306 crores in FY '26, as against INR183 crores in FY '25. EBITDA reported at INR62 crores in FY '26, as compared to INR34 crores in FY '25, an increase of 81% compared to the previous year fourth quarter. Profit before tax stand at INR59.5 crores in FY '26, as against INR18.6 crores in FY '25.

Profit after tax was at INR44 crores in FY '26, as against INR14 crores in FY '25, which is an almost 222% increase on Y-o-Y basis.

We are witnessing a strong growth across sectors in which the company operates. Amid this positive moment, the company continues to maintain strong focus on cash flow discipline, prudent capital allocation and effective working capital management. Our working capital days stood at 172 crores during FY '26, when compared to Q3 of 267 days, which is supported by various initiatives taken by the company, including the better payment terms with the customers.

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The company is targeting to maintain a working capital level at a similar level by end of the current fiscal year. Our gross margins are at 47.7% and when compared to last year's 49.4%, were also impacted due to increased input prices of consumables and other freight costs amid the prevailing geopolitical uncertainties.

Our EBITDA margin is at INR171 crores, which is 19.5%. We have guided around 20%, plus or minus 1% -- 21%, plus or minus 1%, we guided, and we achieved 19.5%, which is due to the gross margin impact due to prevailing geopolitical uncertainties and also increase in headcount due to ongoing expansions activities in the company.

Our ROCE is at 17.2% versus 11.4% in the last year. We are also expecting a significant improvement going forward due to increased turnover. And also, our margins will improve significantly, as our MD has already indicated. We will have a better operating leverage. And also, increased turnover will allow us to give contribution to the company.

Our PAT is at 10.7% versus 7.8% compared to the previous year. This also will improve in the current financial year due to increased turnover and the margins.

Other important aspect we would like to highlight is, our cash flow from operations are INR196.9 crores in this fiscal year compared to INR101 crores in the last financial year. This is mainly due to the additional margins and also the better payment terms negotiated with customers. And we are continuously monitoring the working capital in every line item we are

monitoring, and we will see that we will achieve the further improvement in the cash flow from operations.

We believe that the road ahead is highly promising, and we are actively focused on expanding capacities, diversification into new verticals, strengthening our customer base across all existing segments. While the opportunities ahead are exciting, we remain equally committed to addressing potential challenges proactively to sustain our growth momentum over the long term.

Thank you everyone for your continued support. And we thank you all the stakeholders of the company for their continuous trust and confidence reposing on us. Thank you, everyone. Now, we open the floor for the questions and answers.

Moderator: Thank you. The first question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Congratulations on a very, very good year. My first question is, is it possible to break your revenue expectation of 80% growth -- or roughly around INR16 billion, I think, revenue we're expecting for FY '27, how much do you expect to come from the clean energy, nuclear and defense? Broad breakup will be helpful.

Srinivas Reddy: Basically, the clean energy sector would be around close to about 70%, and the rest would be all the other verticals. The absolute numbers of the other verticals are also phenomenally growing year-on-year basis, which is very good. But the clean energy segment is growing much faster.

That's where we are.

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Mohit Kumar: Understood. My second question, given the order book expectation of order backlog expectation of INR50 billion, which means that expecting order inflow of approximately INR40 billion, right, in FY '27. Can you just break up this number also between clean energy, nuclear and defense, your expectation -- broad expectation?

Srinivas Reddy: No, the orders are going to flow in mainly from clean energy and all the other sectors. If you remember, I've said about the oil and gas. We talked about the defense and aerospace sectors, which we are in advanced stage in volume production as well. So the order inflow would come in from various directions from different verticals.

But we are very confident of having the closing order book around INR5,000 crores by the end of this year, mainly in clean energy and the other sectors as well, which we are in advanced stage of execution with various customers and we have proven our quality and timely deliverables to all the customers in various sectors at this point of time.

Mohit Kumar: My last question on nuclear, sir. Are you seeing the tender for refurbishment of reactor or something like Mahi Banswara tender getting floated? Are you still having some conversation around those opportunities?

Srinivas Reddy: Yes, absolutely. See, Mahi Banswara is new reactors. This is called the ASHVINI project in joint collaboration with NTPC and NPCIL. So those tenders are expected this year. The refurbishment reactors, we have already quoted. And that's why I said that around INR250 crores of orders were deferred for this quarter. We are pretty confident of getting those orders, but it does not have any impact on our business outlook for this year.

Mohit Kumar: Understood. But are there any other opportunity for the refurbishment of reactor in the near

future, in this fiscal?

Srinivas Reddy: Yes, there should be. Yes, absolutely. I mean, it's a continuous process, right? We have a lot more reactors right now. And as and when the reactors are taken for refurbishment, then MTAR has an opportunity to participate in that.

Moderator: The next question is from the line of Bala Murali Krishna from Oman Investment Advisor.

Bala Murali Krishna: Sir, could you please repeat the guidance part of '27 and '28?

Srinivas Reddy: No, I've said we are based on the kind of requirements by the various customers that we have

and the latest inputs that we have, it is very clear that we have the guidance earlier we mentioned as 50% of revenue growth, but now it will be around 80%, plus/minus 5%, around that area. And also, the margins would be around close to about 24%.

Bala Murali Krishna: So, on the Bloom side, so we are having some capex plans. So are we on track? And do you have anything to fasten those slumps?

Srinivas Reddy: No, we are on track. As I mentioned earlier in my speech that we have already commissioned the initial phase of expansion, which is very good, and we are also training the employees and ramping up the whole thing. So that's already done in terms of the initial phase. And now, we

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are rapidly moving into the additional capacities that we are planning during the current financial year.

Bala Murali Krishna: Okay. Lastly, on this AMCA, any update on collaboration with adani [inaudible 0:20:23]? Any update further on that?

Srinivas Reddy: There is no further update on that as of now.

Moderator: The next question is from the line of Renu Baid Pugalia from IIFL Capital.

Renu Baid: Congratulations for this healthy performance. Sir, my first question to you is, while one of I think one of the largest customer in clean energy has rolled out a pretty aggressive multifold capacity expansion plan in the U.S. What would be your capex plan over the next 2 to 3 years? And I'm not sure if you can quantify or not. But are you also looking for a multifold expansion in your manufacturing capacity? Your revenue growth tend to indicate significant jump in the growth potential as well?

Srinivas Reddy: Absolutely, yes. We are obviously, we had multiple calls, and we are rapidly focusing on additional capacity. We are doing that. We can't disclose the numbers as such because we have signed NDA, but we are moving ahead rapidly with multiple capacity expansions required by the customer, and that's on track right now. The entire team is focusing on that.

And not only on the capacities, but also we are parallelly training the employees and moving forward with it so that these capacities can be utilized with the best of efficiencies. And also, we are incorporating automation as well wherever required so that manpower dependency also comes down to a larger extent. Not everything can be done you can do automation, but wherever possible, we are doing that.

So more or less, we are right on track with what the customer needs, and we are entirely focusing on that. And you'll see the capacities coming into play by end of this year and again next year as well. So everything is on track as far as the implementation plan for building additional capacities are concerned.

And as far as the capex is concerned, it's a rough figure. We're looking at around INR250 crores to INR300 crores of capex, which we are looking at to build all these capacities, multiple capacities for the customer.

Renu Baid: And this INR250 crores to INR300 crores capex is for '27, '28, 2 years?

Srinivas Reddy: Yes, it's spread over 2 years, not exactly 1 year.

Renu Baid: Got it. Sure. And sir, just curious on this, given that the customer is doing multifold, do you think there could be more vendors, which could be added on the supply side? And how confident are we on MTAR broadly retaining its wallet share with the customer?

Srinivas Reddy: No, we are really not concerned with that because we know it's a learning curve is very steep in this, and we have enough on our plate right now. It doesn't really matter to us at all. And it's not easy to establish this technology and also to ramp up at the same time. And we have been

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satisfying the customer over the last 10, 12, 15 years now. So we have been working with them together as genuine partners. And we strongly believe that we

will adhere to their requirements

over the coming years very comfortably. So we are not really worried about that.

Renu Baid: Superb. Sir, second, pretty impressive I think last few years, one of the persistent concerns was working capital stretch and impact on cash flows. So good to see that working capital has finally started to improve. Cash flows, OCF is near 25% of EBITDA, along with growth. So the question here is, now that we are looking at significant step-up on the revenue side, nearly 70%, 80% plus revenue growth, do we expect the OCF to EBITDA to broadly sustain at these levels? And you have guided for similar net working capital cycle. So are we expecting the advances from customers to broadly sustain going forward as well?

Srinivas Reddy: No, basically, we have negotiated good payment terms with various customers, not necessarily with one particular customer, looking at the kind of requirements they have. And we have clearly told them that the terms have to be much better to improve our working capital days and also looking at our operating cash flows being positive.

So this is a continuous endeavor from our side, and you will see improvements happening during the current financial year as well. So we will sustain those margins pretty comfortably right now, and we are on track with that. So, as far as the improved guidance is concerned or the margins are concerned, we are very clear.

We have done all the analysis over the last couple of months. In spite of the current geopolitical situation, we are pretty confident that we are in a much stronger position today to confidently say that we'll be able to achieve this.

Renu Baid: And just last question. While our debt for the year overall has increased to about close to INR370 crores, how are we looking at the borrowing level or debt levels to be over the next 2 years, '27-'28?

Srinivas Reddy: GR, you want to answer that?

Gunneswara Rao: Yes. See, presently, we need to raise the debt for the increased expansion plan. So we have considered in our metrics, debt is an option to go ahead as far as today is concerned. So every year, we are also repaying and also we are increasing debt, term loan, We are able to negotiate better for INR loans

So, for the time being, our debt-to-equity ratio is very healthy. So there is no issue of raising a debt. And we will see that we'll repay the debt as fast as possible. And the capacity expansion requires the capital. Either you need to go for debt or for raising capital from the external sources. But we are doing on the debt basis as of today.

Renu Baid: Perfect. Any targeted levels for fiscal '27 on the debt side, end of the year number?

Gunneswara Rao: we wanted to maintain a debt-to-equity ratio of, for next 2 years, in the range of around 0.5. We'll see how it goes.

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Moderator: The first question is from the line of Somil Jain from Lucky Investment.

Somil Jain: You've indicated multiple capacity expansions on the hot boxes side. I understand that you cannot give a quantitative number. But is the number going to be significantly higher than the previously mentioned number of boxes on the previous calls, as you've discussed? If you could give some sense directionally on the capacities on that side?

Srinivas Reddy: Yes, absolutely. See, when I said multifold capacity expansions, we are working on it, obviously, the numbers are significantly higher. As I said, I can't specify, quantify the details. But yes, absolutely, it's on a significantly higher side.

Somil Jain: Got it. Now, on Fluence, I see that, that customer has been dropped from the customer base that you mentioned in the presentation. Can you give a sense on that project?

Srinivas Reddy: Yes. I've told this in the last earnings call itself that Fluence is still deliberating because of the various factors on the duties imposed

ed on batteries and various other things for exports. So this

is something which we have done the prototype for them, but they're still deliberating it. So we have dropped it because we have enough on our plate right now.

And as and when they have the requirements, we've already done the prototypes for them, so we can move ahead with them whenever they're ready with it. It's still open, but it's not a closed door situation, but I think about it unless I see some traction on that. So let's see how it goes.

Somil Jain: Got it. Now finally, if you could give us a sense of the opportunity size with the new customer onboarded for AI data centers? And also, on the FBR, as you recently mentioned in an interview, if you could give us a sense in the next 2, 3 years, what these businesses could look like in terms of either order inflow or execution?

Srinivas Reddy: I did mention about the data center infrastructure with another customer as well. That's really another milestone for the company in terms of diversifying and getting more into the AI data center business opportunities that we are doing. We already received the first articles order for that, which is about close to about INR35 crores.

And then, as I said, over the next couple of years, if everything goes well, we're looking at almost

like INR400 crores to INR500 crores of revenues being generated from that. And we are looking at a separate we already have the basic infrastructure for that to deliver the orders for the first articles and as well as certain volume production that they need.

And based on how it goes, we will try to build the infrastructure for them as well in the coming years. And as far as the FBR is concerned, that's a long, we worked on major assemblies for the FBR for a long time back, and finally, it's critical. So hopefully, we have done a major contribution for that project. And as and when the government decides to add in a few more reactors, then we would have definitely an opportunity to work with that as well.

Somil Jain: Can I squeeze in another question, if that's okay?

Srinivas Reddy: Yes, it's fine. Go ahead.

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Somil Jain: On the oil and gas side, so some of our other peers have mentioned the signing of major contracts, multiyear contracts with the same customer that we quote. If you could help us understand the opportunity size or the total machine parts procurement with each of these oil and gas customers and how much is currently being sourced from India, how much can incrementally be sourced from India and your competitive positioning in that space?

Srinivas Reddy: Yes. So, as I said, the plantsee, we have done successfully the first articles for the customer, and they really appreciated our quality and the kind of work we have done for them, this on the whipstock assemblies which we have done for them. And obviously, the potential is around \$35 million to \$40 million over the period of time as and when we get into the major volume production. And also, we are adding a lot more customers in the oil and gas. We're just not depending on one customer.

We are looking at the other customers, which we have received orders as well for first articles.

Going on track with it. And the good news is that the main plant is going to be operational by September. So it's like a chicken and egg story, right? And you need to have a real dedicated plant for this, which is going to grow very rapidly over the next 5 to 10 years, the way things are going right now, and then we are right on time with the kind of facility we have. And this sector would grow very rapidly moving forward as well.

Moderator: The next question is from the line of Vipraw Srivastava from PhillipCapital.

Vipraw Srivastava: Quickly, sir, on the hedging policy, given that we have received a very large other income because of currency depreciation, so any

light you can throw on the hedging policy? And what kind of other income we can expect in coming years?

Srinivas Reddy: GR, you want to answer that, please?

Gunneswara Rao: Can you come again?

Vipraw Srivastava: Sir, on the hedging policy, sir, given that there is a lot of currency depreciation which has happened, and hence, you have received other income, so what is the hedging policy? And what kind of range we can look at for FY '27?

Gunneswara Rao: On the revenue side, you are talking, correct?

Vipraw Srivastava: Other income, sir. Currency depreciation and other income coming in.

Gunneswara Rao: Other income is INR25 crores, mainly because of the foreign exchange gain we have received in this year. So we will anyway, it is a realized, mostly it is realized, and –and an unrealized forex gain also is there. And in the current financial year also, we have witnessed we have spoken to the bankers, The U.S. the dollar will be in the similar range, and/or rupee will depreciate. That is what the forecast is showing. So, that way also, we will gain in terms of the foreign exchange fluctuations will help us because more than 70% of our revenue is from the exports only. Imports are maximum 30% to 35%. So thereby, we will gain on this also.

Moderator: The next question is from the line of Meet Jain from Motilal Oswal.

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Meet Jain: Very good set of numbers and very strong guidance. Sir, most of the questions are answered. My one question is regarding this AMCA jet orders. So I just want to understand can you throw some more light on this, A, what kind of quantum of the size? And at what level currently are we in this, and which are the customers for this?

Srinivas Reddy: No, basically, it's in the initial stage right now. Sri Lekha, you want to answer this question because you are handling this? Are you there?

Srilekha Jasthi: It's a INR4 crores order, Meet.

Meet Jain: Okay. So what we understand earlier that we were -- so, we were...

Srilekha Jasthi: See, there are...

Meet Jain: Yes. I was not able to hear you earlier.

Srilekha Jasthi: Okay. So it's a INR4 crores order which we got, and it's the first structural assembly which we managed to win for AMCA. So right now, they are floating the tenders for structural assemblies, and we have started participating in all the tenders. And we are one of the 8 qualified vendors for these structural assemblies.

Meet Jain: So this is similar to what we were doing along with Adani Group that we didn't receive? Or is it something different? Because that was also for AMCA project.

Srilekha Jasthi: That is different tender. Yes, that is different and this is different because both are for AMCA. That is for the entire integration of AMCA aircraft. But parallelly, there are tenders going on for structural assemblies of AMCA. And there are only 8 qualified vendors who can participate in these structural assemblies.

Meet Jain: Understood. Second question is on this new client that we added, SLB, in both our oil and gas and clean energy. So going ahead, whatever revenue that we record, we'll be putting in the same head of as a fuel cell? Or we'll be creating a separate head for this?

Srinivas Reddy: No, it will be in the Clean Energy segment as such, Meet, as far as the data center infrastructure is concerned. As far as the assemblies for oil and gas will go into the oil and gas segment.

Meet Jain: So currently, sir, we are doing this prototyping work for them right now, right?

Srinivas Reddy: Yes, that's right. We are doing the prototype work, as I mentioned. And they are in multiple segments, not only in oil and gas, but also into the infrastructure building for the data centers, so both. So they'll go in the respective segments.

Meet Jain: Understood. And sir, last question on this like as you mentioned that we have received some better payment

terms and also we see some advances, capital advances that came from the customers. So this will be a normal let's say, norm going ahead? Or this is a onetime advance that we received?

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Srinivas Reddy: It's not about anything, when I say we're talking about better payment terms, it's multiple factors, right? It is not about advances. It's about better payment terms in terms of credit period and all multiple factors which we have negotiated. It's not just one customer, with multiple customers. The way we are growing, we felt that we are in a position to discuss with our customers and ensure that we are on track with their requirements and the kind of volumes that are going up and the demand which has been created, so we are able to do that in a more efficient manner right now. And this will be a continuous process.

There's nothing like onetime, as you mentioned. It will be a continuous thing, and we'll sustain it moving forward as well to maintain our working capital and the number of days and operating cash flows.

Meet Jain: Okay. That's great to know. And sorry, one more question. Sir, the 80% kind of growth that we envisage for FY '27, how it will be back-ended for H2, it will be major, or it will be well spread out between all the quarters?

Srinivas Reddy: That's a very good question which you asked. So if you look at last year, it was we had a weak first half, right, and a strong second half. But this year, it will be we'll have a very good first half and a much better second half. That's what we want to do.

Moderator: The next question is from the line of Piyush Sevaldasani from Sundaram Alternate.

Piyush Sevaldasani: Congrats for a good set of numbers. Sir, my first question is on the gross margins. There is a 190 basis point sequential dip. So can you please help us understand the reasons for that? Has there been any renegotiations with our customer in Clean Energy?

Srinivas Reddy: Absolutely not. It's not about negotiation on the price. It's about deliverables right now. So there is enough requirement by not only in one customer, but various customers that we have. And it's purely because of the last quarter was mainly certain costs have gone up because of all of you are aware about certain geopolitical situations.

Our input costs have gone up on the operations side. But that's very marginal. So I think, as I mentioned earlier, we are pretty confident and strong enough right now to adhere to the margins that we have said right now and also the revenues that we have declared the guidance what we've declared. So there is no question of reduction in prices or anything like that. That's not the case.

Piyush Sevaldasani: Sure, sir. Sir, my next question is on the capex plan where you have talked about this INR250 crores to INR300 crores and the multifold capacity expansion, which we have talked about. So sir, this would ideally lead to a much higher, much, much higher asset turn for us versus what we are currently doing. So do you think...

Srinivas Reddy: Yes, go ahead.

Piyush Sevaldasani: So do you think this is sufficient enough to cover for growth for the next 2, 3 years?

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Srinivas Reddy: No. See, we are going step by step, right? When I say multif old capacity expansions in various sectors, it's purely based on the demand what we have, not just for this year, for the coming years as well. So we are planning year-on-year basis. So that's how we are implementing the whole plan based on the customer needs and which is very promising for us right now.

And since we are in this line for many years, it becomes that much more easier for us to implement the capacities and also to execute them. See, execution is the most important aspect of it, and we are pretty confident about it.

The way we are increasing our headcount

the management bandwidth and also training the required people to get them qualified, we are doing that ahead of time. And we always had these capacities in the past as well ahead of time and which has actually given us a very good result because of having such capacities, and we are doing the same thing even now. And this time around, it is purely based on the demand which has been told to us and the visibility which has been given by our customers. That's how we are moving forward.

Piyush Sevaldasani: Got it. And sir, lastly, on this nuclear execution, we have, I think, around INR700 crores of order book. So what kind of revenue should we assume for this year? Because I think you have said that in next 3 years, we assume the execution of the current order book.

Srinivas Reddy: Yes. See, we have to execute over the next 3, 3.5 years. Some of them are like close to 4 years, but most of the orders should get executed in the next 3, 3.5 years. So you'll see a real upsurge in revenues in the current year, moving forward as well, even higher revenues.

That's why I mentioned that we are in a very sweet spot in terms of Nuclear division because we never had this kind of order book in the past, and this order book will continue to grow actually because a lot of even if you look at over the next 2, 3 years, a lot of private players are also coming with this program, nuclear program, which is announced by Government of India. And so, we have enough infrastructure to handle this because we have been in this line for 35plus years. So this will be on the growth path for sure.

Moderator: The next question is from the line of Dhavan Shah from AlfAccurate Advisors.

Dhavan Shah: My question is on the guidance. Like, there is a strong visibility from the Bloom, plus other segments are also doing well. So what is our internal guidance? By when can we achieve INR5,000 crores of revenue?

Srinivas Reddy: That's a very long-ground question anyway. So I can't talk about it right now when we're going to achieve INR5,000 crores. But the way we are moving forward, I think we are on track with that number probably let's see, I can't just say anything right now about that. But one thing I can promise you that we are on track with that.

Dhavan Shah: By FY '30, is it possible?

Srinivas Reddy: Hopefully, yes. Let's see how it goes. I can't commit right now on that, but we have a clear road map to be where we want to be by FY '30.

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Dhavan Shah: Understood. And how much capex do you have to do to achieve that kind of revenues? Any incremental capex apart from this INR250 crores?

Srinivas Reddy: No, we will be having incremental capex year-on-year basis. That's very clear in terms of additions of capacity year-on-year basis, based on clear visibility given by various customers of us. And each year, we'll evaluate that, and we'll plan it ahead of time. So that's an ongoing process, the kind of growth that we are looking at right now.

Dhavan Shah: But as per your estimates, how much capex we have to do to achieve INR5,000 crores of revenue? Internally, is it like INR500 crores, INR600 crores? How much is our internal estimates?

Srinivas Reddy: We can't exactly specify that right now, but probably between INR500 crores to INR700 crores, I guess.

Dhavan Shah: And we are also building the greenfield capacity. So, that would be enough to achieve this kind of growth?

Srinivas Reddy: Yes, absolutely. I mean, we are building the infrastructure for the future growth and also adding equipment in a phased manner based on the requirement of the customers, and that should be more than enough.

Dhavan Shah: Understood. And when can we see the operating leverage play out? Because I think the product mix is also changing from clean fuel to other segments, maybe a year down the line. So how do you see the operating margins

play out once we'll achieve this scale?

Srinivas Reddy: So the operating leverage will improve because of we'll have better operating leverage because of the kind of revenues or volumes that we are doing right now. And it's not only in one product, but multiple products that we are working with the customers. And we'll start seeing that from the current financial year itself.

Moderator: The next question is from the line of Gaurav Nagori from Aventus Spark.

Gaurav Nagori: Just in continuation to the question which was previously asked, can you share more details on what kind of components that you are supplying to these data center solutions? Is it part of MEP or part of racks or any more details? And what is the value add-in those components by MTAR? That's question one.

Second is on the execution and the margin risk. And where I'm coming from is that, obviously, orders inflow is obvious. And looking or hearing the commentary of your clients, it's given that orders should come in. But what we hear is that your peer or the competitor is also increasing capacity in their home market, and you are also expanding the capacity as well. So do you foresee margins kind of be at risk in the longer term?

Or in the near term, because the raw material and multiple commodities have seen a sharp price hike, it would be difficult for you to pass on these increase in the price to the client? So these are my 2 questions.

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Srinivas Reddy: So to answer the first question, we are dealing with the various assemblies required to build the data center infrastructure. And the value addition is close to about 70% in this area, and it's pretty profitable. And it's not -- it's very specialized job that we are doing. And we are doing the first articles right now. We'll know more about it as when we finish the first article, which is about close to INR35 crores. That itself is a big number.

And as far as the capacities that we're looking at, see, we're not looking at competition. See, the most important thing for MTAR is what we have done over the last 12, 15 years and how we have partnered with our customers in ensuring that being very innovative in our approach, bringing automation into play, doing various other innovative aspects with the customer.

There's enough on the plate for us to work on. And there is the most important aspect is that there is pressure on deliverables more than anything else right now to ensure that we deliver everything what they need, and we are focusing primarily on that.

Gaurav Nagori: Okay. Okay. So I mean, if you can just elaborate a little bit more on margins? Because in this quarter also, we have not seen much operating leverage benefit in the gross margins and the EBITDA margins and despite a good run rate in this quarter. And given that we have seen a sharp inflation across categories, do you foresee I mean, what gives you confidence that margins would see expansion on this orders inflow?

Srinivas Reddy: See, it's not only about one sector, right? If you look at the current financial year, we were last year, we were working on various aspects in different sectors in first articles. We are building the WIP for various nuclear programs and all that. So you will see the margins coming into play because of not only one sector but multiple sectors that we are dealing with, right? And the kind of volumes that we are looking at this year like last year, we had it's not about 1 quarter, right? If you look at last year, we had certain impact because of geopolitical situation, but we are beyond that right now because we evaluated everything and we studied that. And that's why we have said we are in a much stronger position moving forward as well.

So if you look at the last year, we had a weak first half in revenues last year. But this year, as I said, our first half itself is ver

y, strong and the second half would be even much better than that.

So obviously, the operating leverage will come into play big time quarter-on-year basis as we are ramping up step-by-step quarter-on-quarter basis for the deliverables. And that will help a lot in terms of improving the margins in one given sector. And all the other sectors also, the volumes are going up in absolute numbers.

People talk about percentages, but I would always look at the numbers and how which we are growing in each of these sectors, which is very promising. And that's also contributing a lot to coming with improved margins quarter-on-quarter basis and ending the year at about around 24% EBITDA margins for the year.

Gunneswara Rao: Just to add to our MD's point, we have spent almost 28% on the fixed cost, both salaries and other expenditure. With increase in revenue, we will have at least 5% operating leverage, we are estimating. Definitely, there is no issue as far as the meeting the EBITDA targets. Even in the conservative scenario also,

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Gaurav Nagori: Okay. And is it possible to quantify how much of the new product development cost is expensed out in P&L in FY '26?

Gunneswara Rao: This is a continuous process. Even last year also, we were working on first articles in aerospace and other things. And this year, we are completing the mostly all the first articles of all the customers in aerospace. So we will have a volume production in the future. With the same set of people and machinery, we are going to do much more revenue than what was done in the last financial year.

So this first article new product development is a continuous process in the company. Every year, we are incurring that expenditure, which is already factored in our actual margins and also whatever margins we have communicated to shareholders in this call.

Gaurav Nagori: All right. Okay. Okay. But is it possible to quantify, in FY '26, as a percentage of revenue, how much FX [FAI expendable 0:53:20] revenue?

Gunneswara Rao: It's not so much because if you look at our revenue, mostly 90% of the revenue is only from the existing products, what we are doing. Only oil and gas already we have done the first article.

And the facility is coming up in September of this year. So we are going to do that production around the next 6 months, we are doing the volume production because already we have done the first article. So other clean energy sectors, we have already done.

Only in the aerospace, first articles are happening. And this year is almost is completing by September, all the September or December maximum, it is completing. So it is not a sizable material amount to quantify. That's what I want to say.

Moderator: The next question is from the line of Abhijeet Singh from System atix.

Abhijeet Singh: Congrats on a great set of results. First question is on the nuclear business. Our capabilities and capacities in the nuclear business, are they fungible across reactor technologies, let's say, PSWR, fast breeder? So in case one picks up faster than the other, are we placed to supply across these technologies? And how does the scope change if that happens?

Srinivas Reddy: No, all the assets are fungible. Whether it is FBR or PSWR, that doesn't really matter. The technology is different, but the machineries and all are fungible across both the reactors. So that's not an issue at all. And we have built our own machines earlier for taking care of the FBR reactors, and we continue to operate those machines, very specialized machines, and they are fungible as well across all sectors. So it's not an issue at all.

Abhijeet Singh: Right. And sir, you mentioned that you're expecting an order inflow from other nuclear equipment reactors in FY '27. So the quantum for that would be similar to the one that we received in FY '26? Or there would be

a change?

Srinivas Reddy: No. Can you repeat your question?

Abhijeet Singh: Considering the order inflow expected in FY '27 from nuclear, the quantum of that would be similar to that one that we received in FY '26 of about INR5 billion?

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Srinivas Reddy: No, no. We can't quantify that. We have refurbishment of reactors and the new reactors. So it depends on the timing of the tenders and when the department would release the orders. So it will be major orders that will flow in, but I can't assure the timing of that. So, as and when they come in, yes, the quantum would be similar.

Abhijeet Singh: Secondly, on the refurbishment part of the nuclear business, so what is the kind of nature of the order? What is the scope of our business in the nuclear for refurbishment orders? And how to look at it from the perspective of frequency, let's say, how many orders do we expect per annum in the next 2 to 3 years?

Srinivas Reddy: It depends upon the refurbishment of the reactor. Yes. So basically, it depends on the refurbishment of the reactors when they are due. And we have already we got some orders for the refurbishment of various reactors. Overall, it's 5 reactors.

So we've got some orders on those refurbishment reactors. We're getting some more in this quarter. So basically, this was the pool and channel assembly that we are looking at in the refurbishment area, which we have been doing for ages right now. So that's an ongoing process. So each time they declare as and when they need to refurbish reactor, and such reactors is an opportunity for MTAR to cater to the requirements of the NPCL to handle these reactors.

Moderator: The next question is from the line of Aman from Astute Investment Management.

Aman: My first question is on the nuclear side. So we are mostly doing products which are related to, say, machining head and all those things. You have talked about we are also trying to enter Calandria and all those products. So can you give an update by when do we expect the approval and when we can start bidding for such products so our addressable market per reactor also increases?

Srinivas Reddy: No. Technically, we are already qualified for Calandrias and End shield. And like for the Mahi

Banswara ASHVINI project, they have intimated to us the tenders will come in this year for that and which we have qualified for that. So we'll be able to participate. And for the first time, we'll be doing it.

We have the infrastructure, and we are qualified for that right now. So we'll be participating in that, and we are expecting the orders in that area as well this year. That's an increase in wallet share and what we can contribute to NPCL.

Aman: Sure, sir. That is helpful. And you have talked about scaling from Q1 itself. Is it on track? Or there is some delay and only Q2, Q3, we can see scaling of nuclear business?

Srinivas Reddy: No. Nuclear business would scale. Primarily, the way we are looking at is by the time we get the raw materials in place and all that, we are working on it, we already have orders, earlier orders where it's in advanced stage of execution. So you will really see the scaling up going from Q2 onwards in a big way.

Aman: Sure, sir. My next question is on oil and gas side. You very nicely explained the chicken and egg situation, where customers were looking for us to put the plant. And finally, the plant is

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coming on line now by September. So could you talk about what kind of peak sales we can do from that plant?

And also, is there a brownfield capacity expansion that is possible? Because a lot of these customers want big plants, and they have very big timelines, next 3, 5 years' visibility. So could you talk about a little bit on that part?

Srinivas Reddy: See, the plant, the way we have built the infrastr

ucture and the equipment and machinery, it's a multifold plant in various requirements of a number of other customers as well. So if you look at 3 to 4 years' horizon, we are looking at about the oil and gas plant, which is getting commissioned in September can grow up to INR450 crores to INR500 crores of revenue in that one plant itself.

Aman: That is helpful. Finally, on aerospace side, you talk about significant order from actuator assembly, which we are expecting from LCA Mark 1A Tejas. So is it like INR50 crores, INR100 crores?

Srinivas Reddy: I think it's about INR130 crores to INR150 crores. And that we have done it. We got qualified, we have supplied them, and we are doing that. And we are expecting that order. We're supposed to get it in the last quarter itself, but hopefully, we should get that in this quarter.

Aman: And sorry, for, say, X number of years only, and this we can expect to be repeated every year for at least 2, 3 years?

Srinivas Reddy: We have to see that. Like basically, it's a Free-issue material. What you're talking about here is the order what I'm talking about is raw materials issued from the department. So it's just the value-add what we're looking at. And so, let us get the first batch of orders, and then we'll see how it goes. It also depends on the programs that they want to set up, right?

Moderator: Due to time constraint, we take this as the last question. I now hand the conference over to the management for closing comments.

Srinivas Reddy: So I'd like to thank first all the MTAR team members for a phenomenal job done last year, but we're also focusing on the future years as well. And the way things are going, we are very positive about how we are going to grow in the current year and maintaining sustaining our margins and as well as the implementation of various capacity expansions that we are looking at in the current year.

So, a lot of focus is being done in these areas as well. And we are very confident of moving ahead and surging ahead with the growth that we're looking at, not only for this year but years to come. We have a clear road map for the next at least for the next 5 years, we have a very clear road map of what we need to do to build this company to a much greater level. That's for sure.

And I would also like to thank all our shareholders, investors for imposing faith in us over the years. And moving forward as well, we would assure that we'll adhere to whatever we have mentioned in terms of our guidance and as well as the margin profile that we have explained.

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Thank you so much, all of you, for sparing your time to join us in this earnings call. Thank you so much.

Moderator: Thank you. On behalf of MUFG Intime, that concludes this conference. Thank you for joining us. You may now disconnect your lines.